Taiwan | Information Technology | 12 August 2026

Daiwa Capital Markets Hong Kong Limited

LandMark Optoelectronics (3081 TT)

Target price: **TWD900.00** (from TWD586.00)

Share price (12 Aug): **TWD2,725.00** | Up/downside: **-67.0%**

5 4 3 2 1

Sell
(unchanged)

Off to a strong start but … (III)

- 2Q26 results and 3Q26 guidance all beat estimates
- Lift forecasts on continued AI strength and cost passthrough
- Reaffirm Sell (5) on valuation despite a higher TP of TWD900

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What's new: On 12 August, LandMark Opto (LMO) disclosed 2Q26 results and 3Q26 guidance both beating market expectations, thanks to cost passthrough through the supply chain, on top of the continued strong demand for silicon photonics (SiPh) as cloud service providers (CSP) actively build out AI datacentres that spur demand for optical bandwidths scaling out, up and across. With the 2 growth drivers set to continue, we lift our forecasts and TP, but reaffirm our Sell (5) rating on valuation grounds as the stock still trades at over 100x 2027E PER and 37x 2027E PBR, all-time highs in history which don't seem to be justified by fundamentals, in our view.

What's the impact: **Results and guidance all beat but ...** LMO released 2Q26 EPS (after factoring in a 10% stock dividend) of TWD4.6, beating our/consensus estimates by 28%/21% thanks to: 1) higher top line associated with price hikes on a passthrough of increased materials costs such as substrates (see our *memo*), which added to gross margin, and 2) frugal R&D control for opex ratio that finished 2.9pp below our estimate at only 10.6%. Guidance calls for 3Q26 revenue QoQ growth >= that of 2Q25 (22% QoQ), beating our previous/consensus forecasts of up 8%/11% QoQ, thanks to: 1) the continued strong demand for SiPh (ie, CW laser) from hyperscale CSPs and module makers across the US, China and Taiwan, and 2) likely the continued cost passthrough through the supply chain. All in all, we lift our 2026-28E EPS by 21-32%.

… execution and valuation still under test. Despite the upbeat results and guidance, we remain uncertain about LMO's margin execution on increased depreciation associated with hefty capex, increased headcount and variety of SiPh product specs that may affect yields and learning curve pickups in the downstream subcontractors. This execution is under scrutiny as flagged in *our previous note*. On top of that, more importantly, valuations look overstretched still since, after our forecast revisions, the stock still trades at over 100x 2027E PER and 37x 2027E PBR (charts on p.2).

What we recommend: Given our forecast changes, we lift our 12M TP for LMO to TWD900 (previous: TWD586), based on our higher ROE-adjusted PBR of 13x (previous: 10x) 4-quarter forward BVPS due to a higher ROE trajectory. We reaffirm our Sell (5) call on valuation grounds, with upside risk of any better-than-expected SiPh ramp and margin execution.

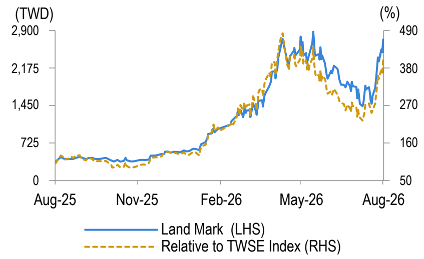
How we differ: Our 2027-28E EPS are 29-49% below the consensus forecasts as we believe the street is too aggressive on the SiPh strength.

Forecast revisions (%)

Year to 31 Dec	26E	27E	28E
Revenue change	19.2	21.6	14.5
Net profit change	29.8	31.8	20.8
Core EPS (FD) change	29.8	31.8	20.8

Source: Daiwa forecasts

Share price performance



12-month range	353.64-2,872.73
Market cap (USDbn)	8.59
3m avg daily turnover (USDm)	169.57
Shares outstanding (m)	102
Major shareholder	Hwa Sheng Int'l Investment (8.4%)

Financial summary (TWD)

Year to 31 Dec	26E	27E	28E
Revenue (m)	5,185	6,948	7,522
Operating profit (m)	2,381	3,224	3,409
Net profit (m)	1,937	2,638	2,803
Core EPS (fully-diluted)	19.032	25.921	27.545
EPS change (%)	352.1	36.2	6.3
Daiwa vs Cons. EPS (%)	8.1	(29.2)	(48.8)
PER (x)	143.2	105.1	98.9
Dividend yield (%)	0.1	0.4	0.6
DPS	3.0	10.1	15.2
PBR (x)	n.a.	n.a.	n.a.
EV/EBITDA (x)	101.1	74.8	69.8
ROE (%)	38.6	39.7	34.7

Source: FactSet, Daiwa forecasts

LMO: quarterly P&L forecasts

TWDm	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E	2028E
Revenue	904	1,221	1,500	1,559	1,512	1,739	1,854	1,843	2,203	5,185	6,948	7,522
COGS	-409	-520	-615	-627	-624	-709	-764	-758	-1,262	-2,171	-2,855	-3,171
Gross profit	495	702	885	932	887	1,030	1,091	1,085	941	3,014	4,093	4,351
Opex	-122	-129	-188	-195	-189	-217	-232	-230	-432	-633	-868	-942
Operating profit	373	573	698	737	698	812	859	854	508	2,381	3,224	3,409
EBITDA	444	648	793	845	805	918	974	969	818	2,730	3,666	3,918
Pretax profit	397	586	700	739	705	830	882	880	525	2,421	3,298	3,504
Income taxes	79	117	140	148	141	166	176	176	-97	-484	-660	-701
Net profit	318	468	560	591	564	664	705	704	428	1,937	2,638	2,803
EPS (TWD, basic)	3.12	4.60	5.50	5.81	5.55	6.53	6.93	6.92	4.24	19.03	25.92	27.55
EPS (TWD, fully diluted)	**3.12**	**4.60**	**5.50**	**5.81**	**5.55**	**6.53**	**6.93**	**6.92**	**4.21**	**19.03**	**25.92**	**27.55**
Margin												
Gross	55%	57%	59%	60%	59%	59%	59%	59%	43%	58%	59%	58%
Operating	41%	47%	47%	47%	46%	47%	46%	46%	23%	46%	46%	45%
EBITDA	49%	53%	53%	54%	53%	53%	53%	53%	37%	53%	53%	52%
Net	35%	38%	37%	38%	37%	38%	38%	38%	19%	37%	38%	37%
Growth (QoQ)												
Revenue	41%	35%	23%	4%	-3%	15%	7%	-1%				
Gross profit	58%	42%	26%	5%	-5%	16%	6%	-1%				
Operating profit	77%	53%	22%	6%	-5%	16%	6%	-1%				
Net profit	67%	48%	20%	6%	-5%	18%	6%	0%				
EPS (basic)	66%	48%	20%	6%	-5%	18%	6%	0%				
EPS (FD)	67%	48%	20%	6%	-5%	18%	6%	0%				
Growth (YoY)												
Revenue	99%	121%	171%	143%	67%	42%	24%	18%	82%	135%	34%	8%
Gross profit	237%	193%	267%	198%	79%	47%	23%	16%	294%	220%	36%	6%
Operating profit	734%	284%	573%	250%	87%	42%	23%	16%	nm	369%	35%	6%
Net profit	651%	384%	465%	211%	78%	42%	26%	19%	nm	352%	36%	6%
EPS (basic)	645%	380%	462%	209%	78%	42%	26%	19%	nm	349%	36%	6%
EPS (FD)	651%	384%	465%	211%	78%	42%	26%	19%	nm	352%	36%	6%

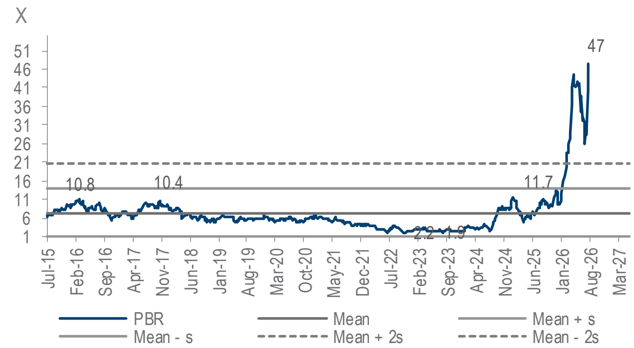
Source: Company, Daiwa estimates and forecasts

LMO: 2Q26 results review and 3Q26 guidance check

	2Q26			Growth		3Q26E	
TWDm	**Actual**	**Daiwa**	**Variance**	**QoQ**	**YoY**	**Guidance**	**Daiwa (previous)**
Revenue	1,221	1,086	12%	35%	121%	Revenue QoQ growth to be >= that of 2Q25	up 8% QoQ
Gross profit	702	599	17%	42%	193%	na	GM = c.56%
Operating profit	573	452	27%	54%	284%		
Pretax profit	586	457	28%	48%	384%		
Net profit	468	366	28%	47%	384%		
Adjusted EPS (TWD)	4.60	3.59	28%	47%	384%		
Margin							
Gross	57.5%	55.1%	2.4%				
Operating	46.9%	41.6%	5.3%				
Net	38.3%	33.7%	4.7%				
Revenue mix*							
Telecom	5-10%	10%					
Datacom	80-85%	87%					
Others	c.5%	3%					

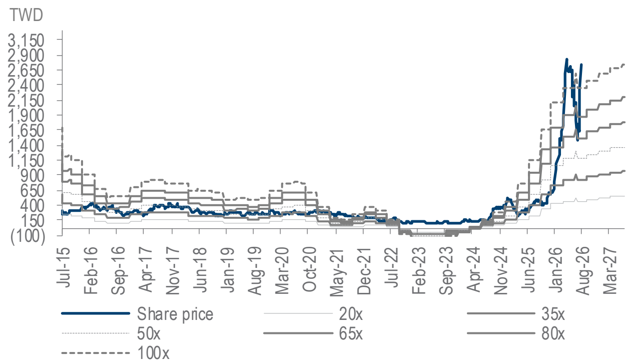
Source: Company, Daiwa estimates and forecasts
Note: Telecom includes PON and cellular interconnectivity, Datacom includes SiPh and datacentre connectivity, Others include consumer, automotive LiDAR, industrial and other applications

LMO: PBR trend



Source: Company, TEJ, Daiwa forecasts

LMO: 4-quarter forward PER band



Source: Company, TEJ, Daiwa forecasts

Financial summary

Key assumptions

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Wafer shipment ('000)	49	65	27	31	53	99	130	154
Capacity utilization (%)	53	64	26	30	51	92	97	99
Blended ASP (USD)	1,366	1,234	1,242	1,205	1,345	1,641	1,674	1,529

Profit and loss (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
PON	564	521	285	374	273	326	417	451
SiPhotonics	289	317	380	522	1,505	4,435	5,975	6,469
Other Revenue	1,019	1,542	392	313	425	424	556	602
Total Revenue	**1,873**	**2,381**	**1,056**	**1,208**	**2,203**	**5,185**	**6,948**	**7,522**
Other income	0	0	0	0	0	0	0	0
COGS	(1,104)	(1,622)	(918)	(970)	(1,262)	(2,171)	(2,855)	(3,171)
SG&A	(153)	(155)	(125)	(130)	(160)	(335)	(452)	(491)
Other op.expenses	(203)	(270)	(292)	(220)	(272)	(299)	(417)	(451)
Operating profit	**412**	**334**	**(279)**	**(112)**	**508**	**2,381**	**3,224**	**3,409**
Net-interest inc./(exp.)	3	6	16	21	26	21	74	96
Assoc/forex/extraord./others	3	39	(1)	23	(9)	20	0	0
Pre-tax profit	**418**	**378**	**(264)**	**(68)**	**525**	**2,421**	**3,298**	**3,504**
Tax	(80)	(49)	53	14	(97)	(484)	(660)	(701)
Min. int./pref. div./others	0	0	0	0	0	0	0	0
Net profit (reported)	**338**	**330**	**(212)**	**(55)**	**428**	**1,937**	**2,638**	**2,803**
Net profit (adjusted)	**338**	**330**	**(212)**	**(55)**	**428**	**1,937**	**2,638**	**2,803**
EPS (reported)(TWD)	**3.358**	**3.284**	**(2.103)**	**(0.541)**	**4.236**	**19.032**	**25.921**	**27.545**
EPS (adjusted)(TWD)	**3.358**	**3.284**	**(2.103)**	**(0.541)**	**4.236**	**19.032**	**25.921**	**27.545**
EPS (adjusted fully-diluted)(TWD)	**3.358**	**3.261**	**(2.093)**	**(0.536)**	**4.209**	**19.032**	**25.921**	**27.545**
DPS (TWD)	**5.000**	**3.500**	**3.500**	**0.500**	**0.500**	**3.000**	**10.087**	**15.164**
EBIT	**412**	**334**	**(279)**	**(112)**	**508**	**2,381**	**3,224**	**3,409**
EBITDA	**904**	**811**	**178**	**280**	**818**	**2,730**	**3,666**	**3,918**

Cash flow (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Profit before tax	418	378	(264)	(68)	525	2,421	3,298	3,504
Depreciation and amortisation	492	477	457	391	309	350	442	510
Tax paid	(80)	(49)	53	14	(97)	(484)	(660)	(701)
Change in working capital	207	(193)	90	30	(355)	(630)	95	(275)
Other operational CF items	(15)	25	(96)	10	331	0	0	0
Cash flow from operations	**1,022**	**639**	**240**	**377**	**714**	**1,656**	**3,175**	**3,038**
Capex	(206)	(363)	(151)	(70)	(87)	(1,896)	(645)	(473)
Net (acquisitions)/disposals	0	0	0	0	0	0	0	0
Other investing CF items	(127)	(97)	(819)	(312)	(400)	0	0	0
Cash flow from investing	**(333)**	**(460)**	**(970)**	**(382)**	**(487)**	**(1,896)**	**(645)**	**(473)**
Change in debt	0	0	0	0	0	0	(100)	(80)
Net share issues/(repurchases)	0	0	0	0	0	0	0	0
Dividends paid	(457)	(320)	(322)	(46)	(46)	(305)	(1,027)	(1,543)
Other financing CF items	(8)	14	(8)	(2)	(7)	500	0	(100)
Cash flow from financing	**(465)**	**(306)**	**(330)**	**(48)**	**(53)**	**195**	**(1,127)**	**(1,723)**
Forex effect/others	0	0	0	0	0	0	0	0
Change in cash	**225**	**(127)**	**(1,060)**	**(53)**	**174**	**(45)**	**1,404**	**842**
Free cash flow	816	276	89	306	627	(240)	2,530	2,565

Source: FactSet, Daiwa forecasts

Financial summary continued …

Balance sheet (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash & short-term investment	1,771	1,644	1,299	1,548	1,973	1,928	3,332	4,174
Inventory	289	376	357	346	571	661	711	711
Accounts receivable	297	458	230	199	337	917	767	1,067
Other current assets	24	33	22	31	30	30	30	30
Total current assets	**2,381**	**2,511**	**1,909**	**2,125**	**2,911**	**3,536**	**4,840**	**5,982**
Fixed assets	2,123	2,164	1,969	1,665	1,522	3,054	3,331	3,315
Goodwill & intangibles	6	6	4	3	3	3	3	3
Other non-current assets	471	437	503	497	571	581	601	601
Total assets	**4,981**	**5,117**	**4,384**	**4,290**	**5,008**	**7,174**	**8,775**	**9,901**
Short-term debt	0	0	0	0	0	0	0	0
Accounts payable	89	176	56	41	45	85	80	105
Other current liabilities	302	273	163	183	487	440	550	560
Total current liabilities	**391**	**450**	**219**	**225**	**532**	**525**	**630**	**665**
Long-term debt	0	0	0	0	0	500	400	220
Other non-current liabilities	318	311	303	294	286	300	290	300
Total liabilities	**709**	**761**	**522**	**519**	**817**	**1,325**	**1,320**	**1,185**
Share capital	914	919	919	925	925	925	925	925
Reserves/R.E./others	3,359	3,438	2,943	2,846	3,266	4,924	6,530	7,791
Shareholders' equity	**4,272**	**4,357**	**3,862**	**3,772**	**4,191**	**5,849**	**7,455**	**8,716**
Minority interests	0	0	0	0	0	0	0	0
Total equity & liabilities	**4,981**	**5,117**	**4,384**	**4,290**	**5,008**	**7,174**	**8,775**	**9,901**
EV	275,558	275,685	276,029	275,781	275,356	275,901	274,397	273,375
Net debt/(cash)	**(1,771)**	**(1,644)**	**(1,299)**	**(1,548)**	**(1,973)**	**(1,428)**	**(2,932)**	**(3,954)**
BVPS (TWD)	**42.508**	**43.415**	**38.384**	**37.397**	**41.441**	**57.475**	**73.252**	**85.643**

Key ratios (%)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales (YoY)	(18.9)	27.1	(55.6)	14.4	82.3	135.4	34.0	8.3
EBITDA (YoY)	(22.7)	(10.3)	(78.0)	56.8	192.4	234.0	34.3	6.9
Operating profit (YoY)	(41.8)	(19.0)	n.a.	n.a.	n.a.	368.5	35.4	5.7
Net profit (YoY)	(42.9)	(2.4)	n.a.	n.a.	n.a.	352.1	36.2	6.3
Core EPS (fully-diluted) (YoY)	(42.9)	(2.9)	n.a.	n.a.	n.a.	352.1	36.2	6.3
Gross-profit margin	41.0	31.9	13.1	19.8	42.7	58.1	58.9	57.8
EBITDA margin	48.3	34.1	16.9	23.1	37.1	52.7	52.8	52.1
Operating-profit margin	22.0	14.0	n.a.	n.a.	23.1	45.9	46.4	45.3
Net profit margin	18.0	13.8	n.a.	n.a.	19.4	37.4	38.0	37.3
ROAE	7.8	7.6	n.a.	n.a.	10.8	38.6	39.7	34.7
ROAA	6.6	6.5	n.a.	n.a.	9.2	31.8	33.1	30.0
ROCE	9.6	7.7	n.a.	n.a.	12.8	45.2	45.4	40.6
ROIC	12.5	11.2	n.a.	n.a.	18.7	57.4	57.7	58.7
Net debt to equity	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Effective tax rate	19.2	12.9	0.0	0.0	18.4	20.0	20.0	20.0
Accounts receivable (days)	90.4	57.9	118.9	64.8	44.4	44.1	44.2	44.5
Current ratio (x)	6.1	5.6	8.7	9.5	5.5	6.7	7.7	9.0
Net interest cover (x)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Net dividend payout	85.1	104.2	107.3	(23.9)	(93.3)	71.3	53.0	58.5
Free cash flow yield	0.3	0.1	0.0	0.1	0.2	n.a.	0.9	0.9

Source: FactSet, Daiwa forecasts

Company profile

Founded in June 1997, LandMark Optoelectronics Corporation (LMO) is a dedicated compound semiconductor epiwafer supplier for optical communication (OC), with end-applications focusing primarily on telecom and datacom, including passive optical network (PON), datacentre and cellular infrastructure, as well as industrial and consumer electronics. LMO is one of the largest pure OC epiwafer suppliers globally by revenue.

ESG analysis

ESG risks

	Risks	Management	Analyst comments
G	Executive/board quality	2	LMO's Board of Directors consists of seven members whose expertise covers industry, academia, finance, accounting, and management. Among these directors, three are independent, representing 43 percent of the board. This proportion exceeds the regulatory requirement, which mandates a minimum of 20 percent independent directors. Although the chairman and the president are different individuals, several members of the executive management team, including the CSO, CTO, and CFO, also serve as directors. This concentration of managerial and oversight roles may increase the likelihood of agency problems because the same individuals influence both strategic decision making and governance. The board currently includes only one female director out of seven members, which represents 14 percent of the total. The company recognizes this gender imbalance and is actLMO's Board of Directors consists of seven members whose expertise covers industry, academia, finance, accounting, and management. Among these directors, three are independent, representing 43 percent of the board. This proportion exceeds the regulatory requirement, which mandates a minimum of 20 percent independent directors. Although the chairman and the president are different individuals, several members of the executive management team, including the CSO, CTO, and CFO, also serve as directors. This concentration of managerial and oversight roles may increase the likelihood of agency problems because the same individuals influence both strategic decision making and governance. The board currently includes only one female director out of seven members, which represents 14 percent of the total. The company recognizes this gender imbalance and is actively working toward a more inclusive and balanced board composition.
G	Capital management	2	In the past 10 years, LMO's dividend payout ratio has been above 65%. Despite the payout ratio decreasing to 65-70% during 2018-19 due to a decrease in earnings from a high level of above 80% over 2015-17, the payout ratio returned to above 75% during 2020-23.
G	Related party & transaction	1	The company does not engage in any meaningful related-party transactions.
S	Supply chain management	2	LMO has established a "Supplier Management Procedure" to shortlist qualified business partners and evaluates suppliers annually based on its suppliers' environmental protection procedures as well as health management system. Also, LMO requires its suppliers to sign a "Letter of Commitment of Supplier for Corporate Social Responsibility" and establish an RBA (Responsible Business Alliance). If its suppliers have a significant impact on society due to their inappropriate conduct relating to labour, human rights and environmental pollution, LMO would investigate and consider the possibility of terminating the contract.
E	Water & wastewater management	3	As part of its ISO 14001 environmental management framework, LMO continuously implements multiple water conservation measures and promotes water recycling. Measures include enhancing cooling tower concentration ratios, recovering condensate from air handling unit cooling coils, and using a purified water RO R (Reverse Osmosis Reject) recovery system. The Company sources process and utility water from the site water treatment plant to meet operational needs (including ice machine cooling towers, evaporation losses, and water used and evaporated in manufacturing and washing processes). To increase production value per unit of water and improve water use efficiency, factories and buildings are equipped with water meters that are read daily to monitor and control consumption. In 2024, these efforts and technologies resulted in total water savings of approximately 16.79 thousand m^3, a water conservation rate of about 33%, representing a 23% increase in total water savings compared with the prior year.
E	Waste & hazardous materials management	1	LMO's main wastes include sludge generated from manufacturing wastewater treatment process, chemical waste liquids used in the manufacturing process, chemical-contaminated clean cloths and filtering materials, and waste wafers, as well as employees' daily garbage, nonprocess-generated packaging materials, waste plastics, and other wastes, which are all disposed of by qualified removal and treatment providers. The Company set a short term target of annual hazardous waste generated per unit of product below 0.07 kg/cm2 and achieved 0.043 kg/cm2 in 2024 (a 20.4% reduction year on year). Its medium term target is to reduce hazardous waste per unit of product by 10% in 2025 compared with 2020, with a longer term ambition to lower waste per unit of product by 20% by 2030.
E	GHG emissions	3	Starting from 2022, LMO has conducted a greenhouse gas inventory in accordance with ISO 14064-1 in order to accurately grasp the sources of greenhouse gas emissions and emissions from each factory, and to implement various energy-saving and emission reduction measures based on the inventory results. Through continuous improvement programs, LMO minimizes the environmental and climate impacts of global warming from GHG emissions, and fulfills its corporate social responsibility.

Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.

Update Date: 29 Jan 2026

Source: Daiwa, Company

Important Disclosures and Disclaimer

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Rating	Percentage of total
Buy*	72.63%
Hold**	20.53%
Sell***	6.84%

Source: Daiwa

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news

12 August 2026

MEMO

Lotes (3533 TT)

Share price (12 Aug): **TWD2,010.00** 12-mth rating: **Buy (1)** **Information Technology: Taiwan**

2Q26 results: lower-than-expected margins

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Summary: Lotes released its 2Q26 results after market hours on 12 August. Lotes' 2Q26 earnings came in at TWD2.0bn (EPS: TWD17.6), which was 30% lower than our and 17% lower than the street's expectations. While revenue was slightly lower than expected, 2Q26 gross margin decreased by 4.0pp QoQ to 45.5%, driven mainly by rising raw material costs (eg, copper, gold, plastics) and a delayed margin uplift from new-generation CPU platforms due to component shortages in the supply chain. Operating margin declined 7.0pp QoQ to 22.0%, reflecting higher-than-expected opex from a one-time employee stock bonus expense. Looking into 3Q26, we expect top-line momentum to remain robust, driven mainly by strength in Lotes' QD business. However, while QD growth supports the top line, it also weighs on margins given its lower profitability profile. Combined with elevated raw material costs and an unfavourable product mix shift, we believe margin pressure will persist into 3Q26. We think a meaningful improvement in profitability will require higher penetration of next-generation CPU platforms, which should provide a more substantial margin boost once ramped. That said, despite these near-term headwinds, we remain positive on Lotes given its long-term positioning as a key CPU server play. Lotes is hosting results call on 13 August and we will provide updates in due course. We have a Buy (1) rating on Lotes with a 12M TP of TWD3,533, based on a target PER of 28x applied to our 1-year-forward EPS forecast. Key risk: lower-than-expected adoption of server CPU platforms.

Lotes' 2Q26 results highlights

(TWDm)	Actual	QoQ%	YoY%	Daiwa	Diff %	Consensus	Diff %
Revenue	9,569	3%	15%	10,335	-7%	10,071	-5%
Gross profit	4,351	-6%	2%	5,537	-21%	4,964	-12%
Gross margin (%)	45.5%			53.6%		49.3%	
Operating profit	2,103	-22%	-19%	3,604	-42%	2,979	-29%
Operating margin (%)	22.0%			34.9%		29.6%	
Pre-tax profit	2,598	-13%	113%	3,726	-30%	3,132	-17%
Net profit	1,984	-17%	165%	2,851	-30%	2,398	-17%
EPS (TWD)	17.63	-17%	165%	25.34	-30%	21.31	-17%

Source: Company data, Daiwa forecasts, Bloomberg

What's the impact:

Below are our read-throughs from Lotes' 2Q26 results. Lotes is hosting results call on 13 August and we will provide updates in due course.

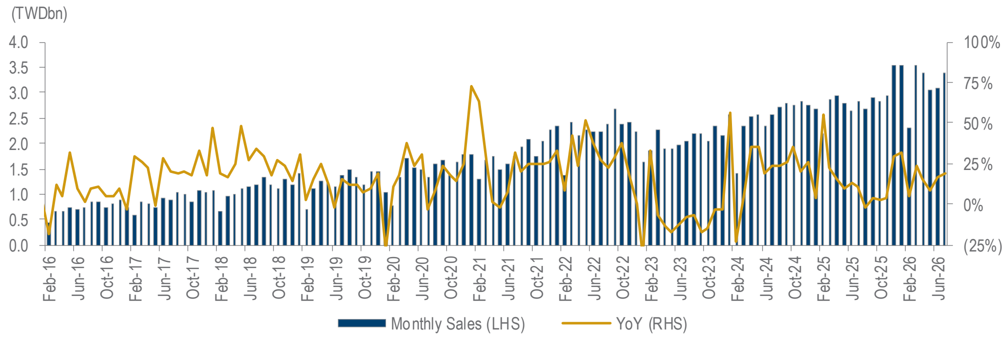
- **2Q26 results dragged by gross margin and high opex.** Lotes' 2Q26 earnings came in at TWD2.0bn (EPS: TWD17.6), which was 30% lower than our and 17% lower than the street's expectations. While revenue was slightly lower than expected, 2Q26 gross margin decreased by 4.0pp QoQ to 45.5%, driven mainly by rising raw material costs (eg, copper, gold, plastics) and a delayed margin uplift from new-generation CPU platforms due to component shortages in the supply chain. Operating margin declined 7.0pp QoQ to 22.0%, reflecting higher-than-expected opex from a one-time employee stock bonus expense. As for net profit, it was boosted by a higher-than-expected non-op gain of c.TWD500m (vs. our estimate of c.TWD120m).

Lotes: Jul-26 monthly sales (TWDbn)

Company	Ticker	Price	Rating	Jul Sales	MoM	YoY	3Q26E Sales	QoQ	YoY	Achieved %	PER		3-Yr Range	Release Date	Consensus	Consensus Achieved %
											2026E	2027E				
Lotes	3533 TT	1,910	Buy	3.4	9%	19%	11.7	23%	38.73%	29%	17.7	13.0	8-21x	7-Aug	11.0	31%

Source: Company, Daiwa forecasts

Lotes: monthly revenue trend and YoY growth



Source: Company

- **Business outlook.** Lotes reported July sales at TWD3.4bn (up 9% MoM and 19% YoY), which achieved 29% of our 3Q26 sales forecast (TWD11.7bn; up 23% QoQ and 39% YoY) and 31% of the Bloomberg consensus of TWD11.0bn. With July revenue accounting for 31-34% of Lotes's 3Q revenue over the past five years, the run-rate is largely on track with the street's expectation. Looking into 3Q26, we expect top-line momentum to remain robust, driven mainly by strength in Lotes' QD business. However, while QD growth supports the top line, it also weighs on margins given its lower profitability profile. Combined with elevated raw material costs and an unfavourable product mix shift, we believe margin pressure will persist into 3Q26. We think a meaningful improvement in profitability will require higher penetration of next-generation CPU platforms, which should provide a more substantial margin boost once ramped. That said, despite these near-term headwinds, we remain positive on Lotes given its long-term positioning as a key CPU server play. Lastly, Lotes announced an issuance of new shares (dilution: c.1.15%) and a TWD3bn convertible bond issuance (dilution: c.1.34%). Lotes is hosting results call on 13 August and we will provide updates in due course.

What we recommend:

We have a Buy (1) rating on Lotes with a 12M TP of TWD3,533, based on a target PER of 28x applied to our 1-year-forward EPS forecast. Key risk: lower-than-expected adoption of server CPU platforms.

In the interests of timeliness, this document has not been edited.

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Rating	Percentage of total
Buy*	72.63%
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Source: Daiwa

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Daiwa Capital Markets Hong Kong Limited

earnings

12 August 2026

MEMO

M31 Technology (6643 TT)

Share price (12 Aug): **TWD456.50** 12-mth rating: **Buy (1)** **Information Technology: Taiwan**

The future is still there, just further away

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Summary: M31 reported a 2Q26 result that missed both our and consensus estimates, mainly due to delayed license project recognition, which led to scale diseconomies and a quarterly loss. Yet management remains optimistic that the delayed revenue can be recognized in 2H26 and thus reiterates its double-digit growth rate outlook for 2026. While we see downside risk to our current forecast trajectory, we are positive on M31's structural business outlook. We have a Buy (1) rating on the stock with a 12M TP of TWD750.

Highlight

- **2Q26 results missed on scale.** M31 reported 2Q26 net loss of TWD3m, vs. our/consensus net profit estimates of TWD93m/TWD68m. We attribute the miss to lower-than-expected revenue, which came in at just TWD422m, missing our/consensus estimates by 20%/16% for scale diseconomies unable to cover opex of around TWD420-440m per quarter. M31 failed to recognise delayed license projects which it had expected at its results call last quarter: that the April revenue uptick should set a good stage for its monthly run-rates into May-June (*Structural turnaround round the corner*, 6 May). Management indicated that projects below 16nm have longer timelines, and some high-value projects are now recognized as licensing fees over five phases instead of three. Together, these factors lengthen the recognition period and mute near-term revenue growth. Management reiterated a "cautiously optimistic" view that the delayed revenue can be recognized in 2H26 and the company could achieve its 2026 outlook for double-digit YoY growth rate. That said, we see downside risk to our current forecast trajectory and will be reviewing our model in due course.

- **Projects delayed, not derailed.** While near-term revenue recognition came in below street expectations, the underlying growth drivers remain intact. High-speed interface functional IP and Foundation IP remain key focus areas, with PCIe, USB, UFS, MIPI and SerDes IPs supporting ongoing demand for high-speed transmission and image processing. M31 expects its PCIe Gen 6 project is to tape out in August, with planned development of 112G SerDes in 2H26. Overall, M31's pipeline across mature and advanced process nodes, deep collaboration with main foundry partners, along with demand from high-end consumer, edge and cloud AI, AIoT and automotive applications, should continue to support its structural growth outlook.

Recommendation

We rate M31 Buy (1) with a 12M TP of TWD750, based on our 4-quarter forward PER target of 45x. The stock has tumbled c.40% off its recent peak in May, introducing an attractive risk/reward profile on valuation grounds, in our opinion. Key downside risk to our current rating would be any geopolitical overhang (war, FX, interest rate) weighing on end-demand and delaying M31's royalty revenue ramps.

M31: 2Q26 results review and 3Q26 outlook

	2Q26			Variance		Growth		3Q26E	
TWDm	Actual	Daiwa	Consensus	Daiwa	Consensus	QoQ	YoY	Guidance	Daiwa
Revenue	422	528	505	-20%	-16%	7%	-6%	na	c.TWD624m
License	347	434	na	-20%	na	7%	-14%		
Royalty	75	94	na	-20%	na	5%	68%		
Gross profit	422	528	505	-20%	-16%	7%	-6%		
Opex	-439	-425	-448	3%	-2%	-5%	7%	na	OPM=29%
Operating profit	-17	103	57	nm	nm	nm	nm		
Pretax profit	-4	108	79	nm	nm	nm	nm		
Net profit	-3	93	68	nm	nm	nm	nm		
FD EPS (TWD)	-0.07	2.22	1.63	nm	nm	nm	nm		
Margin									
Gross	100.0%	100.0%	100.0%	0.0%	0.0%				
Operating	-4.0%	19.5%	11.2%	-23.5%	-15.2%				
Net	-0.6%	17.6%	13.5%	-18.2%	-14.1%				

Source: Company, Daiwa estimates and forecasts

In the interests of timeliness, this document has not been edited

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Disclosure of investment ratings

Rating	Percentage of total
Buy*	72.63%
Hold**	20.53%
Sell***	6.84%

Source: Daiwa

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- For derivative and margin transactions etc., our company may require collateral or margin requirements in accordance with an agreement made beforehand with you. Ordinarily in such cases, the amount of the transaction will be in excess of the required collateral or margin requirements**.
- There is a risk that you will incur losses on your transactions due to changes in the market price of financial instruments based on fluctuations in interest rates, exchange rates, stock prices, real estate prices, commodity prices, and others. In addition, depending on the content of the transaction, the loss could exceed the amount of the collateral or margin requirements.
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Daiwa Capital Markets
Hong Kong Limited

earnings

12 August 2026

MEMO

Merida Industry (9914 TT)

Share price (12 Aug): **TWD93.30** 12-mth rating: **Buy (1)** **Consumer Discretionary: Taiwan**

2Q26 results review: core business beat but missed on equity investments

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Summary: Merida posted its 2Q26 results on 12 August after market hours. Its operating profit of TWD765m (+175.7% QoQ, +8.4% YoY) beat our and the Bloomberg consensus estimates by 60.1% and 44.7%, respectively. However, its 2Q26 EPS was TWD1.06, lower than our forecast (TWD1.50) and the consensus estimate (TWD1.69); we attribute this to a net loss from its equity investments. Merida plans to hold an investor call on 14 August and we will provide an update then.

We have a Buy (1) rating. For more information on this company, please refer to our latest memo, *2Q26 revenue beat our and the consensus forecasts*, on 10 July 2026.

What's the impact

- **2Q26 results review: core business beat but missed on equity investments.** Merida's 2Q26 revenue of TWD6,939m (+30.4% QoQ, -0.9% YoY) beat our and the Bloomberg consensus estimates by 10.3% and 2.6%, respectively. Its gross margin came in at 19.8% (vs. 15.4% in 1Q26; 18.8% in 2Q25), higher than our (16.5%) and the consensus (16.4%) estimates, which we attributed to the momentum brought by new models and the recovery in Europe with less price discounting and China. Thus, its operating margin came in at 11.0% (vs. 5.2% in 1Q26; 10.1% in 2Q25), beating our estimate of 7.6% and the consensus estimate of 7.8%. Its operating profit of TWD765m (+175.7% QoQ, +8.4% YoY) also beat our and the consensus estimates by 60.1% and 44.7%, respectively. However, considering the equity investment loss of TWD200m+, its net profit of TWD318m (-2.3% QoQ, -19.2% YoY) missed our and the consensus estimates by 29.3% and 36.1%. Its 2Q26 EPS was TWD1.06, lower than our forecast (TWD1.50) and the consensus estimate (TWD1.69).

Merida: 2Q26 results vs. Daiwa and the Bloomberg estimates

(TWDm)	Merida 2Q26 results	Daiwa forecast	Difference	Bloomberg consensus	Difference
Revenue	6,939	6,289	10.3%	6,761	2.6%
Gross profit	1,374	1,038	32.4%	1,112	23.6%
Operating profit	765	478	60.1%	529	44.7%
Profit before tax	462	591	-21.8%	671	-31.1%
Net profit	318	450	-29.3%	498	-36.1%
Basic EPS (TWD)	1.06	1.50	-29.3%	1.69	-36.9%
Margin					
Gross margin	19.8%	16.5%	3.3pp	16.4%	3.4pp
Operating margin	11.0%	7.6%	3.4pp	7.8%	3.2pp
Pre-tax margin	6.7%	9.4%	-2.7pp	9.9%	-3.3pp
Net margin	4.6%	7.2%	-2.6pp	7.4%	-2.8pp

Source: Company, Bloomberg, Daiwa forecasts

- **2026 outlook: revenue to decline YoY while profitability improves — the worst is over.** By region, Merida sees the demand recovery in Europe and China but some uncertainty in the US market. In 2H26, Merida expects the demand recovery to be continuous with better product mix to support its profitability.

What we recommend

We have a Buy (1) rating. The stock is currently trading at PERs of 19.8x/16.1x, based on our 2026/27E EPS, vs. its past-5-year one-year-forward PER trading range of 7-33x.

Downside risks: slower-than-expected e-bike penetration in the EU and the US, worse-than-expected demand in an inflationary environment and inventory digestion.

In the interests of timeliness, this document has not been edited.

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Rating	Percentage of total
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Hold**	20.53%
Sell***	6.84%

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Nien Made Enterprise (8464 TT)

Target price: **TWD515.00** (from TWD515.00)

Share price (12 Aug): **TWD391.00** | Up/downside: **+31.7%**

5 4 3 2 **1**

Buy
(unchanged)

2Q26 results: record-high gross margin

- 2Q26 net profit missed on higher opex and tax
- Revenue momentum should heat up in 2H26 on capacity expansion
- Reaffirming our Buy (1) rating and unchanged 12M TP of TWD515

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What's new: Nien Made reported its 2Q26 results on 12 August 2026. We remain positive on the stock due to its leading industry position and see a higher market-share gain potential on top of its solid execution capability in the long term. We reaffirm our Buy (1) call (see our previous flash, *Intact 2026 outlook*, 24 June 2026, for more information).

What's the impact: **Record-high gross margin but headwinds caused by oil price hike and tax payment in China.** Nien Made's 2Q26 revenue was TWD7,928m (+8.5% QoQ, +2.9% YoY), in line with our and the consensus estimates. Its gross margin was 60.0%, a record-high, up from 59.1% in 1Q26 and 59.2% in 2Q25, beating our estimate (59.4%) and the consensus estimates (59.5%) on price hikes in its custom-made segment with lower tariff. Its operating margin came in at 27.2%, down from 28.1% in 1Q26 and 31.1% in 2Q25, lower than our estimate (29.9%) and the consensus estimates (30.0%), due to surging fuel surcharges following the oil price hike in 2Q26. As such, operating profit was TWD2,160m (+5.2% QoQ, -9.8% YoY), missing our and the market consensus estimates by 7.6% and 9.9%, respectively. With a one-off retrospective tax payment in China, 2Q26 net profit stood at TWD1,391m (-15.6% QoQ, +20.7% YoY), missing our and the Bloomberg consensus estimates by 18.4% and 23.2%, respectively. Its 2Q26 EPS came in at TWD4.75.

Aiming to gain market share. Nien Made maintains its target of growing its custom-made revenue in the US by mid-single digit % YoY, custom-made in non-US markets by high-single digit % YoY, and ready-made revenue by low-single digit % YoY in 2026E. Nien Made expects its revenue momentum to continue in the following months, considering the ramping up of new capacity in northern Vietnam and Mexico. There should be some US tax refunds in 2H26. Nien Made will continue to invest in its window covering brands, channels and service network as well as manufacturing, which should be the key factor to drive the company to win more order shares in the long run, in our view. We trim our 2026-27E EPS by 2-4%, after factoring in 2Q26 results and more aggressive opex assumptions.

What we recommend: We reaffirm our Buy (1) call on Nien Made with an unchanged 12M TP of TWD515, still based on a target PER of 20x on our 1-year forward EPS vs. its past 3-year PER trading range of 11-21x. Key downside risks: lower-than-expected revenue from custom-made products and macro/tariff uncertainties.

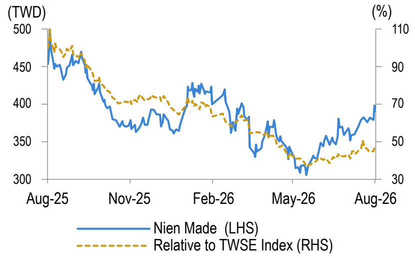
How we differ: Our 2026-28E EPS are 2-6% below the consensus, as we are slightly more conservative on its operating margins.

Forecast revisions (%)

Year to 31 Dec	26E	27E	28E
Revenue change	1.4	1.4	1.4
Net profit change	(3.5)	(1.7)	2.0
Core EPS (FD) change	(3.5)	(1.7)	2.0

Source: Daiwa forecasts

Share price performance



12-month range	306.00-499.50
Market cap (USDbn)	3.55
3m avg daily turnover (USDm)	8.49
Shares outstanding (m)	293
Major shareholder	Nien family (44.0%)

Financial summary (TWD)

Year to 31 Dec	26E	27E	28E
Revenue (m)	32,157	34,082	36,161
Operating profit (m)	9,309	10,293	11,318
Net profit (m)	7,062	7,581	8,434
Core EPS (fully-diluted)	24.054	25.824	28.727
EPS change (%)	7.0	7.4	11.2
Daiwa vs Cons. EPS (%)	(5.5)	(4.5)	(1.7)
PER (x)	16.3	15.1	13.6
Dividend yield (%)	4.3	4.6	5.2
DPS	16.9	18.1	20.1
PBR (x)	3.5	3.2	3.0
EV/EBITDA (x)	9.4	8.3	7.4
ROE (%)	22.6	22.4	22.8

Source: FactSet, Daiwa forecasts

Nien Made: revisions to Daiwa's revenue and earnings forecasts

	2026E			2027E			2028E		
(TWDm)	New	Previous	Change	New	Previous	Change	New	Previous	Change
Sales	**32,157**	**31,719**	1.4%	**34,082**	**33,609**	1.4%	**36,161**	**35,651**	1.4%
Gross profit	**19,181**	**18,849**	1.8%	**20,381**	**20,031**	1.7%	**21,661**	**21,319**	1.6%
Gross profit margin	*59.7%*	*59.4%*	*0.2pp*	*59.8%*	*59.6%*	*0.2pp*	*59.9%*	*59.8%*	*0.1pp*
Operating profit	**9,309**	**9,650**	-3.5%	**10,293**	**10,352**	-0.6%	**11,318**	**11,123**	1.8%
Operating profit margin	*29.0%*	*30.4%*	*-1.5pp*	*30.2%*	*30.8%*	*-0.6pp*	*31.3%*	*31.2%*	*0.1pp*
Net profit	**7,062**	**7,320**	-3.5%	**7,581**	**7,712**	-1.7%	**8,434**	**8,266**	2.0%
Net profit margin	*22.0%*	*23.1%*	*-1.1pp*	*22.2%*	*22.9%*	*-0.7pp*	*23.3%*	*23.2%*	*0.1pp*
EPS (TWD)	**24.05**	**24.93**	-3.5%	**25.82**	**26.27**	-1.7%	**28.73**	**28.16**	2.0%

Source: Company, Daiwa forecasts

Nien Made: 2Q26 results review

(TWDm)	2Q26 results	Daiwa forecast	Difference	Consensus	Difference
Revenue	7,928	7,809	1.5%	7,992	-0.8%
Gross profit	4,753	4,639	2.5%	4,753	0.0%
Operating profit	2,160	2,339	-7.6%	2,398	-9.9%
Pre-tax profit	2,190	2,451	-10.6%	2,539	-13.7%
Net profit	1,391	1,705	-18.4%	1,811	-23.2%
Basic EPS (TWD)	4.75	5.82	-18.4%	6.25	-24.0%
Margin					
Gross margin	60.0%	59.4%	0.6pp	59.5%	0.5pp
Operating margin	27.2%	29.9%	-2.7pp	30.0%	-2.8pp
Pre-tax margin	27.6%	31.4%	-3.7pp	31.8%	-4.1pp
Net margin	17.5%	21.8%	-4.3pp	22.7%	-5.1pp

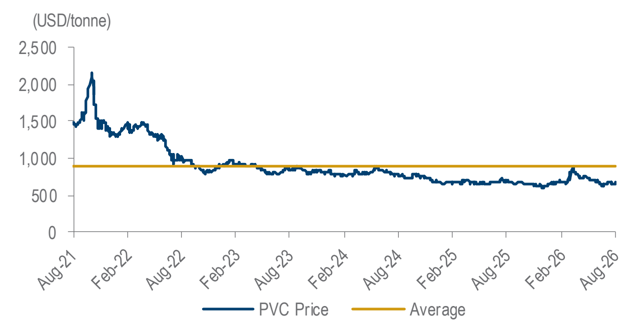
Source: Company, Daiwa forecasts, Bloomberg

Nien Made: quarterly P&L

	2026E				2027E				2026E	2027E	2028E
(TWDm)	1Q26	2Q26E	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E			
Revenue	7,305	7,928	8,704	8,220	7,600	8,300	9,200	8,982	32,157	34,082	36,161
Gross profit	4,317	4,753	5,188	4,924	4,507	4,955	5,520	5,399	19,181	20,381	21,661
Operating profit	2,053	2,160	2,638	2,458	2,057	2,450	3,015	2,771	9,309	10,293	11,318
Pre-tax profit	2,326	2,190	2,865	2,735	2,182	2,575	3,140	2,896	10,116	10,792	11,818
Net profit	1,647	1,391	2,054	1,970	1,524	1,810	2,224	2,023	7,062	7,581	8,434
Basic EPS (TWD)	5.62	4.75	7.01	6.72	5.20	6.18	7.59	6.90	24.10	25.87	28.78
Margin											
Gross margin	59.1%	60.0%	59.6%	59.9%	59.3%	59.7%	60.0%	60.1%	59.7%	59.8%	59.9%
Operating margin	28.1%	27.2%	30.3%	29.9%	27.1%	29.5%	32.8%	30.8%	29.0%	30.2%	31.3%
Pre-tax margin	31.8%	27.6%	32.9%	33.3%	28.7%	31.0%	34.1%	32.2%	31.5%	31.7%	32.7%
Net margin	22.5%	17.5%	23.6%	24.0%	20.1%	21.8%	24.2%	22.5%	22.0%	22.2%	23.3%
YoY											
Revenue	0.4%	2.9%	19.0%	7.1%	4.0%	4.7%	5.7%	9.3%	7.3%	6.0%	6.1%
Gross profit	2.0%	4.1%	20.7%	8.8%	4.4%	4.3%	6.4%	9.6%	8.8%	6.3%	6.3%
Operating profit	-1.3%	-9.8%	23.6%	6.5%	0.2%	13.4%	14.3%	12.7%	4.4%	10.6%	10.0%
Pre-tax profit	-1.3%	30.6%	20.6%	-2.5%	-6.2%	17.6%	9.6%	5.9%	9.8%	6.7%	9.5%
Net profit	-7.4%	20.7%	20.3%	0.3%	-7.5%	30.2%	8.3%	2.7%	7.0%	7.4%	11.2%
QoQ											
Revenue	-4.8%	8.5%	9.8%	-5.6%	-7.5%	9.2%	10.8%	-2.4%			
Gross profit	-4.7%	10.1%	9.1%	-5.1%	-8.5%	9.9%	11.4%	-2.2%			
Operating profit	-11.0%	5.2%	22.1%	-6.8%	-16.3%	19.1%	23.1%	-8.1%			
Pre-tax profit	-17.1%	-5.8%	30.8%	-4.5%	-20.2%	18.0%	21.9%	-7.8%			
Net profit	-16.1%	-15.6%	47.7%	-4.1%	-22.6%	18.8%	22.8%	-9.0%			

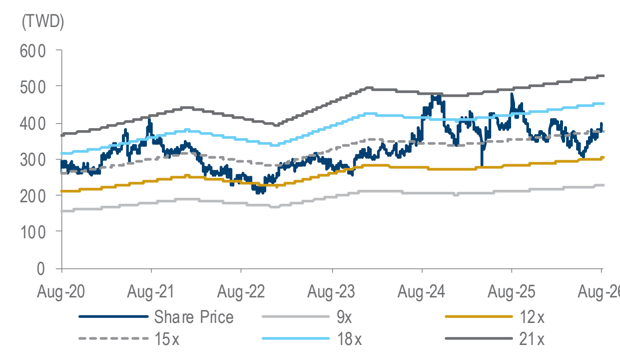
Source: Company, Daiwa forecasts

Global PVC price



Source: Bloomberg

Nien Made: 1-year forward PER



Source: Bloomberg, Daiwa forecasts

Financial summary

Key assumptions

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Ready-Made (TWDm)	9,438.1	8,974.9	6,728.3	7,383.8	7,192.6	7,192.6	7,192.6	7,192.6
Custom-Made (TWDm)	18,618.3	18,818.4	19,108.5	20,970.0	21,877.4	24,065.1	25,990.3	28,069.5
Others (TWDm)	976.6	1,158.1	1,076.5	1,181.4	899.1	899.1	899.1	899.1

Profit and loss (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
America	21,190	22,042	19,049	20,897	20,639	21,671	22,754	23,892
Europe	6,456	5,358	5,945	6,653	7,454	8,572	9,430	10,373
Other Revenue	1,379	1,552	1,919	1,985	1,876	1,914	1,898	1,897
Total Revenue	**29,024**	**28,951**	**26,913**	**29,535**	**29,969**	**32,157**	**34,082**	**36,161**
Other income	0	0	0	0	0	0	0	0
COGS	(13,224)	(13,055)	(11,981)	(12,630)	(12,346)	(12,975)	(13,701)	(14,501)
SG&A	(7,869)	(8,324)	(7,780)	(8,366)	(8,551)	(9,679)	(9,884)	(10,125)
Other op.expenses	(178)	(205)	(182)	(172)	(155)	(193)	(204)	(217)
Operating profit	**7,754**	**7,368**	**6,970**	**8,368**	**8,917**	**9,309**	**10,293**	**11,318**
Net-interest inc./(exp.)	(7)	61	443	619	555	500	500	500
Assoc/forex/extraord./others	(288)	1,021	620	491	(256)	308	0	0
Pre-tax profit	**7,459**	**8,450**	**8,033**	**9,477**	**9,215**	**10,116**	**10,792**	**11,818**
Tax	(1,896)	(2,375)	(2,383)	(2,359)	(2,279)	(2,681)	(2,806)	(2,955)
Min. int./pref. div./others	(243)	99	(162)	(215)	(335)	(374)	(405)	(430)
Net profit (reported)	**5,320**	**6,173**	**5,488**	**6,903**	**6,601**	**7,062**	**7,581**	**8,434**
Net profit (adjusted)	**5,320**	**6,173**	**5,488**	**6,903**	**6,601**	**7,062**	**7,581**	**8,434**
EPS (reported)(TWD)	**18.155**	**21.067**	**18.728**	**23.558**	**22.528**	**24.100**	**25.873**	**28.781**
EPS (adjusted)(TWD)	**18.155**	**21.067**	**18.728**	**23.558**	**22.528**	**24.100**	**25.873**	**28.781**
EPS (adjusted fully-diluted)(TWD)	**18.155**	**21.020**	**18.682**	**23.493**	**22.477**	**24.054**	**25.824**	**28.727**
DPS (TWD)	**11.000**	**11.000**	**12.000**	**14.500**	**16.000**	**16.870**	**18.111**	**20.147**
EBIT	**7,754**	**7,368**	**6,970**	**8,368**	**8,917**	**9,309**	**10,293**	**11,318**
EBITDA	**8,624**	**8,327**	**7,919**	**9,423**	**9,976**	**10,478**	**11,582**	**12,732**

Cash flow (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Profit before tax	7,459	8,450	8,033	9,477	9,215	10,116	10,792	11,818
Depreciation and amortisation	870	959	949	1,056	1,059	1,168	1,289	1,413
Tax paid	(1,896)	(2,375)	(2,383)	(2,359)	(2,279)	(2,681)	(2,806)	(2,955)
Change in working capital	(1,332)	299	1,325	130	(447)	(352)	(377)	(395)
Other operational CF items	942	(408)	(1,041)	243	(496)	(500)	(500)	(500)
Cash flow from operations	**6,043**	**6,924**	**6,882**	**8,547**	**7,052**	**7,752**	**8,400**	**9,382**
Capex	(1,050)	(1,564)	(817)	(1,879)	(1,541)	(2,000)	(2,000)	(2,000)
Net (acquisitions)/disposals	4	90	11	11	142	0	0	0
Other investing CF items	(82)	(305)	687	(611)	(214)	0	0	0
Cash flow from investing	**(1,129)**	**(1,778)**	**(119)**	**(2,478)**	**(1,613)**	**(2,000)**	**(2,000)**	**(2,000)**
Change in debt	(2,100)	(2,817)	0	417	188	0	0	0
Net share issues/(repurchases)	0	0	0	0	0	0	0	0
Dividends paid	(2,930)	(3,223)	(3,223)	(3,516)	(4,249)	(4,688)	(4,943)	(5,307)
Other financing CF items	(249)	(124)	(123)	86	(425)	0	0	0
Cash flow from financing	**(5,279)**	**(6,165)**	**(3,346)**	**(3,014)**	**(4,486)**	**(4,688)**	**(4,943)**	**(5,307)**
Forex effect/others	0	0	0	0	0	0	0	0
Change in cash	**(365)**	**(1,019)**	**3,417**	**3,055**	**953**	**1,064**	**1,456**	**2,076**
Free cash flow	4,993	5,360	6,065	6,668	5,511	5,752	6,400	7,382

Source: FactSet, Daiwa forecasts

Financial summary continued …

Balance sheet (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash & short-term investment	10,424	9,373	12,820	15,857	16,872	17,936	19,392	21,468
Inventory	4,625	5,718	4,104	4,066	3,678	4,021	4,164	4,450
Accounts receivable	2,993	2,402	2,624	2,865	3,045	3,193	3,424	3,612
Other current assets	1,320	1,742	1,671	1,773	1,909	1,909	1,909	1,909
Total current assets	**19,363**	**19,236**	**21,219**	**24,560**	**25,504**	**27,059**	**28,888**	**31,438**
Fixed assets	7,447	8,588	9,046	10,588	11,494	12,581	13,573	14,470
Goodwill & intangibles	105	326	171	78	250	250	250	250
Other non-current assets	2,479	2,403	2,175	2,632	2,778	2,778	2,778	2,778
Total assets	**29,394**	**30,554**	**32,611**	**37,858**	**40,025**	**42,667**	**45,489**	**48,935**
Short-term debt	2,817	0	0	402	571	571	571	571
Accounts payable	794	848	804	963	749	888	885	965
Other current liabilities	5,781	5,727	4,917	5,322	4,824	4,824	4,824	4,824
Total current liabilities	**9,393**	**6,575**	**5,721**	**6,687**	**6,144**	**6,284**	**6,280**	**6,360**
Long-term debt	0	0	0	402	530	530	530	530
Other non-current liabilities	2,102	2,196	2,460	2,689	2,941	2,941	2,941	2,941
Total liabilities	**11,495**	**8,771**	**8,181**	**9,777**	**9,616**	**9,755**	**9,752**	**9,832**
Share capital	2,930	2,930	2,930	2,930	2,930	2,930	2,930	2,930
Reserves/R.E./others	14,570	18,553	21,043	24,681	27,074	29,577	32,402	35,769
Shareholders' equity	**17,500**	**21,483**	**23,973**	**27,611**	**30,004**	**32,507**	**35,332**	**38,699**
Minority interests	399	300	457	470	405	405	405	405
Total equity & liabilities	**29,394**	**30,554**	**32,611**	**37,858**	**40,025**	**42,667**	**45,489**	**48,935**
EV	107,363	105,497	102,207	99,988	99,205	98,141	96,685	94,609
Net debt/(cash)	**(7,607)**	**(9,373)**	**(12,820)**	**(15,053)**	**(15,771)**	**(16,834)**	**(18,291)**	**(20,366)**
BVPS (TWD)	**59.723**	**73.316**	**81.815**	**94.229**	**102.395**	**110.939**	**120.580**	**132.069**

Key ratios (%)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales (YoY)	18.9	(0.3)	(7.0)	9.7	1.5	7.3	6.0	6.1
EBITDA (YoY)	11.5	(3.4)	(4.9)	19.0	5.9	5.0	10.5	9.9
Operating profit (YoY)	11.4	(5.0)	(5.4)	20.1	6.6	4.4	10.6	10.0
Net profit (YoY)	10.9	16.0	(11.1)	25.8	(4.4)	7.0	7.4	11.2
Core EPS (fully-diluted) (YoY)	10.9	15.8	(11.1)	25.8	(4.3)	7.0	7.4	11.2
Gross-profit margin	54.4	54.9	55.5	57.2	58.8	59.7	59.8	59.9
EBITDA margin	29.7	28.8	29.4	31.9	33.3	32.6	34.0	35.2
Operating-profit margin	26.7	25.4	25.9	28.3	29.8	29.0	30.2	31.3
Net profit margin	18.3	21.3	20.4	23.4	22.0	22.0	22.2	23.3
ROAE	32.4	31.7	24.1	26.8	22.9	22.6	22.4	22.8
ROAA	18.6	20.6	17.4	19.6	17.0	17.1	17.2	17.9
ROCE	37.6	34.7	30.2	31.4	29.5	28.4	29.1	29.4
ROIC	57.5	46.7	40.8	51.0	48.5	44.6	45.4	46.9
Net debt to equity	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Effective tax rate	25.4	28.1	29.7	24.9	24.7	26.5	26.0	25.0
Accounts receivable (days)	36.2	34.0	34.1	33.9	36.0	35.4	35.4	35.5
Current ratio (x)	2.1	2.9	3.7	3.7	4.2	4.3	4.6	4.9
Net interest cover (x)	1,070.1	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Net dividend payout	60.6	52.2	64.1	61.5	71.0	70.0	70.0	70.0
Free cash flow yield	4.4	4.7	5.3	5.8	4.8	5.0	5.6	6.4

Source: FactSet, Daiwa forecasts

Company profile

Founded in July 2007 and listed on Taiwan's main board in December 2015, Nien Made Enterprise (Nien Made) produces window coverings such as venetian blinds, shutters and shades (ie, cellular shades, roller blinds and roman blinds). Its major clients include dealers, designers and small specialty stores as well as big box retailers (ie, Home Depot and Wal-Mart).

ESG analysis

ESG risks

Risks		Management	Analyst comments
G	Executive/board quality	2	Its CEO and Chairman is the same person. Also, 3 brothers, with 1 being the CEO (Chairman) and 2 being Vice President, are in charge of different divisions, managing and collaborating collectively, which we view as a positive sign for solid corporate governance.
	Capital management	2	Nien Made's dividend payout ratio was c.80% before 2019, but dropped to 52-71% from 2019 to 2025, which we attribute to its capacity expansion plans in Mexico and some adjustment for COVID-19.
	Related party & transaction	2	Revenue from related-party transactions stood at c.60% of total revenue over 2022-25, with majority from Norman International Inc. and its subsidiary. We see no evidence of suspicious activities.
E	Product design & lifecycle management	1	We note Nien Made has improved its quality, safety and efficiency throughout its product lifecycle. The company has developed its own B2B platform for its customers for a better user experience and efficiency. Nien Made's products have a lifespan ranging from 10 to 20 years. Therefore, in addition to controlling production conditions through equipment such as drying kilns and controlled-environment storage, Nien Made also focus on mitigating consumers' health and safety risks.
S	Supply chain management	2	Nien Made's overall local-to-local raw material sourcing was at 71% in 2023, which we believe will help reduce transportation costs in the long term. Moreover, Nien Made established supplier management policies and relevant regulations, and its 234 suppliers signed the Supplier Code of Conduct as of 2023.

Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.

Update Date: 24 Jun 2026

Source: Daiwa, Company

Important Disclosures and Disclaimer

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Disclosure of investment ratings

Rating	Percentage of total
Buy*	72.63%
Hold**	20.53%
Sell***	6.84%

Source: Daiwa

Notes: data is for single-branded Daiwa research in Asia (ex Japan) and correct as of 30 June 2026.
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Zhen Ding Technology Holding (4958.TW)

AI PCB to ramp up from 2H26, capacity expansion extended to 2030; Buy

4958.TW	12m Price Target: **NT$925.00**	Price: **NT$490.00**	Upside: **88.8%**

BUY

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ZDT held its 2Q26 results call on Aug 11th. Key takeaways from management include:

(1) For AI PCB business, the company's HDI & multi-layer PCB products for both GPU & ASIC clients have entered mass production and are expected to continue to gain market share (we expect mainstream AI projects to start ramping up in 2H26). The company is currently working with customers on the next second and third generation products (the company previously mentioned that it is developing 30-50/70-80 layers PCB vs. the current mainstream AI PCB with 20-30 layers).

(2) The company remains proactive with its capacity expansion plan and reiterated its 2026 CAPEX guidance of ~NT80bn, and is likely to sustain this at a similar level through 2027/28. The company currently has 13 facilities under construction and 16 facilities in planning, additional capacity is expected to come online throughout 2026-2030. The expansion is driven by demand from major CSP clients, with a portion of the capacity booked and order visibility extending into 2029. The company intends to focus the capacity expansion on high margin products, which should help offset the negative impact from rising depreciation.

(3) The company has revised up its guidance on IC substrate/AI server/optical business to reach 45-50% of total revenue by 2030 (previous guidance was 40-45%), and expects these businesses to grow twofold in 2026 (these businesses accounted for ~12% in 2025).

(4) For the optical-related business, the company mentioned that orders are primarily driven by 1.6T with strong order visibility with some clients that are already booking 2027 capacity. The company has industry leading production yields at 90%+ in its Thailand facility and even higher yields in its Huai'an facility, and expects optical-related revenue/capacity to see multiple-fold growth in

Key Data

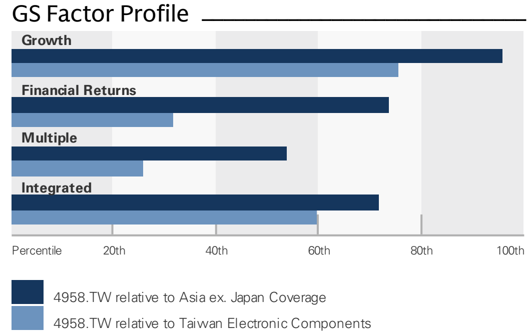
Market cap: NT$524.6bn / $16.3bn
Enterprise value: NT$602.8bn / $18.7bn
3m ADTV: NT$19.5bn / $612.5mn
Taiwan
Taiwan Electronic Components
M&A Rank: 3
Leases incl. in net debt & EV?: Yes

GS Forecast

	12/25	12/26E	12/27E	12/28E
Revenue (NT$ mn) New	**182,521.6**	**222,195.1**	**354,197.5**	**556,512.9**
Revenue (NT$ mn) Old	182,521.6	224,679.6	327,763.9	454,047.2
EBITDA (NT$ mn)	32,484.0	44,182.9	78,605.4	137,299.1
EPS (NT$) New	**6.91**	**13.52**	**31.70**	**61.60**
EPS (NT$) Old	6.91	15.27	31.09	50.84
P/E (X)	18.6	36.2	15.5	8.0
P/B (X)	0.8	2.9	2.5	1.9
Dividend yield (%)	2.7	1.4	3.2	6.3
CROCI (%)	12.0	14.4	19.8	27.9

	6/26	9/26E	12/26E	3/27E
EPS (NT$)	2.19	4.09	5.90	4.38

GS Factor Profile



Source: Company data, Goldman Sachs Research estimates.
See disclosures for details.

BUY

Zhen Ding Technology Holding (4958.TW)

Rating since Apr 29, 2025

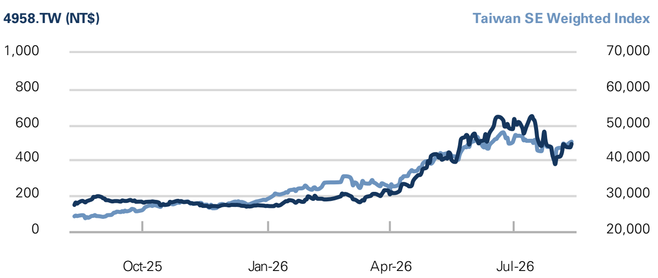
Ratios & Valuation

	12/25	12/26E	12/27E	12/28E
P/E (X)	18.6	36.2	15.5	8.0
P/B (X)	0.8	2.9	2.5	1.9
FCF yield (%)	(3.2)	(7.0)	(1.5)	6.6
EV/EBITDAR (X)	4.7	13.8	8.2	4.7
EV/EBITDA (excl. leases) (X)	4.7	13.8	8.2	4.7
CROCI (%)	12.0	14.4	19.8	27.9
ROE (%)	5.8	11.5	24.7	40.6
Net debt/equity (%)	(11.6)	13.5	19.0	6.1
Net debt/equity (excl. leases) (%)	(12.2)	12.9	18.5	5.7
Interest cover (X)	6.7	11.6	28.0	56.6
Days inventory outst, sales	37.6	33.5	26.3	24.4
Receivable days	63.6	58.1	50.4	49.9
Days payable outstanding	56.4	54.5	47.8	48.5
DuPont ROE (%)	4.0	8.0	16.0	24.2
Turnover (X)	0.7	0.7	1.0	1.2
Leverage (X)	1.6	1.6	1.7	1.6
Gross cash invested (ex cash) (NT$)	254,306.9	334,107.3	405,061.8	467,799.6
Average capital employed (NT$)	139,052.4	179,134.6	232,212.0	274,577.3
BVPS (NT$)	159.46	169.60	198.25	254.47

Growth & Margins (%)

	12/25	12/26E	12/27E	12/28E
Total revenue growth	6.3	21.7	59.4	57.1
EBITDA growth	10.7	36.0	77.9	74.7
EPS growth	(28.6)	95.7	134.5	94.4
DPS growth	(28.1)	95.9	134.5	94.4
EBIT margin	7.6	10.3	15.6	20.1
EBITDA margin	17.8	19.9	22.2	24.7
Net income margin	3.7	6.6	9.8	12.1

Price Performance



	3m	6m	12m
Absolute	18.9%	175.3%	246.3%
Rel. to the Taiwan SE Weighted Index	10.2%	105.0%	85.2%

Source: FactSet. Price as of 11 Aug 2026 close.

Income Statement (NT$ mn)

	12/25	12/26E	12/27E	12/28E
Total revenue	182,521.6	222,195.1	354,197.5	556,512.9
Cost of goods sold	(146,385.2)	(168,449.5)	(259,503.1)	(386,445.7)
SG&A	(10,397.7)	(12,805.0)	(14,454.6)	(22,317.0)
R&D	(11,807.1)	(18,019.3)	(24,972.9)	(36,074.3)
Other operating inc./(exp.)	–	–	–	–
EBITDA	**32,484.0**	**44,182.9**	**78,605.4**	**137,299.1**
Depreciation & amortization	(18,552.5)	(21,261.6)	(23,338.5)	(25,623.2)
EBIT	**13,931.6**	**22,921.3**	**55,266.8**	**111,675.9**
Net interest inc./(exp.)	374.4	222.5	(1,156.4)	(1,652.6)
Income/(loss) from associates	(16.7)	–	–	–
Pre-tax profit	**14,062.7**	**25,488.3**	**57,866.8**	**112,475.9**
Provision for taxes	(3,457.6)	(4,280.8)	(9,058.4)	(17,623.1)
Minority interest	(3,814.6)	(6,496.3)	(14,259.2)	(27,705.2)
Preferred dividends	–	–	–	–
Net inc. (pre-exceptionals)	**6,790.5**	**14,711.2**	**34,549.3**	**67,147.6**
Post-tax exceptionals	–	–	–	–
Net inc. (post-exceptionals)	**6,790.5**	**14,711.2**	**34,549.3**	**67,147.6**
EPS (basic, pre-except) (NT$)	**6.91**	**13.52**	**31.70**	**61.60**
EPS (diluted, pre-except) (NT$)	**6.91**	**13.52**	**31.70**	**61.60**
EPS (basic, post-except) (NT$)	**6.91**	**13.52**	**31.70**	**61.60**
EPS (diluted, post-except) (NT$)	**6.91**	**13.52**	**31.70**	**61.60**
DPS (NT$)	3.45	6.76	15.85	30.80
Div. payout ratio (%)	49.9	50.0	50.0	50.0

Balance Sheet (NT$ mn)

	12/25	12/26E	12/27E	12/28E
Cash & cash equivalents	71,116.4	26,429.4	10,347.3	34,511.6
Accounts receivable	32,616.6	38,088.3	59,745.5	92,347.1
Inventory	19,616.3	21,175.6	29,860.6	44,467.7
Other current assets	4,291.9	4,291.9	4,291.9	4,291.9
Total current assets	**127,641.1**	**89,985.1**	**104,245.3**	**175,618.3**
Net PP&E	123,736.8	182,967.2	225,120.5	251,989.3
Net intangibles	2,709.7	2,217.8	1,725.9	1,234.0
Total investments	9,865.7	9,865.7	9,865.7	9,865.7
Other long-term assets	16,089.7	16,089.7	16,089.7	16,089.7
Total assets	**280,043.0**	**301,125.4**	**357,047.1**	**454,796.9**
Accounts payable	23,501.3	26,767.3	41,236.1	61,407.8
Short-term debt	23,839.0	23,839.0	23,839.0	23,839.0
Short-term lease liabilities	246.9	246.9	246.9	246.9
Other current liabilities	25,234.0	29,198.5	39,117.5	55,416.7
Total current liabilities	**72,821.2**	**80,051.7**	**104,439.5**	**140,910.4**
Long-term debt	26,429.8	26,429.8	26,429.8	26,429.8
Long-term lease liabilities	872.6	872.6	872.6	872.6
Other long-term liabilities	9,206.8	9,206.8	9,206.8	9,206.8
Total long-term liabilities	**36,509.2**	**36,509.2**	**36,509.2**	**36,509.2**
Total liabilities	**109,330.4**	**116,560.9**	**140,948.7**	**177,419.6**
Preferred shares	–	–	–	–
Total common equity	123,981.6	131,337.2	148,611.8	182,185.6
Minority interest	**46,731.1**	**53,227.4**	**67,486.6**	**95,191.7**
Total liabilities & equity	**280,043.0**	**301,125.4**	**357,047.1**	**454,796.9**
Net debt, adjusted	(20,847.5)	23,839.4	39,921.6	15,757.2

Cash Flow (NT$ mn)

	12/25	12/26E	12/27E	12/28E
Net income	6,790.5	14,711.2	34,549.3	67,147.6
D&A add-back	18,552.5	21,261.6	23,338.5	25,623.2
Minority interest add-back	3,814.6	6,496.3	14,259.2	27,705.2
Net (inc)/dec working capital	(1,212.1)	(3,764.9)	(15,873.5)	(27,037.0)
Other operating cash flow	(329.0)	–	–	–
Cash flow from operations	**27,616.5**	**38,704.2**	**56,273.5**	**93,439.0**
Capital expenditures	(33,083.4)	(80,000.0)	(65,000.0)	(52,000.0)
Acquisitions	–	–	–	–
Divestitures	–	–	–	–
Others	1,123.4	–	–	–
Cash flow from investing	**(31,960.0)**	**(80,000.0)**	**(65,000.0)**	**(52,000.0)**
Repayment of lease liabilities	–	–	–	–
Dividends paid (common & pref)	(7,221.4)	(3,391.2)	(7,355.6)	(17,274.6)
Inc/(dec) in debt	5,509.8	–	–	–
Other financing cash flows	(2,330.6)	0.0	0.0	0.0
Cash flow from financing	**(4,042.2)**	**(3,391.2)**	**(7,355.6)**	**(17,274.6)**
Total cash flow	**(8,385.6)**	**(44,687.0)**	**(16,082.2)**	**24,164.4**
Free cash flow	(5,466.9)	(41,295.8)	(8,726.5)	41,439.0

Source: Company data, Goldman Sachs Research estimates.

2026. ZDT aims to become the biggest optical module PCB supplier in 2027.

(5) In terms of potential material shortages, especially T-glass, the company continues to secure stable supply through agreements with key suppliers and is currently developing a second source.

(6) Demand for FPC is increasing, driven by AI glasses and new foldable phones. Per ZDT, the key smartphone customer is expecting to release foldable phone this year with higher FPC content value (foldable phone will have 30-50% more FPC dollar content vs. standard smartphone per GSe).

ZDT 2Q26 core business (OPI) was 6%/9% lower than GSe/BBG consensus, while GM was higher than GSe/consensus by 1.6/0.7ppt in 2Q25 mainly due to the improved product mix. The company spent NT$7,425mn OPEX in 2Q26, which was higher than GSe/BBG consensus of NT$6,417mn/NT$6,193mn. Earnings were 1%/2% lower than GSe/BBG consensus.

Going into 3Q26, we expect ZDT revenue to increase by 30% QoQ, mainly due the mobile communication business entering its peak seasons as well as from increasing AI contribution. For GM, we expect ZDT's 3Q26 GM to further expand by 1.8ppt QoQ to 24.9%, after factoring in the improved product mix. Overall, we believe ZDT's 3Q26 EPS should rise to NT$4.09 vs. NT$2.19 in 2Q26, with ongoing margin improvement.

Investment view

We remain positive on ZDT's AI-related business outlook given (1) the company's leading technology position in all key AI-related businesses, including HDI & HLC PCB, mSAP solution for optical transceivers, and ABF substrates, and (2) its proactive expansion plans to meet continued demand strength.

Based on our latest update on AI PCB/CCL TAM (see here), we expect overall PCB TAM to see a ~148% 2026-28E CAGR and expect ZDT's AI PCB business to outperform the market on a 300%+ 2026-28E CAGR. We believe the company is well positioned to gain market share as AI servers increasingly adopt HDI PCBs, where ZDT is able to leverage its over a decade of HDI expertise in consumer electronics to further expand share in the market. Furthermore, per management the company has already passed verification for PCB supply in Vera Rubin's compute tray, and we expect the contribution to become more meaningful starting from 2H26, with good profitability (average OPM of 20-30% for AI computing tray vs. company overall OPM of 10-15%), which should further drive margin expansion in coming quarters/years.

For the optical transceiver business, we expect ZDT to see strong growth with a 200%+ revenue CAGR over 2026-28E, mainly driven by its (1) technology leadership in mSAP technology, supported by nearly a decade of experience in mSAP solution for SLP used in smartphones, and (2) the most proactive expansion plans we see among a limited supplier base. We believe ZDT could become the leading optical transceiver PCB supplier by 2027 (reaching 35-40% market share per GSe), and that it will also see margin expansion (optical transceiver PCBs with GM at 35-40% vs. below 30% for SLPs) along with the ramp up of the business.

For its ABF substrate business, we believe the company will continue to have the ability to increase ABF price, supported by full UTR and strong demand, while the industry in our view remains conservative on its capacity expansion plans over the next 1-2 years relative to our forecasts. We expect ABF substrate LTA/Spot prices to increase by 10-15%/20%+ QoQ per quarter from 3Q26 through at least the end of 2027, with shortages likely extending into 2028 (see here). Overall, the business condition for ABF substrate is improving with price increase and we expect the business, which was loss making in 2025, to turn profitable this year.

Overall, we reiterate our Buy-rating on ZDT, with a new 12m TP of NT$925 (from NT$824).

Exhibit 1: ZDT's 2Q26 earnings comp table

ZDT (4958.TW)	2Q26			QoQ		YoY		Bloomberg consensus	
P&L (NT$mn)	Actual	GS est.	Diff (%)	1Q26	QoQ	2Q25	YoY	Consensus	%
Revenue	48,431	48,431	0%	40,728	19%	38,203	27%	46,076	5%
Gross profits	11,186	10,430	7%	8,812	27%	7,011	60%	10,308	9%
Operating profits	3,761	4,013	-6%	2,503	50%	2,425	55%	4,115	-9%
Pre-tax income	4,931	4,113	20%	2,400	105%	2,272	117%	4,506	9%
Net earnings	2,392	2,418	-1%	1,426	68%	605	295%	2,504	-4%
EPS, NT$	2.22	2.26	-2%	1.33	67%	0.63	250%	2.23	0%
Gross margin (%)	23.1%	21.5%	1.6ppt	21.6%	1.5ppt	18.4%	4.7ppt	22.4%	0.7ppt
EBIT margin (%)	7.8%	8.3%	-0.5ppt	6.1%	1.6ppt	6.3%	1.4ppt	8.9%	-1.2ppt
Net margin (%)	4.9%	5.0%	-0.1ppt	3.5%	1.4ppt	1.6%	3.4ppt	5.4%	-0.5ppt

Source: Company data, Goldman Sachs Global Investment Research, Bloomberg

Earnings revisions

We revise down our 2026E net income estimate by 10% to factor in 2Q26 results and higher opex assumptions. We revise up our 2027/28/29E net income by 2/21/22% to factor in higher AI-related contribution including AI PCB and optical transceivers. We revise up our 2026/27/28/29E GPM by 0.5/0.8/1.2/0.6ppt due to the higher contribution from AI-related business.

Exhibit 2: Earnings revision table

ZD Tech P&L (NT$ mn)	2026E New	2026E Old	Diff.	2027E New	2027E Old	Diff.	2028E New	2028E Old	Diff.	2029E New	2029E Old	Diff.
Sales	222,195	224,680	-1%	354,197	327,764	8%	556,513	454,047	23%	739,278	602,605	23%
Gross Profit	53,746	53,140	1%	94,694	85,019	11%	170,067	133,376	28%	246,021	197,093	25%
EBIT	22,921	25,882	-11%	55,267	53,206	4%	111,676	89,985	24%	173,010	139,326	24%
Net Income	14,711	16,363	-10%	34,549	33,322	4%	67,148	54,498	23%	103,908	83,856	24%
EPS (NT$)	**13.52**	**15.27**	**-11%**	**31.70**	**31.09**	**2%**	**61.60**	**50.84**	**21%**	**95.33**	**78.23**	**22%**
Ratio analysis												
Gross margin	24.2%	23.7%	0.5pp	26.7%	25.9%	0.8pp	30.6%	29.4%	1.2pp	33.3%	32.7%	0.6pp
EBIT margin	10.3%	11.5%	-1.2pp	15.6%	16.2%	-0.6pp	20.1%	19.8%	0.2pp	23.4%	23.1%	0.3pp
Net margin	6.6%	7.3%	-0.7pp	9.8%	10.2%	-0.4pp	12.1%	12.0%	0.1pp	14.1%	13.9%	0.1pp

Source: Company data, Goldman Sachs Global Investment Research

Valuation

We are Buy rated with a new 12-month TP NT$925 (from NT$824), still based on our SOTP based valuation methodology of (1) 3.5x blended P/B (was 3.0x blended P/B) for ABF & BT substrate, which is 1 STDV above early upcycle industry average, (2) 20x P/E for high-growth AI server/switch related PCB (in line with industry average), and (3) 8x P/E for low-growth consumer electronics PCB (in-line with industry downcycle average valuation), and maintain our valuation period from at 2028E, and factor in our latest earnings revision.

Exhibit 3: P&L table

NT$mn	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	1Q28E	2Q28E	3Q28E	4Q28E	2025	2026E	2027E	2028E	2029E
Revenue	40,728	48,431	61,474	71,562	67,839	76,528	97,045	112,786	101,662	119,418	154,208	181,225	182,522	222,195	354,197	556,513	739,278
Gross profit	8,812	11,186	15,298	18,450	15,314	18,896	27,878	32,607	26,837	34,636	49,545	59,048	36,136	53,746	94,694	170,067	246,021
Operating expense	(6,308)	(7,425)	(8,361)	(8,731)	(8,086)	(8,705)	(10,570)	(12,067)	(10,777)	(13,310)	(16,041)	(18,263)	(22,205)	(30,824)	(39,428)	(58,391)	(73,011)
Operating income	2,503	3,761	6,937	9,719	7,228	10,190	17,308	20,540	16,060	21,326	33,504	40,785	13,932	22,921	55,267	111,676	173,010
Pretax income	2,400	4,931	7,437	10,719	8,028	10,890	17,408	21,540	16,160	21,426	33,604	41,285	14,063	25,488	57,867	112,476	174,310
Taxes expense	(353)	(1,204)	(1,116)	(1,608)	(1,365)	(1,851)	(2,611)	(3,231)	(2,747)	(3,642)	(5,041)	(6,193)	(3,458)	(4,281)	(9,058)	(17,623)	(27,723)
Net income	1,426	2,392	4,462	6,432	4,777	6,404	10,445	12,924	9,615	12,599	20,163	24,771	6,791	14,711	34,549	67,148	103,908
EPS, NT$	**1.33**	**2.19**	**4.09**	**5.90**	**4.38**	**5.87**	**9.58**	**11.86**	**8.82**	**11.56**	**18.50**	**22.73**	**6.91**	**13.52**	**31.70**	**61.60**	**95.33**
Ratio analysis and assumption																	
As % of sales																	
Gross margin	21.6%	23.1%	24.9%	25.8%	22.6%	24.7%	28.7%	28.9%	26.4%	29.0%	32.1%	32.6%	19.8%	24.2%	26.7%	30.6%	33.3%
Operating expense ratio	15.5%	15.3%	13.6%	12.2%	11.9%	11.4%	10.9%	10.7%	10.6%	11.1%	10.4%	10.1%	12.2%	13.9%	11.1%	10.5%	9.9%
Operating margin	6.1%	7.8%	11.3%	13.6%	10.7%	13.3%	17.8%	18.2%	15.8%	17.9%	21.7%	22.5%	7.6%	10.3%	15.6%	20.1%	23.4%
Net margin	3.5%	4.9%	7.3%	9.0%	7.0%	8.4%	10.8%	11.5%	9.5%	10.5%	13.1%	13.7%	3.7%	6.6%	9.8%	12.1%	14.1%
QoQ growth (%)																	
Revenue	-28.4%	18.9%	26.9%	16.4%	-5.2%	12.8%	26.8%	16.2%	-9.9%	17.5%	29.1%	17.5%	-	-	-	-	-
Gross profit	-31.3%	26.9%	36.8%	20.6%	-17.0%	23.4%	47.5%	17.0%	-17.7%	29.1%	43.0%	19.2%	-	-	-	-	-
Operating income	-57.7%	50.2%	84.4%	40.1%	-25.6%	41.0%	69.8%	18.7%	-21.8%	32.8%	57.1%	21.7%	-	-	-	-	-
Net income	-54.9%	67.8%	86.6%	44.1%	-25.7%	34.1%	63.1%	23.7%	-25.6%	31.0%	60.0%	22.9%	-	-	-	-	-
YoY growth (%)																	
Revenue	1.6%	26.8%	29.8%	25.8%	66.6%	58.0%	57.9%	57.6%	49.9%	56.0%	58.9%	60.7%	6%	22%	59%	57%	33%
Gross profit	49.7%	59.6%	46.9%	43.8%	73.8%	68.9%	82.2%	76.7%	75.2%	83.3%	77.7%	81.1%	11%	49%	76%	80%	45%
Operating income	137.1%	55.1%	53.1%	64.2%	188.7%	170.9%	149.5%	111.3%	122.2%	109.3%	93.6%	98.6%	20%	65%	141%	102%	55%
Net income	125.4%	295.3%	86.6%	103.5%	235.1%	167.8%	134.1%	100.9%	101.3%	96.7%	93.0%	91.7%	-26%	117%	135%	94%	55%

Source: Company data, Goldman Sachs Global Investment Research

Zhen Ding Technology (ZDT) is the global leading PCB supplier (top 1 in market share in sales) with 7-10% market share, and started its ABF substrate business from 2023 in Shenzhen, China, and has the highest ABF revenue exposure to the China market compared to all other ABF substrate suppliers. We believe ZDT will hold more than 40% ABF substrate market share in China by 2027E (up from 31% in 2024) and benefit the most from the strong and growing China ABF substrate market (53% 2025E-27E CAGR) due to the increasing in-sourcing ratio for the AI computing ASIC/GPU market in China. We also expect the increasing foldable smartphone penetration rate in the long term to drive ZDT's FPC TAM, and account for 50% of the company's total revenue in 2027E. We see further revenue upside potential from foldable phones. We are Buy rated mainly due to our positive view on the company's China ABF substrate business opportunity, which should not only drive ZDT's revenue growth, but also improve its OPM level in the long term. We see upside for the stock price considering the company's solid growth opportunity, and our TP implied P/E multiple is still lower than the company's past 10+ year P/E average, which we believe is fair considering the potential upside from China ABF substrate market and increasing foldable phone penetration rate.

Valuation: Our 12-month TP of NT$925 is based on a SOTP valuation methodology, including (1) 3.5x blended 2028E P/B for ABF & BT substrate, (2) 20x 2028E P/E for high-growth AI server/switch related PCB (in line with industry average), and (3) 8x 2028E P/E for low-growth consumer electronics PCB (in-line with industry downcycle average valuation).

Key downside risks include: (1) weaker-than-expected iPhone demand or slower content upgrade, (2) delay in new substrate capacity or slower-than-expected yield rate ramp up progress, and (3) fiercer competition in China ABF market.

Disclosure Appendix

Reg AC

We, Chao Wang, Allen Chang and Al Wang, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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Goldman Sachs had an investment banking services client relationship during the past 12 months with: Zhen Ding Technology Holding (NT$490.00)

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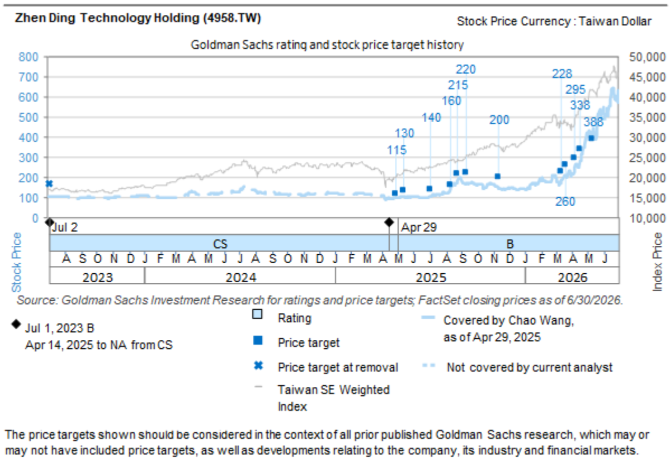
Price target and rating history chart(s)



Target price history table(s)

Zhen Ding Technology Holding (4958.TW)

Date of report	Target price (NT$)	Closing price (NT$)
12-Jul-26	824.00	588.00
12-May-26	388.00	407.00
17-Apr-26	338.00	282.00
08-Apr-26	295.00	247.50
20-Mar-26	260.00	209.50
13-Mar-26	228.00	188.50
12-Nov-25	200.00	144.50
10-Sep-25	220.00	168.50
25-Aug-25	215.00	180.50
12-Aug-25	160.00	147.00
04-Jul-25	140.00	103.00
13-May-25	130.00	104.50
29-Apr-25	115.00	97.10

Price targets shown in table(s) are unadjusted for corporate actions.

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上銀

(2049.TW/2049 TT)

FTSE4Good TIP Taiwan ESG Index stock

增加持股．維持

收盤價 August 12 (NT$)	369.0
12 個月目標價 (NT$)	478.0
前次目標價 (NT$)	478.0
維持 (%)	0.0
上漲空間 (%)	29.5

焦點內容

1. 2Q26 EPS 達 2.40 元，優於預期，主因利潤率超前。
2. 受惠市場供需動態轉趨有利及產品漲價效益，我們預期 3Q26 營收成長動能將進一步增強，表現優於過往季節性。
3. 因利潤率表現超前，我們預期市場共識進一步上修獲利預估將帶動評價與股價。

交易資料表

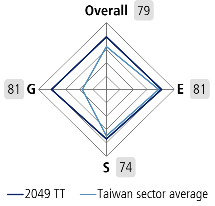
市值：(NT$bn/US$mn)	130.5 / 4,050
流通在外股數 (百萬股)：	353.8
外資持有股數 (百萬股)：	101
3M 平均成交量 (百萬股)：	3.53
52 週股價 (低 \ 高) (NT$):	181.0 –409.5

股價表現	3M	6M	12M
絕對表現 (%)	0.4	59.1	72.8
相對表現 (%)	-8.2	23.7	-15.6

每股盈餘

NT$	1Q	2Q	3Q	4Q
2025	1.36A	0.38A	1.26A	1.31A
2026	1.64A	2.40F	2.68F	2.30F
2027	2.55F	3.49F	3.47F	3.01F

ESG 分數評等



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重要免責聲明，詳見最終頁

獲利預估將進一步上修

重要訊息

2Q26 EPS 達 2.40 元，優於預期，受惠營利率回升至近三年高點。產業正處景氣上升循環，在市場供需動態有利及產品漲價帶動下，我們預期營收與獲利率將持續受惠，進一步推升獲利及評價上檔。

評論及分析

2Q26 財報優於預期，主因利潤率超前。2Q26 獲利達 8.48 億元，年增 527%、季增 46%，EPS 2.40 元，分別高於市場共識及我們預估 8%與 6%，主因營收穩健復甦且利潤率優於預期。毛利率達 34.2%，年增 4.4 個、季增 2.2 個百分點，受惠產能利用率提升及產品組合改善，不僅優於市場預估的 33.2%，亦高於我們上修後預估的 33.5%。反映景氣上升循環營運槓桿效益顯著，2Q26 營利率大幅提升至 13.8%，年增 5.4 個百分點、季增 3.9 個百分點，創下 3Q23 以來新高，表現明顯優於預期。

交期持續拉長。儘管已加班生產，管理層表示訂單需求仍持續超過供給，目前滾珠螺桿交期已進一步延長至六個月，線性滑軌交期則約四個月。鑒於市場供需動態轉趨有利，公司 3 月宣布漲價後，2Q26 再度針對部分客戶調升線性滑軌售價，我們認為將有利 2H26 營收及利潤率表現。受惠 AI 帶動的資本支出上升循環，以及工具機需求全面復甦，我們預期 3Q26 營收將優於過往季節性表現，預估季增 2.3%，毛利率可望進一步季增 0.6 個百分點至 34.8%，優於市場預期的 34.0%。

獲利預估進一步上修。過去三個月市場已將上銀獲利預估上調 6%。受惠訂單需求強勁及有利的價格環境，我們預期營收成長將進一步加速，利潤率亦將持續擴張，並帶動市場上修獲利預估。我們認為產業身處景氣上升循環時，市場往往低估營運槓桿的提升效果。反映 2Q26 獲利優於預期，以及營運順風下較佳的獲利率假設，我們將獲利預估上調 4%。目前預估 2026-27 年 EPS 分別為 9.06 元及 12.52 元，分別年增 110%及 38%，且較市場共識高出 8%及 18%。

投資建議

受惠 2Q26 獲利優於預期及營運環境轉佳，我們預期市場共識獲利預估將進一步上修，並帶動評價與股價上行。我們維持目標價 478 元，係基於 2027-28 年平均每股盈餘預估 35 倍。重申「增加持股」評等。

投資風險

下檔風險包括資本支出週期延宕、新台幣升值。

主要財務數據及估值

	Dec-24A	Dec-25A	Dec-26F	Dec-27F	Dec-28F
營業收入 (NT$百萬)	24,392	24,263	28,967	32,383	35,298
營業毛利 (NT$百萬)	7,218	6,978	9,721	11,131	12,310
營業利益 (NT$百萬)	2,059	1,643	3,673	4,981	5,962
稅後淨利 (NT$百萬)	1,972	1,526	3,204	4,429	5,227
每股盈餘 (NT$)	5.57	4.31	9.06	12.52	14.77
每股現金股利 (NT$)	2.40	2.00	4.20	5.81	6.85
每股盈餘成長率 (%)	(3.1)	(22.6)	110.0	38.3	18.0
本益比 (x)	66.2	85.6	40.7	29.5	25.0
股價淨值比 (x)	3.5	3.5	3.3	3.2	3.0
EV/EBITDA (x)	28.9	32.0	17.4	14.0	12.0
淨負債比率 (%)	7.2	5.6	0.7	Net cash	Net cash
殖利率 (%)	0.7	0.5	1.1	1.6	1.9
股東權益報酬率 (%)	5.5	4.1	8.4	11.0	12.2

資料來源：公司資料，凱基

圖 1：2Q26 財報與 3Q26 財務預估修正暨市場共識比較

	2Q26							3Q26F						
百萬元	實際數	凱基預估	差異(%)	QoQ (%)	YoY (%)	市場共識	差異 (%)	修正後	修正前	調幅 (%)	QoQ (%)	YoY (%)	市場共識	差異 (%)
營收	7,508	7,431	1.0	17.7	26.7	7,374	1.8	7,682	7,519	2.2	2.3	28.1	7,746	(0.8)
毛利	2,565	2,492	2.9	25.9	45.6	2,446	4.9	2,673	2,594	3.1	4.2	55.9	2,635	1.4
營業利益	1,034	932	11.0	64.0	107.4	947	9.2	1,118	1,090	2.5	8.1	172.2	1,080	3.5
稅前淨利	1,080	968	11.6	50.1	1,475.5	967	11.7	1,128	1,126	0.1	4.4	96.8	1,128	(0.0)
稅後淨利	848	804	5.5	46.3	526.8	785	7.9	950	948	0.1	12.0	113.0	901	5.4
每股盈餘 (元)	2.40	2.27	5.5	46.3	526.8	2.22	7.9	2.68	2.68	0.1	12.0	113.0	2.55	5.4
毛利率 (%)	34.2	33.5	0.6 ppts	2.2 ppts	4.4 ppts	33.2	1.0 ppts	34.8	34.5	0.3 ppts	0.6 ppts	6.2 ppts	34.0	0.8 ppts
營業利益率 (%)	13.8	12.5	1.2 ppts	3.9 ppts	5.4 ppts	12.8	0.9 ppts	14.5	14.5	0.0 ppts	0.8 ppts	7.7 ppts	13.9	0.6 ppts
淨利率 (%)	11.3	10.8	0.5 ppts	2.2 ppts	9.0 ppts	10.7	0.6 ppts	12.4	12.6	(0.3) ppts	1.1 ppts	4.9 ppts	11.6	0.7 ppts

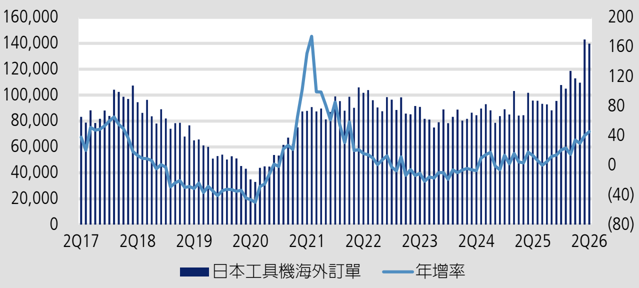
資料來源：Bloomberg；凱基預估

圖 2：2026-28 年財務預估修正暨市場共識比較

	2026F						2027F						2028F					
百萬元	修正後	修正前	調幅 (%)	YoY (%)	市場共識	差異 (%)	修正後	修正前	調幅 (%)	YoY (%)	市場共識	差異 (%)	修正後	修正前	調幅 (%)	YoY (%)	市場共識	差異 (%)
營收	28,967	28,435	1.9	19.4	29,080	(0.4)	32,383	31,678	2.2	11.8	33,125	(2.2)	35,298	35,338	(0.1)	9.0	32,994	7.0
毛利	9,721	9,444	2.9	39.3	9,554	1.7	11,131	10,795	3.1	14.5	11,114	0.2	12,310	12,272	0.3	10.6	11,246	9.5
營業利益	3,673	3,480	5.6	123.5	3,523	4.3	4,981	4,984	(0.1)	35.6	4,557	9.3	5,962	5,978	(0.3)	19.7	4,697	26.9
稅前獲利	3,851	3,690	4.4	118.3	3,651	5.5	5,227	5,231	(0.1)	35.7	4,653	12.3	6,262	6,279	(0.3)	19.8	4,748	31.9
稅後淨利	3,204	3,096	3.5	110.0	2,974	7.7	4,429	4,433	(0.1)	38.3	3,755	18.0	5,227	5,240	(0.3)	18.0	3,817	36.9
每股盈餘 (元)	9.06	8.75	3.5	110.0	8.41	7.7	12.52	12.53	(0.1)	38.3	10.61	18.0	14.77	14.81	(0.3)	18.0	10.79	36.9
毛利率 (%)	33.6	33.2	0.3 ppts	4.8 ppts	32.9	0.7 ppts	34.4	34.1	0.3 ppts	0.8 ppts	33.6	0.8 ppts	34.9	34.7	0.1 ppts	0.5 ppts	34.1	0.8 ppts
營利率 (%)	12.7	12.2	0.4 ppts	5.9 ppts	12.1	0.6 ppts	15.4	15.7	(0.4) ppts	2.7 ppts	13.8	1.6 ppts	16.9	16.9	(0.0) ppts	1.5 ppts	14.2	2.7 ppts
淨利率 (%)	11.1	10.9	0.2 ppts	4.8 ppts	10.2	0.8 ppts	13.7	14.0	(0.3) ppts	2.6 ppts	11.3	2.3 ppts	14.8	14.8	(0.0) ppts	1.1 ppts	11.6	3.2 ppts

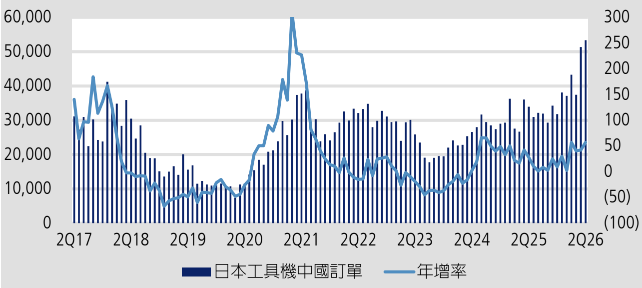
資料來源：Bloomberg；凱基預估

圖 3：海外工具機訂單進一步增加



資料來源：JMTBA、凱基

圖 4：中國工具機訂單加速成長



資料來源：JMTBA、凱基

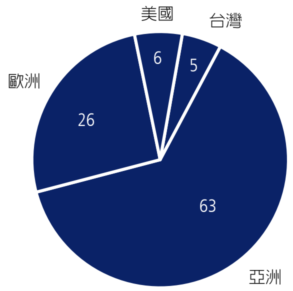
圖 5: 公司概況

上銀為全球第二大線性滑軌產品製造商，僅次於 THK (6481 JP)，公司研發並製造線性移動零組件，包括線性滑軌與滾珠螺桿。線性滑軌為公司收入大宗，佔整體營收的 61%，其次為滾珠螺桿 (20%)、工業機器人 (9%) 與其他 (10%)。目前亞洲 (不含台灣) 為其最大市場，營收佔比達 63%，其次為歐洲 (26%)、美洲 (6%) 與台灣 (5%)。

資料來源：凱基

圖 6: 亞洲為上銀主要銷售市場

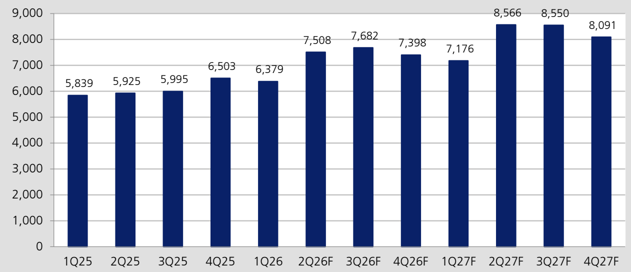
營收地區占比，百分比



資料來源：凱基

圖 7: 季營業收入

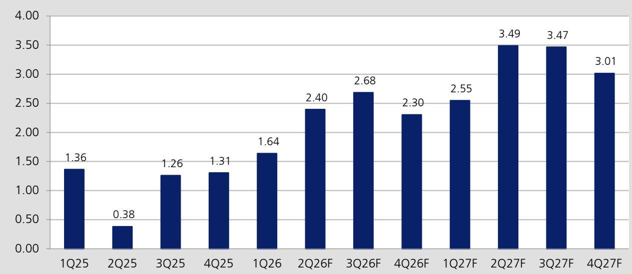
季營業收入，百萬元



資料來源：凱基

圖 8: 每股盈利

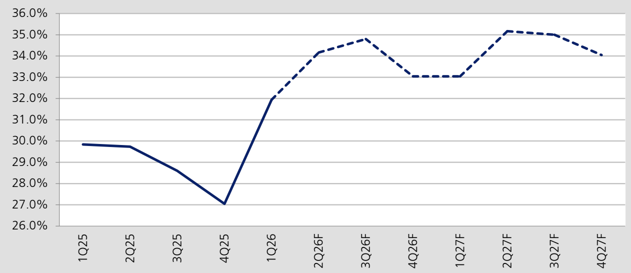
每股盈利，元



資料來源：凱基

圖 9: 毛利率

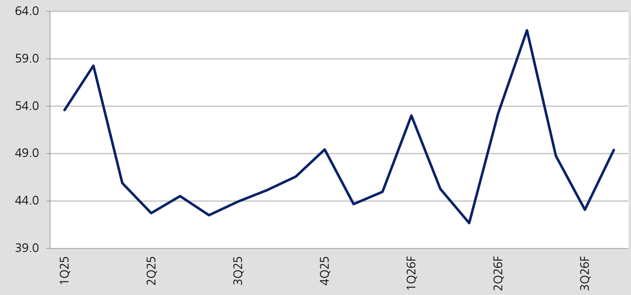
毛利率，百分比



資料來源：凱基

圖 10: 本益比

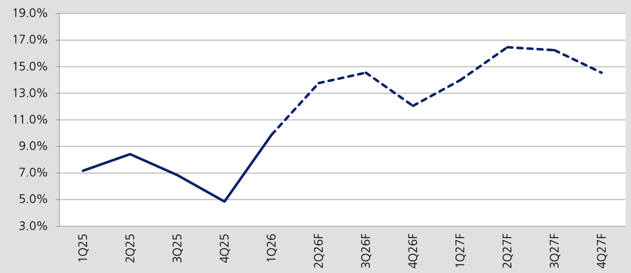
本益比，倍



資料來源：凱基

圖 11: 營業利潤率

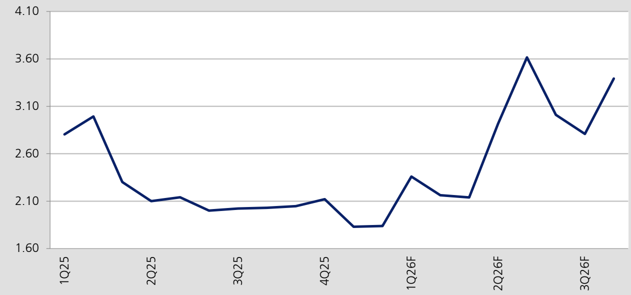
營業利潤率，百分比



資料來源：凱基

圖 12: 股價淨值比

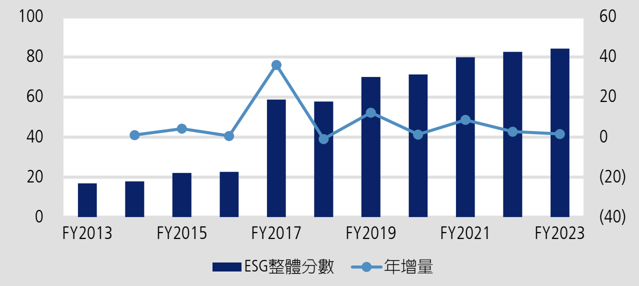
股價淨值比，倍



資料來源：凱基

圖 13: ESG 整體分數

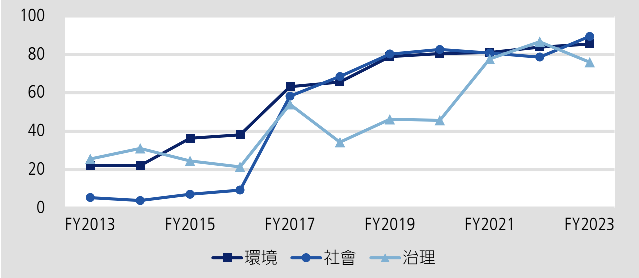
ESG 整體分數，分 (左軸)；年增量，分 (右軸)



資料來源：Refinitiv；凱基；公司資料

圖 14: ESG 各項分數

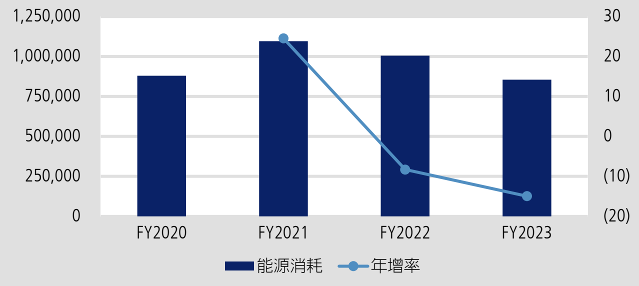
ESG 分數，分



資料來源：Refinitiv；凱基；公司資料

圖 15: 能源消耗

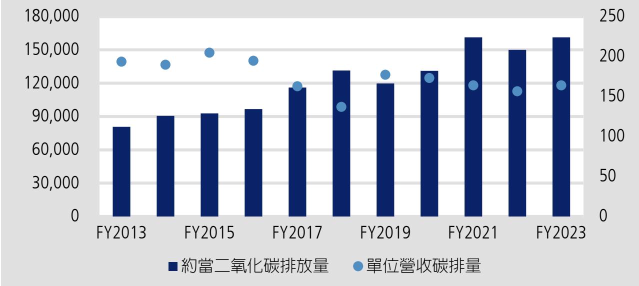
能源消耗，十億焦耳 (左軸)；年增率，百分比 (右軸)



資料來源：Refinitiv；凱基；公司資料

圖 16: 碳排量

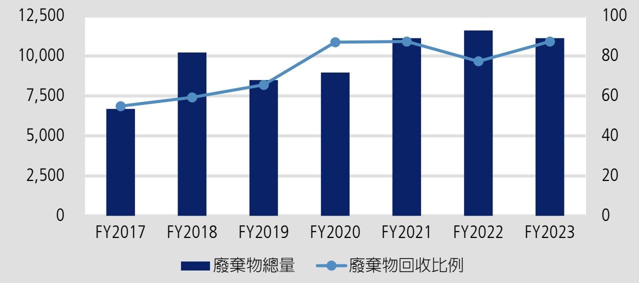
約當二氧化碳排放量，噸 (左軸)；單位營收碳排量，噸/百萬美元 (右軸)



資料來源：Refinitiv；凱基；公司資料

圖 17: 廢棄物總量

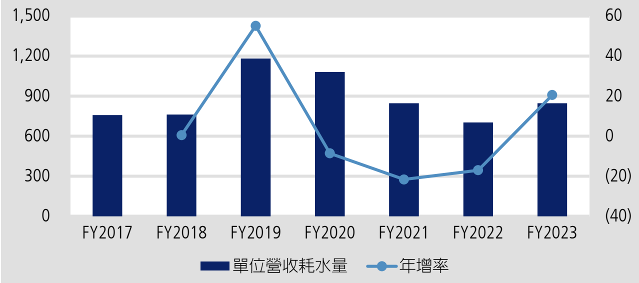
廢棄物總量，噸 (左軸)；廢棄物回收比例，百分比 (右軸)



資料來源：Refinitiv；凱基；公司資料

圖 18: 耗水量

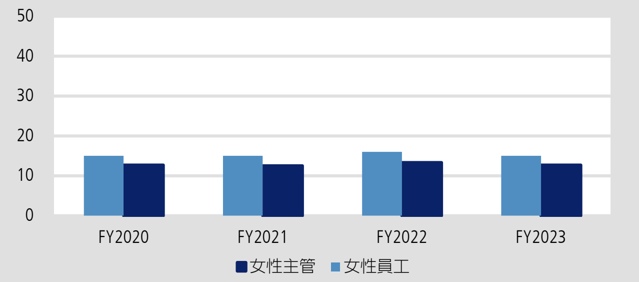
單位營收耗水量，立方公尺/百萬美元 (左軸)；年增率，百分比 (右軸)



資料來源：Refinitiv；凱基；公司資料

圖 19: 性別多樣性

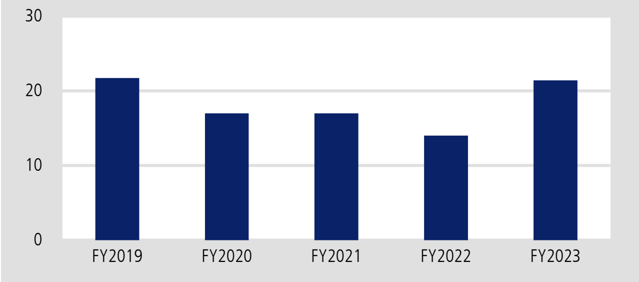
女性主管及女性員工比例，百分比



資料來源：Refinitiv；凱基；公司資料

圖 20: 員工流動率

員工流動率，百分比



資料來源：Refinitiv；凱基；公司資料

ESG 圖表定義

項目	定義	說明
能源消耗	直接與間接能源消耗總量(十億焦耳) - 公司運營範圍內消耗之能源總量 - 能源使用總量 = 直接能源消耗總量 + 間接能源消耗量 - 總能源使用量包括購買的能源、生產的能源 - 就公用事業而言，輸電/電網損耗為其業務活動之一部分，被視為總能源消耗，數據不包括為滿足能源使用而生產的電力（公用事業為出售而生產） - 就公用事業而言，用於能源生產的煤、天然氣或核能等原料不屬於「總能源使用」項下	
購買之再生能源	再生能源購買總量(十億焦耳) - 公司各種來源之能源消耗量與購買的能源中屬於自然界可再生者（太陽能、風能、水能、生物質能、地熱能）之量 - 如無證據顯示再生能源由公司生產，則所報告的能源數據視為購買的再生能源	
再生能源使用率	再生能源占總能源消耗量之比例	
約當二氧化碳排放量	直接 CO_2 與 CO_2 約當排放量(公噸) - 公司擁有或控制的來源的直接排放量（範圍 1 排放量） - 相關氣體：二氧化碳 (CO_2)、甲烷 (CH_4)、一氧化二氮 (N_2O)、氫氟碳化物 (HFCS)、全氟化合物 (PFCS)、六氟化硫 (SF_6)、三氟化氮 (NF_3)	
單位營收碳排量	直接 CO_2 與 CO_2 約當排放量（公噸）銷售（百萬元）比 - 公司擁有或控制的來源的直接排放量（範圍 1 排放量） - 相關氣體：二氧化碳 (CO_2)、甲烷 (CH_4)、一氧化二氮 (N_2O)、氫氟碳化物 (HFCS)、全氟化合物 (PFCS)、六氟化硫 (SF_6)、三氟化氮 (NF_3)	
廢棄物總量	廢棄物總量(公噸) - 總廢棄物 = 無害廢棄物 + 有害廢棄物 - 僅考慮固體廢棄物，但如液體廢棄物以公噸為單位呈報，則會將其加入求得包含液體廢棄物之總量 - 對於採礦、石油與天然氣等行業，tailings、廢石、煤、飛灰等廢棄物亦考慮在內	
廢棄物回收比例	公司呈報的廢棄物回收比例 - 廢棄物回收比例 = 廢棄物回收量/總廢棄物*100 - 廢棄物轉化為能源或經由廢棄物焚燒產生能源視為廢棄物回收 - 經由堆肥回收的廢棄物視為回收之廢棄物	
耗水量	耗水量(立方公尺) - 由呈報組織直接或經水公司等中介機構從任何水源抽取的總水量 - 水井、城鎮/公用事業/市政用水、河水、地表水等不同之水源均予以考慮	
環保支出	環保支出總金額 - 所有用於環境保護，或防止、減少、控制環境因素、影響、危害的投資與支出，亦包括處置、處理、衛生、清理支出	
員工流動率	員工流動率 - 包括任何原因（自願或非自願）離開公司的員工，如辭職、退休、自然離職/死亡、醫療失能、冗員、裁員、重組、解僱、裁減或定期合約到期 - 員工流動率 =（離開之員工/平均員工人數）*100 - 平均員工人數 =（本年末員工人數 + 去年末員工人數）/2 - 本財年末員工數 =上個財年末員工數 + 新員工數 - 離開之員工數	
女性主管	女性主管百分比 - 女性主管占公司主管的百分比 - 如有不同階層之百分比，如最高階、高階、中階、初階，則會考慮中階女性主管之百分比 - 女性主管百分比 = 女性主管人數/主管總數*100	
女性員工	女性員工百分比 - 女性員工占公司員工總數的百分比 - 女性員工百分比 = 女性人數/員工總數*100	
教育訓練總時數	所有員工教育訓練總時數 - 僅考慮員工教育訓練時數 - 包括一般員工所有類型的教育訓練（如健康與安全、環境、急難事件救援、技能與職業發展） - 如果數據以天為單位，則乘以 8，係假設 1 天 = 8 小時工作	
每位員工教育訓練時數	平均每年每位員工總教育訓練時數	

資料來源：Refinitiv；凱基

損益表

	季度								年度		
	Mar-26A	Jun-26F	Sep-26F	Dec-26F	Mar-27F	Jun-27F	Sep-27F	Dec-27F	Dec-26F	Dec-27F	Dec-28F
損益表 (NT$百萬)											
營業收入	**6,379**	**7,508**	**7,682**	**7,398**	**7,176**	**8,566**	**8,550**	**8,091**	**28,967**	**32,383**	**35,298**
營業成本	(4,342)	(4,943)	(5,009)	(4,953)	(4,805)	(5,554)	(5,557)	(5,336)	(19,246)	(21,252)	(22,987)
營業毛利	**2,038**	**2,565**	**2,673**	**2,445**	**2,371**	**3,012**	**2,992**	**2,755**	**9,721**	**11,131**	**12,310**
營業費用	(1,407)	(1,531)	(1,556)	(1,553)	(1,368)	(1,602)	(1,603)	(1,577)	(6,048)	(6,150)	(6,349)
營業利益	**631**	**1,034**	**1,118**	**891**	**1,003**	**1,411**	**1,389**	**1,177**	**3,673**	**4,981**	**5,962**
折舊	(612)	(869)	(869)	(1,127)	(918)	(918)	(918)	(918)	(3,478)	(3,671)	(3,858)
攤提	(17)	(13)	(13)	(8)	(13)	(13)	(13)	(13)	(51)	(51)	(51)
EBITDA	**1,260**	**1,916**	**2,000**	**2,027**	**1,934**	**2,342**	**2,320**	**2,108**	**7,203**	**8,703**	**9,871**
利息收入	19	29	28	27	32	34	34	36	102	136	179
投資利益淨額	16	10	2	(1)	8	8	9	7	27	32	41
其他營業外收入	26	38	40	53	40	44	43	45	157	172	190
總營業外收入	**60**	**76**	**70**	**80**	**80**	**86**	**86**	**88**	**286**	**340**	**410**
利息費用	(54)	(57)	(20)	(27)	(32)	(34)	(34)	(35)	(158)	(134)	(142)
投資損失	-	-	-	-	-	-	-	-	-	-	-
其他營業外費用	83	26	(40)	(20)	10	8	10	12	50	40	32
總營業外費用	**29**	**(30)**	**(60)**	**(47)**	**(22)**	**(26)**	**(24)**	**(23)**	**(108)**	**(94)**	**(110)**
稅前純益	**719**	**1,080**	**1,128**	**925**	**1,061**	**1,471**	**1,452**	**1,243**	**3,851**	**5,227**	**6,262**
所得稅費用[利益]	(170)	(263)	(238)	(188)	(220)	(322)	(299)	(257)	(847)	(1,098)	(1,315)
少數股東損益	30	31	60	79	60	86	74	80	200	300	280
非常項目前稅後純益	**579**	**848**	**950**	**815**	**901**	**1,235**	**1,227**	**1,066**	**3,204**	**4,429**	**5,227**
非常項目	0	-	-	(0)	-	-	-	-	-	-	-
稅後淨利	**579**	**848**	**950**	**815**	**901**	**1,235**	**1,227**	**1,066**	**3,204**	**4,429**	**5,227**
每股盈餘 (NT$)	1.64	2.40	2.68	2.30	2.55	3.49	3.47	3.01	9.06	12.52	14.77
獲利率 (%)											
營業毛利率	31.9	34.2	34.8	33.0	33.0	35.2	35.0	34.0	33.6	34.4	34.9
營業利益率	9.9	13.8	14.5	12.0	14.0	16.5	16.2	14.5	12.7	15.4	16.9
EBITDA Margin	19.8	25.5	26.0	27.4	27.0	27.3	27.1	26.1	24.9	26.9	28.0
稅前純益率	11.3	14.4	14.7	12.5	14.8	17.2	17.0	15.4	13.3	16.1	17.7
稅後純益率	9.1	11.3	12.4	11.0	12.6	14.4	14.3	13.2	11.1	13.7	14.8
季成長率 (%)											
營業收入	(1.9)	17.7	2.3	(3.7)	(3.0)	19.4	(0.2)	(5.4)			
營業毛利	15.9	25.9	4.2	(8.6)	(3.0)	27.0	(0.7)	(7.9)			
營業收益增長	99.9	64.0	8.1	(20.2)	12.6	40.6	(1.5)	(15.3)			
EBITDA	36.7	52.1	4.4	1.3	(4.6)	21.1	(0.9)	(9.1)			
稅前純益	37.6	50.1	4.4	(18.0)	14.8	38.6	(1.3)	(14.4)			
稅後純益	25.4	46.3	12.0	(14.2)	10.6	37.0	(0.7)	(13.1)			
年成長率 (%)											
營業收入	9.3	26.7	28.1	13.8	12.5	14.1	11.3	9.4	19.4	11.8	9.0
營業毛利	17.0	45.6	55.9	39.0	16.4	17.4	11.9	12.7	39.3	14.5	10.6
營業收益	50.6	107.4	172.2	182.7	59.2	36.5	24.3	32.1	123.5	35.6	19.7
EBITDA	25.4	77.0	101.6	119.9	53.5	22.2	16.0	4.0	80.0	20.8	13.4
稅前純益	19.9	1475.5	96.8	77.0	47.6	36.2	28.7	34.4	118.3	35.7	19.8
稅後純益	20.0	526.8	113.0	76.5	55.6	45.7	29.2	30.8	110.0	38.3	18.0

資料來源：公司資料，凱基

資產負債表

NT$百萬	Dec-24A	Dec-25A	Dec-26F	Dec-27F	Dec-28F
資產總額	**54,418**	**54,176**	**57,441**	**61,112**	**64,919**
流動資產	**19,983**	**19,864**	**23,960**	**28,771**	**33,945**
現金及短期投資	7,354	7,625	10,059	13,425	17,399
存貨	7,407	7,094	7,899	8,722	9,408
應收帳款及票據	4,467	4,418	5,275	5,897	6,410
其他流動資產	755	727	727	727	727
非流動資產	**34,434**	**34,312**	**33,481**	**32,341**	**30,974**
長期投資	1,907	1,490	1,517	1,548	1,590
固定資產	29,367	29,836	28,978	27,806	26,398
什項資產	3,160	2,986	2,986	2,986	2,986
負債總額	**17,343**	**16,702**	**18,449**	**20,045**	**21,329**
流動負債	**8,322**	**8,530**	**10,937**	**11,662**	**12,637**
應付帳款及票據	3,318	3,251	3,619	3,997	4,311
短期借款	2,465	3,011	4,271	4,051	4,341
什項負債	2,540	2,268	3,046	3,615	3,985
長期負債	**9,021**	**8,173**	**7,513**	**8,383**	**8,693**
長期借款	7,563	6,712	6,052	6,922	7,232
其他負債及準備	988	1,041	1,041	1,041	1,041
股東權益總額	**37,074**	**37,474**	**38,992**	**41,067**	**43,590**
普通股本	3,538	3,538	3,538	3,538	3,538
保留盈餘	20,520	20,949	22,668	25,043	27,846
少數股東權益	145	128	(72)	(372)	(652)
優先股股東資金	-	-	-	-	-

主要財務比率

	Dec-24A	Dec-25A	Dec-26F	Dec-27F	Dec-28F
年成長率					
營業收入	(1.0%)	(0.5%)	19.4%	11.8%	9.0%
營業收益增長	(22.3%)	(20.2%)	123.5%	35.6%	19.7%
EBITDA	(11.7%)	(8.9%)	80.0%	20.8%	13.4%
稅後純益	(3.1%)	(22.6%)	110.0%	38.3%	18.0%
每股盈餘成長率	(3.1%)	(22.6%)	110.0%	38.3%	18.0%
獲利能力分析					
營業毛利率	29.6%	28.8%	33.6%	34.4%	34.9%
營業利益率	8.4%	6.8%	12.7%	15.4%	16.9%
EBITDA Margin	18.0%	16.5%	24.9%	26.9%	28.0%
稅後純益率	8.1%	6.3%	11.1%	13.7%	14.8%
平均資產報酬率	3.7%	2.8%	5.7%	7.5%	8.3%
股東權益報酬率	5.5%	4.1%	8.4%	11.0%	12.2%
穩定 \ 償債能力分析					
毛負債比率 (%)	27.0%	25.9%	26.5%	26.7%	26.5%
淨負債比率	7.2%	5.6%	0.7%	Net cash	Net cash
利息保障倍數 (x)	13.6	9.2	25.4	40.0	45.1
利息及短期債保障倍數 (x)	0.4	0.3	0.5	0.5	0.6
Cash Flow Int. Coverage (x)	20.3	19.9	34.2	52.6	57.9
Cash Flow/Int. & ST Debt (x)	1.4	1.3	1.2	1.7	1.8
流動比率 (x)	2.4	2.3	2.2	2.5	2.7
速動比率 (x)	1.5	1.5	1.5	1.7	1.9
淨負債 (NT$百萬)	2,674	2,098	264	(2,451)	(5,826)
每股資料分析					
每股盈餘 (NT$)	5.57	4.31	9.06	12.52	14.77
每股現金盈餘 (NT$)	10.23	12.09	15.30	19.93	23.21
每股淨值 (NT$)	104.38	105.56	110.41	117.13	125.05
調整後每股淨值 (NT$)	104.38	105.56	110.41	117.13	125.05
每股營收 (NT$)	68.94	68.58	81.88	91.53	99.77
EBITDA/Share (NT$)	12.42	11.31	20.36	24.60	27.90
每股現金股利 (NT$)	2.40	2.00	4.20	5.81	6.85
資產運用狀況					
資產周轉率 (x)	0.46	0.45	0.52	0.55	0.56
應收帳款周轉天數	67.0	66.5	66.5	66.5	66.5
存貨周轉天數	157.9	149.8	149.8	149.8	149.8
應付帳款周轉天數	70.7	68.6	68.6	68.6	68.6
現金轉換周轉天數	154.2	147.6	147.6	147.6	147.6

資料來源：公司資料，凱基

損益表

NT$百萬	Dec-24A	Dec-25A	Dec-26F	Dec-27F	Dec-28F
營業收入	**24,392**	**24,263**	**28,967**	**32,383**	**35,298**
營業成本	(17,174)	(17,285)	(19,246)	(21,252)	(22,987)
營業毛利	**7,218**	**6,978**	**9,721**	**11,131**	**12,310**
營業費用	(5,159)	(5,335)	(6,048)	(6,150)	(6,349)
營業利益	**2,059**	**1,643**	**3,673**	**4,981**	**5,962**
總營業外收入	**277**	**251**	**286**	**340**	**410**
利息收入	95	87	102	136	179
投資利益淨額	35	22	27	32	41
其他營業外收入	146	142	157	172	190
總營業外費用	**(86)**	**(131)**	**(108)**	**(94)**	**(110)**
利息費用	(178)	(215)	(158)	(134)	(142)
投資損失	-	-	-	-	-
其他營業外費用	92	85	50	40	32
稅前純益	**2,250**	**1,764**	**3,851**	**5,227**	**6,262**
所得稅費用[利益]	(387)	(354)	(847)	(1,098)	(1,315)
少數股東損益	109	116	200	300	280
非常項目	-	0	-	-	-
稅後淨利	**1,972**	**1,526**	**3,204**	**4,429**	**5,227**
EBITDA	**4,393**	**4,001**	**7,203**	**8,703**	**9,871**
每股盈餘 (NT$)	5.57	4.31	9.06	12.52	14.77

現金流量

NT$百萬	Dec-24A	Dec-25A	Dec-26F	Dec-27F	Dec-28F
營運活動之現金流量	**3,619**	**4,277**	**5,414**	**7,052**	**8,210**
本期純益	1,972	1,526	3,204	4,429	5,227
折舊及攤提	2,334	2,358	3,529	3,723	3,910
本期運用資金變動	(168)	842	(1,293)	(1,068)	(885)
其他營業資產及負債變動	(520)	(449)	(27)	(32)	(41)
投資活動之現金流量	**(3,883)**	**(2,818)**	**(2,671)**	**(2,551)**	**(2,501)**
投資用短期投資出售[新購]	13	2	-	-	-
本期長期投資變動	-	-	-	-	-
資本支出淨額	(3,714)	(2,766)	(2,620)	(2,500)	(2,450)
其他資產變動	(182)	(54)	(51)	(51)	(51)
自由現金流	**95**	**1,693**	**2,430**	**4,038**	**5,233**
融資活動之現金流量	**(19)**	**(1,278)**	**(308)**	**(1,136)**	**(1,734)**
短期借款變動	(98)	618			
長期借款變動	1,101	(935)	600	650	600
現金增資	-	-			
已支付普通股股息	(884)	(849)	(708)	(1,486)	(2,054)
其他融資現金流	(138)	(112)	(200)	(300)	(280)
匯率影響數	**73**	**89**			
本期產生現金流量	**(210)**	**270**	**2,435**	**3,365**	**3,974**

投資回報率

	Dec-24A	Dec-25A	Dec-26F	Dec-27F	Dec-28F
1 – 營業成本/營業收入					
– 銷管費用/營業收入	21.2%	22.0%	20.9%	19.0%	18.0%
= 營業利益率	**8.4%**	**6.8%**	**12.7%**	**15.4%**	**16.9%**
1 / (營業運用資金/營業收入	0.3	0.3	0.2	0.2	0.2
+ 淨固定資產/營業收入	1.2	1.2	1.0	0.9	0.7
+ 什項資產/營業收入)	0.1	0.1	0.1	0.1	0.0
= 資本周轉率	**0.6**	**0.6**	**0.8**	**0.9**	**1.0**
營業利益率	8.4%	6.8%	12.7%	15.4%	16.9%
x 資本周轉率	0.6	0.6	0.8	0.9	1.0
x (1 – 有效現金稅率)	82.8%	79.9%	78.0%	79.0%	79.0%
= 稅後 ROIC	**4.5%**	**3.4%**	**7.6%**	**10.6%**	**13.0%**

資料來源：公司資料，凱基

上銀 －以往評級及目標價

日期	評級	目標價	收盤價
2026-05-28	增加持股	478.0	388.0
2026-05-08	增加持股	370.0	319.5
2026-04-21	增加持股	350.0	301.0
2026-03-06	增加持股	316.0	230.0
2026-02-26	增加持股	308.0	230.0
2026-01-29	增加持股	308.0	257.5
2025-11-11	持有	195.0	209.5
2025-08-12	持有	195.0	213.5
2025-07-24	持有	195.0	217.0
2025-05-28	持有	206.0	223.5

資料來源：TEJ，凱基

凱基證券集團據點

中國	上海	上海市靜安區南京西路 1601 號越洋國際廣場 1507 室 郵政編號：200040
台灣	台北	104 台北市明水路 700 號 電話 886.2.2181.8888．傳真 886.2.8501.1691
香港		香港灣仔港灣道十八號中環廣場四十一樓 電話 852.2878.6888．傳真 852.2878.6800
泰國	曼谷	8th - 11th floors, Asia Centre Building 173 South Sathorn Road, Bangkok 10120, Thailand 電話 66.2658.8888．傳真 66.2658.8014
新加坡		珊頓大道 4 號#13-01 新交所第二大廈 郵政編號：068807 電話 65.6202.1188．傳真 65.6534.4826
印尼		Sona Topas Tower Fl.11 Jl. Jend. Sudirman kav.26 JakartaSelatan 12920 Indonesia 電話 62 21 250 6337

股價說明

等級	**定義**
增加持股 (OP)	對個股持正面看法，預期個股未來十二個月的表現超越凱基證券集團所追蹤的相關市場的總報酬。
持有 (N)	對個股持中性看法，預期個股未來十二個月的表現符合凱基證券集團所追蹤的相關市場的總報酬。
降低持股 (U)	對個股持負面看法，預期個股未來十二個月的表現低於凱基證券集團所追蹤的相關市場的總報酬。
未評等 (NR)	凱基證券未對該個股加以評等。
受法規限制未評等 (R)	受凱基證券集團內部政策和/或相關法令限制使凱基證券集團無法進行某些形式的資訊交流，其中包括提供評等給投資人參考。

*總報酬 = (十二個月目標價-現價)/現價

免責聲明

Asia Vital Components

Buy: 2Q26 margins another record highs; solid 2H26 guidance; lift PO to NT$3,888

Reiterate Rating: BUY | PO: 3,888 TWD | Price: 2,910 TWD

12 August 2026

Equity

2Q26 beat, with margins at another quarterly record high

Asia Vital Components (AVC) held 2Q26 physical and virtual meetings on 12 Aug. All its margins hit another quarterly record high, with GM/OPM of 32.6%/27.4%, above BofAe's 30.0%/24.2% and consensus' 31.0%/25.2%. OP (+12% QoQ, +165% YoY) was 11%/7% above BofAe/consensus, despite sales (flat QoQ, +66% YoY) missing BofAe/consensus both by 2%, dragged by supply-chain component hiccup. We attribute the beat mainly to stronger server margins and stringent cost control. Server/networking accounted for 66% of 2Q26 sales, vs 66%/51% in 1Q26/2Q25. With a non-operating gain of NT$457mn, mainly from net interest income, NP was 18%/11% above consensus.

Better 2H vs 1H; new projects mass production in 3Q-4Q

Mgmt. expects QoQ sales growth in 3Q26 and better 2H26 vs 1H26, amid more server projects entering mass production. Our supply-chain checks suggest mass production for Nvidia Vera Rubin GPU server project will start from 3Q26 (Aug/Sep), and liquid-cooled ASIC (AWS Trainium 3) project in 4Q26. We now expect 3Q/4Q26 sales to rise 16%/19% QoQ and 47%/42% YoY. Into 2027, mgmt. sees rising orders/volume from GPU and ASIC server projects, and still expects ASIC sales mix to surpass GPU server mix. Mgmt. maintained 2026 capex guidance at NT$15bn and sees an even higher level in 2027 (BofAe: NT$17bn), mainly for capacity expansion in Vietnam for liquid-cooling products (eg. cold plate, rack/inner manifolds and CDUs).

Buy: lift PO to NT$3,888; still our top cooling pick

We lift 2026-28E EPS by 7-11%, mainly to reflect 2Q26 beat and higher GM/OPM forecasts, supported by the solid AI server business and a favorable mix. We lift our PO to NT$3,888 from NT$3,650, with the valuation methodology unchanged at 27x 2027E EPS. We reiterate Buy on AVC as our top pick in the cooling sub-sector, which should benefit from robust GPU/ASIC AI server demand and rising liquid-cooling adoption. We also like its broad product/project/client base to drive solid sales and margin growth.

Estimates (Dec) (NT$)	2024A	2025A	2026E	2027E	2028E
Net Income (Adjusted - mn)	8,172	19,186	40,952	56,186	69,746
EPS	21.21	49.17	104.95	143.99	178.74
EPS Change (YoY)	50.4%	131.8%	113.4%	37.2%	24.1%
Dividend / Share	7.00	18.00	31.48	43.20	53.62
Free Cash Flow / Share	13.22	82.39	52.25	100.03	155.69
Valuation (Dec)					
P/E	137.20x	59.18x	27.73x	20.21x	16.28x
Dividend Yield	0.241%	0.619%	1.08%	1.48%	1.84%
EV / EBITDA*	83.16x	35.87x	17.25x	12.46x	9.89x
Free Cash Flow Yield*	0.446%	2.81%	1.78%	3.42%	5.32%

* For full definitions of *iQmethod*SM measures, see page 8.

Key Changes

(NT$)	Previous	Current
Price Obj.	3,650.00	3,888.00
2026E EPS	94.34	104.95
2027E EPS	135.19	143.99
2028E EPS	165.63	178.74
2026E EBITDA (m)	58,953.9	64,049.3
2027E EBITDA (m)	84,137.8	88,681.8
2028E EBITDA (m)	104,846.1	111,753.0

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Stock Data

Price	2,910 TWD
Price Objective	3,888 TWD
Date Established	12-Aug-2026
Investment Opinion	C-1-7
52-Week Range	916.00 TWD-3,010 TWD
Mrkt Val / Shares Out (mn)	35,380 USD / 392.5
Market Value (mn)	1,142,300 TWD
Average Daily Value (mn)	401.28 USD
Free Float	74.6%
BofA Ticker / Exchange	AVMPF / TAI
Bloomberg / Reuters	3017 TT / 3017.TW
ROE (2026E)	66.5%
Net Dbt to Eqty (Dec-2025A)	-69.8%

Acronyms, see Exhibit 8

iQprofile℠ Asia Vital Components

Key Income Statement Data (Dec)	2024A	2025A	2026E	2027E	2028E
(NT$ Millions)					
Sales	71,761	139,639	222,988	308,358	378,016
Gross Profit	16,870	36,034	71,963	100,631	125,453
Sell General & Admin Expense	(1,947)	(3,086)	(4,636)	(7,532)	(9,146)
Operating Profit	10,823	27,556	59,930	82,051	102,729
Net Interest & Other Income	1,529	1,231	809	875	875
Associates	NA	NA	NA	NA	NA
Pretax Income	12,352	28,786	60,739	82,926	103,604
Tax (expense) / Benefit	(3,159)	(7,836)	(16,697)	(23,020)	(28,758)
Net Income (Adjusted)	8,172	19,186	40,952	56,186	69,746
Average Fully Diluted Shares Outstanding	385	390	390	390	390
Key Cash Flow Statement Data					
Net Income	8,172	19,186	40,952	56,186	69,746
Depreciation & Amortization	2,463	3,246	4,119	6,631	9,024
Change in Working Capital	(7,286)	(1,315)	(9,682)	(6,783)	(8,017)
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	6,284	18,298	0	0	0
Cash Flow from Operations	9,632	39,415	35,390	56,034	70,752
Capital Expenditure	(4,540)	(7,267)	(15,000)	(17,000)	(10,000)
(Acquisition) / Disposal of Investments	(226)	217	0	0	0
Other Cash Inflow / (Outflow)	(2,904)	(6,286)	0	0	0
Cash Flow from Investing	(7,669)	(13,336)	(15,000)	(17,000)	(10,000)
Shares Issue / (Repurchase)	0	0	0	0	0
Cost of Dividends Paid	(2,683)	(3,877)	(7,024)	(12,286)	(16,856)
Cash Flow from Financing	200	2,620	(7,024)	(12,286)	(16,856)
Free Cash Flow	5,092	32,148	20,390	39,034	60,752
Net Debt	(13,445)	(35,270)	(48,636)	(75,384)	(119,281)
Change in Net Debt	(2,967)	(28,606)	(13,366)	(26,748)	(43,896)
Key Balance Sheet Data					
Property, Plant & Equipment	13,805	17,849	28,730	39,099	40,075
Other Non-Current Assets	10,008	16,111	16,111	16,111	16,111
Trade Receivables	7,767	12,133	19,053	24,159	30,958
Cash & Equivalents	29,924	58,530	71,896	98,644	142,541
Other Current Assets	38,402	55,514	71,005	92,275	112,829
Total Assets	99,906	160,137	206,794	270,289	342,514
Long-Term Debt	3,349	6,949	6,949	6,949	6,949
Other Non-Current Liabilities	4,796	5,128	5,128	5,128	5,128
Short-Term Debt	13,130	16,311	16,311	16,311	16,311
Other Current Liabilities	45,158	81,184	93,914	113,507	132,842
Total Liabilities	66,433	109,572	122,301	141,895	161,230
Total Equity	33,473	50,565	84,493	128,394	181,284
Total Equity & Liabilities	99,906	160,137	206,794	270,289	342,514
iQ*method℠ - Bus Performance					
Return On Capital Employed	17.4%	30.8%	46.2%	44.6%	41.0%
Return On Equity	32.1%	52.2%	66.5%	55.9%	46.8%
Operating Margin	15.1%	19.7%	26.9%	26.6%	27.2%
EBITDA Margin	18.5%	22.1%	28.7%	28.8%	29.6%
iQ*method℠ - Quality of Earnings					
Cash Realization Ratio	1.2x	2.1x	0.9x	1.0x	1.0x
Asset Replacement Ratio	1.9x	2.3x	3.6x	2.6x	1.1x
Tax Rate (Reported)	25.6%	27.2%	27.5%	27.8%	27.8%
Net Debt-to-Equity Ratio	-40.2%	-69.8%	-57.6%	-58.7%	-65.8%
Interest Cover	24.6x	45.5x	NM	NM	NM

Key Metrics

* For full definitions of *iQmethod*℠ measures, see page 8.

Company Sector

IT Hardware

Company Description

AVC is the leading system-level thermal/cooling component maker globally. Key end markets include server, PC, smartphone. Key end clients include global CSPs, PC brands, smartphone brands. AVC was founded in 1991 and went publicly listed on Taiwan Stock Exchange on 27 Sep 2002. It is headquartered in Taiwan. Its main production sites are located in China (Shenzhen, Wuhan, Shanghai, Dongguan, Chengdu), with ongoing capacity expansion in Vietnam.

Investment Rationale

We assign a Buy rating to AVC given its leading position in thermal/cooling component and total solution strategy to ride on strong AI market demand, double-digit sales/EPS CAGR in 2026-28 with rising liquid cooling sales mix and ASP/margin increase.

Stock Data

Price to Book Value	14.5x

Exhibit 1: We lift 2026-28E EPS by 7-11%
Earnings revision summary, 2026-28

	BofA 2026E			BofA 2027E			BofA 2028E		
NT$mn	**New**	**Old**	**Diff (%)**	**New**	**Old**	**Diff (%)**	**New**	**Old**	**Diff (%)**
Sales	222,988	220,974	1%	308,358	303,367	2%	378,016	369,358	2%
Gross profit	71,963	67,629	6%	100,631	95,829	5%	125,453	118,237	6%
Operating profit	59,930	54,834	9%	82,051	77,507	6%	102,729	95,822	7%
Pretax profit	60,739	55,206	10%	82,926	78,032	6%	103,604	96,352	8%
Net income	40,952	36,814	11%	56,186	52,751	7%	69,746	64,631	8%
EPS (NT$)	104.95	94.34	11%	143.99	135.19	7%	178.74	165.63	8%
Margin %									
Gross margin	32.3%	30.6%		32.6%	31.6%		33.2%	32.0%	
Operating margin	26.9%	24.8%		26.6%	25.5%		27.2%	25.9%	
Pre-tax margin	27.2%	25.0%		26.9%	25.7%		27.4%	26.1%	
Net margin	18.4%	16.7%		18.2%	17.4%		18.5%	17.5%	

Source: BofA Global Research estimates

BofA GLOBAL RESEARCH

Exhibit 2: Our 2026-28 net income estimates are 1-8% above consensus
BofAe vs. consensus, 2026-28E

	2026E			2027E			2028E		
NT$mn	**BofAe**	**Consensus**	**Diff (%)**	**BofAe**	**Consensus**	**Diff (%)**	**BofAe**	**Consensus**	**Diff (%)**
Sales	222,988	220,641	1%	308,358	301,388	2%	378,016	349,959	8%
Gross profit	71,963	68,224	5%	100,631	96,571	4%	125,453	106,699	18%
Operating profit	59,930	56,177	7%	82,051	81,486	1%	102,729	92,624	11%
Pretax profit	60,739	56,556	7%	82,926	81,946	1%	103,604	94,600	10%
Net income	40,952	37,994	8%	56,186	55,883	1%	69,746	65,587	6%
EPS (NT$)	104.95	96.25	9%	143.99	141.22	2%	178.74	163.10	10%
Margin %									
Gross margin	32.3%	30.9%		32.6%	32.0%		33.2%	30.5%	
Operating margin	26.9%	25.5%		26.6%	27.0%		27.2%	26.5%	
Pre-tax margin	27.2%	25.6%		26.9%	27.2%		27.4%	27.0%	
Net margin	18.4%	17.2%		18.2%	18.5%		18.5%	18.7%	

Source: BofA Global Research estimates, Bloomberg consensus

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Exhibit 3: AVC's 2Q26 operating profit was 11%/7% above BofAe/consensus; net income was 18%/11% above BofAe/consensus
2Q26 results summary

NT$mn	**2Q26**	**QoQ %**	**YoY %**	**BofAe**	**Diff (%)**	**Consensus**	**Diff (%)**	**1Q26**	**2Q25**
Sales	49,121	0%	66%	50,073	-2%	50,258	-2%	49,038	29,595
Gross profit	15,999	10%	121%	15,036	6%	15,587	3%	14,597	7,224
Operating profit	13,478	12%	165%	12,131	11%	12,646	7%	12,019	5,095
Pretax profit	13,935	16%	136%	12,260	14%	12,948	8%	11,979	5,896
Net income	9,567	21%	139%	8,138	18%	8,656	11%	7,916	3,997
EPS (NT$)	24.52	21%	139%	20.86	18%	21.80	12%	20.29	10.24
Margin %									
Gross margin	32.6%	2.8 ppt	8.2 ppt	30.0%	2.5 ppt	31.0%	1.6 ppt	29.8%	24.4%
Operating margin	27.4%	2.9 ppt	10.2 ppt	24.2%	3.2 ppt	25.2%	2.3 ppt	24.5%	17.2%
Pre-tax margin	28.4%	3.9 ppt	8.4 ppt	24.5%	3.9 ppt	25.8%	2.6 ppt	24.4%	19.9%
Net margin	19.5%	3.3 ppt	6.0 ppt	16.3%	3.2 ppt	17.2%	2.3 ppt	16.1%	13.5%

Source: BofA Global Research estimates, company data, Bloomberg consensus

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Exhibit 4: Fositek contributed 8%/9% of AVC's sales/net income in 2Q26, vs. 9%/12% in 1Q26 and 2-11%/2-18% in 2017-25
Fositek's sales/earnings contribution to AVC, 2017-2Q26

Contribution to AVC (%)	2017	2018	2019	2020	2021	2022	2023	2024	2025	1Q26	2Q26
Sales	3%	2%	2%	6%	11%	9%	10%	11%	9%	9%	8%
Gross profit	7%	5%	4%	9%	14%	11%	11%	11%	9%	9%	8%
Operating profit	8%	2%	1%	9%	17%	12%	12%	11%	9%	9%	8%
Pretax profit	7%	5%	2%	10%	16%	13%	11%	12%	9%	10%	8%
Net income	9%	3%	2%	11%	18%	14%	12%	15%	11%	12%	9%
Fositek (NT$mn)											
Sales	813	692	865	2,223	5,020	5,014	5,644	8,188	12,414	4,184	3,740
Gross profit	231	181	174	582	1,193	1,166	1,318	1,827	3,270	1,352	1,273
Operating profit	95	15	17	289	809	775	881	1,197	2,524	1,120	1,043
Pretax profit	95	53	36	292	776	835	911	1,495	2,545	1,165	1,075
Net income	76	19	22	210	533	564	628	1,227	2,125	917	849
EPS (NT$)	3.71	0.91	1.00	6.25	9.29	9.33	10.18	17.90	31.00	13.38	12.39
Margin %											
Gross margin	28.4%	26.1%	20.1%	26.2%	23.8%	23.3%	23.3%	22.3%	26.3%	32.3%	34.0%
Operating margin	11.7%	2.1%	2.0%	13.0%	16.1%	15.5%	15.6%	14.6%	20.3%	26.8%	27.9%
Pre-tax margin	11.6%	7.7%	4.1%	13.1%	15.5%	16.7%	16.1%	18.3%	20.5%	27.9%	28.8%
Net margin	9.4%	2.8%	2.5%	9.5%	10.6%	11.3%	11.1%	15.0%	17.1%	21.9%	22.7%
AVC (NT$mn)											
Sales	27,109	29,067	36,534	39,666	47,333	56,017	59,194	71,761	139,639	49,038	49,121
Gross profit	3,331	3,447	4,314	6,232	8,386	10,850	12,388	16,870	36,034	14,597	15,999
Operating profit	1,154	719	1,259	3,280	4,827	6,306	7,421	10,823	27,556	12,019	13,478
Pretax profit	1,267	1,031	1,494	2,933	4,768	6,489	8,025	12,352	28,786	11,979	13,935
Net income	887	711	958	1,916	2,901	4,162	5,305	8,172	19,186	7,916	9,567
EPS (NT$)	2.5	2.0	2.7	5.4	8.2	11.8	14.1	21.2	49.2	20.29	24.52
Margin %											
Gross margin	12.3%	11.9%	11.8%	15.7%	17.7%	19.4%	20.9%	23.5%	25.8%	29.8%	32.6%
Operating margin	4.3%	2.5%	3.4%	8.3%	10.2%	11.3%	12.5%	15.1%	19.7%	24.5%	27.4%
Pre-tax margin	4.7%	3.5%	4.1%	7.4%	10.1%	11.6%	13.6%	17.2%	20.6%	24.4%	28.4%
Net margin	3.3%	2.4%	2.6%	4.8%	6.1%	7.4%	9.0%	11.4%	13.7%	16.1%	19.5%

Source: BofA Global Research, TEJ, company data

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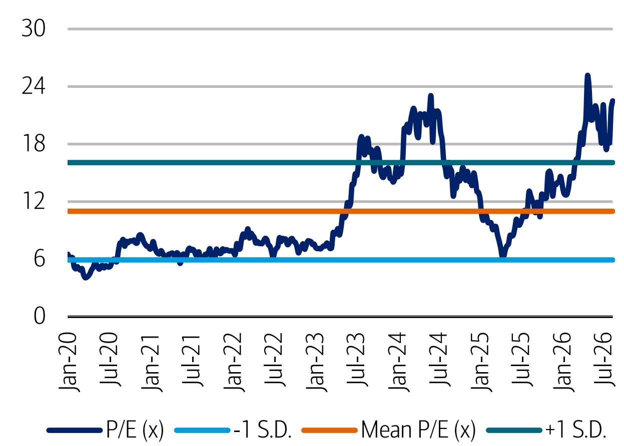
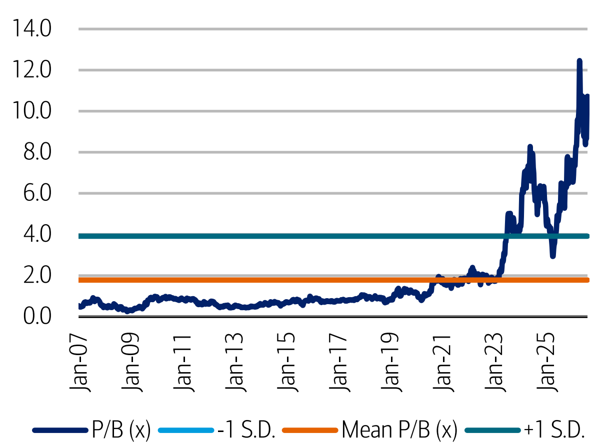
Exhibit 5: AVC's historical P/E trading average since 2020 is 11x
AVC's P/E trend and -1/+1 standard deviation since 2020



Source: BofA Global Research estimates, TEJ, Bloomberg

BofA GLOBAL RESEARCH

Exhibit 6: AVC's historical P/B trading average since 2005 is 1.8x
AVC's P/B trend and -1/+1 standard deviation since 2005



Source: BofA Global Research estimates, TEJ, Bloomberg

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Exhibit 5: We model 2026-28E sales/net income CAGR at 30%/31%

Quarterly earnings summary, 2025-28E

NT$mn	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	1Q28E	2Q28E	3Q28E	4Q28E	2025	2026E	2027E	2028E
Sales	49,038	49,121	57,107	67,722	69,009	72,120	79,516	87,713	87,232	90,053	96,883	103,848	139,639	222,988	308,358	378,016
Gross profit	14,597	15,999	18,834	22,533	22,277	23,388	26,061	28,905	28,744	29,716	32,274	34,719	36,034	71,963	100,631	125,453
Operating profit	12,019	13,478	15,693	18,741	17,999	18,988	21,290	23,774	23,335	24,133	26,461	28,800	27,556	59,930	82,051	102,729
Pretax profit	11,979	13,935	15,876	18,949	18,208	19,227	21,500	23,991	23,554	24,354	26,678	29,018	28,786	60,739	82,926	103,604
Net income	7,916	9,567	10,551	12,918	12,371	13,020	14,403	16,393	15,977	16,457	17,774	19,538	19,186	40,952	56,186	69,746
EPS (NT$)	20.29	24.52	27.04	33.10	31.70	33.37	36.91	42.01	40.94	42.17	45.55	50.07	49.17	104.95	143.99	178.74
Margin %																
Gross margin	29.8%	32.6%	33.0%	33.3%	32.3%	32.4%	32.8%	33.0%	33.0%	33.0%	33.3%	33.4%	25.8%	32.3%	32.6%	33.2%
Operating margin	24.5%	27.4%	27.5%	27.7%	26.1%	26.3%	26.8%	27.1%	26.8%	26.8%	27.3%	27.7%	19.7%	26.9%	26.6%	27.2%
Pretax margin	24.4%	28.4%	27.8%	28.0%	26.4%	26.7%	27.0%	27.4%	27.0%	27.0%	27.5%	27.9%	20.6%	27.2%	26.9%	27.4%
Net margin	16.1%	19.5%	18.5%	19.1%	17.9%	18.1%	18.1%	18.7%	18.3%	18.3%	18.3%	18.8%	13.7%	18.4%	18.2%	18.5%
QoQ %																
Sales	3%	0%	16%	19%	2%	5%	10%	10%	-1%	3%	8%	7%				
Gross profit	16%	10%	18%	20%	-1%	5%	11%	11%	-1%	3%	9%	8%				
Operating profit	20%	12%	16%	19%	-4%	5%	12%	12%	-2%	3%	10%	9%				
Pretax profit	19%	16%	14%	19%	-4%	6%	12%	12%	-2%	3%	10%	9%				
Net income	19%	21%	10%	22%	-4%	5%	11%	14%	-3%	3%	8%	10%				
YoY %																
Sales	110%	66%	47%	42%	41%	47%	39%	30%	26%	25%	22%	18%	95%	60%	38%	23%
Gross profit	142%	121%	85%	79%	53%	46%	38%	28%	29%	27%	24%	20%	114%	100%	40%	25%
Operating profit	176%	165%	94%	87%	50%	41%	36%	27%	30%	27%	24%	21%	155%	117%	37%	25%
Pretax profit	159%	136%	93%	88%	52%	38%	35%	27%	29%	27%	24%	21%	133%	111%	37%	25%
Net income	146%	139%	98%	95%	56%	36%	36%	27%	29%	26%	23%	19%	135%	113%	37%	24%

Source: BofA Global Research estimates, company data

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Exhibit 8: Acronyms

Acronyms used throughout the report

Acronym		Acronym		Acronym	
AI	Artificial Intelligence	EPS	Earnings Per Share	OPM	Operating Profit Margin
ASIC	Application-Specific Integrated Circuit	FX	Foreign Exchange	P/B	Price to Book
ASP	Average Selling Price	GM	Gross Margin	P/E	Price to Earnings
AWS	Amazon Web Services	GPU	Graphic Processing Unit	PC	Personal Computer
CAGR	Compound Annual Growth Rate	Mgmt.	Management	PO	Price Objective
Capex	Capital Expenditure	Non-op.	Non-operating	RHS	Right Hand Side
CDU	Coolant Distribution Unit	NVDA	Nvidia (NVDA US)	RMB	Renminbi (Chinese Yuan)
Cons	Consensus	NP	Net Profit	SD	Standard Deviation
CSP	Cloud Service Provider	NTD / NT$	New Taiwan Dollars	USD / US$	US Dollars
Diff.	Difference	OP	Operating Profit	VR	Vera Rubin

Source: BofA Global Research

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Price objective basis & risk

Asia Vital Components (AVMPF)

Our PO of NT$3,888 is based on 27x 2027E EPS. We use 27x P/E multiple (3SD above P/E average since 2020) in view of AVC's double-digit sales/EPS CAGR in 2026-28E. We believe AVC's leading position in thermal/cooling component market and strong AI market demand will drive rising liquid cooling sales mix and ASP/margin increase.

Upside risks to our PO are: (1) stronger demand in AI server, server, PC, smartphone, (2) better operating leverage with larger revenue scale, (3) less intensive competition, (4) faster product certification, (5) faster capacity expansion, (6) favorable FX movement (USD/RMB and/or USD/NTD) to help on GM and/or non-operating items.

Downside risks to our PO are: (1) softer AI server demand due to GPU/component shortage, (2) weaker server/PC/smartphone market demand amid inflation/macro uncertainties, (3) GM pressure due to higher material/labor/utility cost, (4) more intensive competition, (5) delayed product certification, (6) slower capacity expansion, (7) unfavorable FX movement (USD/RMB and/or USD/NTD) to weigh on GM and/or non-operating items.

Analyst Certification

I, Doris Kao, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

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APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	AAC Technologies	AACAF	2018 HK	Katherine Zhu
	Advantech	ADTEF	2395 TT	Robert Cheng

APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Asia Vital Components	AVMPF	3017 TT	Doris Kao
	BizLink	BIZLF	3665 TT	Doris Kao
	Chenbro	CEOMF	8210 TT	Doris Kao
	Cowell	CWLLF	1415 HK	Katherine Zhu
	Crystal-Optech	XMKAF	002273 CH	Katherine Zhu
	Delta Electronics (Thailand)	XLETF	DELTA TB	Suppapong Iemkongaek, CFA, CMT
	Delta Electronics Inc.	DLTEF	2308 TT	Robert Cheng
	Duksan Neolux	XDSXF	213420 KS	Simon Woo, CFA
	Dynamic Holding	XLHCF	3715 TT	Mike Yang
	E Ink Holdings	PVWIF	8069 TT	Doris Kao
	Elite Material	ETMCF	2383 TT	Mike Yang
	Foxconn Industrial Internet	XDAZF	601138 CH	Robert Cheng
	Goertek	XGKCF	002241 CH	Katherine Zhu
	Gold Circuit	GOCCF	2368 TT	Doris Kao
	Hana Microelectronics	XHNNF	HANA TB	Suppapong Iemkongaek, CFA, CMT
	Hon Hai Precision Industry	HNHAF	2317 TT	Robert Cheng
	Huaqin	XHUAF	603296 CH	Katherine Zhu
	Huaqin	XPEZF	3296 HK	Katherine Zhu
	ISU Petasys	IPTYF	007660 KS	Matt Shin
	Jentech	XVFSF	3653 TT	Doris Kao
	King Slide	KGSLF	2059 TT	Doris Kao
	Kingboard Laminates	KGBLF	1888 HK	Katherine Zhu
	Kinsus	KNSUF	3189 TT	Mike Yang
	Largan Precision	LGANF	3008 TT	Robert Cheng
	Lens Tech	XLTVF	6613 HK	Katherine Zhu
	LG CNS	XLGLF	064400 KS	Simon Woo, CFA
	LG Electronics	LGEAF	066570 KS	Simon Woo, CFA
	LG Innotek	XLGQF	011070 KS	Simon Woo, CFA
	Lotes	ZYZTF	3533 TT	Doris Kao
	Luxshare	XNJQF	002475 CH	Robert Cheng
	Netweb Technologies	XNTZF	NETWEB IN	Jatin Kalra, CFA
	NYPCB	NANYF	8046 TT	Mike Yang
	Quanta Computer	QUCPF	2382 TT	Robert Cheng
	Samsung Electro-Mechanics	SMSGF	009150 KS	Simon Woo, CFA
	Samsung SDI	SSDIF	006400 KS	Simon Woo, CFA
	Samsung SDS	XWPBF	018260 KS	Simon Woo, CFA
	Shennan Circuits	XAMKF	002916 CH	Katherine Zhu
	Taiwan Union Technology Corporation	TWUNF	6274 TT	Mike Yang
	Unimicron	UMCRF	3037 TT	Mike Yang
	Universal Display	OLED	OLED US	Simon Woo, CFA
	Victory Giant	XENEF	300476 CH	Katherine Zhu
	Wistron	WICOF	3231 TT	Doris Kao
	Wiwynn	XWIQF	6669 TT	Robert Cheng
	Xiaomi Corporation	XIACF	1810 HK	Robert Cheng
	Yageo	YGEQF	2327 TT	Robert Cheng
	Zhen Ding Tech	XFAGF	4958 TT	Doris Kao
	Zhongji Innolight	XZICF	300308 CH	Katherine Zhu
	ZTE Corporation	SHZZF	000063 CH	Katherine Zhu
	ZTE Corporation	ZTCOF	763 HK	Katherine Zhu
NEUTRAL				
	Asustek	AKCPF	2357 TT	Robert Cheng
	Auras Technology	AUTCF	3324 TT	Doris Kao
	BYD Electronic	BYDIF	285 HK	Katherine Zhu
	DS Precision	XBASF	002384 CH	Katherine Zhu
	Lenovo Group	LNVGF	992 HK	Robert Cheng
	Lenovo Group	LNVGY	LNVGY US	Robert Cheng
	Lite-On Tech	LOTZF	2301 TT	Doris Kao
	Sunny Optical	SNPTF	2382 HK	Katherine Zhu
UNDERPERFORM				
	Acer	ASIYF	2353 TT	Robert Cheng
	Catcher Tech	CHERF	2474 TT	Robert Cheng
	Compal Electron	XLCPF	2324 TT	Doris Kao
	Everwin Precision	XSHZF	300115 CH	Katherine Zhu
	Genius Electronic Optical	GNSEF	3406 TT	Robert Cheng

APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Lens Tech	XLTGF	300433 CH	Katherine Zhu
	LG Display	LPHLF	034220 KS	Simon Woo, CFA
	LG Display-ADR	LPL	LPL US	Simon Woo, CFA
	Lianchuang Electronic	XWOFF	002036 CH	Katherine Zhu
	Pegatron	PGTRF	4938 TT	Robert Cheng
	Sanan Opto	XEQYF	600703 CH	Katherine Zhu
	Seoul Semiconductor	SLSOF	046890 KS	Simon Woo, CFA
	Shengyi	DGUNF	600183 CH	Mike Yang
	Sunway Communications	XWSVF	300136 CH	Katherine Zhu
	Transsion	XCINF	688036 CH	Robert Cheng

*iQ*method[SM] Measures Definitions

Business Performance	Numerator	Denominator
Return On Capital Employed	NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization	Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill Amortization
Return On Equity	Net Income	Shareholders' Equity
Operating Margin	Operating Profit	Sales
Earnings Growth	Expected 5 Year CAGR From Latest Actual	N/A
Free Cash Flow	Cash Flow From Operations – Total Capex	N/A
Quality of Earnings	**Numerator**	**Denominator**
Cash Realization Ratio	Cash Flow From Operations	Net Income
Asset Replacement Ratio	Capex	Depreciation
Tax Rate	Tax Charge	Pre-Tax Income
Net Debt-To-Equity Ratio	Net Debt = Total Debt – Cash & Equivalents	Total Equity
Interest Cover	EBIT	Interest Expense
Valuation Toolkit	**Numerator**	**Denominator**
Price / Earnings Ratio	Current Share Price	Diluted Earnings Per Share (Basis As Specified)
Price / Book Value	Current Share Price	Shareholders' Equity / Current Basic Shares
Dividend Yield	Annualised Declared Cash Dividend	Current Share Price
Free Cash Flow Yield	Cash Flow From Operations – Total Capex	Market Cap = Current Share Price × Current Basic Shares
Enterprise Value / Sales	EV = Current Share Price × Current Shares + Minority Equity + Net Debt + Other LT Liabilities	Sales
EV / EBITDA	Enterprise Value	Basic EBIT + Depreciation + Amortization

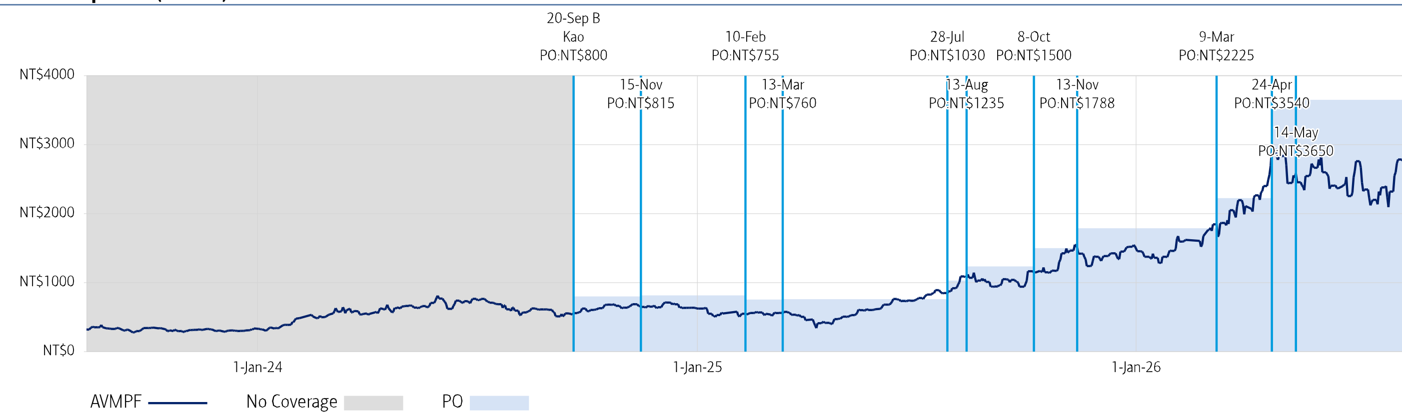
iQmethod[SM] is the set of BofA Global Research standard measures that serve to maintain global consistency under three broad headings: Business Performance, Quality of Earnings, and validations. The key features of iQmethod are: A consistently structured, detailed, and transparent methodology. Guidelines to maximize the effectiveness of the comparative valuation process, and to identify some common pitfalls.

iQdatabase® is our real-time global research database that is sourced directly from our equity analysts' earnings models and includes forecasted as well as historical data for income statements, balance sheets, and cash flow statements for companies covered by BofA Global Research.

Disclosures

Important Disclosures

Asia Vital Component (AVMPF) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

Equity Investment Rating Distribution: Technology Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	243	60.60%	Buy	123	50.62%
Hold	87	21.70%	Hold	45	51.72%
Sell	71	17.71%	Sell	21	29.58%

Equity Investment Rating Distribution: Global Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	1987	56.11%	Buy	1190	59.89%
Hold	797	22.51%	Hold	496	62.23%
Sell	757	21.38%	Sell	391	51.65%

[R1] Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster[R2]
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

[R2] Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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Gold Circuit

2Q26 lighter GM/OPM; still intact sales/GM growth from 3Q26; new PO NT$1,500, Buy

Reiterate Rating: BUY | PO: 1,500 TWD | Price: 964.00 TWD

12 August 2026

Equity

Key Changes

(NT$)	Previous	Current
Price Obj.	1,810.00	1,500.00
2026E EPS	37.83	41.34
2027E EPS	56.55	59.99
2028E EPS	74.71	79.25
2026E EBITDA (m)	29,608.2	31,063.6
2027E EBITDA (m)	44,355.4	44,943.4
2028E EBITDA (m)	57,936.8	58,701.4

Lighter GM/OPM in 2Q: higher material/depreciation costs

Gold Circuit's (GCE) 2Q26 OP was 3% above BofAe but 2% below consensus. GM/OPM of 34.7%/26.4% came in below BofAe of 35.8%/27.4% and consensus of 36.0%/28.1%. We believe the margin outcome reflected larger sales scale (+26% QoQ, +75% YoY; 7%/5% above BofAe/consensus), still favorable mix (server/networking accounted for 78%/15% of 2Q26 sales, vs. 72%/20% in 1Q26 and 74%/13% in 2Q25), and higher material/depreciation costs. NP was 13%/8% above BofAe/consensus (Exhibit 3), thanks to a lower tax rate, despite a non-operating loss (details to be disclosed),

Still intact sales/GM growth from 3Q but HDI likely for T4

We now expect 3Q/4Q26 sales +28%/+1% QoQ (taking 2026E sales +77% YoY) and 2027/28E sales +37%/+26% YoY, driven by new ASIC platform launches, ASP growth from server spec upgrades, and ongoing capacity expansion in Taiwan/Thailand/China. We also expect GM to increase QoQ from 3Q26 as higher material costs are passed through. Looking ahead to AWS Trainium 4 generation, we believe GCE will remain a key AWS supplier. However, our latest check suggests that HDI technology will likely be used for Trainium 4, vs. GCE's current focus on multi-layer board products. We thus adopt more conservative GM assumptions to reflect 1) potentially higher upfront/production costs to make HDI boards and 2) higher depreciation costs from building more new sites.

Lower PO to NT$1,500 but reiterate Buy

We lift 2026-28E EPS by 6-9% mainly to reflect 2Q26 results, still solid sales/margin growth riding on the AI upcycle, and a lower tax rate (29% guidance vs. 32% earlier). We trim PO to NT$1,500 (25x 2027E EPS) from NT$1,810 (32x 2027E EPS), reflecting an unchanged valuation base but lower P/E multiple. We use 25x (2.5SD above P/E average since 2020, vs. prior 32x historical high) on slow margin expansion pace. Nevertheless, we continue to like GCE as a top ASIC server PCB maker amid strong AI demand, all-time focus on high-end AI server/networking PCBs, expanding margins. Reiterate Buy.

Estimates (Dec) (NT$)	2024A	2025A	2026E	2027E	2028E
Net Income (Adjusted - mn)	5,629	9,593	20,551	29,820	39,392
EPS	11.57	19.46	41.34	59.99	79.25
EPS Change (YoY)	61.2%	68.2%	112.5%	45.1%	32.1%
Dividend / Share	6.00	10.00	14.47	18.00	23.78
Free Cash Flow / Share	1.02	(9.08)	8.97	29.33	54.04
Valuation (Dec)					
P/E	83.35x	49.55x	23.32x	16.07x	12.16x
Dividend Yield	0.622%	1.04%	1.50%	1.87%	2.47%
EV / EBITDA*	54.69x	32.68x	16.14x	11.16x	8.54x
Free Cash Flow Yield*	0.099%	-0.898%	0.894%	2.92%	5.39%

* For full definitions of *iQmethod*SM measures, see page 7.

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Stock Data

Price	964.00 TWD
Price Objective	1,500 TWD
Date Established	12-Aug-2026
Investment Opinion	C-1-7
52-Week Range	388.50 TWD-1,580 TWD
Mrkt Val / Shares Out (mn)	15,477 USD / 517.0
Market Value (mn)	498,433 TWD
Average Daily Value (mn)	203.79 USD
Free Float	58.4%
BofA Ticker / Exchange	GOCCF / TAI
Bloomberg / Reuters	2368 TT / 2368.TW
ROE (2026E)	49.8%
Net Dbt to Eqty (Dec-2025A)	-25.2%

Acronyms, see Exhibit 10

iQprofile℠ Gold Circuit

Key Income Statement Data (Dec)	2024A	2025A	2026E	2027E	2028E
(NT$ Millions)					
Sales	38,952	60,004	106,251	145,868	183,722
Gross Profit	11,396	19,683	37,703	52,828	67,518
Sell General & Admin Expense	(2,341)	(4,397)	(6,604)	(8,463)	(9,291)
Operating Profit	8,081	14,030	29,094	42,044	55,570
Net Interest & Other Income	423	130	(96)	103	102
Associates	NA	NA	NA	NA	NA
Pretax Income	8,504	14,160	28,998	42,147	55,672
Tax (expense) / Benefit	(2,875)	(4,567)	(8,448)	(12,326)	(16,281)
Net Income (Adjusted)	5,629	9,593	20,551	29,820	39,392
Average Fully Diluted Shares Outstanding	487	493	497	497	497
Key Cash Flow Statement Data					
Net Income	5,629	9,593	20,551	29,820	39,392
Depreciation & Amortization	1,089	1,316	1,969	2,900	3,132
Change in Working Capital	(2,351)	(12,686)	(7,663)	(13,143)	(11,660)
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	1,259	4,036	0	0	0
Cash Flow from Operations	5,625	2,259	14,857	19,577	30,863
Capital Expenditure	(5,131)	(6,733)	(10,400)	(5,000)	(4,000)
(Acquisition) / Disposal of Investments	0	0	0	0	0
Other Cash Inflow / (Outflow)	(74)	(300)	0	0	0
Cash Flow from Investing	(5,205)	(7,033)	(10,400)	(5,000)	(4,000)
Shares Issue / (Repurchase)	0	0	0	0	0
Cost of Dividends Paid	(1,703)	(2,920)	(4,931)	(7,193)	(8,946)
Cash Flow from Financing	323	13,241	(4,931)	(7,193)	(8,946)
Free Cash Flow	495	(4,475)	4,457	14,577	26,863
Net Debt	(5,448)	(8,429)	(7,955)	(15,340)	(33,256)
Change in Net Debt	(1,444)	(8,930)	474	(7,385)	(17,916)
Key Balance Sheet Data					
Property, Plant & Equipment	11,635	17,840	26,271	28,371	29,240
Other Non-Current Assets	1,476	1,569	1,569	1,569	1,569
Trade Receivables	13,401	27,001	34,344	48,129	60,002
Cash & Equivalents	9,185	18,114	17,641	25,025	42,942
Other Current Assets	8,888	11,222	17,601	22,599	28,336
Total Assets	44,584	75,746	97,426	125,694	162,088
Long-Term Debt	1,015	3,749	3,749	3,749	3,749
Other Non-Current Liabilities	5,288	10,963	10,963	10,963	10,963
Short-Term Debt	2,722	5,937	5,937	5,937	5,937
Other Current Liabilities	14,247	21,617	27,676	33,316	39,266
Total Liabilities	23,272	42,265	48,325	53,965	59,914
Total Equity	21,312	33,481	49,101	71,729	102,174
Total Equity & Liabilities	44,584	75,746	97,426	125,694	162,088
iQ*method℠ - Bus Performance					
Return On Capital Employed	20.7%	22.9%	33.7%	37.0%	36.8%
Return On Equity	29.5%	35.0%	49.8%	49.4%	45.3%
Operating Margin	20.7%	23.4%	27.4%	28.8%	30.2%
EBITDA Margin	23.5%	25.6%	29.2%	30.8%	32.0%
iQ*method℠ - Quality of Earnings					
Cash Realization Ratio	1.0x	0.2x	0.7x	0.7x	0.8x
Asset Replacement Ratio	4.9x	5.2x	5.3x	1.7x	1.3x
Tax Rate (Reported)	33.8%	32.3%	29.1%	29.2%	29.2%
Net Debt-to-Equity Ratio	-25.6%	-25.2%	-16.2%	-21.4%	-32.5%
Interest Cover	48.0x	NM	NM	NM	NM

Key Metrics

* For full definitions of *iQmethod*℠ measures, see page 7.

Company Sector

Electronics

Company Description

Gold Circuit (GCE) is a PCB company in Taiwan with high exposure in server (74% of 2025 sales) and networking (15%). Key end-clients are global CSPs and US top networking/telecom names. Besides its headquarters, the company has production sites in Taoyuan (Taiwan), Suzhou (China), Jiangsu (China), and Thailand, with ongoing capacity expansion. GCE was established in 1981 and listed on the Taiwan stock market in March 1998.

Investment Rationale

We have a Buy rating on Gold Circuit, given (1) its high exposure and focus on better-margin server/networking business amid rising AI applications globally to keep high ASP/margin, (2) strong competitive advantages and high entry barrier as focusing on high-end products, (3) higher production flexibility after adding capacity in Thailand, (4) positive FCF/OCF since 2007/2019, respectively, with an improving balance sheet (from net debt to net cash) and expanding ROE.

Stock Data

Price to Book Value	10.2x

Exhibit 1: Lift our 2026-28E EPS by 6-9%
Earnings estimates revision summary, 2026-28

	BofA 2026E			BofA 2027E			BofA 2028E		
NT$mn	**New**	**Old**	**Diff (%)**	**New**	**Old**	**Diff (%)**	**New**	**Old**	**Diff (%)**
Sales	106,251	98,522	8%	145,868	137,518	6%	183,722	173,922	6%
Gross profit	37,703	35,508	6%	52,828	50,880	4%	67,518	65,728	3%
Operating profit	29,094	27,639	5%	42,044	41,456	1%	55,570	54,805	1%
Pretax profit	28,998	27,724	5%	42,147	41,559	1%	55,672	54,908	1%
Net income	20,551	18,804	9%	29,820	28,109	6%	39,392	37,137	6%
EPS (NT$)	41.34	37.83	9%	59.99	56.55	6%	79.25	74.71	6%
Margin %									
Gross margin	35.5%	36.0%		36.2%	37.0%		36.8%	37.8%	
Operating margin	27.4%	28.1%		28.8%	30.1%		30.2%	31.5%	
Pre-tax margin	27.3%	28.1%		28.9%	30.2%		30.3%	31.6%	
Net margin	19.3%	19.1%		20.4%	20.4%		21.4%	21.4%	

Source: BofA Global Research estimates

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Exhibit 2: Our 2026E EPS is 7% above consensus while 2027-28E EPS is 4-14% below consensus
BofAe vs. consensus in 2026-28

	2026E			2027E			2028E		
NT$mn	**BofAe**	**Consensus**	**Diff (%)**	**BofAe**	**Consensus**	**Diff (%)**	**BofAe**	**Consensus**	**Diff (%)**
Sales	106,251	99,504	7%	145,868	142,210	3%	183,722	180,508	2%
Gross profit	37,703	36,167	4%	52,828	54,469	-3%	67,518	69,633	-3%
Operating profit	29,094	28,870	1%	42,044	46,773	-10%	55,570	65,013	-15%
Pretax profit	28,998	28,760	1%	42,147	46,546	-9%	55,672	61,567	-10%
Net income	20,551	19,614	5%	29,820	31,740	-6%	39,392	46,213	-15%
EPS (NT$)	41.34	38.61	7%	59.99	62.51	-4%	79.25	91.75	-14%
Margin %									
Gross margin	35.5%	36.3%		36.2%	38.3%		36.8%	38.6%	
Operating margin	27.4%	29.0%		28.8%	32.9%		30.2%	36.0%	
Pre-tax margin	27.3%	28.9%		28.9%	32.7%		30.3%	34.1%	
Net margin	19.3%	19.7%		20.4%	22.3%		21.4%	25.6%	

Source: BofA Global Research estimates, Bloomberg consensus

BofA GLOBAL RESEARCH

Exhibit 3: 2Q26 operating income was 3% above BofAe, but 2% below consensus; net income was 13%/8% above BofAe/consensus
2Q26 results summary

NT$mn	**2Q26P**	**QoQ %**	**YoY %**	**BofAe**	**Diff (%)**	**Consensus**	**Diff (%)**	**1Q26**	**2Q25**
Sales	24,279	26%	75%	22,641	7%	23,182	5%	19,313	13,853
Gross profit	8,413	25%	105%	8,114	4%	8,349	1%	6,722	4,095
Operating profit	6,412	24%	124%	6,212	3%	6,516	-2%	5,190	2,864
Pretax profit	6,294	24%	151%	6,275	0%	6,541	-4%	5,093	2,506
Net income	4,778	37%	183%	4,236	13%	4,413	8%	3,489	1,691
EPS (NT$)	9.61	37%	180%	8.52	13%	8.82	9%	7.02	3.43
Margin %									
Gross margin	34.7%	-0.2 ppt	5.1 ppt	35.8%	-1.2 ppt	36.0%	-1.4 ppt	34.8%	29.6%
Operating margin	26.4%	-0.5 ppt	5.7 ppt	27.4%	-1.0 ppt	28.1%	-1.7 ppt	26.9%	20.7%
Pre-tax margin	25.9%	-0.4 ppt	7.8 ppt	27.7%	-1.8 ppt	28.2%	-2.3 ppt	26.4%	18.1%
Net margin	19.7%	1.6 ppt	7.5 ppt	18.7%	1.0 ppt	19.0%	0.6 ppt	18.1%	12.2%

Source: BofA Global Research estimates, company data, Bloomberg consensus. P: preliminary

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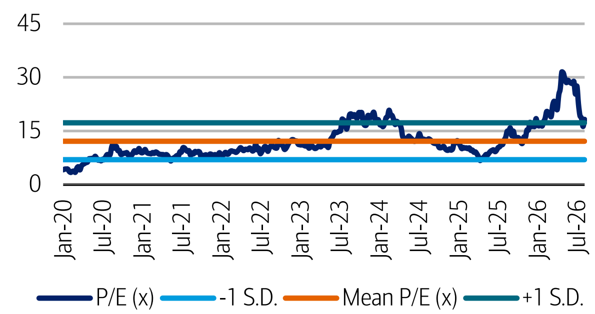
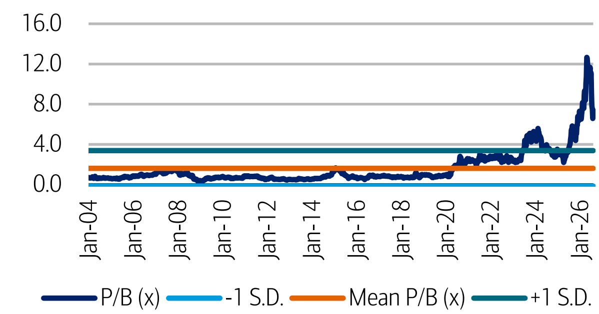
Exhibit 4: GCE's historical P/E trading average since 2020 is 12x
GCE's P/E trend and -1/+1 standard deviation since 2020



Source: BofA Global Research estimates, TEJ, Bloomberg

BofA GLOBAL RESEARCH

Exhibit 5: GCE's historical P/B trading average since 2004 is 1.6x
GCE's P/B trend and -1/+1 standard deviation since 2004



Source: BofA Global Research estimates, TEJ, Bloomberg

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Exhibit 4: We model 2026-28E sales/net income CAGR at 31%/38%
Quarterly earnings estimate summary, 2025-28E

NT$mn	1Q26	2Q26P	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	1Q28E	2Q28E	3Q28E	4Q28E	2025	2026E	2027E	2028E
Sales	19,313	24,279	31,171	31,488	32,583	35,314	38,494	39,477	40,532	44,972	48,556	49,663	60,004	106,251	145,868	183,722
Gross profit	6,722	8,413	11,193	11,375	11,723	12,759	13,981	14,364	14,698	16,471	17,960	18,389	19,683	37,703	52,828	67,518
Operating profit	5,190	6,412	8,668	8,824	9,084	10,111	11,248	11,600	11,861	13,548	14,901	15,260	14,030	29,094	42,044	55,570
Pretax profit	5,093	6,294	8,727	8,884	9,095	10,142	11,278	11,631	11,872	13,578	14,931	15,290	14,160	28,998	42,147	55,672
Net income	3,489	4,778	6,109	6,174	6,412	7,201	8,008	8,200	8,370	9,641	10,601	10,780	9,593	20,551	29,820	39,392
EPS (NT$)	7.02	9.61	12.29	12.42	12.90	14.49	16.11	16.50	16.84	19.40	21.33	21.69	19.46	41.34	59.99	79.25
Margin %																
Gross margin	34.8%	34.7%	35.9%	36.1%	36.0%	36.1%	36.3%	36.4%	36.3%	36.6%	37.0%	37.0%	32.8%	35.5%	36.2%	36.8%
Operating margin	26.9%	26.4%	27.8%	28.0%	27.9%	28.6%	29.2%	29.4%	29.3%	30.1%	30.7%	30.7%	23.4%	27.4%	28.8%	30.2%
Pretax margin	26.4%	25.9%	28.0%	28.2%	27.9%	28.7%	29.3%	29.5%	29.3%	30.2%	30.8%	30.8%	23.6%	27.3%	28.9%	30.3%
Net margin	18.1%	19.7%	19.6%	19.6%	19.7%	20.4%	20.8%	20.8%	20.6%	21.4%	21.8%	21.7%	16.0%	19.3%	20.4%	21.4%
QoQ %																
Sales	18%	26%	28%	1%	3%	8%	9%	3%	3%	11%	8%	2%				
Gross profit	22%	25%	33%	2%	3%	9%	10%	3%	2%	12%	9%	2%				
Operating profit	31%	24%	35%	2%	3%	11%	11%	3%	2%	14%	10%	2%				
Pretax profit	20%	24%	39%	2%	2%	12%	11%	3%	2%	14%	10%	2%				
Net income	20%	37%	28%	1%	4%	12%	11%	2%	2%	15%	10%	2%				
YoY %																
Sales	60%	75%	76%	92%	69%	45%	23%	25%	24%	27%	26%	26%	54%	77%	37%	26%
Gross profit	78%	105%	78%	106%	74%	52%	25%	26%	25%	29%	28%	28%	73%	92%	40%	28%
Operating profit	102%	124%	87%	123%	75%	58%	30%	31%	31%	34%	32%	32%	74%	107%	45%	32%
Pretax profit	90%	151%	85%	109%	79%	61%	29%	31%	31%	34%	32%	31%	67%	105%	45%	32%
Net income	96%	183%	89%	113%	84%	51%	31%	33%	31%	34%	32%	31%	70%	114%	45%	32%

Source: BofA Global Research estimates, company data

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Exhibit 10: Acronyms
Acronyms and the corresponding full forms used in the report

Acronym		Acronym		Acronym	
AI	Artificial Intelligence	FAMG	Meta (Facebook), Amazon, Microsoft, Google	P/B	Price to Book
ASIC	Application-Specific Integrated Circuit	FX	Foreign Exchange	P/E	Price to Earnings
ASP	Average Selling Price	GM	Gross Margin	PCB	Printed Circuit Board
AWS	Amazon Web Service	HDI	High Density Interconnect	PO	Price Objective
CAGR	Compound Annual Growth Rate	NP	Net Profit	RHS	Right Hand Side
CSP	Cloud Service Provider	NT$ / NTD	New Taiwan Dollar	ROE	Return on Equity
EPS	Earnings Per Share	OCF	Operating Cashflow	SD	Standard Deviation
FCF	Free Cashflow	OPM	Operating Profit Margin	US$ / USD	US Dollar

Source: BofA Global Research

BofA GLOBAL RESEARCH

Price objective basis & risk

Gold Circuit (GOCCF)

Our PO of NT$1,500 is based on 25x 2027E EPS. Our 25x valuation multiple (2.5SD above historical average since 2020 when 50%+ of sales from server) is similar to the average of its closest AI PCB peers' P/E multiple targets we set given (1) strong AI PCB market demand, (2) GCE's high AI server exposure, (3) solid sales mix from better-margin server/networking business, and (4) ongoing margin expansion to historical high level.

Upside risks: (1) stronger server/networking market demand to drive ASP/margins, (2) better utilization rate, (3) faster capacity expansion in Thailand, (4) lower raw material/labor/logistics costs, and (5) favorable FX movement.

Downside risks: (1) ASIC platform delay, (2) weaker market demand amid inflation/macro uncertainties, (3) softer AI server demand due to AI chip short supply, (4) GM pressure from lower utilization rate, higher raw material/labor/logistics costs, and (5) unfavorable FX movement.

Analyst Certification

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APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	AAC Technologies	AACAF	2018 HK	Katherine Zhu
	Advantech	ADTEF	2395 TT	Robert Cheng
	Asia Vital Components	AVMPF	3017 TT	Doris Kao
	BizLink	BIZLF	3665 TT	Doris Kao
	Chenbro	CEOMF	8210 TT	Doris Kao

APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Cowell	CWLLF	1415 HK	Katherine Zhu
	Crystal-Optech	XMKAF	002273 CH	Katherine Zhu
	Delta Electronics (Thailand)	XLETF	DELTA TB	Suppapong Iemkongaek, CFA, CMT
	Delta Electronics Inc.	DLTEF	2308 TT	Robert Cheng
	Duksan Neolux	XDSXF	213420 KS	Simon Woo, CFA
	Dynamic Holding	XLHCF	3715 TT	Mike Yang
	E Ink Holdings	PVWIF	8069 TT	Doris Kao
	Elite Material	ETMCF	2383 TT	Mike Yang
	Foxconn Industrial Internet	XDAZF	601138 CH	Robert Cheng
	Goertek	XGKCF	002241 CH	Katherine Zhu
	Gold Circuit	GOCCF	2368 TT	Doris Kao
	Hana Microelectronics	XHNNF	HANA TB	Suppapong Iemkongaek, CFA, CMT
	Hon Hai Precision Industry	HNHAF	2317 TT	Robert Cheng
	Huaqin	XHUAF	603296 CH	Katherine Zhu
	Huaqin	XPEZF	3296 HK	Katherine Zhu
	ISU Petasys	IPTYF	007660 KS	Matt Shin
	Jentech	XVFSF	3653 TT	Doris Kao
	King Slide	KGSLF	2059 TT	Doris Kao
	Kinsus	KNSUF	3189 TT	Mike Yang
	Largan Precision	LGANF	3008 TT	Robert Cheng
	Lens Tech	XLTVF	6613 HK	Katherine Zhu
	LG CNS	XLGLF	064400 KS	Simon Woo, CFA
	LG Electronics	LGEAF	066570 KS	Simon Woo, CFA
	LG Innotek	XLGQF	011070 KS	Simon Woo, CFA
	Lotes	ZYZTF	3533 TT	Doris Kao
	Luxshare	XNJQF	002475 CH	Robert Cheng
	Netweb Technologies	XNTZF	NETWEB IN	Jatin Kalra, CFA
	NYPCB	NANYF	8046 TT	Mike Yang
	Quanta Computer	QUCPF	2382 TT	Robert Cheng
	Samsung Electro-Mechanics	SMSGF	009150 KS	Simon Woo, CFA
	Samsung SDI	SSDIF	006400 KS	Simon Woo, CFA
	Samsung SDS	XWPBF	018260 KS	Simon Woo, CFA
	Shennan Circuits	XAMKF	002916 CH	Katherine Zhu
	Taiwan Union Technology Corporation	TWUNF	6274 TT	Mike Yang
	Unimicron	UMCRF	3037 TT	Mike Yang
	Universal Display	OLED	OLED US	Simon Woo, CFA
	Victory Giant	XENEF	300476 CH	Katherine Zhu
	Wistron	WICOF	3231 TT	Doris Kao
	Wiwynn	XWIQF	6669 TT	Robert Cheng
	Xiaomi Corporation	XIACF	1810 HK	Robert Cheng
	Yageo	YGEQF	2327 TT	Robert Cheng
	Zhen Ding Tech	XFAGF	4958 TT	Doris Kao
	Zhongji Innolight	XZICF	300308 CH	Katherine Zhu
	ZTE Corporation	SHZZF	000063 CH	Katherine Zhu
	ZTE Corporation	ZTCOF	763 HK	Katherine Zhu
NEUTRAL				
	Asustek	AKCPF	2357 TT	Robert Cheng
	Auras Technology	AUTCF	3324 TT	Doris Kao
	BYD Electronic	BYDIF	285 HK	Katherine Zhu
	DS Precision	XBASF	002384 CH	Katherine Zhu
	Lenovo Group	LNVGF	992 HK	Robert Cheng
	Lenovo Group	LNVGY	LNVGY US	Robert Cheng
	Lite-On Tech	LOTZF	2301 TT	Doris Kao
	Sunny Optical	SNPTF	2382 HK	Katherine Zhu
UNDERPERFORM				
	Acer	ASIYF	2353 TT	Robert Cheng
	Catcher Tech	CHERF	2474 TT	Robert Cheng
	Compal Electron	XLCPF	2324 TT	Doris Kao
	Everwin Precision	XSHZF	300115 CH	Katherine Zhu
	Genius Electronic Optical	GNSEF	3406 TT	Robert Cheng
	Lens Tech	XLTGF	300433 CH	Katherine Zhu
	LG Display	LPHLF	034220 KS	Simon Woo, CFA
	LG Display-ADR	LPL	LPL US	Simon Woo, CFA
	Lianchuang Electronic	XWOFF	002036 CH	Katherine Zhu

APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Pegatron	PGTRF	4938 TT	Robert Cheng
	Sanan Opto	XEQYF	600703 CH	Katherine Zhu
	Seoul Semiconductor	SLSOF	046890 KS	Simon Woo, CFA
	Shengyi	DGUNF	600183 CH	Mike Yang
	Sunway Communications	XWSVF	300136 CH	Katherine Zhu
	Transsion	XCINF	688036 CH	Robert Cheng

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Business Performance	Numerator	Denominator
Return On Capital Employed	NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization	Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill Amortization
Return On Equity	Net Income	Shareholders' Equity
Operating Margin	Operating Profit	Sales
Earnings Growth	Expected 5 Year CAGR From Latest Actual	N/A
Free Cash Flow	Cash Flow From Operations – Total Capex	N/A

Quality of Earnings	Numerator	Denominator
Cash Realization Ratio	Cash Flow From Operations	Net Income
Asset Replacement Ratio	Capex	Depreciation
Tax Rate	Tax Charge	Pre-Tax Income
Net Debt-To-Equity Ratio	Net Debt = Total Debt – Cash & Equivalents	Total Equity
Interest Cover	EBIT	Interest Expense

Valuation Toolkit	Numerator	Denominator
Price / Earnings Ratio	Current Share Price	Diluted Earnings Per Share (Basis As Specified)
Price / Book Value	Current Share Price	Shareholders' Equity / Current Basic Shares
Dividend Yield	Annualised Declared Cash Dividend	Current Share Price
Free Cash Flow Yield	Cash Flow From Operations – Total Capex	Market Cap = Current Share Price × Current Basic Shares
Enterprise Value / Sales	EV = Current Share Price × Current Shares + Minority Equity + Net Debt + Other LT Liabilities	Sales
EV / EBITDA	Enterprise Value	Basic EBIT + Depreciation + Amortization

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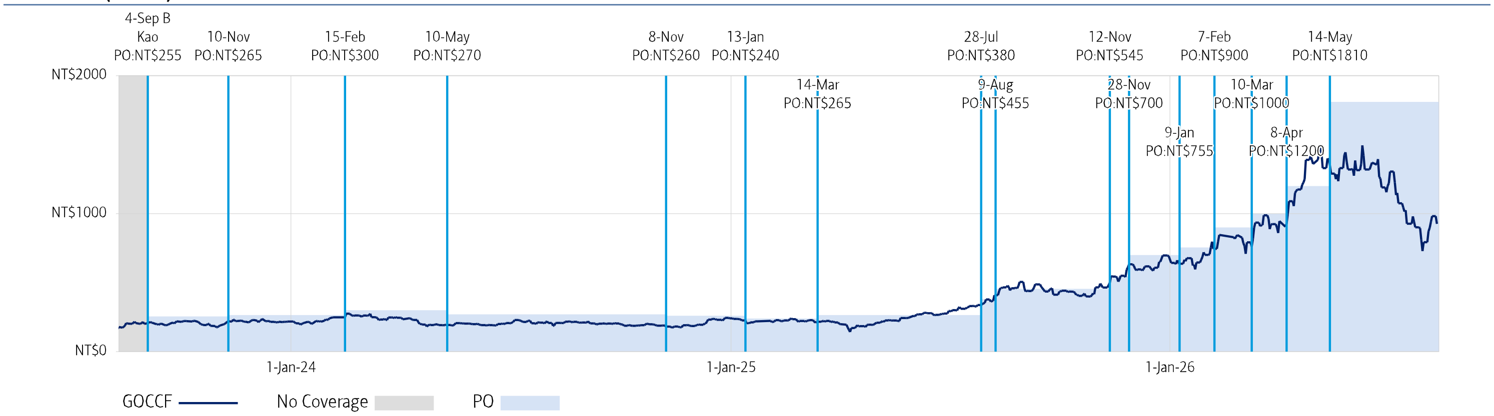
Disclosures

Important Disclosures

Gold Circuit (GOCCF) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

Equity Investment Rating Distribution: Electronics Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	34	55.74%	Buy	16	47.06%
Hold	10	16.39%	Hold	3	30.00%
Sell	17	27.87%	Sell	6	35.29%

Equity Investment Rating Distribution: Global Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	1987	56.11%	Buy	1190	59.89%
Hold	797	22.51%	Hold	496	62.23%
Sell	757	21.38%	Sell	391	51.65%

[R1] Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster[R2]
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

[R2]Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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Hon Hai Precision Industry

Buy: 2Q delivers a beat with solid margins; strong AI server outlook; lift PO to NT$320

Reiterate Rating: BUY | PO: 320.00 TWD | Price: 270.00 TWD

12 August 2026

Equity

2Q26 beat: larger scale and better margins driven by AI

Hon Hai (HH)'s 2Q OP (+11% QoQ, +104% YoY) was 33%/18% above BofAe/consensus, supported by larger sales scale (7%/5% above BofAe/consensus) and a favorable mix. Cloud and networking accounted for 51% of 2Q26 sales, vs. 48%/41% in 1Q26/2Q25. Thus, GM/OPM of 6.12%/3.75% came in above BofAe of 6.08%/3.03% and consensus of 6.05%/3.34%. 2Q26 OPM came in above HH's target of 3.20%+. With a small non-op. gain of NT$63mn, NP (+33% QoQ, +42% YoY) was 13%/4% above BofAe/consensus.

Server business as a key bright spot at 2Q26 earnings call

Mgmt. guided 3Q26 sales will rise 4-15% QoQ (BofAe: +11% QoQ, +36% YoY), mainly led by cloud and networking business. Mgmt. is positive on the AI server outlook in 2026 and expects rapid sales growth from cloud and networking business. Mgmt. guided AI server rack shipments will grow high-double-digit% QoQ in 3Q26 and kept the full-year growth target of more-than-doubled YoY unchanged. Mgmt. expects the Nvidia GB300 product momentum to last till 2027 and Vera Rubin to start shipment from 4Q26. For ASIC (mainly under consignment business model), HH expects rising shipment and share from 2H26. Mgmt. targets 50%+ share in AI server market, vs. 40%+ now, and expects sales from general/CPU server to grow QoQ in 3Q/4Q26 with above industry levels.

Buy: accelerating sales/earnings led by AI; new PO NT$320

We lift our 2026-28E EPS by 1-4%, mainly to reflect the latest guidance and higher sales driven by AI server. We raise our PO to NT$320 (15x 4Q26-3Q27E EPS) from NT$305 (15x 2H26-1H27E EPS), with the valuation base rollover but the multiple remains unchanged. We reiterate Buy on Hon Hai in view of solid sales/earnings growth, driven by robust AI server momentum, and the company's execution in sustaining OPM (despite the market's ongoing concerns about margin dilution from AI server rack business), thanks to rising sales scale and ongoing component value growth.

Estimates (Dec) (NT$)	2024A	2025A	2026E	2027E	2028E
Net Income (Adjusted - mn)	152,705	189,354	256,602	304,563	358,129
EPS	11.01	13.61	18.44	21.88	25.73
EPS Change (YoY)	7.4%	23.6%	35.5%	18.7%	17.6%
Consensus EPS (Visible Alpha)			17.80	22.16	25.00
Dividend / Share	5.8	7.2	9.2	10.9	12.9
Free Cash Flow / Share	2.14	3.81	(23.21)	(0.567)	7.94
Valuation (Dec)					
P/E	24.53x	19.85x	14.64x	12.34x	10.49x
Dividend Yield	2.1%	2.7%	3.4%	4.1%	4.8%
EV / EBITDA*	16.33x	13.16x	10.64x	9.20x	7.68x
Free Cash Flow Yield*	0.8%	1.4%	-8.5%	-0.2%	2.9%

* For full definitions of *iQmethod*SM measures, see page 7.

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Key Changes

(NT$)	Previous	Current
Price Obj.	305.00	320.00
2026E EPS	17.8	18.4
2027E EPS	21.8	21.9
2028E EPS	25.4	25.7
2026E EBITDA (m)	403,504	436,981
2027E EBITDA (m)	493,815	505,373
2028E EBITDA (m)	592,527	605,453

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Stock Data

Price	270.00 TWD
Price Objective	320.00 TWD
Date Established	12-Aug-2026
Investment Opinion	C-1-7
52-Week Range	187.50 TWD-314.00 TWD
Mrkt Val / Shares Out (mn)	117,315 USD / 14,028.6
Market Value (mn)	3,787,735 TWD
Average Daily Value (mn)	447.09 USD
Free Float	85.8%
BofA Ticker / Exchange	HNHAF / TAI
Bloomberg / Reuters	2317 TT / 2317.TW
ROE (2026E)	13.8%
Net Dbt to Eqty (Dec-2025A)	-7.8%

Acronyms, see Exhibit 7

iQprofile[SM] Hon Hai Precision Industry

Key Income Statement Data (Dec)	2024A	2025A	2026E	2027E	2028E
(NT$ Millions)					
Sales	6,859,615	8,103,105	10,799,984	12,928,925	14,816,549
Gross Profit	428,946	498,161	655,290	770,436	877,929
Sell General & Admin Expense	(112,567)	(117,233)	(136,090)	(168,500)	(185,511)
Operating Profit	200,607	259,223	370,978	413,661	481,335
Net Interest & Other Income	11,268	34,222	8,171	18,876	22,556
Associates	NA	NA	NA	NA	NA
Pretax Income	211,875	293,445	379,149	432,537	503,891
Tax (expense) / Benefit	(40,196)	(78,410)	(92,427)	(103,974)	(121,762)
Net Income (Adjusted)	152,705	189,354	256,602	304,563	358,129
Average Fully Diluted Shares Outstanding	13,874	13,918	13,918	13,918	13,918
Key Cash Flow Statement Data					
Net Income	152,705	189,354	256,602	304,563	358,129
Depreciation & Amortization	84,290	94,198	66,004	91,711	124,118
Change in Working Capital	(133,466)	(101,566)	(423,459)	(269,462)	(239,028)
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	62,499	44,867	3,695	1,635	3,596
Cash Flow from Operations	166,029	226,852	(97,158)	128,448	246,815
Capital Expenditure	(136,339)	(173,763)	(225,892)	(136,339)	(136,339)
(Acquisition) / Disposal of Investments	(11,729)	(173)	0	0	0
Other Cash Inflow / (Outflow)	(151,977)	(130,753)	0	0	0
Cash Flow from Investing	(300,046)	(304,689)	(225,892)	(136,339)	(136,339)
Shares Issue / (Repurchase)	0	0	0	0	0
Cost of Dividends Paid	(83,134)	(106,731)	(100,206)	(128,301)	(152,282)
Cash Flow from Financing	(164,072)	169,947	(100,206)	(128,301)	(152,282)
Free Cash Flow	29,690	53,089	(323,051)	(7,891)	110,476
Net Debt	(349,257)	(154,344)	268,913	405,105	446,911
Change in Net Debt	219,635	194,914	423,257	136,192	41,806
Key Balance Sheet Data					
Property, Plant & Equipment	468,838	543,393	703,281	747,909	760,130
Other Non-Current Assets	549,897	599,452	592,451	579,719	563,272
Trade Receivables	1,141,418	1,181,307	1,574,470	1,884,837	2,160,023
Cash & Equivalents	937,108	1,016,440	593,183	456,991	415,185
Other Current Assets	1,297,239	1,764,080	2,163,384	2,488,590	2,781,888
Total Assets	4,394,500	5,104,672	5,626,769	6,158,046	6,680,499
Long-Term Debt	32,744	26,449	26,449	26,449	26,449
Other Non-Current Liabilities	335,350	396,612	396,612	396,612	396,612
Short-Term Debt	555,107	835,648	835,648	835,648	835,648
Other Current Liabilities	1,619,711	1,875,201	2,210,784	2,541,797	2,834,403
Total Liabilities	2,542,911	3,133,909	3,469,491	3,800,505	4,093,111
Total Equity	1,851,588	1,970,763	2,157,278	2,357,540	2,587,388
Total Equity & Liabilities	4,394,500	5,104,672	5,626,769	6,158,046	6,680,499
iQ*method[SM] - Bus Performance					
Return On Capital Employed	7.4%	7.1%	9.1%	9.6%	10.4%
Return On Equity	9.7%	11.1%	13.8%	14.8%	15.7%
Operating Margin	2.9%	3.2%	3.4%	3.2%	3.2%
EBITDA Margin	4.2%	4.4%	4.0%	3.9%	4.1%
iQ*method[SM] - Quality of Earnings					
Cash Realization Ratio	1.1x	1.2x	-0.4x	0.4x	0.7x
Asset Replacement Ratio	1.6x	1.8x	3.4x	1.5x	1.1x
Tax Rate (Reported)	19.0%	26.7%	24.4%	24.0%	24.2%
Net Debt-to-Equity Ratio	-18.9%	-7.8%	12.5%	17.2%	17.3%
Interest Cover	5.5x	6.8x	8.6x	9.5x	11.1x

Key Metrics

* For full definitions of *iQmethod*[SM] measures, see page 7.

Company Sector

Electronics Manufacturing Services

Company Description

Hon Hai is the world's largest EMS provider, with four key business segments - Smart Consumer Electronics, Cloud & Networking, Computing, and Components & Others. Hon Hai supplies components, final assembly, and global logistics for global tech giants, including Apple, Microsoft, Google, HP, Dell, Cisco, and Sony. Hon Hai has R&D/production sites globally, including Taiwan, China, India, Japan, Vietnam, Malaysia, Czech Republic, Mexico, and the US. The company was established in Taiwan in 1974.

Investment Rationale

We have a Buy rating on Hon Hai as its gradual moves into high margin/value-added server/components/semi business, stronger position in AI server with rising sales, solid balance sheet, and attractive valuation among Greater China AI server players.

Stock Data

Price to Book Value	1.9x

Exhibit 1: We lift 2026-28E EPS by 1-4%
Hon Hai's earnings revisions summary, 2026-28E

	2026E			2027E			2028E		
NT$mn	New	Old	Diff.	New	Old	Diff.	New	Old	Diff.
Sales	10,799,984	10,443,568	3%	12,928,925	12,551,249	3%	14,816,549	14,615,830	1%
Gross profit	655,290	637,223	3%	770,436	756,828	2%	877,929	871,029	1%
Operating profit	370,978	337,500	10%	413,661	402,103	3%	481,335	468,409	3%
Pretax profit	379,149	349,782	8%	432,537	421,183	3%	503,891	490,833	3%
Net income	256,602	247,233	4%	304,563	302,799	1%	358,129	353,363	1%
EPS (NT$)	18.44	17.76	4%	21.88	21.76	1%	25.73	25.39	1%
Margin									
Gross margin	6.07%	6.10%		5.96%	6.03%		5.93%	5.96%	
Operating margin	3.43%	3.23%		3.20%	3.20%		3.25%	3.20%	
Pretax margin	3.51%	3.35%		3.35%	3.36%		3.40%	3.36%	
Net margin	2.38%	2.37%		2.36%	2.41%		2.42%	2.42%	

Source: BofA Global Research estimates

BofA GLOBAL RESEARCH

Exhibit 2: Our 2026E earnings are 2% above consensus but 2027-28E earnings are 1-2% below consensus
Hon Hai: BofAe vs. consensus, 2026-28E

	2026E			2027E			2028E		
NT$mn	BofAe	Consensus	Diff.	BofAe	Consensus	Diff.	BofAe	Consensus	Diff.
Sales	10,799,984	10,441,572	3%	12,928,925	13,168,707	-2%	14,816,549	16,110,344	-8%
Gross profit	655,290	630,671	4%	770,436	766,945	0%	877,929	903,307	-3%
Operating profit	370,978	358,355	4%	413,661	438,926	-6%	481,335	515,291	-7%
Pretax profit	379,149	368,714	3%	432,537	453,898	-5%	503,891	531,791	-5%
Net income	256,602	250,480	2%	304,563	310,020	-2%	358,129	361,744	-1%
EPS (NT$)	18.44	18.00	2%	21.88	22.28	-2%	25.73	25.99	-1%
Margin									
Gross margin	6.07%	6.04%		5.96%	5.82%		5.93%	5.61%	
Operating margin	3.43%	3.43%		3.20%	3.33%		3.25%	3.20%	
Pretax margin	3.51%	3.53%		3.35%	3.45%		3.40%	3.30%	
Net margin	2.38%	2.40%		2.36%	2.35%		2.42%	2.25%	

Source: BofA Global Research estimates, company data, Bloomberg. Consensus based on data before 2Q26 results announcement

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Exhibit 3: Hon Hai's 2Q26 preliminary operating profit was 33%/18% above BofAe/consensus and net profit was 13%/4% above BofAe/consensus
Hon Hai's 2Q26 preliminary results summary

NT$mn	2Q26P	QoQ %	YoY %	BofAe	Diff. (%)	Consensus	Diff. (%)	4Q25	1Q25
Sales	2,525,894	-3%	54%	2,357,981	7%	2,410,547	5%	2,606,372	1,644,316
Gross profit	154,533	1%	54%	143,405	8%	145,718	6%	153,327	100,548
Operating profit	94,803	11%	104%	71,486	33%	80,534	18%	85,591	46,500
Pre-tax profit	94,866	15%	60%	76,107	25%	85,340	11%	82,282	59,120
Net profit	59,974	33%	42%	53,123	13%	57,399	4%	45,212	42,108
EPS (NT$)	4.31	33%	42%	3.82	13%	4.14	4%	3.25	3.03
Margin									
Gross margin	6.12%			6.08%		6.05%		5.88%	6.11%
Operating margin	3.75%			3.03%		3.34%		3.28%	2.83%
Pretax margin	3.76%			3.23%		3.54%		3.16%	3.60%
Net margin	2.37%			2.25%		2.38%		1.73%	2.56%

Source: BofA Global Research estimates, company data, Bloomberg. Consensus based on data before 2Q26 results announcement. P: preliminary

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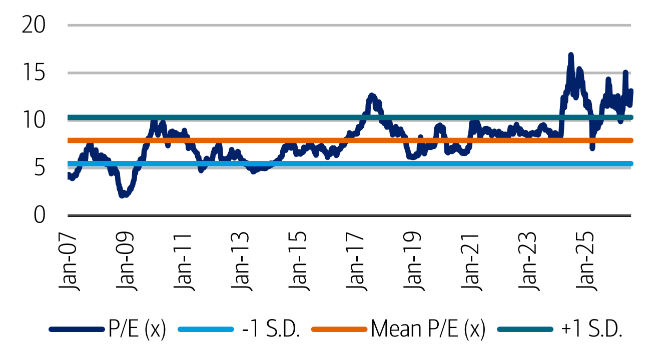
Exhibit 4: Hon Hai's historical P/E trading average since 2007 is 7.9x

Hon Hai's historical P/E, -1/+1 standard deviation since 2007



Source: BofA Global Research, TEJ, company data, Bloomberg.

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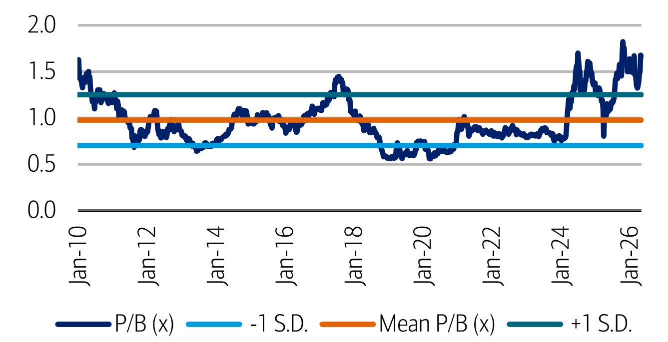
Exhibit 5: Hon Hai's historical P/B trading average since 2010 is 1.0x

Hon Hai's historical P/B and -1/+1 standard deviation since 2010



Source: BofA Global Research, TEJ, company data, Bloomberg

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Exhibit 6: We model 2026-28E sales/net income CAGR at 17%/18%

Hon Hai's quarterly earnings summary, 2025-28E

NT$mn	1Q26	2Q26P	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E	2028E
Sales	2,119,533	2,525,894	2,799,954	3,354,603	2,894,503	2,995,694	3,339,886	3,698,842	8,103,105	10,799,984	12,928,925	14,816,549
Gross profit	130,981	154,533	169,076	200,700	172,537	179,265	199,556	219,078	498,161	655,290	770,436	877,929
Operating profit	75,649	94,803	92,077	108,449	93,806	94,786	107,709	117,360	259,223	370,978	413,661	481,335
Pretax profit	74,031	94,866	96,945	113,306	95,301	99,978	113,681	123,577	293,445	379,149	432,537	503,891
Net income	49,919	59,974	67,663	79,046	67,882	69,983	79,897	86,801	189,354	256,602	304,563	358,129
EPS (NT$)	3.59	4.31	4.86	5.68	4.88	5.03	5.74	6.24	13.61	18.44	21.88	25.73
Margin %												
Gross margin	6.18%	6.12%	6.04%	5.98%	5.96%	5.98%	5.97%	5.92%	6.15%	6.07%	5.96%	5.93%
Operating margin	3.57%	3.75%	3.29%	3.23%	3.24%	3.16%	3.22%	3.17%	3.20%	3.43%	3.20%	3.25%
Pretax margin	3.49%	3.76%	3.46%	3.38%	3.29%	3.34%	3.40%	3.34%	3.62%	3.51%	3.35%	3.40%
Net margin	2.36%	2.37%	2.42%	2.36%	2.35%	2.34%	2.39%	2.35%	2.34%	2.38%	2.36%	2.42%
QoQ %												
Sales	-19%	19%	11%	20%	-14%	3%	11%	11%				
Gross profit	-15%	18%	9%	19%	-14%	4%	11%	10%				
Operating profit	-12%	25%	-3%	18%	-14%	1%	14%	9%				
Pretax profit	-10%	28%	2%	17%	-16%	5%	14%	9%				
Net income	10%	20%	13%	17%	-14%	3%	14%	9%				
YoY %												
Sales	29%	41%	36%	29%	37%	19%	19%	10%	18%	33%	20%	15%
Gross profit	30%	36%	29%	31%	32%	16%	18%	9%	16%	32%	18%	14%
Operating profit	63%	68%	31%	27%	24%	0%	17%	8%	29%	43%	12%	16%
Pretax profit	25%	46%	12%	38%	29%	5%	17%	9%	38%	29%	14%	16%
Net income	19%	35%	17%	75%	36%	17%	18%	10%	24%	36%	19%	18%

Source: BofA Global Research estimates, company data. P: preliminary

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Exhibit 7: Acronyms

Expansions of acronyms used throughout the report

Acronym		Acronym		Acronym	
AI	Artificial Intelligence	GM	Gross Margin	OP	Operating Profit
ASIC	Application-Specific Integrated Circuit	Mgmt.	Management	OPM	Operating Profit Margin
CAGR	Compound Annual Growth Rate	GB	Grace + Blackwell	P/B	Price to Book Value Ratio
CPU	Central Processing Unit	Non-op.	Non-operating	P/E	Price to Earnings Ratio
Diff	Difference	NP	Net profit	PO	Price Objective
EMS	Electronics Manufacturing Services	NT$	New Taiwan Dollar	S.D.	Standard Deviation
EPS	Earnings per share	ODM	Original Design Manufacturer	PO	Price Objective

Source: BofA Global Research

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Price objective basis & risk

Hon Hai Precision Industry (HNHAF)

We set our PO at NT$320 (15x 4Q26-3Q27E EPS), at around 3SD above historical P/E average since 2007. We think the valuation is justified as HH's leading position in EMS/ODM business, improving iPhone momentum with replacement cycle, rising sales from AI business, more diversified global footprint than peers to mitigate tariff/geopolitical risk, and improving balance sheet with higher cash dividend payout.

Downside risks to our PO are: (1) weaker momentum from Apple business (iPhone, iPad and Apple Watch), (2) increasing competition in EMS business from peers, (3) slower sales/earnings delivery in auto/EV business, and (4) weaker market demand or lower shipment from Nvidia AI server rack/system business.

Upside risks to our PO are: (1) better-than-expected yield rate and demand for iPhone, iPad and Apple Watch business, (2) further automation adoption to reduce labor costs and improve efficiency, (3) faster sales/earnings delivery from auto/EV business, and (4) stronger market demand or higher shipment from Nvidia AI server rack/system business.

Analyst Certification

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Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
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	Advantech	ADTEF	2395 TT	Robert Cheng
	Asia Vital Components	AVMPF	3017 TT	Doris Kao

APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	BizLink	BIZLF	3665 TT	Doris Kao
	Chenbro	CEOMF	8210 TT	Doris Kao
	Cowell	CWLLF	1415 HK	Katherine Zhu
	Crystal-Optech	XMKAF	002273 CH	Katherine Zhu
	Delta Electronics (Thailand)	XLETF	DELTA TB	Suppapong Iemkongaek, CFA, CMT
	Delta Electronics Inc.	DLTEF	2308 TT	Robert Cheng
	Duksan Neolux	XDSXF	213420 KS	Simon Woo, CFA
	Dynamic Holding	XLHCF	3715 TT	Mike Yang
	E Ink Holdings	PVWIF	8069 TT	Doris Kao
	Elite Material	ETMCF	2383 TT	Mike Yang
	Foxconn Industrial Internet	XDAZF	601138 CH	Robert Cheng
	Goertek	XGKCF	002241 CH	Katherine Zhu
	Gold Circuit	GOCCF	2368 TT	Doris Kao
	Hana Microelectronics	XHNNF	HANA TB	Suppapong Iemkongaek, CFA, CMT
	Hon Hai Precision Industry	HNHAF	2317 TT	Robert Cheng
	Huaqin	XHUAF	603296 CH	Katherine Zhu
	Huaqin	XPEZF	3296 HK	Katherine Zhu
	ISU Petasys	IPTYF	007660 KS	Matt Shin
	Jentech	XVFSF	3653 TT	Doris Kao
	King Slide	KGSLF	2059 TT	Doris Kao
	Kingboard Laminates	KGBLF	1888 HK	Katherine Zhu
	Kinsus	KNSUF	3189 TT	Mike Yang
	Largan Precision	LGANF	3008 TT	Robert Cheng
	Lens Tech	XLTVF	6613 HK	Katherine Zhu
	LG CNS	XLGLF	064400 KS	Simon Woo, CFA
	LG Electronics	LGEAF	066570 KS	Simon Woo, CFA
	LG Innotek	XLGQF	011070 KS	Simon Woo, CFA
	Lotes	ZYZTF	3533 TT	Doris Kao
	Luxshare	XNJQF	002475 CH	Robert Cheng
	Netweb Technologies	XNTZF	NETWEB IN	Jatin Kalra, CFA
	NYPCB	NANYF	8046 TT	Mike Yang
	Quanta Computer	QUCPF	2382 TT	Robert Cheng
	Samsung Electro-Mechanics	SMSGF	009150 KS	Simon Woo, CFA
	Samsung SDI	SSDIF	006400 KS	Simon Woo, CFA
	Samsung SDS	XWPBF	018260 KS	Simon Woo, CFA
	Shennan Circuits	XAMKF	002916 CH	Katherine Zhu
	Taiwan Union Technology Corporation	TWUNF	6274 TT	Mike Yang
	Unimicron	UMCRF	3037 TT	Mike Yang
	Universal Display	OLED	OLED US	Simon Woo, CFA
	Victory Giant	XENEF	300476 CH	Katherine Zhu
	Wistron	WICOF	3231 TT	Doris Kao
	Wiwynn	XWIQF	6669 TT	Robert Cheng
	Xiaomi Corporation	XIACF	1810 HK	Robert Cheng
	Yageo	YGEQF	2327 TT	Robert Cheng
	Zhen Ding Tech	XFAGF	4958 TT	Doris Kao
	Zhongji Innolight	XZICF	300308 CH	Katherine Zhu
	ZTE Corporation	SHZZF	000063 CH	Katherine Zhu
	ZTE Corporation	ZTCOF	763 HK	Katherine Zhu
NEUTRAL				
	Asustek	AKCPF	2357 TT	Robert Cheng
	Auras Technology	AUTCF	3324 TT	Doris Kao
	BYD Electronic	BYDIF	285 HK	Katherine Zhu
	DS Precision	XBASF	002384 CH	Katherine Zhu
	Lenovo Group	LNVGF	992 HK	Robert Cheng
	Lenovo Group	LNVGY	LNVGY US	Robert Cheng
	Lite-On Tech	LOTZF	2301 TT	Doris Kao
	Sunny Optical	SNPTF	2382 HK	Katherine Zhu
UNDERPERFORM				
	Acer	ASIYF	2353 TT	Robert Cheng
	Catcher Tech	CHERF	2474 TT	Robert Cheng
	Compal Electron	XLCPF	2324 TT	Doris Kao
	Everwin Precision	XSHZF	300115 CH	Katherine Zhu
	Genius Electronic Optical	GNSEF	3406 TT	Robert Cheng
	Lens Tech	XLTGF	300433 CH	Katherine Zhu

APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
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	LG Display-ADR	LPL	LPL US	Simon Woo, CFA
	Lianchuang Electronic	XWOFF	002036 CH	Katherine Zhu
	Pegatron	PGTRF	4938 TT	Robert Cheng
	Sanan Opto	XEQYF	600703 CH	Katherine Zhu
	Seoul Semiconductor	SLSOF	046890 KS	Simon Woo, CFA
	Shengyi	DGUNF	600183 CH	Mike Yang
	Sunway Communications	XWSVF	300136 CH	Katherine Zhu
	Transsion	XCINF	688036 CH	Robert Cheng

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Business Performance	**Numerator**	**Denominator**
Return On Capital Employed	NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization	Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill Amortization
Return On Equity	Net Income	Shareholders' Equity
Operating Margin	Operating Profit	Sales
Earnings Growth	Expected 5 Year CAGR From Latest Actual	N/A
Free Cash Flow	Cash Flow From Operations – Total Capex	N/A
Quality of Earnings	**Numerator**	**Denominator**
Cash Realization Ratio	Cash Flow From Operations	Net Income
Asset Replacement Ratio	Capex	Depreciation
Tax Rate	Tax Charge	Pre-Tax Income
Net Debt-To-Equity Ratio	Net Debt = Total Debt – Cash & Equivalents	Total Equity
Interest Cover	EBIT	Interest Expense
Valuation Toolkit	**Numerator**	**Denominator**
Price / Earnings Ratio	Current Share Price	Diluted Earnings Per Share (Basis As Specified)
Price / Book Value	Current Share Price	Shareholders' Equity / Current Basic Shares
Dividend Yield	Annualised Declared Cash Dividend	Current Share Price
Free Cash Flow Yield	Cash Flow From Operations – Total Capex	Market Cap = Current Share Price × Current Basic Shares
Enterprise Value / Sales	EV = Current Share Price × Current Shares + Minority Equity + Net Debt + Other LT Liabilities	Sales
EV / EBITDA	Enterprise Value	Basic EBIT + Depreciation + Amortization

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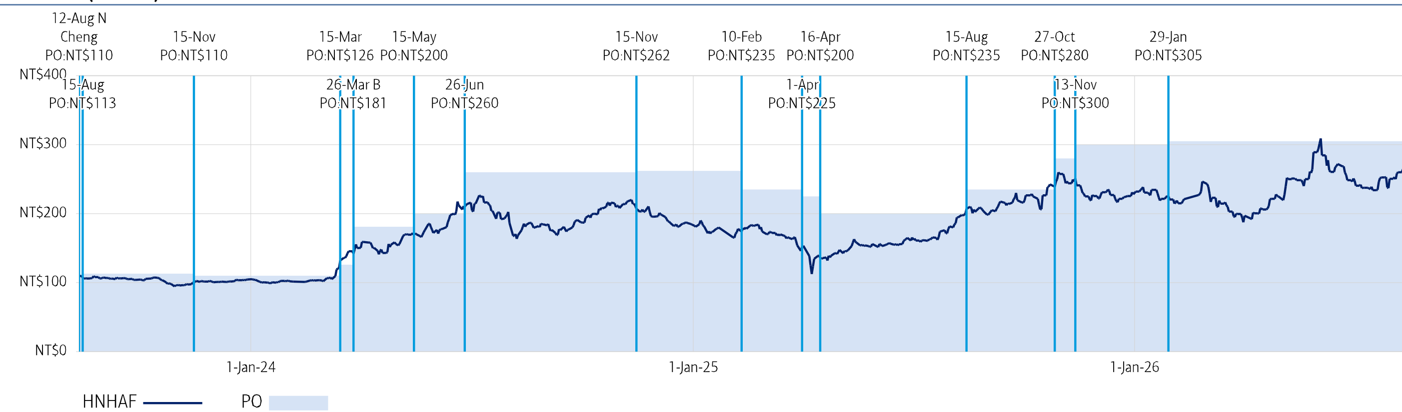
Disclosures

Important Disclosures

Hon Hai Prec. (HNHAF) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

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Equity Investment Rating Distribution: Electronics Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	34	55.74%	Buy	16	47.06%
Hold	10	16.39%	Hold	3	30.00%
Sell	17	27.87%	Sell	6	35.29%

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Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	1987	56.11%	Buy	1190	59.89%
Hold	797	22.51%	Hold	496	62.23%
Sell	757	21.38%	Sell	391	51.65%

[R1] Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster[R2]
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Underperform	N/A	≥ 20%

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Nien Made Enterprise

2Q missed on one-offs but sales growth regained momentum, cut PO to NT$425

Reiterate Rating: BUY | PO: 425.00 TWD | Price: 391.00 TWD

2Q EPS NT$4.75 missed on higher fuel surcharges and tax

Nien Made reported 2Q revenue of NT$7.9bn (+2.9% YoY, or +0.5% YoY in USD terms), in line with previously reported monthly sales. By region, Europe (mid-20s% of sales) was the key growth driver, with revenue rising 16.9% YoY, while demand in the US remained soft amid a weaker macro backdrop. Gross margin reached a record high of 60%, up 0.8ppt YoY and 0.9ppt above our forecast, driven by a more favorable product and geographic mix. However, operating profit came in 2% below our estimate at NT$2.4bn (-9.8% YoY), mainly due to higher fuel surcharges following the Iran-US conflict. Below the operating line, FX losses narrowed significantly to NT$100mn from NT$890mn in 2Q, but still surprised on the downside as we had assumed no FX loss for the quarter. In addition, a one-off retrospective tax payment in China lifted the effective tax rate to 32% from 27%, reducing EPS by roughly NT$0.3. As a result, net profit came in at NT$1.39bn, up 20.7% YoY but 16% below our forecast, with the miss largely attributable to one-off items. 1H26 net profit increased 3.7% YoY to NT$2.9bn.

June and July regained growth supported by macro

Sales growth reaccelerated in June and July, with sales increasing 11.7% and 16.4% YoY (MSD% growth in USD terms), vs. flat YoY in May. We attribute this partly to a recovery of demand in the US: according to the BAC credit and debit card spending data, US window coverings spendings' decline narrowed to -3%/-4% in July/June, vs. -7% in 5M26 (Exhibit 1).

Cut PO to NT$425 on lower estimates; Reit. Buy

We lower our FY26 earnings forecast by 11% to reflect the 2Q earnings miss and, accordingly, reduce our PO by 11% to NT$425, based on an unchanged 19x FY26 P/E. We reiterate our Buy rating. We reiterate our Buy rating as we believe the share-gain story and operating margins remains solid supported by improving Europe mix and custom-made mix.

Estimates (Dec) (NT$)	2024A	2025A	2026E	2027E	2028E
Net Income (Adjusted - mn)	6,316	7,031	6,537	7,584	8,221
EPS	23.56	22.53	22.36	25.88	28.06
EPS Change (YoY)	25.8%	-4.4%	-0.8%	15.8%	8.4%
Dividend / Share	14.50	16.00	17.00	18.38	19.92
Free Cash Flow / Share	21.01	21.17	22.02	25.82	28.19
Valuation (Dec)					
P/E	16.60x	17.36x	17.49x	15.11x	13.94x
Dividend Yield	3.71%	4.09%	4.35%	4.70%	5.09%
EV / EBITDA*	10.38x	9.69x	9.69x	8.36x	7.74x
Free Cash Flow Yield*	5.37%	5.41%	5.63%	6.60%	7.21%

* For full definitions of *iQmethod* SM measures, see page 7.

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12 August 2026

Equity

Key Changes

(NT$)	Previous	Current
Inv. Opinion	B-1-7	B-1-8
Price Obj.	475.00	425.00
2026E EPS	25.05	22.36
2027E EPS	27.28	25.88
2028E EPS	NA	28.06

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Stock Data

Price	391.00 TWD
Price Objective	425.00 TWD
Date Established	12-Aug-2026
Investment Opinion	B-1-8
52-Week Range	302.50 TWD-505.00 TWD
Mrkt Val / Shares Out (mn)	3,549 USD / 293.0
Market Value (mn)	114,571 TWD
Average Daily Value (mn)	7.42 USD
Free Float	54.3%
BofA Ticker / Exchange	XNRBF / TAI
Bloomberg / Reuters	8464 TT / 8464.TW
ROE (2026E)	22.1%
Net Dbt to Eqty (Dec-2025A)	-55.4%

iQprofile SM Nien Made Enterprise

Key Income Statement Data (Dec)	2024A	2025A	2026E	2027E	2028E
(NT$ Millions)					
Sales	29,535	29,969	31,016	32,389	33,826
Gross Profit	16,905	17,623	18,545	19,646	20,763
Sell General & Admin Expense	(8,366)	(8,551)	(9,516)	(9,037)	(9,235)
Operating Profit	8,368	8,917	8,845	10,418	11,329
Net Interest & Other Income	523	728	543	474	479
Associates	NA	NA	NA	NA	NA
Pretax Income	8,891	9,645	9,388	10,892	11,808
Tax (expense) / Benefit	(2,359)	(2,279)	(2,540)	(2,947)	(3,195)
Net Income (Adjusted)	6,316	7,031	6,537	7,584	8,221
Average Fully Diluted Shares Outstanding	293	293	293	293	293
Key Cash Flow Statement Data					
Net Income	6,316	7,031	6,537	7,584	8,221
Depreciation & Amortization	1,088	1,220	1,289	1,326	1,359
Change in Working Capital	591	88	42	35	29
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	772	(125)	296	331	362
Cash Flow from Operations	8,767	8,214	8,163	9,276	9,971
Capital Expenditure	(2,610)	(2,010)	(1,710)	(1,710)	(1,710)
(Acquisition) / Disposal of Investments	NA	NA	NA	NA	NA
Other Cash Inflow / (Outflow)	0	0	0	0	0
Cash Flow from Investing	(2,610)	(2,010)	(1,710)	(1,710)	(1,710)
Shares Issue / (Repurchase)	0	0	0	0	0
Cost of Dividends Paid	(4,029)	(4,633)	(5,097)	(5,606)	(6,167)
Cash Flow from Financing	(4,029)	(4,633)	(5,097)	(5,606)	(6,167)
Free Cash Flow	6,156	6,204	6,452	7,565	8,261
Net Debt	(14,947)	(16,518)	(17,873)	(19,832)	(21,926)
Change in Net Debt	(2,127)	(1,571)	(1,356)	(1,959)	(2,093)
Key Balance Sheet Data					
Property, Plant & Equipment	11,603	12,394	12,815	13,200	13,551
Other Non-Current Assets	1,421	1,531	1,641	1,751	1,861
Trade Receivables	2,451	2,487	2,574	2,687	2,807
Cash & Equivalents	14,947	16,518	17,873	19,832	21,926
Other Current Assets	5,854	5,790	5,861	5,981	6,116
Total Assets	36,276	38,720	40,765	43,452	46,261
Long-Term Debt	0	0	0	0	0
Other Non-Current Liabilities	2,540	2,620	2,700	2,780	2,860
Short-Term Debt	0	0	0	0	0
Other Current Liabilities	6,217	6,277	6,477	6,745	7,029
Total Liabilities	8,757	8,898	9,177	9,525	9,889
Total Equity	27,519	29,822	31,588	33,927	36,373
Total Equity & Liabilities	36,276	38,720	40,765	43,452	46,261
iQ*method SM - Bus Performance					
Return On Capital Employed	23.2%	23.2%	20.5%	22.5%	22.8%
Return On Equity	24.9%	25.3%	22.1%	24.3%	24.7%
Operating Margin	28.3%	29.8%	28.5%	32.2%	33.5%
EBITDA Margin	32.0%	33.8%	32.7%	36.3%	37.5%
iQ*method SM - Quality of Earnings					
Cash Realization Ratio	1.4x	1.2x	1.2x	1.2x	1.2x
Asset Replacement Ratio	2.4x	1.6x	1.3x	1.3x	1.3x
Tax Rate (Reported)	26.5%	23.6%	27.1%	27.1%	27.1%
Net Debt-to-Equity Ratio	-54.3%	-55.4%	-56.6%	-58.5%	-60.3%
Interest Cover	NM	NM	NM	NM	NM

Key Metrics

* For full definitions of *iQmethod* SM measures, see page 7.

Company Sector

Interior Furnishings

Company Description

Nien Made, founded in 1974, is one of the world's largest window-covering manufacturers. It has roughly 50% market share in both ready-made (OEM business) shades and blinds, and custom-made (own brand) shutters in the US. The US market accounted for over 75% of sales. Key clients include Home Depot and Wal-Mart for ready-made shades and blinds. Nien Made operates its own retail network and e-commerce business for its custom-made shutters under the Norman brand name in the US and Europe.

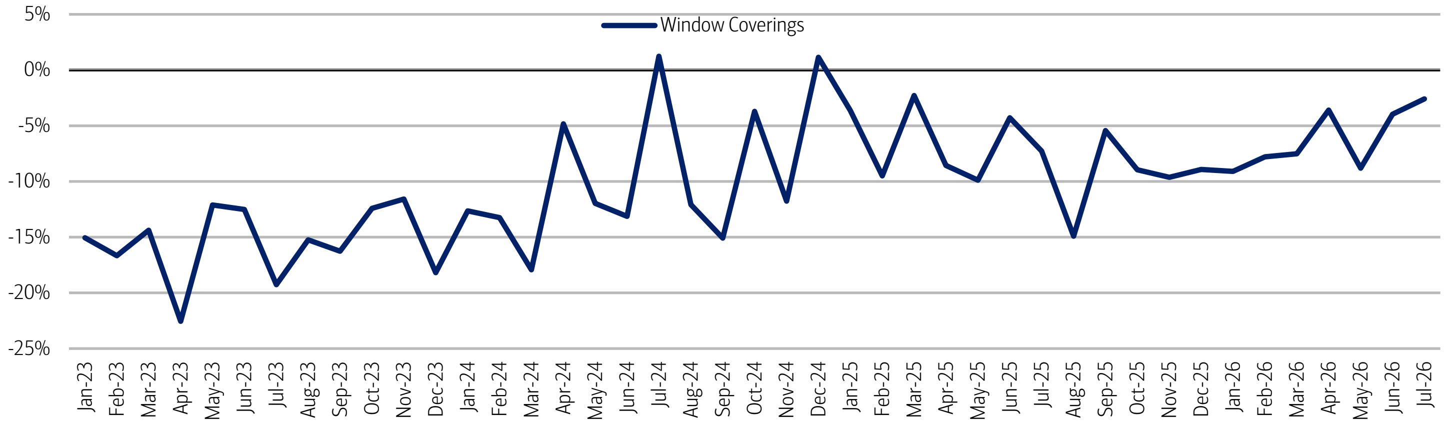
Investment Rationale

We have Buy rating on Nien Made, mainly given 1) clear custom-made growth profile (share gain in the US and fast-growing DTC in Japan and Europe), 2) its largest customer Home Depot is gaining market share, and 3) margin expansion potentials backed by favorable products mix.

Stock Data

Price to Book Value	3.8x

Exhibit 1: US spending on window coverings products -3% YoY in July 2026, narrowing by 20bps and 50bps vs. 2Q26 and 1Q26
BAC US card spending data growth for window coverings products, YoY



Source: BAC US internal card data

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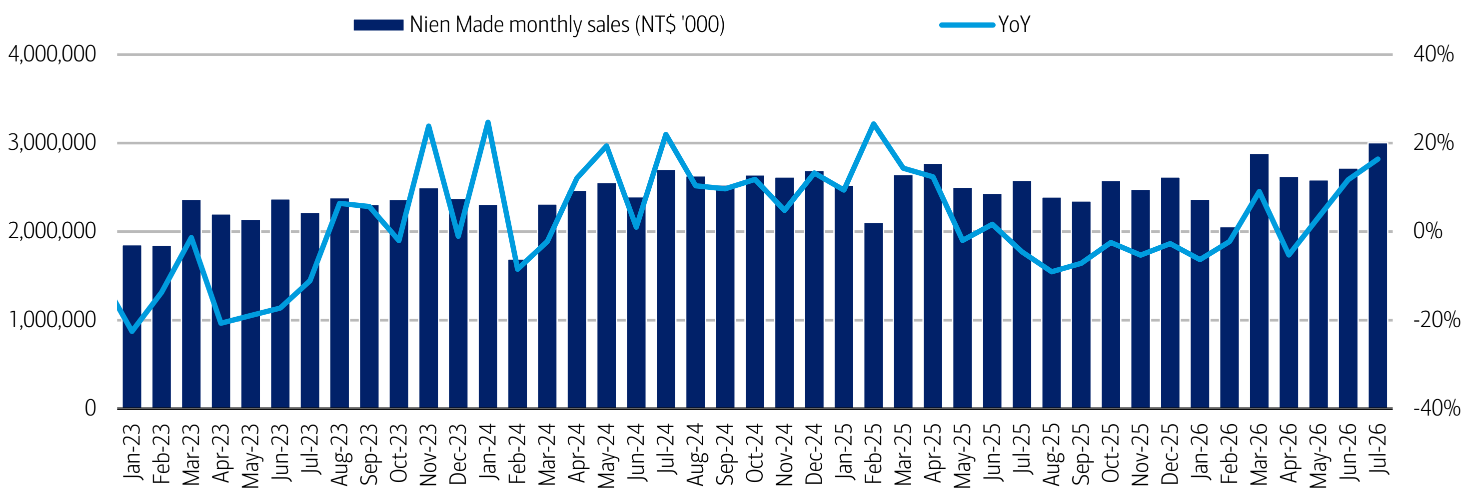
Exhibit 2: Nien Made monthly sales shows strength in June and July
Nien Made monthly sales and growth



Source: Company, BofA Global Research

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Price objective basis & risk

Nien Made Enterprise (XNRBF)
Our PO NT$425 is derived from 19x P/E blended 2026E EPS. This is around 0.5SD above historical the one-year forward P/E, which we think is warranted given the visibility of the growth profile.

Downside risks are 1) weaker-than-expected Home Depot's sell-through, 2) slow recovery of US housing turnover, and 3) higher tariff increases on China exports to the US. 4) Loss of key customers.

Analyst Certification

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APR - Consumer Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Coca-Cola Bottlers Japan Holdings	CCOJF	2579 JP	Manabu Sumoge
	Cosmax	XCRSF	192820 KS	Zoe (Jung-ae) Chun
	Cosmos Pharmaceutical	CSMYF	3349 JP	Arashi Nishizawa
	Dabur India	DBUIF	DABUR IN	Aditya Mathur
	DPC Dash Ltd	DPCDF	1405 HK	Lucy Yu
	Eastroc	XEBSF	605499 CH	Lucy Yu
	Eastroc	ERBGF	9980 HK	Lucy Yu
	Fast Retailing	FRCOF	9983 JP	Arashi Nishizawa
	Fast Retailing	FRCOY	FRCOY US	Arashi Nishizawa
	Foshan Haitian	XFHXF	3288 HK	Chen Luo, CFA
	Godrej Consumer Products	XGOCF	GCPL IN	Aditya Mathur
	Goldwin	GWNCF	8111 JP	Arashi Nishizawa
	Guming	XGHXF	1364 HK	Lucy Yu
	Haier Smart Home Co Ltd	TTHEF	600690 CH	Lucy Yu
	Haier Smart Home Co Ltd	HRSHF	6690 HK	Lucy Yu
	Henan Shuanghui Investment & Dev	HSUIF	000895 CH	Chen Luo, CFA
	Japan Tobacco	JAPAF	2914 JP	Manabu Sumoge
	Japan Tobacco	JAPAY	JAPAY US	Manabu Sumoge
	JINS HOLDINGS	JNDOF	3046 JP	Arashi Nishizawa
	Jubilant FoodWorks	XJUBF	JUBI IN	Aditya Mathur
	Kewpie	KWPCF	2809 JP	Manabu Sumoge
	Kikkoman	KIKOF	2801 JP	Manabu Sumoge
	Kirin Holdings	KNBWF	2503 JP	Manabu Sumoge
	Kobe Bussan	KOBNF	3038 JP	Arashi Nishizawa
	Kolmar Korea	XKKPF	161890 KS	Zoe (Jung-ae) Chun
	KT&G	KTCIF	033780 KS	Ahyung Cho
	Kweichow Moutai Co. Ltd.	XHJBF	600519 CH	Chen Luo, CFA
	Leela Palaces Hotels & Resorts	XSBLF	THELEELA IN	Aditya Mathur
	Lenskart Solutions	XLEMF	LENSKART IN	Aditya Mathur
	Li Ning Co Ltd	LNNGF	2331 HK	Lucy Yu
	Lion	LIOPF	4912 JP	Kentaro Hosoda
	Mao Geping	XMGOF	1318 HK	Lucy Yu
	Marico	MAIOF	MRCO IN	Aditya Mathur
	MatsukiyoCocokara & Co	MSMKF	3088 JP	Arashi Nishizawa
	Meiji HD	MEJHF	2269 JP	Manabu Sumoge
	Mengniu Dairy	CIADF	2319 HK	Chen Luo, CFA
	Midea Group	MGCOF	300 HK	Chen Luo, CFA
	Midea Group Co Ltd	XMGEF	000333 CH	Chen Luo, CFA
	New Oriental Education & Technology	EDU	EDU US	Lucy Yu
	New Oriental Education & Technology	NWOEF	9901 HK	Lucy Yu
	Nien Made Enterprise	XNRBF	8464 TT	Yoyo Pang
	Nitori Holdings	NCLTF	9843 JP	Arashi Nishizawa
	Nongfu Spring	NNFSF	9633 HK	Lucy Yu
	PAL Group Holdings	PALZF	2726 JP	Arashi Nishizawa
	Pan Pacific International HD	DQJCF	7532 JP	Arashi Nishizawa
	Pigeon	PIGEF	7956 JP	Kentaro Hosoda
	Roborock Technology	XBTLF	688169 CH	Yoyo Pang
	ROHTO	RPHCF	4527 JP	Kentaro Hosoda
	Ryohin Keikaku	RYKKF	7453 JP	Arashi Nishizawa
	Ryohin Keikaku	RYKKY	RYKKY US	Arashi Nishizawa
	Samsonite International	SMSOF	1910 HK	Ronald Leung, CFA
	Seven & i Holdings	SVNDF	3382 JP	Arashi Nishizawa
	Shanxi Fen Wine	XCKZF	600809 CH	Chen Luo, CFA
	Shenzhou International	SZHIF	2313 HK	Chen Luo, CFA
	Shinsegae	SDKLF	004170 KS	Ahyung Cho
	Sugi Holdings	SGIPF	7649 JP	Arashi Nishizawa
	Sundrug	SDGCF	9989 JP	Arashi Nishizawa
	TAL	TAL	TAL US	Lucy Yu
	Tata Consumer Products	XTCUF	TATACONS IN	Aditya Mathur
	Titan Company	XNXAF	TTAN IN	Aditya Mathur
	Trial Holdings	XIKRF	141A JP	Arashi Nishizawa
	Tsingtao Brewery	TSGTF	168 HK	Chen Luo, CFA
	Tsingtao Brewery	XTSOF	600600 CH	Chen Luo, CFA
	Tsuruha Holdings	TSUSF	3391 JP	Arashi Nishizawa
	UNITED ARROWS	UARWF	7606 JP	Arashi Nishizawa

APR - Consumer Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	United Spirits	XUNIF	UNITDSPR IN	Aditya Mathur
	Varun Beverages	XMKDF	VBL IN	Aditya Mathur
	Wanchen Group	XFWXF	300972 CH	Alice Ma
	WH Group Limited	WHGRF	288 HK	Chen Luo, CFA
	Yankershop Food	XYNKF	002847 CH	Alice Ma
	Yili Industrial Group	XIDRF	600887 CH	Chen Luo, CFA
	Yum China	YUMC	YUMC US	Chen Luo, CFA
	Yum China	XYUMF	9987 HK	Chen Luo, CFA
NEUTRAL				
	Ajinomoto	AJINF	2802 JP	Manabu Sumoge
	Arashi Vision	XSNSF	688775 CH	Ronald Leung, CFA
	Asahi Group Holdings	ASBRF	2502 JP	Manabu Sumoge
	Asian Paints	XSAFF	APNT IN	Aditya Mathur
	Avenue Supermarts	XWCVF	DMART IN	Aditya Mathur
	Britannia Industries	XJNDF	BRIT IN	Aditya Mathur
	China Feihe	CHFLF	6186 HK	Alice Ma
	China Resources Beverage	XCRBF	2460 HK	Lucy Yu
	Chow Tai Fook Jewellery	CJEWF	1929 HK	Ronald Leung, CFA
	E-Mart	EMRTF	139480 KS	Ahyung Cho
	Foshan Haitian Flavouring & Food Co Ltd	XCMJF	603288 CH	Chen Luo, CFA
	Gree Electric Appliances	ZHUHF	000651 CH	Chen Luo, CFA
	GS Retail	XGLTF	007070 KS	Ahyung Cho
	Haidilao International Holding Ltd.	HDALF	6862 HK	Lucy Yu
	Hindustan Unilever	HINLF	HUVR IN	Aditya Mathur
	Hisense Home Appliance	XMBQF	000921 CH	Lucy Yu
	Hisense Home Appliance	HISEF	921 HK	Lucy Yu
	Hotel Shilla	HSLLF	008770 KS	Ahyung Cho
	ITC	ITCTF	ITC IN	Aditya Mathur
	Jason Furniture	XVZDF	603816 CH	Yoyo Pang
	Kao	KAOCF	4452 JP	Kentaro Hosoda
	KOSE Holdings	KOSCF	4922 JP	Kentaro Hosoda
	Kusuri No Aoki Holdings	XADAF	3549 JP	Arashi Nishizawa
	Laopu Gold	XLGBF	6181 HK	Ronald Leung, CFA
	Man Wah Holdings	MAWHF	1999 HK	Yoyo Pang
	MINISO Group Holdings	MNSO	MNSO US	Lucy Yu
	MINISO Group Holdings	XKTAF	9896 HK	Lucy Yu
	Nissin Foods Holdings	NFPDF	2897 JP	Manabu Sumoge
	Pop Mart	POPMF	9992 HK	Alice Ma
	Proya Cosmetics	XPXCF	603605 CH	Lucy Yu
	Robam Appliance	XVPDF	002508 CH	Lucy Yu
	Suntory Beverage & Food	STBFF	2587 JP	Manabu Sumoge
	Tingyi	TCYMF	322 HK	Lucy Yu
	Topsports International Holding Ltd.	TPSRF	6110 HK	Lucy Yu
	Toyo Suisan	TSUKF	2875 JP	Manabu Sumoge
	Unicharm	UNCHF	8113 JP	Kentaro Hosoda
	Uni-president China	UNPSF	220 HK	Lucy Yu
	Wuliangye Yibin	YBWUF	000858 CH	Chen Luo, CFA
	Yamada Holdings	YMDAF	9831 JP	Arashi Nishizawa
	Yonghui Superstores Co Ltd	XQYXF	601933 CH	Lucy Yu
	Yue Yuen	YUEIF	551 HK	Yoyo Pang
UNDERPERFORM				
	Anjoy Foods	XSWCF	603345 CH	Chen Luo, CFA
	Colgate-Palmolive India	CPIYF	CLGT IN	Aditya Mathur
	Eclat	ECLAF	1476 TT	Ronald Leung, CFA
	Feng Tay	FTGYF	9910 TT	Ronald Leung, CFA
	Gambol Pet	XYEDF	301498 CH	Alice Ma
	Giant Manufacturing	GTMUF	9921 TT	Ronald Leung, CFA
	Jiangsu Yanghe Brewery	XJBTF	002304 CH	Chen Luo, CFA
	Kobayashi Pharmaceutical	KBYPF	4967 JP	Kentaro Hosoda
	Lai Yih Footwear	XAWWF	6890 TT	Ronald Leung, CFA
	LG H&H	LGHHF	051900 KS	Ahyung Cho
	Lotte Shopping	LOSPF	023530 KS	Ahyung Cho
	Luzhou Laojiao	XMBBF	000568 CH	Chen Luo, CFA
	Makalot Industrial	MAKAF	1477 TT	Ronald Leung, CFA

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Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Merida Industry Co Ltd	MIUYF	9914 TT	Ronald Leung, CFA
	Mixue Group	XDGRF	2097 HK	Chen Luo, CFA
	Nestle India	XNTEF	NEST IN	Aditya Mathur
	Oppein Home Group	XKXRF	603833 CH	Yoyo Pang
	Pidilite Industries	PDLFF	PIDI IN	Aditya Mathur
	Pola Orbis HD	PORBF	4927 JP	Kentaro Hosoda
	Sapphire Foods	XLQLF	SAPPHIRE IN	Aditya Mathur
	Sapporo Breweries	SOOBF	2501 JP	Manabu Sumoge
	Seria	SAOGF	2782 JP	Arashi Nishizawa
	Shanghai Jahwa	SNJUF	600315 CH	Lucy Yu
	SHIMAMURA	SHAOF	8227 JP	Arashi Nishizawa
	Smoore	SMORF	6969 HK	Alice Ma
	Suofeiya Home Collection Co Ltd	XGUZF	002572 CH	Yoyo Pang
	United Breweries	UBWRF	UBBL IN	Aditya Mathur
	Want Want China	WWNTF	151 HK	Chen Luo, CFA
	WORKMAN	WKISF	7564 JP	Arashi Nishizawa
	Yihai Intl	YNNHF	1579 HK	Lucy Yu
	Yihai Kerry Arawana	XYIHF	300999 CH	Chen Luo, CFA

*iQ*method SM Measures Definitions

Business Performance	Numerator	Denominator
Return On Capital Employed	NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization	Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill Amortization
Return On Equity	Net Income	Shareholders' Equity
Operating Margin	Operating Profit	Sales
Earnings Growth	Expected 5 Year CAGR From Latest Actual	N/A
Free Cash Flow	Cash Flow From Operations – Total Capex	N/A
Quality of Earnings	**Numerator**	**Denominator**
Cash Realization Ratio	Cash Flow From Operations	Net Income
Asset Replacement Ratio	Capex	Depreciation
Tax Rate	Tax Charge	Pre-Tax Income
Net Debt-To-Equity Ratio	Net Debt = Total Debt – Cash & Equivalents	Total Equity
Interest Cover	EBIT	Interest Expense
Valuation Toolkit	**Numerator**	**Denominator**
Price / Earnings Ratio	Current Share Price	Diluted Earnings Per Share (Basis As Specified)
Price / Book Value	Current Share Price	Shareholders' Equity / Current Basic Shares
Dividend Yield	Annualised Declared Cash Dividend	Current Share Price
Free Cash Flow Yield	Cash Flow From Operations – Total Capex	Market Cap = Current Share Price × Current Basic Shares
Enterprise Value / Sales	EV = Current Share Price × Current Shares + Minority Equity + Net Debt + Other LT Liabilities	Sales
EV / EBITDA	Enterprise Value	Basic EBIT + Depreciation + Amortization

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Important Disclosures

Nien Made (XNRBF) Price Chart

B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

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Equity Investment Rating Distribution: Consumer Products Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	38	47.50%	Buy	18	47.37%
Hold	25	31.25%	Hold	9	36.00%
Sell	17	21.25%	Sell	9	52.94%

Equity Investment Rating Distribution: Global Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	1987	56.11%	Buy	1190	59.89%
Hold	797	22.51%	Hold	496	62.23%
Sell	757	21.38%	Sell	391	51.65%

[R1] Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster[R2]
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

[R2]Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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Morgan Stanley | RESEARCH

UPDATE

August 12, 2026 11:24 AM GMT

Asustek Computer Inc. | Asia Pacific

2Q OP beat MSe by 38% and consensus by 87%

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AlphaSignals Earnings Reaction

Unchanged	Meaningful upside	Meaningful revision higher
Impact to our thesis	Financial results versus consensus	Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

Key Takeaways

- We underestimated Asustek's pricing power, and expect the stock to react positively on the material 2Q beat.
- CY26 server revenue guidance raised to +150% y/y (up from +100% y/y).
- Management maintained its mid-term OpM guidance at 4-5%, which we view as conservative given the stronger revenue outlook.

2Q operating profit came in 38% above MSe and 87% above the Street:

- GM was 16.5% (+280bps q/q, +420bps y/y) - 390bps above MSe and 350bps above the Street
- OpM was 8.1% (+270bps q/q, +470bps y/y) - 230bps above MSe and 350bps above the Street
- Net profit reached NT$19.0B (+94% q/q and y/y) for EPS of NT$25.64, 34% above MSe and 79% above the Street
- 2Q mix: System 45%, Open Platform 19%, IS 36% (HGX 60%, NVL72 30%, General Server 10%)

3Q outlook:

- PC revenue +15% to 20% q/q (driven by volume and price, roughly 50/50)
- Component revenue +5-10% q/q
- Server revenue +10-15% q/q

Asustek Computer Inc. (2357.TW, 2357 TT)

Greater China Technology Hardware | Taiwan

Stock Rating	**Underweight**
Industry View	**In-Line**
Price target	NT$700.00
Up/downside to price target (%)	(18)
Shr price, close (Aug 12, 2026)	NT$852.00
52-Week Range	NT$964.00-490.00
Sh out, dil, curr (mn)	743
Mkt cap, curr (mn)	NT$632,832
EV, curr (mn)	NT$544,316
Avg daily trading value (mn)	NT$2,918

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT$)**	59.99	65.16	68.06	69.60
Prior EPS (NT$)**	-	-	-	-
EPS (NT$)§	56.11	55.67	61.46	64.74
Revenue, net (NT$ mn)	688,935	881,855	980,967	1,112,157
EBITDA (NT$ mn)	35,091	52,492	54,496	56,033
ModelWare net inc (NT$ mn)	44,558	48,399	50,556	51,695
P/E	9.1	13.1	12.5	12.2
P/BV	1.4	2.1	2.0	1.7
ROE (%)	16.5	16.8	16.7	16.2
EV/EBITDA	9.1	10.3	9.8	8.8
Div yld (%)	6.2	5.4	5.6	0.0

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

Exhibit 1: Asustek's 2Q26 result summary table

Year to Dec. 31 (NT$m)	MSe 2Q26	Q/Q	Y/Y	MS Forecast 2Q26E	Diff. %	Cons. 2Q26E	Diff. %
Net sales	**241,056**	**24%**	**39%**	**241,056**	**0%**	**226,230**	**7%**
COGS	(201,199)			(210,501)		(196,821)	
Gross profit	**39,857**	**49%**	**85%**	**30,555**	**30%**	**29,409**	**36%**
Operating expenses	(20,219)			(16,362)		(18,907)	
Operating income	**19,638**	**87%**	**230%**	**14,193**	**38%**	**10,502**	**87%**
Non-operating income	5,036			3,866		2,775	
Pre-tax income	**24,674**	**101%**	**122%**	**18,058**	**37%**	**13,277**	**86%**
Income tax	(5,626)			(3,837)		(2,655)	
Net income	**19,048**	**94%**	**94%**	**14,221**	**34%**	**10,622**	**79%**
EPS (NT$)	**25.64**			**19.15**		**14.30**	
Margins		**ppt**	**ppt**		**ppt**		**ppt**
Gross margin	16.5%	2.8	4.2	12.7%	3.9	13.0%	3.5
Operating margin	8.1%	2.7	4.7	5.9%	2.3	4.6%	3.5
Pretax margin	10.2%	3.9	3.9	7.5%	2.7	5.9%	4.4
Net margin	7.9%	2.9	2.3	5.9%	2.0	4.7%	3.2

Source: Company data, Visible Alpha, Morgan Stanley Research estimates.

Valuation Methodology and Risks

Lenovo (0992.HK)

Base case, residual income model. Our key assumptions include a cost of equity of 9.3% (based on a beta of 1.1, risk-free rate of 2.0%), a medium-term growth rate of 5.0%, and a terminal growth rate of 3.0%.

Risks to Upside

- Faster-than-expected smartphone and data center turnaround
- Stronger PC demand recovery in China
- Better cost savings and improved product mix
- Lower-than-expected increase in memory price

Risks to Downside

- Slower-than-expected smartphone and data center turnaround
- Weaker PC demand recovery in China
- Deterioration in cost savings and product mix
- Higher-than-expected increase in memory price

Acer Inc. (2353.TW)

Base case, residual income model. We use RI model for Acer's valuation. Key assumptions include a cost of equity of 9.2% (beta of 0.9, equity risk premium of 10.2% and risk-free rate of 0.5%), a 6.0% medium-term growth rate, and a 3% terminal growth rate.

Risks to Upside

- Stronger macro recovery than expected
- Share gains in the PC market
- Better-than-expected cost controls
- Lower-than-expected increase in memory cost

Risks to Downside

- Weaker macro recovery than expected
- Share loss in the PC market
- Worse-than-expected cost controls
- Higher-than-expected increase in memory cost

Asustek Computer Inc. (2357.TW)

Base case, sum of the parts:

We apply a 9x multiple to Asustek's 2026 brand profits. This is somewhat below the midpoint of its historical band of 7-15x since 2009, which we view as fair because memory prices are rising and will have a negative impact on margins.

We value its stakes in Pegatron and Advantech based on our price targets in proportion to Asustek's holdings.

Risks to Upside

- Stronger global NB demand
- Stronger AI server demand
- Stronger ROG Ally demand
- Better margin recovery
- Slower rise of memory prices

Risks to Downside

- Weaker global NB demand
- Weaker AI server demand
- Weaker ROG Ally demand
- Slower margin recovery
- Memory prices rises faster than expected

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(as of July 31, 2026)

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Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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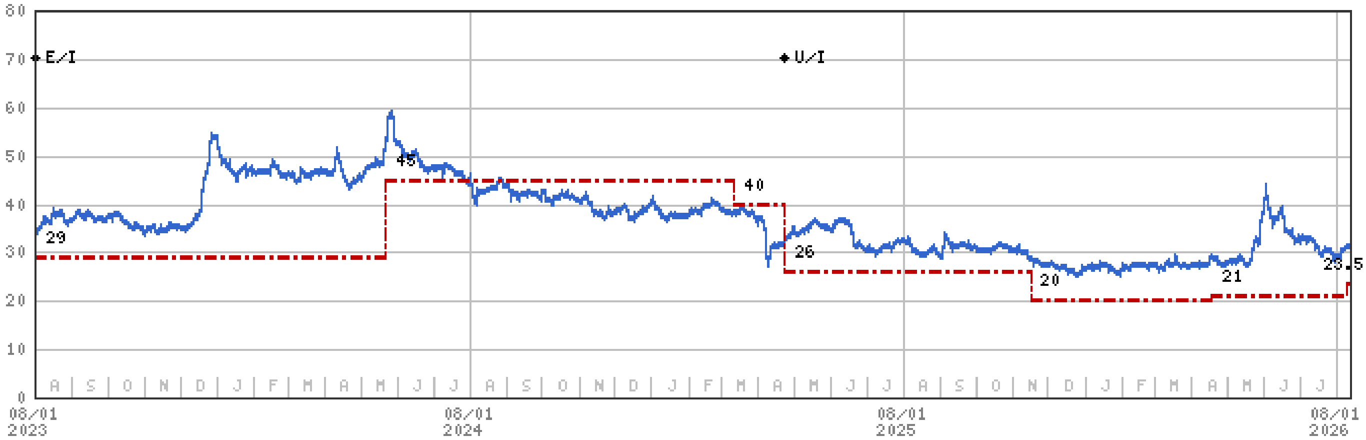
Stock Price, Price Target and Rating History (See Rating Definitions)

Acer Inc. (2353.TW) - As of 08/12/26 GMT in TWD
Industry : Greater China Technology Hardware



Stock Rating History: 8/1/21 : U/I; 5/1/23 : E/I; 4/23/25 : U/I

Price Target History: 7/23/21 : 21.5; 3/7/22 : 23; 5/6/22 : 22.5; 7/15/22 : 17; 10/6/22 : 15.5; 1/30/23 : 14.6; 3/17/23 : 15.5; 5/1/23 : 24; 8/1/23 : 29; 5/22/24 : 45; 3/11/25 : 40; 4/23/25 : 26; 11/16/25 : 20; 4/17/26 : 21; 8/10/26 : 23.5

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) ▬
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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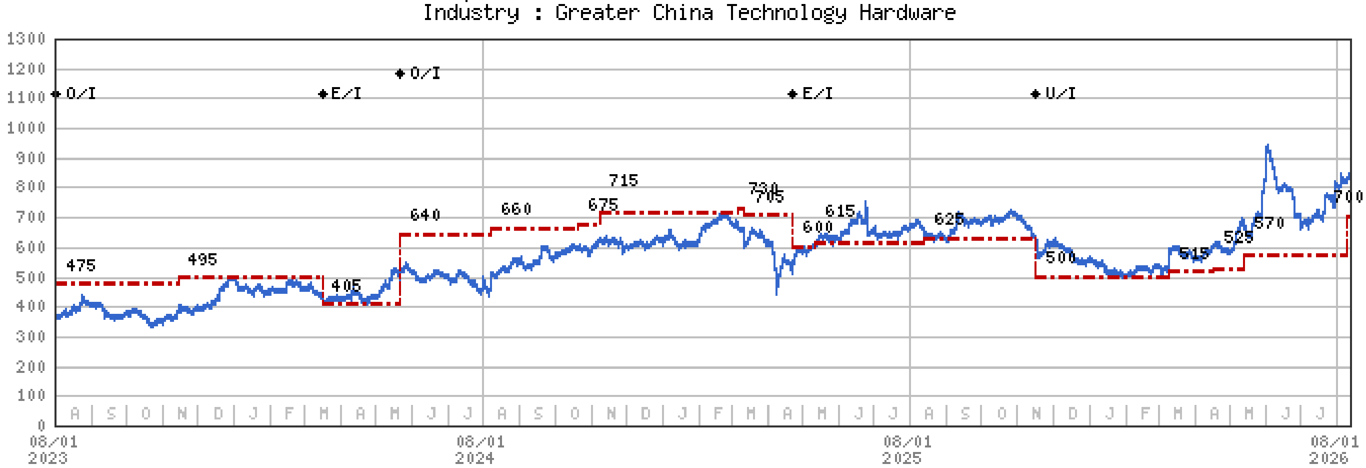
Asustek Computer Inc. (2357.TW) - As of 08/12/26 GMT in TWD
Industry : Greater China Technology Hardware



Stock Rating History: 8/1/21 : U/I; 5/1/23 : E/I; 8/1/23 : O/I; 3/16/24 : E/I; 5/22/24 : O/I; 4/23/25 : E/I; 11/16/25 : U/I

Price Target History: 7/23/21 : 305; 11/10/21 : 300; 3/7/22 : 315; 3/17/22 : 330; 5/12/22 : 296; 7/15/22 : 205; 8/12/22 : 185; 10/6/22 : 172; 1/30/23 : 168; 3/13/23 : 160; 5/1/23 : 260; 5/12/23 : 280; 8/1/23 : 475; 11/14/23 : 495; 3/16/24 : 405; 5/22/24 : 640; 8/7/24 : 660; 10/21/24 : 675; 11/8/24 : 715; 3/6/25 : 730; 3/12/25 : 705; 4/23/25 : 600; 5/12/25 : 615; 8/13/25 : 625; 11/16/25 : 500; 3/11/26 : 515; 4/17/26 : 525; 5/13/26 : 570; 8/10/26 : 700

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
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Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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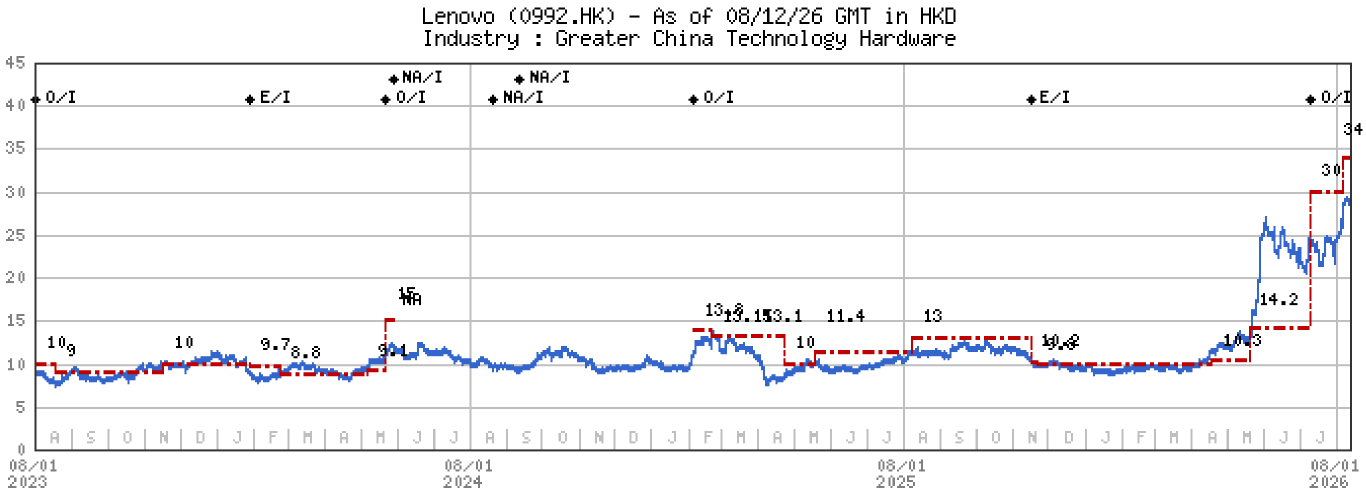

Stock Rating History: 8/1/21 : E/I; 5/1/23 : O/I; 1/29/24 : E/I; 5/22/24 : O/I; 5/28/24 : NA/I; 8/20/24 : NA/I; 9/12/24 : NA/I; 2/5/25 : O/I; 11/16/25 : E/I; 7/10/26 : O/I

Price Target History: 7/23/21 : 8.4; 8/12/21 : 9; 11/5/21 : 9.5; 2/21/22 : 9.8; 3/7/22 : 8.5; 5/24/22 : 7.5; 7/15/22 : 7.2; 8/10/22 : 7.6; 10/6/22 : 6.6; 11/3/22 : 6.7; 1/18/23 : 6.5; 2/20/23 : 6.4; 5/1/23 : 10.4; 5/25/23 : 10.3; 8/1/23 : 10; 8/18/23 : 9; 11/17/23 : 10; 1/29/24 : 9.7; 2/23/24 : 8.8; 5/6/24 : 9.1; 5/22/24 : 15; 5/28/24 : NA; 2/5/25 : 13.8; 2/20/25 : 13.15; 3/27/25 : 13.1; 4/23/25 : 10; 5/19/25 : 11.4; 8/8/25 : 13; 11/16/25 : 10.2; 11/21/25 : 9.8; 4/17/26 : 10.3; 5/19/26 : 14.2; 7/10/26 : 30; 8/7/26 : 34

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/12/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK$42.68
Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb185.03
BYD Electronics (0285.HK)	O (04/28/2023)	HK$23.82
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb7.94
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb16.62
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb428.20
Genius Electronic Optical Co. Ltd. (3406.TW)	E (04/23/2025)	NT$578.00
GoerTek Inc (002241.SZ)	U (04/23/2025)	Rmb22.56
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb4.72
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb36.47
Largan Precision (3008.TW)	O (07/10/2026)	NT$4,585.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb7.25
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb12.51
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb57.35
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb7.41
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK$6.85
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb54.03
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK$37.40
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb56.29
Sunny Optical (2382.HK)	E (03/23/2026)	HK$58.85
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb240.05
Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb17.15
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK$26.36

Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb345.79
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	O (07/15/2026)	HK$131.40
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb102.87
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb27.55
Zhongji Innolight Co Ltd (300308.SZ)	++	Rmb921.00
ZTE Corporation (0763.HK)	O (06/04/2026)	HK$25.50
ZTE Corporation (000063.SZ)	E (06/04/2026)	Rmb35.59
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT$2,215.00
Advantech (2395.TW)	O (01/20/2021)	NT$686.00
AirTAC International (1590.TW)	O (04/16/2025)	NT$1,595.00
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT$2,910.00
AU Optronics (2409.TW)	E (02/10/2026)	NT$26.25
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT$1,050.00
Bizlink (3665.TW)	O (03/10/2025)	NT$2,155.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb5.93
Chenbro (8210.TW)	O (07/23/2025)	NT$1,005.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT$2,195.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT$1,790.00
E Ink Holdings Inc. (8069.TWO)	E (08/10/2026)	NT$166.00
Ennostar Inc (3714.TW)	U (09/23/2022)	NT$58.30
Fositek Corp (6805.TW)	O (06/25/2025)	NT$1,835.00
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT$369.00
Innolux (3481.TW)	E (04/07/2025)	NT$50.40
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT$12,045.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb35.25
Lite-On Technology (2301.TW)	E (01/15/2025)	NT$259.50
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb5.09
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb6.70
Wuhan Jingce Electronic Group Co Ltd (300567.SZ)	E (11/26/2021)	Rmb225.20
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT$31.75
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT$852.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT$205.00
Compal Electronics (2324.TW)	U (04/23/2025)	NT$39.90
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK$5.22
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb65.60
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT$375.50
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT$1,000.00
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT$270.00
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb75.02
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT$2,725.00
Lenovo (0992.HK)	O (07/10/2026)	HK$29.04
Lotes Co. Ltd. (3533.TW)	E (05/12/2025)	NT$2,010.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT$1,265.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT$91.40
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT$325.50
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb143.23
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb385.80
Unimicron (3037.TW)	O (02/23/2026)	NT$1,000.00
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT$384.50
Wistron Corporation (3231.TW)	O (07/12/2023)	NT$193.50
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT$6,025.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT$602.00
Zhen Ding (4958.TW)	++	NT$471.50

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Greater China Technology Hardware | Asia Pacific

Automation – Read-across from Preliminary JMTBA July 2026 Orders

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GREATER CHINA TECHNOLOGY HARDWARE	
Asia Pacific	
Industry View	In-Line

In this report, we focus on preliminary JMTBA orders, which we believe could be a catalyst for AirTAC's and Hiwin's share prices.

According to the Japan Machine Tool Builders' Association (JMTBA), headline orders declined 5% MoM but grew 50% YoY in July 2026 (vs. +15% MoM/+53% YoY in June 2026), to ¥193bn.

- Domestic orders were -8% MoM/+50% YoY (vs. +28% MoM/+46% YoY in June), at ¥53bn.
- Overseas orders were -4% MoM/+51% YoY (vs. +10% MoM/+56% YoY in June), at ¥140bn.

Our view:

- We think the sequential decline in overseas orders was consistent with seasonality, while growth remains strong on a YoY basis. Within overseas orders, we think North America and Europe may have outperformed, as manufacturing PMIs held up better (55.6/51.9 for NA/Europe in July vs. 53.3/51.4 in June). On the other hand, China may have softened a bit, as manufacturing PMI edged down to 49.2 in July (vs. 50.3 in June).
- We remain OW on both AirTAC (1590.TW) and Hiwin (2049.TW) as we see company-specific drivers on top of the industry recovery trend:
  - AirTAC should continue to benefit from its own market share gains, and valuation appears undemanding at 23x 2027e P/E (vs. 25x average since 2020).
  - Hiwin should see margin expansion in the coming quarters, driven by higher utilization and price hikes, which we believe could be share price catalysts. Although current valuation of 34x 2027 P/E does not appear inexpensive, its peak cycle valuation could reach 35-40x P/E.

AlphaSignals Catalyst Event Reaction

Company / Catalyst	Date	Impact to thesis	Catalyst versus expectation
AirTAC International 1590.TW			
Preliminary JMTBA July 2026 Orders	12 Aug 2026	Unchanged	| In-line
Hiwin Technologies Corp. 2049.TW			
Preliminary JMTBA July 2026 Orders	12 Aug 2026	Unchanged	| In-line

Source:Company data, Morgan Stanley Research

Valuation Methodology and Risks

AirTAC International (1590.TW)

Base case, 29x 2027e P/E. We believe this methodology better captures earnings growth momentum for industrial automation component plays (market sentiment moves along with business cycles). As the industry enters an up-cycle, we think applying a near-peak cycle valuation of 29x P/E is reasonable given the stronger business outlook.

Risks to Upside

- Stronger macroeconomic climate in China
- Stronger-than-expected demand from industrial automation

Risks to Downside

- Sharper economic downturn in China
- Miniature linear guideway business development taking more time
- Larger-than-expected investment in new products but weaker-than-expected demand

Hiwin Technologies Corp. (2049.TW)

Base case, P/E. We think this valuation methodology better captures Hiwin's earnings growth momentum, as its valuation tends to move with the business cycle. We apply a target multiple of 37x to our 2027 EPS estimate. We view this multiple as justified by the 44% operating profit CAGR we project for 2025-28.

Risks to Upside

- Stronger industrial automation demand pickup.
- Market share gains.
- Earlier-than-expected revenue contribution from humanoids.

Risks to Downside

- Weaker industrial automation demand.
- More pricing pressure.
- Market share loss.
- More broad-based impact on the global economy from geopolitical risks.

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Global Stock Ratings Distribution

(as of July 31, 2026)

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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

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Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

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Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

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Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

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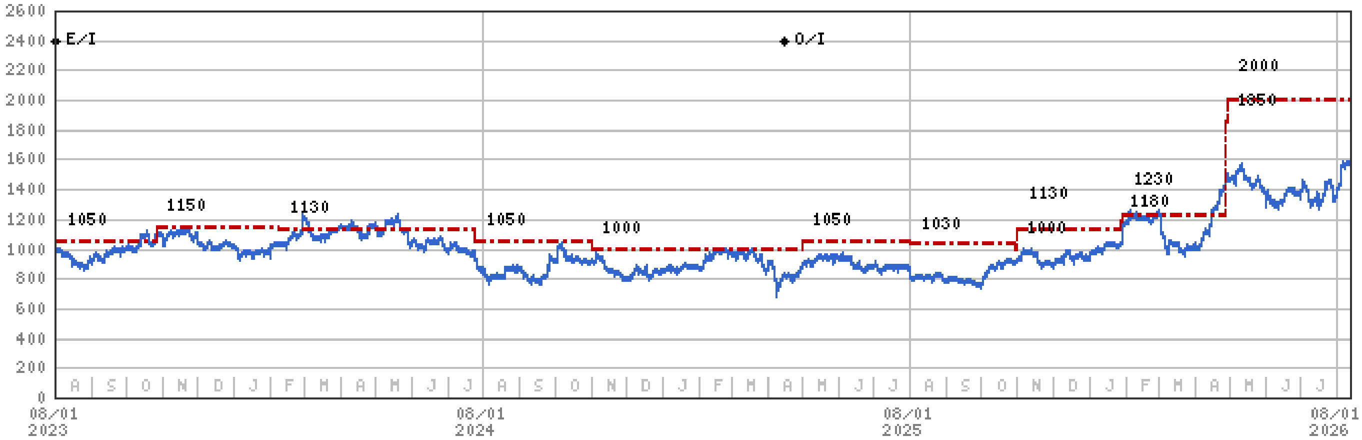
Stock Price, Price Target and Rating History (See Rating Definitions)

AirTAC International (1590.TW) - As of 08/12/26 GMT in TWD
Industry : Greater China Technology Hardware



Stock Rating History: 8/1/21 : O/I; 11/8/21 : E/I; 1/11/22 : O/I; 8/4/22 : E/I; 4/16/25 : O/I

Price Target History: 4/29/21 : 1567.27; 8/5/21 : 1379.98; 10/4/21 : 1300; 11/8/21 : 870; 1/11/22 : 1250; 3/24/22 : 1150; 8/4/22 : 850; 10/27/22 : 600; 1/16/23 : 1050; 2/8/23 : 1100; 4/26/23 : 1150; 7/28/23 : 1050; 10/26/23 : 1150; 2/7/24 : 1130; 7/25/24 : 1050; 11/1/24 : 1000; 4/30/25 : 1050; 8/1/25 : 1030; 10/30/25 : 1000; 10/31/25 : 1130; 1/27/26 : 1180; 1/30/26 : 1230; 4/28/26 : 1850; 4/30/26 : 2000

Source: Morgan Stanley Research   Date Format : MM/DD/YY   Price Target   No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst)   Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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Hiwin Technologies Corp. (2049.TW) - As of 08/12/26 GMT in TWD
Industry : Greater China Technology Hardware

Stock Rating History: 8/1/21 : O/I; 8/11/22 : E/I; 2/21/23 : O/I; 8/11/23 : E/I; 5/12/25 : U/I; 2/27/26 : E/I; 3/30/26 : O/I

Price Target History: 1/20/21 : 556.84; 8/5/21 : 480.04; 10/5/21 : 479.6; 2/28/22 : 341.16; 3/24/22 : 301.61; 7/20/22 : 295; 8/11/22 : 230; 11/21/22 : 200; 2/21/23 : 295; 2/27/23 : 283; 5/10/23 : 280; 8/11/23 : 205; 11/13/23 : 220; 2/27/24 : 210; 8/13/24 : 205; 11/12/24 : 225; 2/27/25 : 310; 5/12/25 : 160; 2/27/26 : 210; 3/30/26 : 300; 4/28/26 : 380; 5/11/26 : 400

Source: Morgan Stanley Research   Date Format : MM/DD/YY   Price Target   No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst)   Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/12/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK$42.68
Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb185.03
BYD Electronics (0285.HK)	O (04/28/2023)	HK$23.82
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb7.94
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb16.62
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb428.20
Genius Electronic Optical Co. Ltd. (3406.TW)	E (04/23/2025)	NT$578.00
GoerTek Inc (002241.SZ)	U (04/23/2025)	Rmb22.56
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb4.72
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb36.47
Largan Precision (3008.TW)	O (07/10/2026)	NT$4,585.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb7.25
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb12.51
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb57.35
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb7.41
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK$6.85
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb54.03
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK$37.40
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb56.29
Sunny Optical (2382.HK)	E (03/23/2026)	HK$58.85
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb240.05
Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb17.15
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK$26.36
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb345.79
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	O (07/15/2026)	HK$131.40
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb102.87
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb27.55
Zhongji Innolight Co Ltd (300308.SZ)	++	Rmb921.00
ZTE Corporation (0763.HK)	O (06/04/2026)	HK$25.50
ZTE Corporation (000063.SZ)	E (06/04/2026)	Rmb35.59
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT$2,215.00
Advantech (2395.TW)	O (01/20/2021)	NT$686.00
AirTAC International (1590.TW)	O (04/16/2025)	NT$1,595.00
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT$2,910.00
AU Optronics (2409.TW)	E (02/10/2026)	NT$26.25
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT$1,050.00
Bizlink (3665.TW)	O (03/10/2025)	NT$2,155.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb5.93
Chenbro (8210.TW)	O (07/23/2025)	NT$1,005.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT$2,195.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT$1,790.00
E Ink Holdings Inc. (8069.TWO)	E (08/10/2026)	NT$166.00
Ennostar Inc (3714.TW)	U (09/23/2022)	NT$58.30
Fositek Corp (6805.TW)	O (06/25/2025)	NT$1,835.00
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT$369.00
Innolux (3481.TW)	E (04/07/2025)	NT$50.40
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT$12,045.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb35.25
Lite-On Technology (2301.TW)	E (01/15/2025)	NT$259.50
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb5.09
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb6.70

Wuhan Jingce Electronic Group Co Ltd (300567.SZ)	E (11/26/2021)	Rmb225.20
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT$31.75
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT$852.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT$205.00
Compal Electronics (2324.TW)	U (04/23/2025)	NT$39.90
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK$5.22
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb65.60
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT$375.50
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT$1,000.00
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT$270.00
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb75.02
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT$2,725.00
Lenovo (0992.HK)	O (07/10/2026)	HK$29.04
Lotes Co. Ltd. (3533.TW)	E (05/12/2025)	NT$2,010.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT$1,265.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT$91.40
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT$325.50
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb143.23
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb385.80
Unimicron (3037.TW)	O (02/23/2026)	NT$1,000.00
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT$384.50
Wistron Corporation (3231.TW)	O (07/12/2023)	NT$193.50
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT$6,025.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT$602.00
Zhen Ding (4958.TW)	++	NT$471.50

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.

Morgan Stanley | RESEARCH

IDEA

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Hiwin Technologies Corp. | Asia Pacific

Margin Expansion Playing Out amid Upcycle

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WHAT'S CHANGED

Hiwin Technologies Corp. (2049.TW)	From	To
Price Target	NT$400.00	**NT$450.00**

AlphaSignals Earnings Reaction

Unchanged	**Modest upside**	**Modest revision higher**
Impact to our thesis	Financial results versus consensus	Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

The margin beat in 2Q26 should help sentiment and points to more upside for business fundamentals and the share price. We raise our PT to NT$450 (38x 2027e P/E) and remain OW.

2Q26 earnings beat on better GM: Off revenue of NT$7,508mn (+18% QoQ/+27% YoY), gross margin improved by 2.2ppt QoQ to 34.2%, surpassing MSe at 32.4% and consensus at 33.3%, mainly driven by higher utilization and price hikes during the quarter. Opex was largely in line at NT$1,531mn (opex ratio 20.4%), leading to operating profit at NT$1,034mn (operating margin 13.8%), 19% above MSe at NT $867mn (OPM 11.6%) and 9% above consensus at NT$948mn (OPM 12.9%). With narrower non-op gains of NT$46mn, NP came in at NT$848mn (EPS NT$2.40), 18% above MSe and 5% above consensus at NT$721mn (EPS NT$2.04) and NT$804mn (EPS NT$2.27), respectively.

Momentum sustained into 2H26: Delivery lead time has further lengthened to ~6 months for ball screws (vs. prior 4-5 months) and 4-5 months for linear guides (vs. prior ~4 months); this is a good indicator for solid demand. Management indicated that industrial automation, semiconductor and AI-related infrastructure builds are the major demand drivers this year. Specifically from the AI capex cycle, Hiwin is riding tailwinds of capacity expansion from mechanical component suppliers in the rack, thermal modules, connector, etc. space. We expect revenue to grow QoQ in both 3Q26 and 4Q26, with margins also expanding vs. 2Q26. Moreover, if the demand remains at a buoyed level, we think Hiwin might have the bargaining power to further raise its selling prices in the coming quarters.

Robotics remains key focus: Hiwin continues to see growth in its robotics segment, especially from wafer transport systems and some small volume shipments for logistics robots. 1H26 segment revenue grew 59% YoY to account for 12% of revenue (9% in 2025), and we expect the mix to rise in the coming years.

Stay OW: We believe the better-than-expected margins in 2Q26 should help sentiment. As we mentioned previously, Hiwin tends to benefit from both revenue growth and margin expansion in an upcycle, and numbers now point in that direction. We remain constructive and raise PT ~13% to NT$450 (38x 2027e P/E).

Hiwin Technologies Corp. (2049.TW, 2049 TT)

Greater China Technology Hardware | Taiwan

Stock Rating	**Overweight**
Industry View	**In-Line**
Price target	NT$450.00
Up/downside to price target (%)	22
Shr price, close (Aug 12, 2026)	NT$369.00
52-Week Range	NT$426.00-180.50
Sh out, dil, curr (mn)	354
Mkt cap, curr (mn)	US$4,051
EV, curr (mn)	US$4,039
Avg daily trading value (mn)	US$41

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT$)**	4.31	9.77	11.77	13.77
Prior EPS (NT$)**	-	8.77	10.77	12.77
Revenue, net (NT$ mn)	24,263	29,992	34,688	39,123
EBITDA (NT$ mn)	4,001	6,485	7,488	8,431
ModelWare net inc (NT $ mn)	1,526	3,457	4,165	4,873
P/E	45.0	37.8	31.3	26.8
P/BV	1.4	2.4	2.2	2.1
RNOA (%)	3.6	8.7	11.1	12.7
ROE (%)	4.1	9.2	10.4	11.2
EV/EBITDA	12.6	19.5	16.6	14.5
Div yld (%)	1.2	0.5	0.9	1.1
FCF yld ratio (%)**	2.0	3.4	2.4	2.7

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
e = Morgan Stanley Research estimates

Results Summary

Exhibit 1: Hiwin: Results Summary

	2Q26E			MS estimates	Diff (%)	Consensus	Diff (%)
NT$mn	**Actual**	**QoQ**	**YoY**				
Net sales	**7,508**	**18%**	**27%**	**7,490**	**0%**	**7,328**	**2%**
COGS	-4,943	14%	19%	-5,066	-2%	-4,889	1%
Gross profit	**2,565**	**26%**	**46%**	**2,424**	**6%**	**2,439**	**5%**
Operating expenses	-1,531	9%	21%	-1,556	-2%	-1,491	3%
Operating Income	**1,034**	64%	107%	**867**	**19%**	**948**	**9%**
Non-operating income	46	-48%	-111%	10	357%	27	72%
Pre-tax Income	1,080	50%	1475%	877	23%	975	11%
Net Income	**848**	**46%**	**527%**	**721**	**18%**	**804**	**5%**
EPS (NT$)	**2.40**	**46%**	**527%**	**2.04**	**18%**	**2.27**	**5%**
Margins (%)		***ppt***	***ppt***		***ppt***		***ppt***
Gross margin	34.2%	2.2	4.4	32.4%	1.8	33.3%	0.9
Operating margin	13.8%	3.9	5.4	11.6%	2.2	12.9%	0.8
Pre-tax margin	14.4%	3.1	13.2	11.7%	2.7	13.3%	1.1
Net margin	11.3%	2.2	9.0	9.6%	1.7	11.0%	0.3

Source: Company data, FactSet consensus, Morgan Stanley Research estimates

Quarterly Financial Summary

Exhibit 2: Hiwin: Quarterly financial summary

NT$ mn	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26E	3Q26E	4Q26E	2025	2026E	2027E
Net sales	**5,839**	**5,925**	**5,995**	**6,503**	**6,379**	**7,508**	**7,996**	**8,108**	**24,263**	**29,992**	**34,688**
COGS	-4,097	-4,163	-4,281	-4,744	-4,342	-4,943	-5,183	-5,230	-17,285	-19,698	-22,703
Gross profit	**1,742**	**1,762**	**1,715**	**1,759**	**2,038**	**2,565**	**2,813**	**2,878**	**6,978**	**10,294**	**11,985**
Operating expenses	-1,323	-1,264	-1,304	-1,444	-1,407	-1,531	-1,603	-1,625	-5,335	-6,167	-6,872
SG&A, R&D exp.	-1,323	-1,264	-1,304	-1,444	-1,407	-1,531	-1,603	-1,625	-5,335	-6,167	-6,872
Operating income	**419**	**499**	**411**	**315**	**631**	**1,034**	**1,210**	**1,253**	**1,643**	**4,127**	**5,114**
Non-operating income	**181**	**-430**	**163**	**207**	**89**	**46**	**0**	**0**	**121**	**134**	**0**
Interest income	-41	-27	-39	-23	-35	-28	-30	-30	-130	-123	-120
Investment income	0	50	-47	-4	0	-1	0	0	0	-1	0
Disposal of investment	0	0	0	0	0	-5	0	0	0	-5	0
Exchange gain	174	-490	218	243	103	34	0	0	145	137	0
Others	48	36	31	-10	21	46	30	30	105	126	120
Pre-tax income	**600**	**69**	**573**	**523**	**719**	**1,080**	**1,210**	**1,253**	**1,764**	**4,262**	**5,114**
Income tax	-142	35	-152	-95	-170	-263	-242	-251	-354	-926	-1,069
Minority interest	25	32	25	34	30	31	30	30	116	121	120
Net income	**483**	**135**	**446**	**462**	**579**	**848**	**998**	**1,032**	**1,526**	**3,457**	**4,165**
Adj.wtd.avg.shrs (mn)	354	354	354	354	354	354	354	354	354	354	354
EPS (NT$)	**1.36**	**0.38**	**1.26**	**1.31**	**1.64**	**2.40**	**2.82**	**2.92**	**4.31**	**9.77**	**11.77**
Fully diluted shares (mn)	354	354	354	354	354	354	354	354	354	354	354
Diluted EPS (NT$)	**1.36**	**0.38**	**1.26**	**1.31**	**1.64**	**2.40**	**2.82**	**2.92**	**4.31**	**9.77**	**11.77**
Margins (%)											
Gross Margin	29.8	29.7	28.6	27.0	31.9	34.2	35.2	35.5	28.8	34.3	34.6
Operating Margin	7.2	8.4	6.8	4.8	9.9	13.8	15.1	15.5	6.8	13.8	14.7
Pretax Margin	10.3	1.2	9.6	8.0	11.3	14.4	15.1	15.5	7.3	14.2	14.7
Net Margin	8.3	2.3	7.4	7.1	9.1	11.3	12.5	12.7	6.3	11.5	12.0
QoQ Growth (%)											
Sales	-8	1	1	8	-2	18	6	1			
Gross Profit	0	1	-3	3	16	26	10	2			
Operating Profit	32	19	-18	-23	100	64	17	4			
Pretax Profit	111	-89	736	-9	38	50	12	4			
Net Profit	46	-72	230	4	25	46	18	3			
YoY Growth (%)											
Sales	6	-4	-5	2	9	27	33	25	-1	24	16
Gross Profit	10	-10	-12	1	17	46	64	64	-3	48	16
Operating Profit	5	-24	-40	-1	51	107	195	297	-20	151	24
Pretax Profit	24	-90	-27	84	20	1475	111	140	-22	142	20
Net Profit	22	-77	-33	40	20	527	124	123	-23	127	20

Source: Company data, Morgan Stanley Research (E) estimates.

Financial Summary

Exhibit 3: Hiwin: Financial summary

Consolidated Income Statement

NT$ mn (Year End Dec 31)	2024	2025	2026E	2027E	2028E
Net sales	**24,392**	**24,263**	**29,992**	**34,688**	**39,123**
COGS	-17,174	-17,285	-19,698	-22,703	-25,501
Gross profit	**7,218**	**6,978**	**10,294**	**11,985**	**13,622**
Operating expenses	-5,159	-5,335	-6,167	-6,872	-7,612
Operating income	**2,059**	**1,643**	**4,127**	**5,114**	**6,010**
Non-operating income	**191**	**121**	**134**	**0**	**0**
Interest income	-120	-130	-123	-120	-120
Investment income	0	0	-1	0	0
Disposal of investment	0	0	-5	0	0
Exchange gain	187	145	137	0	0
Others	124	105	126	120	120
Pre-tax income	**2,250**	**1,764**	**4,262**	**5,114**	**6,010**
Income tax	-387	-354	-926	-1,069	-1,257
Minority interests	109	116	121	120	120
Net income	**1,972**	**1,526**	**3,457**	**4,165**	**4,873**
Adj. wtd. Avg. shrs (m)	354	354	354	354	354
Reported EPS (NT$)	**5.57**	**4.31**	**9.77**	**11.77**	**13.77**
Diluted shrs (m)	354	354	354	354	354
Diluted EPS (NT$)	**5.57**	**4.31**	**9.77**	**11.77**	**13.77**

Consolidated Cash Flow Statement

NT$ mn (Year End Dec 31)	2024	2025	2026E	2027E	2028E
Operating Cashflow	**3,619**	**4,277**	**7,756**	**5,932**	**6,716**
Net Profits	1,972	1,526	3,457	4,165	4,873
Depreciation & Amort.	2,334	2,358	2,358	2,374	2,421
Investment losses/(income)	-68	-22	1	0	0
Working capital change	-354	296	2,107	-466	-445
Other adjustments	-266	120	-167	-141	-133
Investing Cashflow	**-3,883**	**-2,818**	**-2,614**	**-3,016**	**-3,395**
Capex	-3,714	-2,766	-2,579	-2,983	-3,365
Change of L/T investment	0	0	0	0	0
Change of S/T investment	13	2	0	0	0
Other adjustments	-196	-76	-50	-50	-50
Financing Cashflow	**-19**	**-1,278**	**58**	**573**	**334**
Increase in L/T debt	1,101	-935	1,500	1,500	1,500
Increase in S/T debt	-98	618	0	0	0
Issuance of stock	0	0	0	0	0
Cash dividends	-884	-849	-708	-1,141	-1,374
Other adjustments	-138	-112	-734	214	209
FX adjustment	73	89	-137	0	0
Net change in cash	**-210**	**270**	**5,063**	**3,489**	**3,655**

Consolidated Balance Sheet

NT$ mn (Year End Dec 31)	2024	2025	2026E	2027E	2028E
Cash	**7,354**	**7,624**	**12,687**	**16,177**	**19,832**
Mkt securities	0	0	0	0	0
AR/NR	4,467	4,418	5,462	6,317	7,124
Inventory	7,407	7,094	8,084	9,317	10,466
Others	755	727	899	1,040	1,172
Current Assets	**19,983**	**19,864**	**27,132**	**32,851**	**38,595**
Long-term investments	1,907	1,490	1,490	1,490	1,490
Fixed assets	29,367	29,836	30,042	30,634	31,558
Other assets	3,160	2,986	3,036	3,086	3,136
Total Assets	**54,418**	**54,176**	**61,700**	**68,061**	**74,779**
S/T borrowings	1,397	2,033	2,033	2,033	2,033
AP/NP	3,318	3,251	4,333	4,995	5,610
Other ST liabilities	3,607	3,246	6,303	7,265	8,160
Total Current Liabilities	**8,322**	**8,530**	**12,670**	**14,293**	**15,804**
L/T debt	7,563	6,712	8,212	9,712	11,212
Other LT libilities	1,459	1,461	600	694	782
Total Liabilities	**17,343**	**16,702**	**21,482**	**24,699**	**27,799**
Common shares	3,538	3,538	3,538	3,538	3,538
Retained Earnings	21,883	22,115	24,733	27,757	31,255
Other SH' Equity	11,654	11,821	11,947	12,067	12,187
Total Shareholders' Equity	**37,074**	**37,474**	**40,218**	**43,362**	**46,980**
Total Liab./SH's Equity	**54,418**	**54,176**	**61,700**	**68,061**	**74,779**

Consolidated Financial Ratios

	2024	2025	2026E	2027E	2028E
Margins (%)					
Gross margin	29.6	28.8	34.3	34.6	34.8
Operating margin	8.4	6.8	13.8	14.7	15.4
Pretax margin	9.2	7.3	14.2	14.7	15.4
Net margin	8.1	6.3	11.5	12.0	12.5
YoY growth (%)					
Sales	-1.0	-0.5	23.6	15.7	12.8
Operating profits	-22.3	-20.2	151.2	23.9	17.5
Pretax profits	-11.4	-21.6	141.6	20.0	17.5
Net profits	-3.1	-22.6	126.6	20.5	17.0
Others					
Cash dividend payout (%)	43	46	33	33	33
Cash div (NT$)	2.4	2.0	3.2	3.9	4.5
Yield (%)	1	1	1	1	1
Net Debt/Equity (%)	4	3	-6	-10	-14
Liabilities/Equity (%)	47	45	53	57	59
Liabilities/Assets (%)	32	31	35	36	37
ROAE (%)	5	4	9	10	11
ROAA (%)	4	3	6	6	7
AR/NR Turnover (days)	60	67	60	62	63
Inventory Turnover (days)	158	153	141	140	142
AP/NP Turnover (days)	65	69	70	75	76
Cash conversion cycle	153	151	130	127	128

Source: Company data, Morgan Stanley Research (E) estimates.

Estimate Revisions

We raise our EPS estimates by 11% for 2026, 9% for 2027, and 8% for 2028 to factor in the strong 2Q26 results along with management's positive outlook into 2H26.

Exhibit 4: Hiwin: Estimate revisions

	2026E			2027E			2028E		
NT$ mn	**New**	**Old**	**% diff**	**New**	**Old**	**% diff**	**New**	**Old**	**% diff**
P&L Summary									
Net sales	**29,992**	**30,109**	**0%**	**34,688**	**34,798**	**0%**	**39,123**	**39,406**	**-1%**
COGS	-19,698	-20,277		-22,703	-23,350		-25,501	-26,345	
Gross profit	**10,294**	**9,832**	**5%**	**11,985**	**11,449**	**5%**	**13,622**	**13,061**	**4%**
Operating expenses	-6,167	-6,214		-6,872	-6,900		-7,612	-7,618	
Operating income	**4,127**	**3,618**	**14%**	**5,114**	**4,549**	**12%**	**6,010**	**5,443**	**10%**
Non-operating income	134	119		0	40		0	40	
Pre-tax income	**4,262**	**3,737**	**14%**	**5,114**	**4,589**	**11%**	**6,010**	**5,483**	**10%**
Income tax	-926	-800		-1,069	-960		-1,257	-1,146	
Minority interest	121	165		120	180		120	180	
Net income	**3,457**	**3,102**	**11%**	**4,165**	**3,809**	**9%**	**4,873**	**4,517**	**8%**
EPS (NT$)	**9.77**	**8.77**	**11%**	**11.77**	**10.77**	**9%**	**13.77**	**12.77**	**8%**
Margins									
Gross margin	34.3%	32.7%		34.6%	32.9%		34.8%	33.1%	
Operating margin	13.8%	12.0%		14.7%	13.1%		15.4%	13.8%	
Pretax margin	14.2%	12.4%		14.7%	13.2%		15.4%	13.9%	
Net margin	11.5%	10.3%		12.0%	10.9%		12.5%	11.5%	

Source: Morgan Stanley Research (E) estimates.

Valuation Methodology

Price target – NT$450 (from NT$400 previously): This is our base-case scenario value, derived from a target P/E multiple of 38x (37x previously) to our 2027 EPS estimate. We lift our target multiple to reflect its strong outlook amid an upcycle. We view 37x P/E as reasonable, in line with the peak cycle valuation range of 35-40x. It is also supported by the 47% earnings CAGR we project for 2025-28.

We believe P/E methodology better captures the earnings growth momentum for industrial automation component participants, as market sentiment tends to move in line with business cycles.

Bull-case scenario value – NT$600 (from NT$535 previously): We apply a 51x P/E multiple (50x previously) to our 2027 base-case EPS estimate. This scenario reflects stronger demand amid an industrial automation up-cycle, together with earlier-than-expected contributions from the humanoid business, which could drive faster top- and bottom-line growth over the coming years.

Bear-case scenario value – NT$190 (from NT$170 previously): We apply a 16x P/E multiple (unchanged) to our 2027 base-case EPS estimate. This scenario reflects a weaker macro environment that could lead to slower capex across sectors, weighing on demand for industrial automation components.

Exhibit 5: Hiwin: NTM P/E chart

Source: FactSet, Morgan Stanley Research

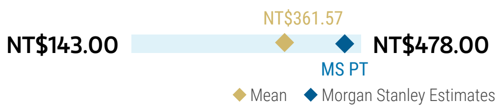
Risk Reward – Hiwin Technologies Corp. (2049.TW)

Strong business outlook with continuous margin expansion

PRICE TARGET NT$450.00

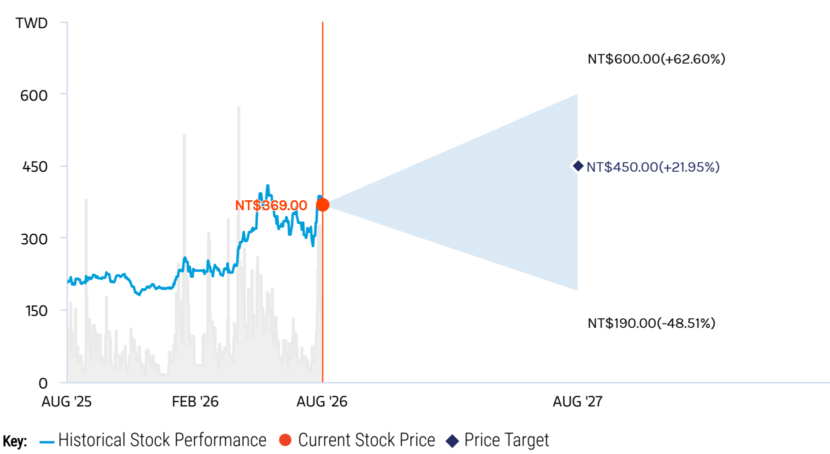
Base case, P/E. We think this valuation methodology better captures Hiwin's earnings growth momentum, as its valuation tends to move with the business cycle. We apply a target multiple of 38x to our 2027 EPS estimate. We view this multiple as justified by the 47% operating profit CAGR we project for 2025-28.

Consensus Price Target Distribution



Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART

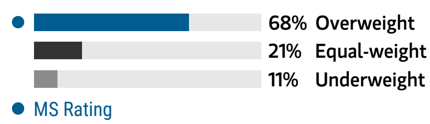


Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- We see Hiwin's business outlook improving, with delivery lead times extending to 3-4 months and momentum likely to be sustained over the next few quarters. Margins should expand on better utilization as customer demand improves, alongside price hikes of 7-15% from late March/early April to offset higher material costs.
- Demand from the tech sector remains solid, including components, assembly, and semiconductors, driven by the AI capex cycle and new form factors in consumer electronics.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: *Positive*

View descriptions of Risk Rewards Themes here

BULL CASE NT$600.00

51x 2027e EPS

Stronger demand fuels earnings upside: This scenario reflects stronger demand amid an industrial automation up-cycle, together with earlier-than-expected contributions from the humanoid business, which could drive faster top- and bottom-line growth in the coming years.

BASE CASE NT$450.00

38x 2027e EPS

Improving business outlook: This scenario reflects an improving business outlook, with delivery lead times lengthening. The strong momentum is sustained in the coming quarters with double-digit revenue growth. Margins expand on better demand and further price hikes.

BEAR CASE NT$190.00

16x 2027e EPS

Macro headwinds hamper industrial automation component demand: This scenario reflects a weaker macro environment that could lead to slower capex across sectors, weighing on demand for industrial automation components.

Risk Reward – Hiwin Technologies Corp. (2049.TW)

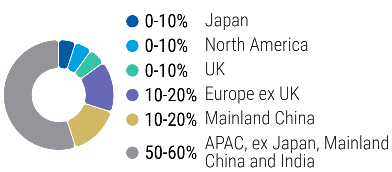
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Ball Screw shipment YoY (%)	2.7	14.8	7.6	11.8
Linear Guideway shipment YoY (%)	(2.1)	14.8	8.0	11.9
Ball Screw ASP YoY (%)	(1.7)	4.6	5.1	(0.0)
Linear Guideway ASP YoY (%)	(1.5)	4.8	5.0	0.0

INVESTMENT DRIVERS

- Revenue momentum amid increasing demand
- Long-term structural demand from China's industrial automation penetration rate
- Capex for the industrials industry

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

4/5 **MOST**	3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Stronger industrial automation demand pickup.
- Market share gains.
- Earlier-than-expected revenue contribution from humanoids.

RISKS TO DOWNSIDE

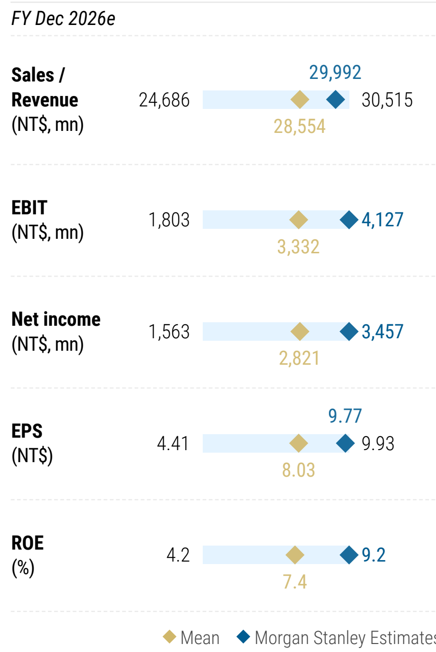
- Weaker industrial automation demand.
- More pricing pressure.
- Market share loss.
- More broad-based impact on the global economy from geopolitical risks.

OWNERSHIP POSITIONING

Inst. Owners, % Active 62%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS



Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - Options_Probabilities_Exhibit_Link.pdf

2. View descriptions of Risk Rewards Themes - RR_Themes_Exhibit_Link.pdf

3. View explanation of regional hierarchies - GEG_Exhibit_Link.pdf

4. View explanation of Theme/Exposure methodology - ESG_Sustainable_Solutions_External_Link.pdf

5. View explanation of HERS methodology - ESG_HERS_External_Link.pdf

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(as of July 31, 2026)

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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

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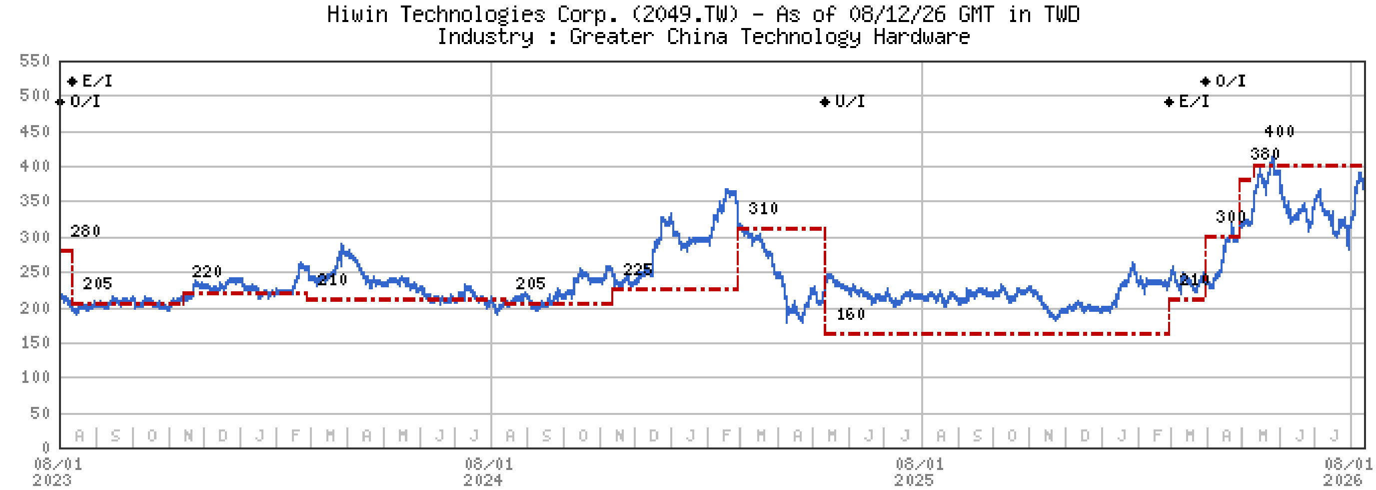
Stock Price, Price Target and Rating History (See Rating Definitions)



Stock Rating History: 8/1/21 : O/I; 8/11/22 : E/I; 2/21/23 : O/I; 8/11/23 : E/I; 5/12/25 : U/I; 2/27/26 : E/I; 3/30/26 : O/I

Price Target History: 1/20/21 : 556.84; 8/5/21 : 480.04; 10/5/21 : 479.6; 2/28/22 : 341.16; 3/24/22 : 301.61; 7/20/22 : 295; 8/11/22 : 230; 11/21/22 : 200; 2/21/23 : 295; 2/27/23 : 283; 5/10/23 : 280; 8/11/23 : 205; 11/13/23 : 220; 2/27/24 : 210; 8/13/24 : 205; 11/12/24 : 225; 2/27/25 : 310; 5/12/25 : 160; 2/27/26 : 210; 3/30/26 : 300; 4/28/26 : 380; 5/11/26 : 400

Source: Morgan Stanley Research   Date Format : MM/DD/YY   Price Target -·   No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst)   Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/12/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK$42.68
Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb185.03
BYD Electronics (0285.HK)	O (04/28/2023)	HK$23.82
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb7.94
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb16.62
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb428.20
Genius Electronic Optical Co. Ltd. (3406.TW)	E (04/23/2025)	NT$578.00
GoerTek Inc (002241.SZ)	U (04/23/2025)	Rmb22.56
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb4.72
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb36.47
Largan Precision (3008.TW)	O (07/10/2026)	NT$4,585.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb7.25
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb12.51
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb57.35
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb7.41
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK$6.85
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb54.03
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK$37.40
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb56.29
Sunny Optical (2382.HK)	E (03/23/2026)	HK$58.85
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb240.05
Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb17.15
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK$26.36
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb345.79
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	O (07/15/2026)	HK$131.40

Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb102.87
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb27.55
Zhongji Innolight Co Ltd (300308.SZ)	++	Rmb921.00
ZTE Corporation (0763.HK)	O (06/04/2026)	HK$25.50
ZTE Corporation (000063.SZ)	E (06/04/2026)	Rmb35.59
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT$2,215.00
Advantech (2395.TW)	O (01/20/2021)	NT$686.00
AirTAC International (1590.TW)	O (04/16/2025)	NT$1,595.00
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT$2,910.00
AU Optronics (2409.TW)	E (02/10/2026)	NT$26.25
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT$1,050.00
Bizlink (3665.TW)	O (03/10/2025)	NT$2,155.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb5.93
Chenbro (8210.TW)	O (07/23/2025)	NT$1,005.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT$2,195.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT$1,790.00
E Ink Holdings Inc. (8069.TWO)	E (08/10/2026)	NT$166.00
Ennostar Inc (3714.TW)	U (09/23/2022)	NT$58.30
Fositek Corp (6805.TW)	O (06/25/2025)	NT$1,835.00
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT$369.00
Innolux (3481.TW)	E (04/07/2025)	NT$50.40
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT$12,045.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb35.25
Lite-On Technology (2301.TW)	E (01/15/2025)	NT$259.50
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb5.09
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb6.70
Wuhan Jingce Electronic Group Co Ltd (300567.SZ)	E (11/26/2021)	Rmb225.20
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT$31.75
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT$852.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT$205.00
Compal Electronics (2324.TW)	U (04/23/2025)	NT$39.90
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK$5.22
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb65.60
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT$375.50
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT$1,000.00
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT$270.00
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb75.02
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT$2,725.00
Lenovo (0992.HK)	O (07/10/2026)	HK$29.04
Lotes Co. Ltd. (3533.TW)	E (05/12/2025)	NT$2,010.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT$1,265.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT$91.40
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT$325.50
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb143.23
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb385.80
Unimicron (3037.TW)	O (02/23/2026)	NT$1,000.00
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT$384.50
Wistron Corporation (3231.TW)	O (07/12/2023)	NT$193.50
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT$6,025.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT$602.00
Zhen Ding (4958.TW)	++	NT$471.50

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.

Morgan Stanley | RESEARCH

UPDATE

August 12, 2026 02:11 PM GMT

Lotes Co. Ltd | Asia Pacific

2Q GM missed on higher raw material costs

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AlphaSignals Earnings Reaction

Unchanged Impact to our thesis	**Modest shortfall** Financial results versus consensus	**Modest revision lower** Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

Key Takeaways

- Management had been highlighting the material headwind, but the q/q GM decline is bigger than expected.
- Consensus GM estimates had been higher because of higher server mix in 2Q; the stock could react negatively in the short term as a result.

2Q results:

- GM came in at 45.5% (-410bps q/q, -550bps y/y) 340bps below MSe and 380bps below the Street. This is mainly due to rising raw material costs and depletion of low cost raw material inventory, with Lotes unable to raise prices to end customers, until new project price negotiations.
- OPEX is also higher than expected at NT$2.25B (+18% q/q), 17% above MSe and 12% above the Street.
- So OpM declined to 22.0% (-710bps q/q, -920bps y/y), 790bps below MSe and 740bps below the Street.
- Net profit was NT$1,984M (-17% q/q, +165% y/y) for EPS of NT$17.69, 11% below MSe and 14% below the Street.
- *Lotes is holding an earnings call on August 13 at 10am HKT; we will share takeaways after the call.*

Exhibit 1: 2Q26P results summary table

	2Q26P Results						
NT$mn	**Actual**	**QoQ**	**YoY**	**MS Est.**	**Var.**	**Cons**	**Var.**
Net sales	**9,569**	**3%**	**15%**	**10,162**	**-6%**	**10,070**	**-5%**
COGS	-5,218	11%	28%	-5,198	0%	-5,105	2%
Gross profit	**4,351**	**-6%**	**2%**	**4,964**	**-12%**	**4,965**	**-12%**
Operating expenses	-2,248	18%	36%	-1,928	17%	-2,010	12%
Operating income	**2,103**	**-22%**	**-19%**	**3,035**	**-31%**	**2,955**	**-29%**
Non-operating income	495	68%	NM	147	236%	131	279%
Pre-tax income	**2,598**	**-13%**	**113%**	**3,183**	**-18%**	**3,085**	**-16%**
Income tax	-755	32%	65%	-925	-18%	-777	-3%
Net income	**1,984**	**-17%**	**165%**	**2,223**	**-11%**	**2,309**	**-14%**
EPS (NT$)	**17.69**	**-17%**	**165%**	**19.83**	**-11%**	**20.60**	**-14%**
Margins (%)		*ppt*	*ppt*		*ppt*		*ppt*
Gross margin	45.5%	-4.1	-5.5	48.8%	-3.4	49.3%	-3.8
Operating margin	22.0%	-7.1	-9.2	29.9%	-7.9	29.3%	-7.4
Pre-tax margin	27.1%	-5.0	12.5	31.3%	-4.2	30.6%	-3.5
Net margin	20.7%	-5.0	11.8	21.9%	-1.1	22.9%	-2.2

Source: Company data, Visible Alpha, Morgan Stanley Research estimates.

Lotes Co. Ltd. (3533.TW, 3533 TT)

Greater China Technology Hardware | Taiwan

Stock Rating	**Equal-weight**
Industry View	**In-Line**
Price target	NT$2,350.00
Up/downside to price target (%)	17
Shr price, close (Aug 12, 2026)	NT$2,010.00
52-Week Range	NT$2,955.00-1,140.00
Sh out, dil, curr (mn)	105
Mkt cap, curr (mn)	NT$210,617
EV, curr (mn)	NT$197,380
Avg daily trading value (mn)	NT$2,318

Fiscal Year Ending	**12/25**	**12/26e**	**12/27e**	**12/28e**
EPS (NT$)**	70.18	94.03	116.81	144.67
Prior EPS (NT$)**	-	-	-	-
EPS (NT$)§	68.94	96.12	128.62	157.74
Revenue, net (NT$ mn)	33,783	41,507	48,413	57,189
EBITDA (NT$ mn)	12,955	15,582	18,798	22,583
ModelWare net inc (NT$ mn)	7,866	10,539	13,092	16,215
P/E	18.5	21.4	17.2	13.9
P/BV	3.6	4.8	4.1	3.5
RNOA (%)	37.7	38.2	46.7	55.7
ROE (%)	20.7	26.1	27.9	29.6
EV/EBITDA	10.2	12.3	9.8	7.8
Div yld (%)	3.3	1.7	2.3	2.9
FCF yld ratio (%)**	2.1	4.3	5.3	6.4
Leverage (EOP) (%)	(32.8)	(40.1)	(46.6)	(51.8)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
§ = Consensus data is provided by Refinitiv Estimates
** = Based on consensus methodology
e = Morgan Stanley Research estimates

Valuation Methodology and Risks

Lotes Co. Ltd. (3533.TW)

Primary - Residual Income

Base case, residual income model. Key assumptions include a cost of equity of 9.6% (beta of 1.0, equity risk premium of 8.7% and risk-free rate of 1.0%), a medium-term growth rate of 12.5%, and a terminal growth rate of 3%.

Risks to Upside

- Stronger-than-expected growth in the server business, such as from cloud and enterprise in China
- Stronger-than-expected DT demand
- Sooner-than-expected inventory digestion of NB
- Faster ramp-up of its EV business

Risks to Downside

- Further deceleration of server demand from US hyperscalers
- Weaker-than-expected DT demand
- Slower-than-expected inventory digestion of NB
- More severe pricing erosion driven by competition

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(as of July 31, 2026)
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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.
Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.
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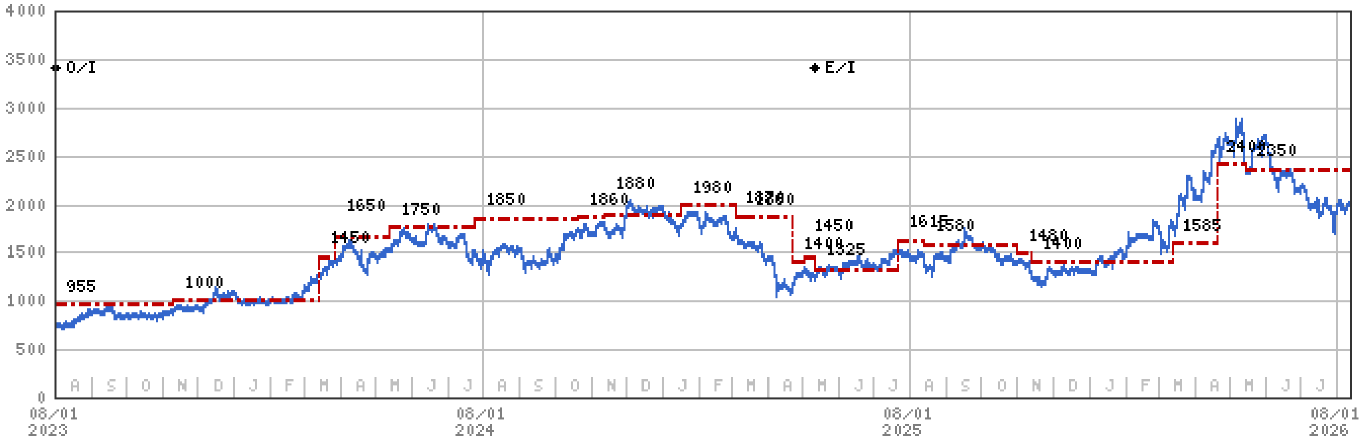
Stock Price, Price Target and Rating History (See Rating Definitions)

Lotes Co. Ltd. (3533.TW) - As of 08/12/26 GMT in TWD
Industry : Greater China Technology Hardware



Stock Rating History: 10/6/22 : O/I; 5/12/25 : E/I

Price Target History: 10/6/22 : 959.17; 10/21/22 : 984.02; 3/21/23 : 984; 5/12/23 : 1100; 7/17/23 : 955; 11/10/23 : 1000; 3/13/24 : 1450; 3/27/24 : 1650; 5/13/24 : 1750; 7/25/24 : 1850; 10/21/24 : 1860; 11/12/24 : 1880; 1/17/25 : 1980; 3/4/25 : 1870; 3/12/25 : 1860; 4/23/25 : 1400; 5/2/25 : 1450; 5/12/25 : 1325; 7/21/25 : 1615; 8/13/25 : 1580; 11/1/25 : 1480; 11/12/25 : 1400; 3/13/26 : 1585; 4/20/26 : 2400; 5/15/26 : 2350

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/12/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK$42.68
Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb185.03
BYD Electronics (0285.HK)	O (04/28/2023)	HK$23.82
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb7.94
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb16.62
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb428.20
Genius Electronic Optical Co. Ltd. (3406.TW)	E (04/23/2025)	NT$578.00
GoerTek Inc (002241.SZ)	U (04/23/2025)	Rmb22.56
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb4.72
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb36.47
Largan Precision (3008.TW)	O (07/10/2026)	NT$4,585.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb7.25
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb12.51
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb57.35
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb7.41
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK$6.85
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb54.03
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK$37.40
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb56.29
Sunny Optical (2382.HK)	E (03/23/2026)	HK$58.85
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb240.05
Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb17.15
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK$26.36
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb345.79

Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	O (07/15/2026)	HK$131.40
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb102.87
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb27.55
Zhongji Innolight Co Ltd (300308.SZ)	++	Rmb921.00
ZTE Corporation (0763.HK)	O (06/04/2026)	HK$25.50
ZTE Corporation (000063.SZ)	E (06/04/2026)	Rmb35.59
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT$2,215.00
Advantech (2395.TW)	O (01/20/2021)	NT$686.00
AirTAC International (1590.TW)	O (04/16/2025)	NT$1,595.00
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT$2,910.00
AU Optronics (2409.TW)	E (02/10/2026)	NT$26.25
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT$1,050.00
Bizlink (3665.TW)	O (03/10/2025)	NT$2,155.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb5.93
Chenbro (8210.TW)	O (07/23/2025)	NT$1,005.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT$2,195.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT$1,790.00
E Ink Holdings Inc. (8069.TWO)	E (08/10/2026)	NT$166.00
Ennostar Inc (3714.TW)	U (09/23/2022)	NT$58.30
Fositek Corp (6805.TW)	O (06/25/2025)	NT$1,835.00
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT$369.00
Innolux (3481.TW)	E (04/07/2025)	NT$50.40
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT$12,045.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb35.25
Lite-On Technology (2301.TW)	E (01/15/2025)	NT$259.50
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb5.09
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb6.70
Wuhan Jingce Electronic Group Co Ltd (300567.SZ)	E (11/26/2021)	Rmb225.20
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT$31.75
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT$852.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT$205.00
Compal Electronics (2324.TW)	U (04/23/2025)	NT$39.90
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK$5.22
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb65.60
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT$375.50
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT$1,000.00
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT$270.00
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb75.02
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT$2,725.00
Lenovo (0992.HK)	O (07/10/2026)	HK$29.04
Lotes Co. Ltd. (3533.TW)	E (05/12/2025)	NT$2,010.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT$1,265.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT$91.40
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT$325.50
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb143.23
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb385.80
Unimicron (3037.TW)	O (02/23/2026)	NT$1,000.00
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT$384.50
Wistron Corporation (3231.TW)	O (07/12/2023)	NT$193.50
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT$6,025.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT$602.00
Zhen Ding (4958.TW)	++	NT$471.50

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* Historical prices are not split adjusted.

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Greater China Technology Semiconductors | Asia Pacific

MCU: Chip inflation continuing in 2H26

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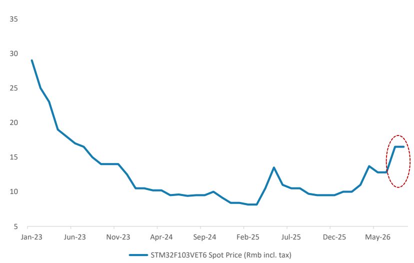
Key update:

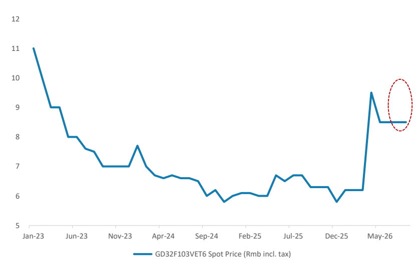
- **Flat spot pricing in August:** STMicro's 32-bit MCU and GigaDevice's (GD) 32-bit MCU spot prices were flat MoM at Rmb16.5 and to Rmb8.5, respectively. STMicro spot pricing saw a 29% MoM increase, as the company notified customers of a new round of contract price adjustments effective June 28, 2026. Separately, local MCU companies such as Nationstech continued to increase prices by another 10-20%, its second round of price hikes this year.
- **Cost side pressure continuing in 2H26:** As mature node foundry suppliers allocate more capacity to AI power-related applications, we expect supply to remain tight for MCU design houses. Recently, some mature node foundries hiked pricing again; we think MCU companies need to raise prices to pass through cost increases.
- **Strong data center demand, but weak consumer:** Data center related demand such as optical transceiver, battery management and power control remains strong, while consumer demand has been weak in the MCU market. As for industrial, demand is good but largely the same as seen last month.
- **Stock implication:** We prefer large MCU players such as GigaDevice and WiFi MCU vendors such as Espressif for their long-term edge AI opportunities. We remain UW on Nuvoton and await GM recovery before turning more constructive.

Exhibit 1: STMicro - 32F103VET6 spot market price trend



Source: Bom.ai, Morgan Stanley Research

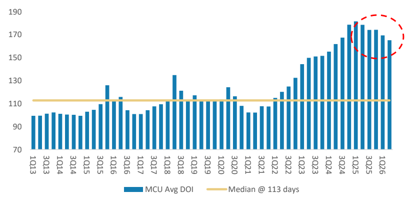
Exhibit 2: GigaDevice - 32F103VET6 spot market price trend



Source: Bom.ai, Morgan Stanley Research

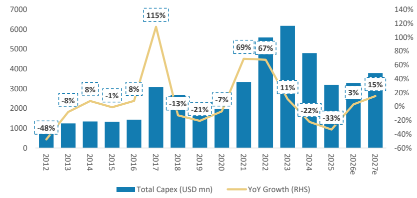
GREATER CHINA TECHNOLOGY SEMICONDUCTORS	
Asia Pacific	
Industry View	Attractive

Exhibit 3: Global leading MCU companies inventory days continue to decline



Source: Bloomberg, Morgan Stanley Research

Exhibit 4: Capex expected to recover to meet AI data demand



Source: Bloomberg, Morgan Stanley Research. Bloomberg consensus forecasts for estimate years.

Valuation Methodology and Risks

Nuvoton Technology Corporation (4919.TW)

Base case, residual income model. We assume a 9.2% cost of equity (beta 1.2, risk-free rate 2.0% and risk premium 6.0%), a payout ratio of 55%, a medium-term growth rate of 7.0%, and a terminal growth rate of 3.5%.

Risks to Upside

- MCU up-cycle is more sustained than expected.
- China's MCU localization is faster than expected.
- Traction from auto and BMC business is greater.
- Margin improvement is more significant.

Risks to Downside

- MCU up-cycle ends earlier with severe pricing erosion.
- China's MCU localization is slower than expected.
- Traction from auto and BMC business is less.
- Margins contract amid more intensified competition.

GigaDevice Semiconductor Beijing Inc (603986.SS)

Our price target is our base case value, derived from our residual income model. Key assumptions: cost of equity of 8.9% (beta 1.1, risk-free rate 2% and risk premium 6%), a payout ratio of 40%, medium-term growth rate of 16.4%, and a terminal growth rate of 3.0%.

Risks to Upside

- NOR up-cycle driven by stronger demand
- Superior chip design, leading to increasing exposure to low-density NOR
- Faster-than-expected DRAM development

Risks to Downside

- NOR down-cycle driven by weaker demand
- Inferior chip design, leading to increasing exposure to mid-/high-density NOR
- Slower-than-expected DRAM development

Espressif Systems (688018.SS)

Base case, residual income model. We assume an 8.9% cost of equity (beta 1.1, risk-free rate 2.0% and risk premium 6.0%), a payout ratio of 40%, a medium-term growth rate of 18.5%, and a terminal growth rate of 4.5%.

Risks to Upside

- China's MCU localization goes faster than expected.
- Gains traction from new customers.
- Margin expansion is more significant.

Risks to Downside

- China's MCU localization pace is slower than expected.
- Traction from new customers is less than expected.
- Margins erode amid more intense competition.

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In the next 3 months, Morgan Stanley expects to receive or intends to seek compensation for investment banking services from Advanced Micro-Fabrication Equipment Inc, Alchip Technologies Ltd, AP Memory Technology Corp, ASE Technology Holding Co. Ltd., ASMedia Technology Inc, ASMPT Ltd, Aspeed Technology, Espressif Systems, GigaDevice Semiconductor Beijing Inc, GlobalWafers Co Ltd, Gudeng Precision, Himax Technologies Inc, Hua Hong Semiconductor Ltd, Iluvatar CoreX Semiconductor Co., Ltd., Innoscience, King Yuan Electronics Co Ltd, Macronix International Co Ltd, MediaTek, MetaX Integrated Circuits, Montage Technology Co Ltd, Novatek, Phison Electronics Corp, Powerchip Semiconductor Manufacturing Co, Realtek Semiconductor, SG Micro Corp., Shenzhen Longsys Electronics Co Ltd, SICC Co Ltd, Silergy Corp., Silicon Motion, TSMC, UMC, Universal Scientific Ind. (Shanghai), Vanguard International Semiconductor, Winbond Electronics Corp, WinWay Technology Co Ltd, WPG Holdings, WT Microelectronics Co. Ltd..

Within the last 12 months, Morgan Stanley has received compensation for products and services other than investment banking services from ASE Technology Holding Co. Ltd., King Yuan Electronics Co Ltd, MediaTek, Nanya Technology Corp., Novatek, Nuvoton Technology Corporation, Realtek Semiconductor, Silicon Motion, SMIC, TSMC, UMC, Universal Scientific Ind. (Shanghai), Winbond Electronics Corp, WT Microelectronics Co. Ltd..

Within the last 12 months, Morgan Stanley has provided or is providing investment banking services to, or has an investment banking client relationship with, the following company: Advanced Micro-Fabrication Equipment Inc, Alchip Technologies Ltd, AP Memory Technology Corp, ASE Technology Holding Co. Ltd., ASMedia Technology Inc, ASMPT Ltd, Aspeed Technology, Espressif Systems, GigaDevice Semiconductor Beijing Inc, GlobalWafers Co Ltd, Gudeng Precision, Himax Technologies Inc, Hua Hong Semiconductor Ltd, Iluvatar CoreX Semiconductor Co., Ltd., Innoscience, King Yuan Electronics Co Ltd, Macronix International Co Ltd, MediaTek, MetaX Integrated Circuits, Montage Technology Co Ltd, Novatek, Phison Electronics Corp, Powerchip Semiconductor Manufacturing Co, Realtek Semiconductor, SG Micro Corp., Shenzhen Longsys Electronics Co Ltd, SICC Co Ltd, Silergy Corp., Silicon Motion, TSMC, UMC, Universal Scientific Ind. (Shanghai), Vanguard International Semiconductor, Winbond Electronics Corp, WinWay Technology Co Ltd, WPG Holdings, WT Microelectronics Co. Ltd..

Within the last 12 months, Morgan Stanley has either provided or is providing non-investment banking, securities-related services to and/or in the past has entered into an agreement to provide services or has a client relationship with the following company: ASE Technology Holding Co. Ltd., Iluvatar CoreX Semiconductor Co., Ltd., King Yuan Electronics Co Ltd, MediaTek, Montage Technology Co Ltd, Nanya Technology Corp., Novatek, Nuvoton Technology Corporation, Realtek Semiconductor, Silicon Motion, SMIC, TSMC, UMC, Universal Scientific Ind. (Shanghai), Winbond Electronics Corp, WT Microelectronics Co. Ltd..

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Global Stock Ratings Distribution

(as of July 31, 2026)

The Stock Ratings described below apply to Morgan Stanley's Fundamental Equity Research and do not apply to Debt Research produced by the Firm.

For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

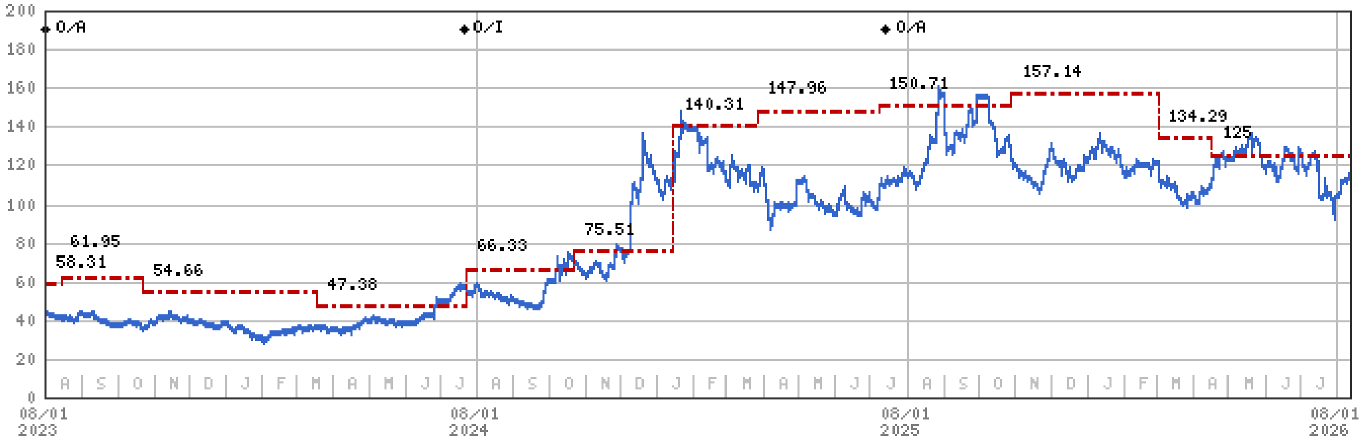
In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)

Espressif Systems (688018.SS) - As of 08/12/26 GMT in CNY
Industry : Greater China Technology Semiconductors



Stock Rating History: 8/1/21 : U/I; 10/12/21 : U/C; 10/4/22 : U/A; 2/22/23 : U/I; 5/15/23 : O/I; 7/7/23 : O/A; 7/21/24 : O/I; 7/14/25 : O/A

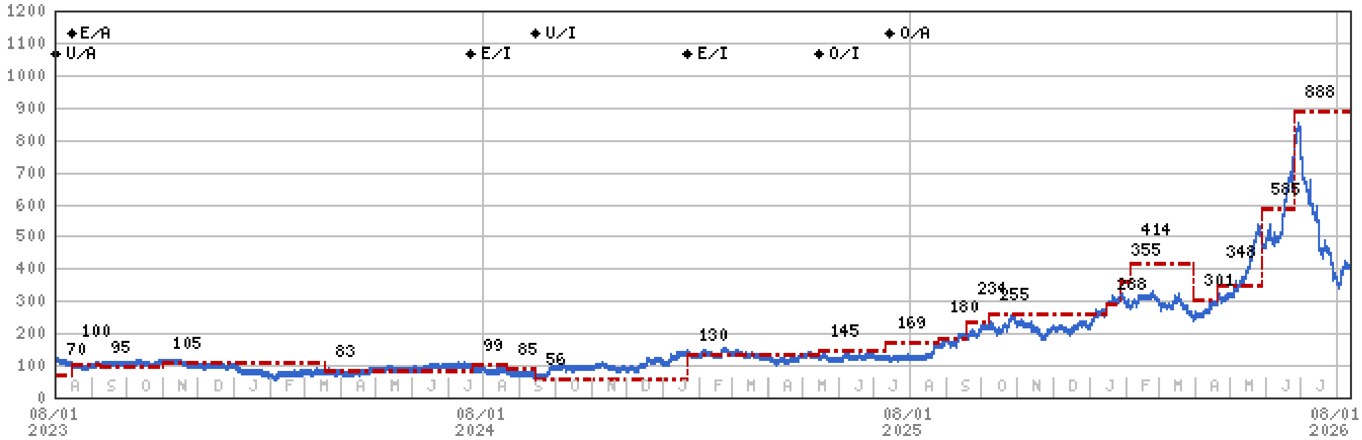
Price Target History: 7/19/21 : 72.89; 1/19/22 : 54.66; 3/12/22 : 47.38; 5/11/22 : 28.43; 10/18/22 : 24.05; 2/22/23 : 34.26; 5/15/23 : 58.31; 8/14/23 : 61.95; 10/23/23 : 54.66; 3/18/24 : 47.38; 7/23/24 : 66.33; 10/23/24 : 75.51; 1/15/25 : 140.31; 3/27/25 : 147.96; 7/8/25 : 150.71; 10/28/25 : 157.14; 3/2/26 : 134.29; 4/17/26 : 125

Source: Morgan Stanley Research   Date Format : MM/DD/YY   Price Target -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) -- Stock Price (Covered by Current Analyst) --
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

GigaDevice Semiconductor Beijing Inc (603986.SS) - As of 08/12/26 GMT in CNY
Industry : Greater China Technology Semiconductors



Stock Rating History: 8/1/21 : O/I; 10/12/21 : O/C; 10/19/21 : E/C; 12/3/21 : O/C; 7/13/22 : E/C; 10/4/22 : E/A; 10/18/22 : U/A; 2/22/23 : U/I; 7/7/23 : U/A; 8/14/23 : E/A; 7/21/24 : E/I; 9/15/24 : U/I; 1/22/25 : E/I; 5/15/25 : O/I; 7/14/25 : O/A

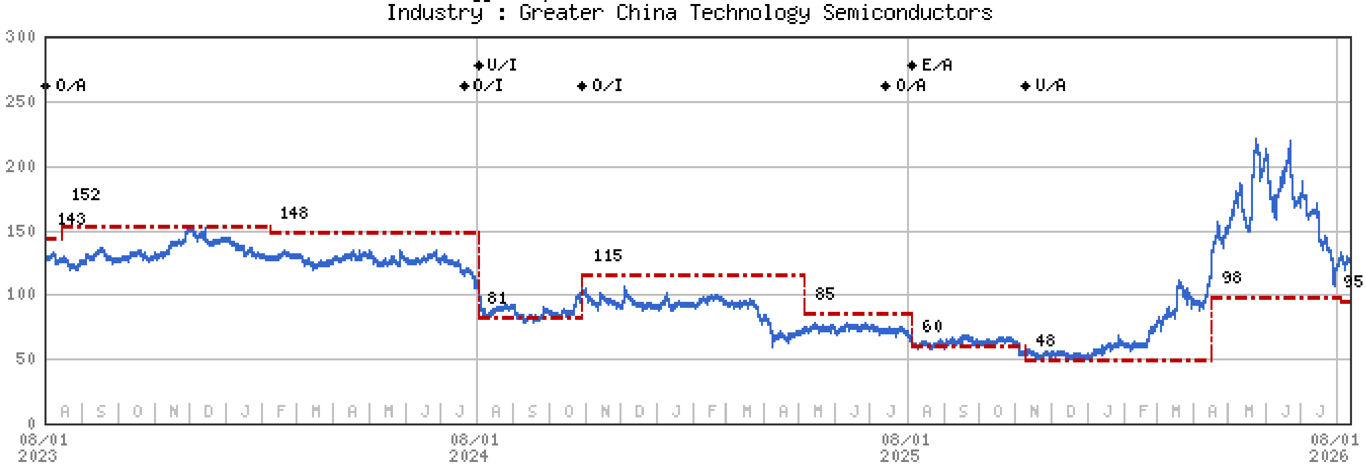
Price Target History: 7/19/21 : 222; 8/12/21 : 233; 9/17/21 : 208; 10/19/21 : 150; 12/3/21 : 222; 4/29/22 : 192; 7/5/22 : 168; 7/13/22 : 120; 8/27/22 : 122; 9/28/22 : 105; 10/18/22 : 72; 5/2/23 : 70; 8/14/23 : 100; 9/8/23 : 95; 10/31/23 : 105; 3/18/24 : 83; 7/23/24 : 99; 8/21/24 : 85; 9/15/24 : 56; 1/22/25 : 130; 5/15/25 : 145; 7/11/25 : 169; 8/25/25 : 180; 9/18/25 : 234; 10/7/25 : 255; 1/16/26 : 288; 1/28/26 : 355; 2/5/26 : 414; 3/31/26 : 301; 4/20/26 : 348; 5/28/26 : 585; 6/26/26 : 888

Source: Morgan Stanley Research   Date Format : MM/DD/YY   Price Target --   No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) --   Stock Price (Covered by Current Analyst) --
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Nuvoton Technology Corporation (4919.TW) - As of 08/12/26 GMT in TWD
Industry : Greater China Technology Semiconductors



Stock Rating History: 8/1/21 : O/I; 10/12/21 : O/C; 10/4/22 : O/A; 2/22/23 : O/I; 7/7/23 : O/A; 7/21/24 : O/I; 8/2/24 : U/I; 10/29/24 : O/I; 7/14/25 : O/A; 8/6/25 : E/A; 11/10/25 : U/A

Price Target History: 7/19/21 : 155; 8/5/21 : 200; 1/17/22 : 212; 5/6/22 : 242; 7/12/22 : 168; 5/15/23 : 143; 8/14/23 : 152; 2/7/24 : 148; 8/2/24 : 81; 10/29/24 : 115; 5/7/25 : 85; 8/6/25 : 60; 11/10/25 : 48; 4/17/26 : 98; 8/5/26 : 95

Source: Morgan Stanley Research   Date Format : MM/DD/YY   Price Target --   No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) --   Stock Price (Covered by Current Analyst) --
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

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INDUSTRY COVERAGE: Greater China Technology Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/12/2026)
Charlie Chan		

ACM Research Inc (ACMR.O)	O (03/07/2023)	US$79.92
Advanced Micro-Fabrication Equipment Inc (688012.SS)	O (11/06/2023)	Rmb380.95
Advanced Wireless Semiconductor Co (8086.TWO)	U (07/14/2025)	NT$119.00
Alchip Technologies Ltd (3661.TW)	O (05/14/2021)	NT$4,055.00
ASE Technology Holding Co. Ltd. (3711.TW)	O (09/15/2024)	NT$621.00
Cambricon Technology Corporation (688256.SS)	O (04/27/2026)	Rmb1,105.38
Global Unichip Corp (3443.TW)	O (06/24/2026)	NT$5,130.00
GlobalWafers Co Ltd (6488.TWO)	E (05/19/2026)	NT$933.00
Gudeng Precision (3680.TWO)	O (11/25/2025)	NT$452.50
Hua Hong Semiconductor Ltd (1347.HK)	E (03/12/2026)	HK$142.80
Iluvatar CoreX Semiconductor Co., Ltd. (9903.HK)	O (04/27/2026)	HK$416.60
King Yuan Electronics Co Ltd (2449.TW)	O (03/03/2023)	NT$259.00
Maxscend Microelectronics Co Ltd (300782.SZ)	U (01/11/2021)	Rmb80.12
MediaTek (2454.TW)	O (11/28/2025)	NT$4,015.00
MetaX Integrated Circuits (688802.SS)	E (04/27/2026)	Rmb715.29
Nanya Technology Corp. (2408.TW)	O (05/28/2026)	NT$482.50
NAURA Technology Group Co Ltd (002371.SZ)	O (11/06/2023)	Rmb760.00
OmniVision Integrated Circuits Group Inc (603501.SS)	E (11/17/2025)	Rmb91.52
Phison Electronics Corp (8299.TWO)	E (02/25/2026)	NT$2,210.00
SG Micro Corp. (300661.SZ)	E (11/03/2025)	Rmb116.02
Silergy Corp. (6415.TW)	U (05/19/2026)	NT$449.00
SMIC (0981.HK)	O (10/21/2025)	HK$67.40
TSMC (2330.TW)	O (02/07/2022)	NT$2,415.00
UMC (2303.TW)	O (05/19/2026)	NT$123.00
Vanguard International Semiconductor (5347.TWO)	E (01/14/2026)	NT$159.50
WIN Semiconductors Corp (3105.TWO)	U (07/14/2025)	NT$400.00
Daisy Dai, CFA		
ASMPT Ltd (0522.HK)	O (07/24/2025)	HK$169.50
China Resources Microelectronics Limited (688396.SS)	U (03/02/2026)	Rmb62.02
Empyrean Technology Co Ltd (301269.SZ)	E (01/17/2025)	Rmb98.35
Hangzhou Silan Microelectronics Co. Ltd. (600460.SS)	U (08/25/2025)	Rmb32.85
Hygon Information Technology Co., Ltd. (688041.SS)	O (07/03/2026)	Rmb287.66
Innoscience (2577.HK)	E (10/13/2025)	HK$44.78
JCET Group Co Ltd (600584.SS)	E (01/16/2026)	Rmb78.18
Shanghai Fudan Microelectronics (1385.HK)	O (03/07/2025)	HK$26.98
SICC Co Ltd (688234.SS)	O (03/20/2026)	Rmb110.36
StarPower Semiconductor Ltd (603290.SS)	E (05/14/2026)	Rmb88.19
Unigroup Guoxin Microelectronics Co Ltd (002049.SZ)	U (01/10/2023)	Rmb67.28
Universal Scientific Ind. (Shanghai) (601231.SS)	O (11/05/2025)	Rmb28.13
Yangjie Technology (300373.SZ)	O (06/10/2022)	Rmb96.64
Daniel Yen, CFA		
AP Memory Technology Corp (6531.TW)	O (07/11/2025)	NT$878.00
ASMedia Technology Inc (5269.TW)	U (10/03/2025)	NT$1,440.00
Aspeed Technology (5274.TWO)	O (06/09/2025)	NT$17,370.00
Egis Technology Inc (6462.TWO)	E (01/28/2026)	NT$101.50
Elan Microelectronics Corp (2458.TW)	O (10/03/2025)	NT$146.00
Espressif Systems (688018.SS)	O (05/15/2023)	Rmb114.10
GigaDevice Semiconductor Beijing Inc (603986.SS)	O (05/15/2025)	Rmb413.17
Macronix International Co Ltd (2337.TW)	O (09/18/2025)	NT$136.50
Montage Technology Co Ltd (6809.HK)	O (03/18/2026)	HK$283.00
Montage Technology Co Ltd (688008.SS)	O (03/18/2026)	Rmb215.43
Novatek (3034.TW)	U (02/04/2026)	NT$537.00
Nuvoton Technology Corporation (4919.TW)	U (11/10/2025)	NT$125.50
Parade Technologies Ltd (4966.TWO)	O (05/27/2026)	NT$591.00
Powerchip Semiconductor Manufacturing Co (6770.TW)	O (10/27/2025)	NT$73.70

Realtek Semiconductor (2379.TW)	E (01/30/2026)	NT$766.00
Shenzhen Goodix Technology Co Ltd (603160.SS)	U (07/14/2025)	Rmb52.20
Winbond Electronics Corp (2344.TW)	O (05/28/2026)	NT$177.00
WPG Holdings (3702.TW)	O (03/16/2026)	NT$122.50
WT Microelectronics Co. Ltd. (3036.TW)	O (01/27/2026)	NT$217.50
Duan Liu		
Dosilicon Co Ltd (688110.SS)	U (09/06/2024)	Rmb114.69
Shenzhen Longsys Electronics Co Ltd (301308.SZ)	E (02/25/2026)	Rmb414.30
Tiffany Yeh		
AllRing Tech Co. (6187.TWO)	O (09/23/2025)	NT$1,155.00
FOCI Fiber Optic Communications Inc (3363.TWO)	O (01/15/2025)	NT$630.00
Himax Technologies Inc (HIMX.O)	E (02/04/2026)	US$14.98
Hon Precision (7769.TW)	O (04/17/2026)	NT$6,480.00
MPI Corporation (6223.TWO)	O (04/17/2026)	NT$6,600.00
Silicon Motion (SIMO.O)	O (05/06/2024)	US$224.00
WinWay Technology Co Ltd (6515.TW)	O (04/17/2026)	NT$7,170.00

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.

Morgan Stanley | RESEARCH

UPDATE

August 12, 2026 07:19 PM GMT

Pegatron Corporation | Asia Pacific

2Q in line, but servers tracking above expectations

WHAT'S CHANGED

Pegatron Corporation (4938.TW)	From	To
Price Target	NT$85.00	**NT$96.00**

AlphaSignals Earnings Reaction

Unchanged Impact to our thesis	**Meaningful upside** Financial results versus consensus	**Modest revision higher** Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

Similar to other OEM and ODMs, Pegatron's AI server momentum has been better than expected. However, valuation at 12x CY27e P/E (above 5-year historical average) keeps us EW.

As we had written previously, Pegatron is seeing increasing revenue from AI servers, with momentum tracking ahead of prior expectations. Computing revenue rose 85% q/q in 2Q26 on strong server shipments and higher PC ASPs, and 3Q server revenue should continue to increase q/q on higher GB300 and HGX shipments. Management now expects full-year server revenue growth to exceed its previous 10x y/y growth target, and for servers to become one of its top two or three business groups in terms of revenue contribution, within 1-2 years, supported by robust demand and high ASPs. Inventory increased sharply to support current orders and prospective demand, including GB300 programs that are expected by management to extend into 2027.

PC demand remains challenged; smartphones should benefit from seasonality: Management expects 2H26 PC unit volumes to decline at a single-digit %, with uncertainties driven by component availability. However, PC revenue should be more resilient, aided by higher component prices. As for communications, revenue should be supported by new smartphone model launches, with management mentioning staggered ones in 2H26 and 1Q27, though memory supply remains a swing factor for actual shipment timing.

Like most ODMs, Pegatron needs to raise capital for procurement of key components in AI servers: The company said it plans to issue corporate bonds of no more than NT$20B and ECB of no more than US$500M. The raised capital will be used to support its AI server business. Its CY26 capex plan is unchanged at US $300–350M. New capacity spending is to mainly target Taiwan and North America; further investment in Southeast Asian capacity is possible, although much of the factory infrastructure is already in place.

PT increases by 13% to NT$96; stay EW: Our PT implies 12.5x 2027e P/E, higher than its five-year historical average of 11.3x, which we view as fair due to rising exposure to AI servers, with key customers such as Together AI.

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Pegatron Corporation (4938.TW, 4938 TT)

Greater China Technology Hardware | Taiwan

Stock Rating	**Equal-weight**
Industry View	**In-Line**
Price target	NT$96.00
Up/downside to price target (%)	5
Shr price, close (Aug 12, 2026)	NT$91.40
52-Week Range	NT$102.50-67.50
Sh out, dil, curr (mn)	2,614
Mkt cap, curr (mn)	NT$238,899
EV, curr (mn)	NT$204,785
Avg daily trading value (mn)	NT$956

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT$)**	5.39	5.70	7.71	8.31
Prior EPS (NT$)**	-	5.39	7.61	8.04
EPS (NT$)§	4.92	5.61	6.76	7.43
Revenue, net (NT$ mn)	1,117,160	1,264,895	2,039,359	2,297,407
EBITDA (NT$ mn)	27,307	34,863	45,453	49,331
ModelWare net inc (NT $ mn)	14,403	15,235	20,613	22,192
P/E	12.7	16.0	11.8	11.0
P/BV	0.7	0.9	0.9	0.8
RNOA (%)	5.5	7.1	10.4	10.8
ROE (%)	6.0	6.2	7.7	8.0
EV/EBITDA	5.5	5.3	4.0	4.1
Div yld (%)	6.1	0.0	0.0	0.0
FCF yld ratio (%)**	5.3	4.8	4.1	(3.3)
Leverage (EOP) (%)	(21.9)	(27.5)	(27.2)	(20.4)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

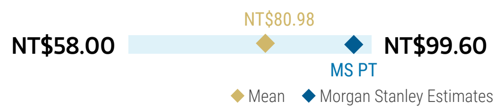
Risk Reward – Pegatron Corporation (4938.TW)

Growth hit by iPhone EMS business despite diversification efforts

PRICE TARGET NT$96.00

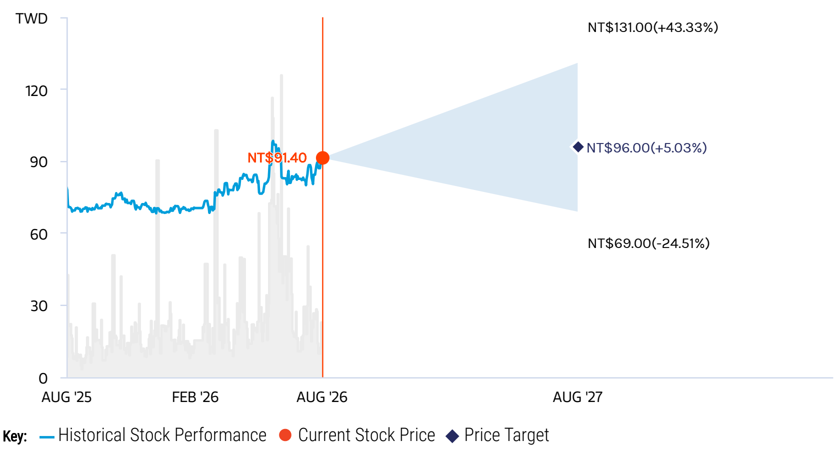
Base case, sum-of-the-parts. Recurring core business earnings: 9x 2027e P/E, within ODMs' historical trading range of 8x to 12x since 2011, and below Pegatron's five-year average of 11.3x. We view our target P/E multiple as fair, reflecting a weaker end demand outlook for Pegatron's smartphone and PC business. We value its stakes in AsRock, Kinsus and Azure based on their market values in proportion to Pegatron's holdings.

Consensus Price Target Distribution



Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART

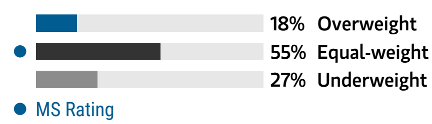


Source: Refinitiv, Morgan Stanley Research

EQUAL-WEIGHT THESIS

- We expect Pegatron to not benefit as much vs. its peers (e.g., Hon Hai) from increased AI iPhone sales, as its exposure to iPhone is skewed toward the non-premium models.
- Fierce competition from Luxshare in iPhone EMS also remains an overhang.
- Server business prospects are strong, but the contribution is still not significant enough to offset the weakness of demand for consumer electronics.
- Auto/EV business could continue to decelerate in 2026, due to intensifying competition from Chinese brands.
- We view current valuation as insufficiently attractive.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Electric Vehicles: *Positive*
Pricing Power: *Negative*

View descriptions of Risk Rewards Themes here

BULL CASE NT$131.00

16.9x 2027e EPS

Stronger growth thanks to iPhone volumes and a much-better-than-expected EV contribution: We also assume the EV business contributes a double-digit share of revenue. Contributions from Kinsus and Luxshare investments are higher than in our base case.

BASE CASE NT$96.00

12.4x 2027e EPS

Limited growth from core business with decent investment gains: Luxshare's competition in iPhone EMS business remains an overhang on the stock, and its EV business (single-digit revenue contribution) is still too small for us to be bullish.

BEAR CASE NT$69.00

8.9x 2027e EPS

Revenue decline on weaker iPhone volumes and business challenges from significant share loss to Luxshare and declining profitability from its consolidated subsidiaries such as Kinsus. EV contribution also declines on a y/y basis owing to share loss.

Risk Reward – Pegatron Corporation (4938.TW)

KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
iPhone shipment y/y (%)	(3.4)	(8.5)	5.0	5.0
iPhone OPM (%)	0.2	0.2	0.5	0.5

INVESTMENT DRIVERS

- iPhone demand
- Global NB/broadband demand
- Game console demand
- EV demand
- Margin performance

GLOBAL REVENUE EXPOSURE

- 0-10% Japan
- 0-10% Mainland China
- 10-20% APAC, ex Japan, Mainland China and India
- 30-40% North America
- 40-50% Europe ex UK

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

1/5 MOST | 3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Better-than-expected iPhone volumes.
- Stronger PC shipments as a result of better component supply.
- Better-than-expected demand from EVs.

RISKS TO DOWNSIDE

- Weaker iPhone demand.
- Margin erosion from poor resource planning.
- Lower contribution from non-PC products.

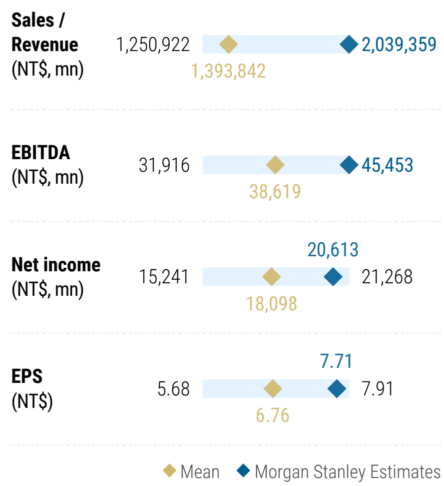
OWNERSHIP POSITIONING

Inst. Owners, % Active 53.6%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e



Source: Refinitiv, Morgan Stanley Research

2Q26 results summary

2Q GM was 4.4% (flat q/q), 30bps above MSe but in line with the Street.

2Q OP came in at NT$4.2B (+48% q/q), 3% above MSe and the Street, for OpM of 1.5% (+40bps q/q).

2Q non-op income was higher at NT$3.5B, primarily owing to higher gains on financial asset valuation.

Thus, 2Q NP came in at NT$4.5B (+187% q/q), 37% above MSe and 48% above the Street, for EPS of NT$1.68.

In addition to supply tightness of CPU and memory, which has persisted for some time already, management flagged that *shortages of PCB (and its supply chain – CCL and glass fabric) and power-related IC/component (high-cap/vol MLCC, power module, MOSFET, PMIC, etc.)* appear to have worsened recently.

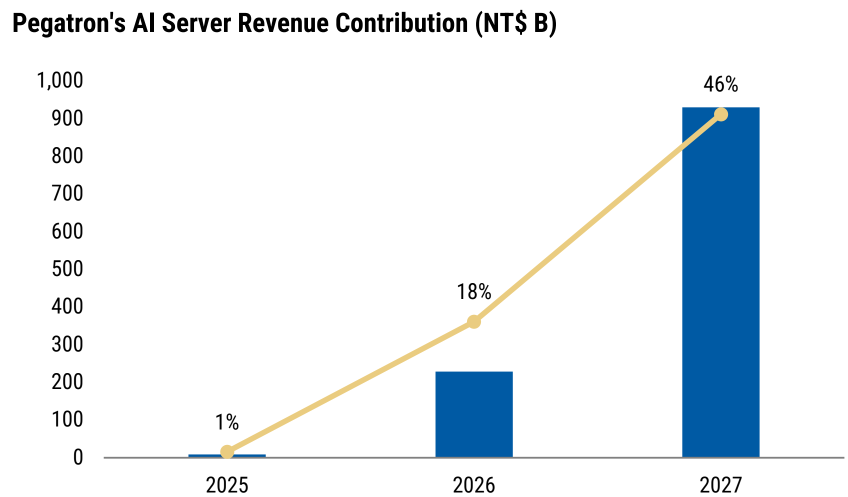
Exhibit 1: Pegatron 2Q26 results summary

Year to Dec. 31 (NT$m)	Actual	Q/Q	Y/Y	Mse	Diff. %	Cons.	Diff. %
P&L Summary	**2Q26**			**2Q26**		**2Q26**	
Net sales	**274,448**	**12%**	**3%**	**316,300**	**-13%**	**283,006**	**-3%**
COGS	(262,292)			(303,130)		(270,485)	
Gross profit	**12,156**	**13%**	**45%**	**13,170**	**-8%**	**12,521**	**-3%**
Operating expenses	(7,958)			(9,106)		(8,457)	
Operating income	**4,198**	**48%**	**185%**	**4,064**	**3%**	**4,064**	**3%**
Non-operating income	3,547			2,361		2,166	
Pre-tax income	**7,744**	**124%**	**347%**	**6,426**	**21%**	**6,230**	**24%**
Income tax	(1,431)			(2,249)			
Minority interest (paid) received	(1,826)			(890)			
Net income	**4,488**	**187%**	**1461%**	**3,287**	**37%**	**3,023**	**48%**
EPS (NT$)	**1.68**			**1.23**		**1.13**	
Margins		**ppt**	**ppt**		**ppt**		**ppt**
Gross margin	4.4%	0.0	1.3	4.2%	0.3	4.4%	0.0
Operating margin	1.5%	0.4	1.0	1.3%	0.2	1.4%	0.1
Pretax margin	2.8%	1.4	2.2	2.0%	0.8	2.2%	0.6
Net margin	1.6%	1.0	1.5	1.0%	0.6	1.1%	0.6

Source: Company data, Visible Alpha, Morgan Stanley Research estimates

AI Server Revenue Contribution

Exhibit 2: Pegatron's AI server revenue and contribution %



Source: Morgan Stanley Research estimates.

Estimate Changes

We adjust our model to reflect 2Q26 results and updated guidance from management, and increase our 2026-2028 EPS estimates by 6% for 2026, 1% for 2027, and 3% for 2028. The increase in our 2026 forecast is mainly driven by the 2Q26 non-op income beat.

Exhibit 3: Estimate Changes

P&L Summary	New	Old	Diff. %	New	Old	Diff. %	New	Old	Diff. %
(NT$m)	**2026E**	**2026E**		**2027E**	**2027E**		**2028E**	**2028E**	
Net sales	**1,264,895**	**1,315,917**	**-4%**	**2,039,359**	**1,858,125**	**10%**	**2,297,407**	**2,006,048**	**15%**
COGS	(1,212,165)	(1,260,887)		(1,971,741)	(1,790,537)		(2,225,396)	(1,934,960)	
Gross profit	**52,731**	**55,030**	**-4%**	**67,618**	**67,588**	**0%**	**72,011**	**71,088**	**1%**
Operating expenses	(34,525)	(36,429)		(40,748)	(41,109)		(43,190)	(43,229)	
Operating income	**18,205**	**18,601**	**-2%**	**26,870**	**26,479**	**1%**	**28,822**	**27,859**	**3%**
Non-operating income	8,751	7,719		8,738	9,045		8,738	9,045	
Pre-tax income	**26,957**	**26,320**	**2%**	**35,608**	**35,524**	**0%**	**37,560**	**36,904**	**2%**
Income tax	(6,478)	(7,489)		(10,063)	(10,028)		(10,436)	(10,264)	
Minority interest (paid) received	(5,244)	(4,417)		(4,932)	(5,149)		(4,932)	(5,149)	
Net income	**15,235**	**14,415**	**6%**	**20,613**	**20,347**	**1%**	**22,192**	**21,491**	**3%**
EPS (NT$)	**5.70**	**5.39**	**6%**	**7.71**	**7.61**	**1%**	**8.31**	**8.04**	**3%**
Margins									
Gross margin	4.2%	4.2%		3.3%	3.6%		3.1%	3.5%	
Operating margin	1.4%	1.4%		1.3%	1.4%		1.3%	1.4%	
Pretax margin	2.1%	2.0%		1.7%	1.9%		1.6%	1.8%	
Net margin	1.2%	1.1%		1.0%	1.1%		1.0%	1.1%	

Source: Morgan Stanley Research (E) estimates.

Price Target Discussion and Valuation Methodology

Our SoTP-derived PT (base-case value) rises to NT$96. We apply a P/E multiple of 9x (unchanged) to our estimate of Pegatron's recurring core business earnings for 2027. The increase in our PT is primarily driven by higher market caps for Pegatron's strategic investments.

The 9x P/E multiple is within ODMs' historical trading range of 8-12x since 2011 and below Pegatron's five-year average of 11.3x. We view our target P/E multiple as fair, reflecting weaker end-demand outlooks for Pegatron's smartphone and PC business.

For reference, to derive the historical P/E band for Pegatron's Design and Manufacturing Services (DMS) business, we use the following:

- Pegatron's total market cap;
- Minus the market cap for strategic investments – ASRock (3515.TW), Kinsus (3189.TW) and Azure (3694.TW);
- Minus the market cap for Casetek; and
- Pegatron's DMS-only earnings.

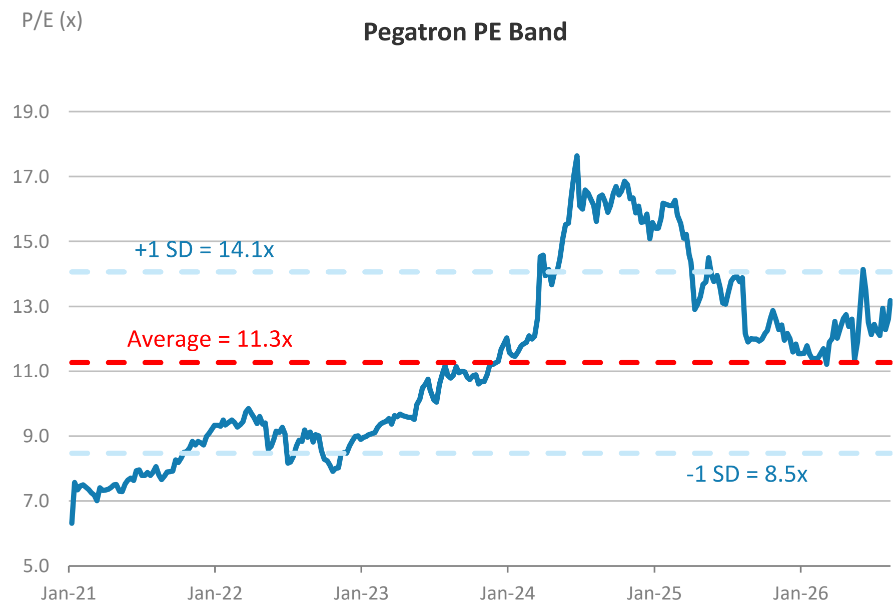
Our bull/bear case scenario values increase by similar magnitudes to the change in our base-case value, to NT$131 and NT$69, respectively.

Exhibit 4: Pegatron: SOTP methodology – We combine the market value of the core business and the strategic investments

Pegatron - SOTP	
NT$mn	2027e
Core business (DMS)	
Recurring earning after tax	17,149
Applied multiples	9x
Market capitalization - (1)	**153,137**
Strategic long-term investments market value	
ASRock (56% holding)	15,504
Kinsus (39% holding)	84,352
Azure (33% holding)	2,707
Total strategic LT investments - (2)	**102,563**
Total market value	**255,700**
Outstanding shares	2,663
Pegatron's price target (NT$)	**96.0**

Source: Morgan Stanley Research (e) estimates.

Exhibit 5: Pegatron P/E band



Source: TEJ, Morgan Stanley (e) Research estimates

Financials

Exhibit 6: Quarterly Earnings Estimates

NT$mn	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E	2025	2026E	2027E	2028E
Net sales	**272,433**	**267,336**	**257,863**	**319,528**	**244,105**	**274,448**	**357,398**	**388,944**	**1,117,160**	**1,264,895**	**2,039,359**	**2,297,407**
COGS	(262,268)	(258,958)	(246,961)	(306,471)	(233,304)	(262,292)	(343,004)	(373,565)	(1,074,659)	(1,212,165)	(1,971,741)	(2,225,396)
Gross profits	**10,165**	**8,377**	**10,902**	**13,057**	**10,801**	**12,156**	**14,393**	**15,380**	**42,501**	**52,731**	**67,618**	**72,011**
Operating expenses	(7,682)	(6,906)	(7,684)	(8,620)	(7,972)	(7,958)	(9,229)	(9,366)	(30,893)	(34,525)	(40,748)	(43,190)
SG&A, R&D exp.	(3,634)	(3,197)	(3,716)	(4,245)	(4,091)	(3,659)	(4,452)	(4,555)	(14,791)	(16,757)	(19,730)	(20,906)
Employee bonus	(4,049)	(3,710)	(3,968)	(4,375)	(3,881)	(4,299)	(4,777)	(4,811)	(16,101)	(17,768)	(21,018)	(22,283)
Operating income	**2,483**	**1,471**	**3,218**	**4,437**	**2,829**	**4,198**	**5,165**	**6,014**	**11,609**	**18,205**	**26,870**	**28,822**
Non-operating income	**4,187**	**260**	**4,457**	**4,422**	**636**	**3,547**	**2,285**	**2,285**	**13,325**	**8,751**	**8,738**	**8,738**
Interest income	587	748	728	1,040	711	635	635	635	3,102	2,615	2,538	2,538
Investment income	1,009	790	588	1,263	(249)	187	900	900	3,651	1,738	3,200	3,200
Disposal of investment	(122)	1	32	1,217	-	-	-	-	1,128	-	-	-
Exchange gain	31	(1,086)	153	(66)	86	-	-	-	(968)	86	-	-
Other	2,682	(193)	2,956	967	87	2,725	750	750	6,411	4,312	3,000	3,000
Pre-tax income	**6,669**	**1,731**	**7,675**	**8,859**	**3,465**	**7,744**	**7,449**	**8,298**	**24,934**	**26,957**	**35,608**	**37,560**
Income tax	(1,512)	(649)	(2,189)	(2,474)	(605)	(1,431)	(2,125)	(2,317)	(6,824)	(6,478)	(10,063)	(10,436)
Minority interest	(854)	(794)	(941)	(1,118)	(1,298)	(1,826)	(1,029)	(1,090)	(3,707)	(5,244)	(4,932)	(4,932)
Net income	**4,303**	**287**	**4,545**	**5,267**	**1,561**	**4,488**	**4,295**	**4,891**	**14,403**	**15,235**	**20,613**	**22,192**
Adj.wtd.avg.shrs (mn)	2,672	2,672	2,672	2,672	2,672	2,672	2,672	2,672	2,672	2,672	2,672	2,672
EPS	**1.61**	**0.11**	**1.70**	**1.97**	**0.58**	**1.68**	**1.61**	**1.83**	**5.39**	**5.70**	**7.71**	**8.31**
Margins (%)												
Gross Margin	3.7	3.1	4.2	4.1	4.4	4.4	4.0	4.0	3.8	4.2	3.3	3.1
Operating Margin	0.9	0.6	1.2	1.4	1.2	1.5	1.4	1.5	1.0	1.4	1.3	1.3
Pretax Margin	2.4	0.6	3.0	2.8	1.4	2.8	2.1	2.1	2.2	2.1	1.7	1.6
Net Margin	1.6	0.1	1.8	1.6	0.6	1.6	1.2	1.3	1.3	1.2	1.0	1.0
QoQ Growth (%)												
Sales	(17)	(2)	(4)	24	(24)	12	30	9				
Gross Profit	(14)	(18)	30	20	(17)	13	18	7				
Operating Profit	(14)	(41)	119	38	(36)	48	23	16				
Pretax Profit	12	(74)	343	15	(61)	124	(4)	11				
Net Profit	15	(93)	1,481	16	(70)	187	(4)	14				
YoY Growth (%)												
Sales	9	5	(12)	(2)	(10)	3	39	22	(1)	13	61	13
Gross Profit	(4)	(28)	(9)	11	6	45	32	18	(8)	24	28	6
Operating Profit	(18)	(50)	(12)	53	14	185	61	36	(7)	57	48	7
Pretax Profit	28	(82)	17	49	(48)	347	(3)	(6)	(8)	8	32	5
Net Profit	32	(95)	6	41	(64)	1,461	(6)	(7)	(15)	6	35	8

Source: Company data, Morgan Stanley Research (E) estimates.

Exhibit 7: Consolidated Financial Summary

Consolidated Brand Income Statement

NT$mn (Year End Dec)	2025	2026E	2027E	2028E
Net sales	**1,117,160**	**1,264,895**	**2,039,359**	**2,297,407**
COGS	(1,074,659)	(1,212,165)	(1,971,741)	(2,225,396)
Gross profit	**42,501**	**52,731**	**67,618**	**72,011**
Operating expenses	(30,893)	(34,525)	(40,748)	(43,190)
Operating income	**11,609**	**18,205**	**26,870**	**28,822**
Non-operating income	**13,325**	**8,751**	**8,738**	**8,738**
Interest income	3,102	2,615	2,538	2,538
Investment income	3,651	1,738	3,200	3,200
Disposal of investment	1,128	-	-	-
Disposal of fixed assets	969	1	-	-
Exchange gain	(968)	86	-	-
Other	5,443	4,311	3,000	3,000
Pre-tax income	**24,934**	**26,957**	**35,608**	**37,560**
Income tax	(6,824)	(6,478)	(10,063)	(10,436)
Minority interests	(3,707)	(5,244)	(4,932)	(4,932)
Net income	**14,403**	**15,235**	**20,613**	**22,192**
EPS for consensus	**5.39**	**5.70**	**7.71**	**8.31**

Consolidated Brand Cash Flow Statement

NT$mn (Year End Dec)	2025	2026E	2027E	2028E
Cashflow from operations	**19,640**	**28,400**	**28,224**	**10,103**
Net Profits	14,403	15,235	20,613	22,192
Depreciation & Amortization	14,730	16,656	18,583	20,509
Equity invest. losses (income)	(4,779)	(1,738)	(3,200)	(3,200)
Change in Working Capital	4,541	(2,348)	(10,891)	(30,438)
Other adjustments	(9,254)	595	3,120	1,040
Cashflow from investing	**(16,833)**	**(16,738)**	**(18,200)**	**(18,200)**
Change of FA (capex)	(17,458)	(15,000)	(15,000)	(15,000)
Change of L/T investment	6,532	(1,738)	(3,200)	(3,200)
Other adjustments	(5,906)	-	-	-
Cashflow from financing	**(3,165)**	**11,994**	**(2,284)**	**3,738**
Increase in L/T debt	(3,080)	109	409	1,471
Increase in S/T debt	24,014	564	2,110	7,594
Proceed from new issues of shares	-	-	-	-
Cash Diviend paid	(13,455)	(10,657)	(11,158)	(11,682)
Other adjustments	(10,644)	21,977	6,355	6,355
Net change in cash	**(358)**	**23,656**	**7,741**	**(4,359)**

Consolidated Brand Balance Sheet

NT$mn (Year End Dec)	2025	2026E	2027E	2028E
Cash	**119,380**	**139,689**	**144,082**	**136,375**
Mkt securities	5,266	5,266	5,266	5,266
AR/NR	221,025	250,254	403,478	454,532
Inventory	81,235	86,245	120,078	158,291
Others	32,383	36,665	59,114	66,594
Current Assets	459,289	518,119	732,018	821,058
Long-term investments	61,378	63,116	66,316	69,516
Fixed assets	84,677	83,214	79,823	74,507
Other assets	17,770	17,770	17,770	17,770
Total Assets	**623,115**	**682,219**	**895,928**	**982,852**
S/T borrowings	59,107	59,672	61,782	69,376
AP/NP	249,241	281,132	457,297	516,126
Other ST liabilities	36,884	41,761	67,331	75,851
Total current liabilities	**345,232**	**382,565**	**586,410**	**661,353**
L/T debt	11,447	11,556	11,965	13,435
Other LT libilities	19,978	19,978	19,978	19,978
Total Liabilities	**376,657**	**414,099**	**618,353**	**694,767**
Common shares	26,822	26,822	26,822	26,822
Retained Earnings	73,171	94,833	104,288	114,799
Other SH Equity	146,465	146,465	146,465	146,465
Shareholders' equity	**246,458**	**268,120**	**277,575**	**288,085**
Total Liab./SH Equity	**623,115**	**682,219**	**895,928**	**982,852**

Consolidated Brand Financial Ratio

	2025	2026E	2027E	2028E
Margins (%)				
Gross margin	3.8	4.2	3.3	3.1
Operating margin	1.0	1.4	1.3	1.3
Pretax margin	2.2	2.1	1.7	1.6
Net margin	1.3	1.2	1.0	1.0
YoY growth (%)				
Sales	-0.7	13.2	61.2	12.7
Operating profits	-7.1	56.8	47.6	7.3
Pretax profits	-8.4	8.1	32.1	5.5
Net profits	-14.7	5.8	35.3	7.7
Others				
Cash div payout ratio (%)	41.9	41.9	41.9	41.9
Adjusted cash dividend (NT$)	4.0	4.2	4.4	4.6
Yield (%)	5.7	6.0	6.3	6.6
Net Debt/Equity (%)	-21.9	-27.5	-27.2	-20.4
Liabilities/Equity (%)	152.8	154.4	222.8	241.2
Liabilities/Assets (%)	60.4	60.7	69.0	70.7
ROAE (%)	5.9	5.9	7.6	7.8
ROAA (%)	2.2	2.3	2.6	2.4
AR/NR Turnover (days)	79	68	59	68
Inventory Turnover (days)	15	13	12	12
AP/NP Turnover (days)	95	80	68	80
Cash conversion cycle (days)	0	2	2	0

Source: Company data, Morgan Stanley Research (E) estimates.

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - Options_Probabilities_Exhibit_Link.pdf

2. View descriptions of Risk Rewards Themes - RR_Themes_Exhibit_Link.pdf

3. View explanation of regional hierarchies - GEG_Exhibit_Link.pdf

4. View explanation of Theme/Exposure methodology - ESG_Sustainable_Solutions_External_Link.pdf

5. View explanation of HERS methodology - ESG_HERS_External_Link.pdf

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(as of July 31, 2026)

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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

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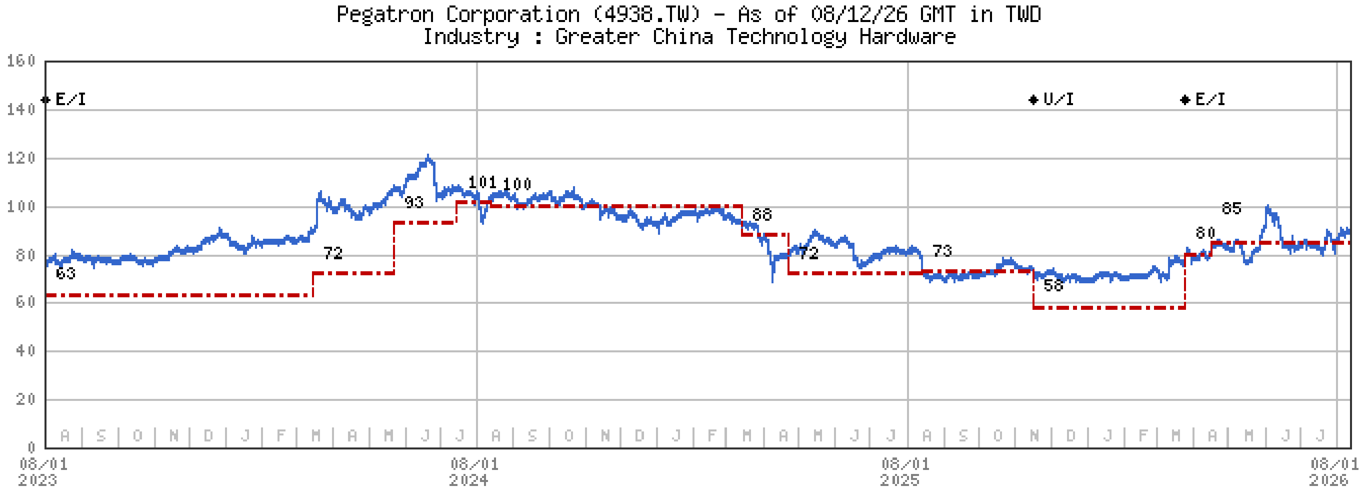
Stock Price, Price Target and Rating History (See Rating Definitions)



Stock Rating History: 8/1/21 : U/I; 3/7/22 : E/I; 11/16/25 : U/I; 3/25/26 : E/I

Price Target History: 7/28/21 : 64; 3/7/22 : 70; 3/10/22 : 75; 5/13/22 : 70; 7/26/22 : 65; 8/1/22 : 68; 11/11/22 : 66; 5/1/23 : 63; 3/15/24 : 72; 5/22/24 : 93; 7/15/24 : 101; 8/13/24 : 100; 3/14/25 : 88; 4/23/25 : 72; 8/14/25 : 73; 11/16/25 : 58; 3/25/26 : 80; 4/17/26 : 85

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/12/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK$42.68
Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb185.03
BYD Electronics (0285.HK)	O (04/28/2023)	HK$23.82
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb7.94
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb16.62
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb428.20
Genius Electronic Optical Co. Ltd. (3406.TW)	E (04/23/2025)	NT$578.00
GoerTek Inc (002241.SZ)	U (04/23/2025)	Rmb22.56
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb4.72
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb36.47
Largan Precision (3008.TW)	O (07/10/2026)	NT$4,585.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb7.25
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb12.51
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb57.35
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb7.41
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK$6.85
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb54.03
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK$37.40
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb56.29
Sunny Optical (2382.HK)	E (03/23/2026)	HK$58.85
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb240.05
Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb17.15
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK$26.36
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb345.79
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	O (07/15/2026)	HK$131.40

Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb102.87
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb27.55
Zhongji Innolight Co Ltd (300308.SZ)	++	Rmb921.00
ZTE Corporation (0763.HK)	O (06/04/2026)	HK$25.50
ZTE Corporation (000063.SZ)	E (06/04/2026)	Rmb35.59
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT$2,215.00
Advantech (2395.TW)	O (01/20/2021)	NT$686.00
AirTAC International (1590.TW)	O (04/16/2025)	NT$1,595.00
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT$2,910.00
AU Optronics (2409.TW)	E (02/10/2026)	NT$26.25
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT$1,050.00
Bizlink (3665.TW)	O (03/10/2025)	NT$2,155.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb5.93
Chenbro (8210.TW)	O (07/23/2025)	NT$1,005.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT$2,195.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT$1,790.00
E Ink Holdings Inc. (8069.TWO)	E (08/10/2026)	NT$166.00
Ennostar Inc (3714.TW)	U (09/23/2022)	NT$58.30
Fositek Corp (6805.TW)	O (06/25/2025)	NT$1,835.00
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT$369.00
Innolux (3481.TW)	E (04/07/2025)	NT$50.40
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT$12,045.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb35.25
Lite-On Technology (2301.TW)	E (01/15/2025)	NT$259.50
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb5.09
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb6.70
Wuhan Jingce Electronic Group Co Ltd (300567.SZ)	E (11/26/2021)	Rmb225.20
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT$31.75
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT$852.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT$205.00
Compal Electronics (2324.TW)	U (04/23/2025)	NT$39.90
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK$5.22
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb65.60
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT$375.50
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT$1,000.00
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT$270.00
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb75.02
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT$2,725.00
Lenovo (0992.HK)	O (07/10/2026)	HK$29.04
Lotes Co. Ltd. (3533.TW)	E (05/12/2025)	NT$2,010.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT$1,265.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT$91.40
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT$325.50
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb143.23
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb385.80
Unimicron (3037.TW)	O (02/23/2026)	NT$1,000.00
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT$384.50
Wistron Corporation (3231.TW)	O (07/12/2023)	NT$193.50
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT$6,025.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT$602.00
Zhen Ding (4958.TW)	++	NT$471.50

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.

Micro-Star International

Navigating component headwinds better than expected

Equities

Taiwan

Electric Components & Equipment

12-month rating	Neutral
12m price target	NT$155.00
	Prior : NT$108.00
Price (11 Aug 2026)	NT$154.00

RIC: 2377.TW **BBG:** 2377 TT

Trading data and key metrics

52-wk range	NT$155.00-85.00
Market cap.	NT$130b/US$4.03b
Shares o/s	845m (ORD)
Free float	80%
Avg. daily volume ('000)	27,167
Avg. daily value (m)	NT$3,613.7
Common s/h equity (12/26E)	NT$61.9b
P/BV (12/26E)	2.1x
Net debt to EBITDA (12/26E)	NM

EPS (UBS, diluted) (NT$)

	From	To	% ch	Cons.
12/26E	10.75	12.37	15	10.98
12/27E	9.24	10.78	17	10.45
12/28E	10.27	12.03	17	10.04

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Q226 margin surprisingly held up amid component cost pressure

MSI reported Q2 sales NT$49.9bn, -11.3% QoQ/-18.6% YoY and below consensus expectation of 5% sequential decline, due to softer demand as consumers awaits for better entry point on intensive price hikes. This was in line with our view on slower pull-ins from higher component costs. That being said, margins held up better than expected. Gross margin improved 1ppt QoQ to 16.0%, ahead of UBSe/Street's forecasts of 12.2%/12.8%; while OpM declined slightly from 6.9% in Q1 to 6.6% in Q2. We have underestimated its flexibility on material procurement, inventory management, and pricing adjustments, which had led to sustainable margins. Q2 EPS was NT$3.55, 42%/49% higher than UBSe/Street thanks to better margins. July sales were reported at NT$19.3bn, +8.9% MoM & flat YoY, suggesting some shipment recovery.

Favourable pricing uplifts from graphic card price hikes and better product mix

Our studies suggest more hefty graphic card price hikes are likely to hit the market in H226 as major chipset suppliers seek to pass on higher component cost increases. Mid to high-end graphic cards, such as Nvidia RTX 50-series retail pricing are looking to surge by 20-40% as strong AI server demand are taking up most GDDR memory supplies, leading to intensive price increases for consumer graphic cards. While we anticipate memory price hikes to somewhat weighing on consumer demand, MB/VGA suppliers have been showing optimism on MB/VGA shipments into H226E as AI applications drive device/equipment upgrades with potential demand uptick for holiday seasons. The industry is taking on rising risks of component price hikes, notably for memory and SSD, where MB/VGA has been more proactively adjusting selling prices to secure reasonable profitability. Meanwhile, Micro-Star has noted its first batch of Nvidia N1X chipset shipment is seeing strong demand with increasing orders from US/China customers. MSI's RTX Spark PC is scheduled to launch by end of Q3 and early Q426; and AI server products are also going through customer qualifications. We project sales to grow 10% and 4% in Q326E and Q426E, respectively, mainly driven by better graphic card pricing and better product mix for higher value added products including AI PCs and AI servers.

Valuation: Refresh PT to NT$155 and maintain Neutral

We lift 2027/2028E sales growth from 7%/9% YoY to 11%/10% YoY mainly to reflect higher pricing (despite slower volumes) as AI demand will likely continue to drive GPU price hikes, especially for high-end graphic cards. We raise 2026/2027/2028E EPS by 15%/17%/17%, and lift PT from NT$108 to NT$155, based on 13x 2028E P/E (rolled over from 12x 2027 P/E), in line with global hardware peers and implies 0.8x PEG. While we are seeing improving product mix, MSI stock has gone up 58% since end of Apr, outperforming its Taiwanese MB/VGA peers Asustek/Gigabyte +44%/+28%. We see balanced risk-reward and fairly priced with limited AI exposure, especially for servers.

Highlights (NT$m)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Revenues	182,966	197,872	230,196	217,865	242,224	266,350	292,295	320,103
EBIT (UBS)	8,810	7,117	6,388	12,152	10,645	11,919	13,314	14,836
Net earnings (UBS)	7,516	5,901	5,544	10,454	9,110	10,161	11,312	12,569
EPS (UBS, diluted) (NT$)	8.90	6.98	6.56	12.37	10.78	12.03	13.39	14.88
DPS (net) (NT$)	6.60	5.40	5.00	4.20	6.39	5.39	6.01	6.69
Net (debt) / cash	25,906	24,389	20,459	37,476	34,810	33,292	31,106	28,211
Profitability/valuation	**12/23**	**12/24**	**12/25**	**12/26E**	**12/27E**	**12/28E**	**12/29E**	**12/30E**
EBIT (UBS) margin %	4.8	3.6	2.8	5.6	4.4	4.5	4.6	4.6
ROIC (EBIT) %	40.6	27.7	20.8	42.5	39.6	35.4	32.1	29.4
EV/EBITDA (UBS core) x	10.7	14.6	12.2	7.2	7.6	7.0	6.5	6.1
P/E (UBS, diluted) x	18.2	25.3	21.3	12.4	14.3	12.8	11.5	10.4
Equity FCF (UBS) yield %	3.2	1.9	0.4	15.8	2.1	2.3	2.2	2.1
Dividend yield (net) %	4.1	3.1	3.6	2.7	4.1	3.5	3.9	4.3

Source: Company accounts, LSEG Eikon, UBS estimates. Metrics marked as (UBS) have had analyst adjustments applied. Valuations: based on an average share price that year, (E): based on a share price of NT$ 154.00 on 11-Aug-2026

UBS Research THESIS MAP a guide to our thinking and what´s where in this report

PIVOTAL QUESTIONS

Q: Will graphics cards sales resume growth?
Likely. Previous UBS Evidence Lab studies showed pricing for NVDA RTX 50 series plateaued in 2025 after its launch, yet we recently has started to see retail market data suggesting pricing is picking up again for consumer graphic cards. Mid to high-end graphic cards are looking to surge by 20-40% in H226 and potentially up further into 2027/2028E as strong AI server demand are taking up most GDDR memory supplies, leading to intensive price hikes for consumer graphic cards. While we anticipate memory price hikes to somewhat weighing on consumer demand/volumes, we are seeing a wider price hikes in major markets including US and China, which could lead to graphic card market value growth in 2026E.

Q: Will MSI benefit from the rise of AI servers?
Unlikely at the moment. Although we think Taiwan is the foundation of the computing industry and Taiwan's server system makers command roughly 90% global market share of server MBs, including AI servers, MSI has limited AI server exposure as a late comer. Notably, most of MSI's business is driven by components, which we believe are still highly cyclical and impacted by consumer demand and the macro environment. We see the company making efforts to win server projects but its server revenue contribution remains small at below low single digits and will take time to meaningfully contribute.

UBSVIEW

We still anticipate relatively slow MB/VGA volumes as component price hikes continue to weigh on consumer demand. UBS forecasts 2026 PC shipment at +1% YoY, holding up on the back of ASPs +13.5% YoY as OEMs pass on higher memory and CPU costs; and project PC units +2% YoY in 2027E (LINK). We anticipate AI demand will likely continue to drive GPU price hikes, especially for high-end graphic cards; where better graphic card pricing and better product mix toward higher value added products including AI PCs and AI servers will be the major revenue driver while margin sustainability remains to be proven.

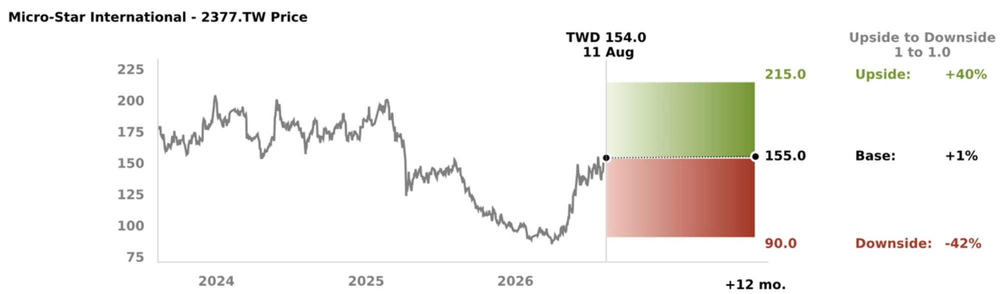
EVIDENCE

Retail website (link) has shown Nvidia's RTX 50 series of Blackwell graphic cards has seen significant price increase over the past few months, up c.40% already in August, while GeForce RTX 5060/5070/5080 are also seeing modest price increase, mainly driven by memory pricing adjustments. Asustek and Gigabyte have yet reported Q2 results, but MSI inventories have gone up by 25%QoQ/30% YoY with DOI up from 90 days in Q126 to 115 days in Q226, suggesting pull-ins ahead of component price hikes and preparation for new product launches.

WHAT´S PRICED IN?

The stock is trading at 14x/13x 2027/2028E P/E, vs. its historical range of 6-16x. We believe its recent performance (MSI stock up 58% since end of Apr, outperforming its Taiwanese MB/VGA peers Asustek/Gigabyte +44%/+28%) has factored in the expectations on stronger consumer graphic card pricing, but we see balanced risk-reward considering limited AI exposure, especially for servers.

UPSIDE/DOWNSIDE SPECTRUM



Value drivers (2028E)	Component sales YoY (2028E)	System sales YoY (2028E)	Total sales YoY (2028E)	Net margin (2028E)	EPS (2028E)
NT$215.00 upside	+18%	+14%	+16%	4.1%	NT$14
NT$155.00 base	+10%	+10%	+10%	3.8%	NT$12
NT$90.00 downside	+2%	+5%	+4%	3.3%	NT$9

Source: UBS estimates

COMPANY DESCRIPTION

Established in 1986, MSI leads in graphics card and MB manufacturing, as well as gaming PCs. In 2024, components (including graphics, MBs and monitors) accounted for 48% of MSI's total revenue, followed by system products (including notebooks and desktops), at 45%, and other products (such as enterprise platform solutions, automotive and commercial solutions), at 7%.

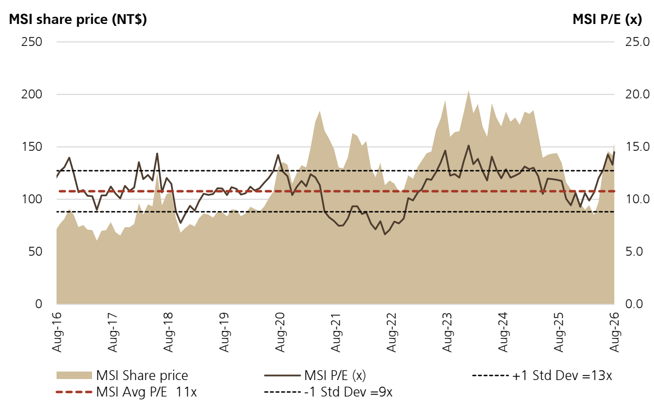
Figure 1: Updated UBS estimates vs. consensus in 2Q26-4Q26E and 2025-28E

	Q126	Q226			Q326E			Q426E		
(NT$m)	Actual	Actual	UBSe prior	Consensus	UBSe	UBSe prior	Consensus	UBSe	UBSe prior	Consensus
Revenue	**56,257**	**49,913**	**59,077**	**53,919**	**54,636**	**60,381**	**56,703**	**57,060**	**57,616**	**55,297**
- QoQ / YoY	-2.3%	-11.3%	5.0%	-4.2%	9.5%	2.2%	5.2%	4.4%	2.4%	-2.5%
Gross profit	**8,441**	**7,969**	**7,201**	**6,899**	**6,823**	**7,067**	**6,817**	**7,033**	**6,557**	**6,507**
- Gross margin	15.0%	16.0%	12.2%	12.8%	12.5%	11.7%	12.0%	12.3%	11.4%	11.8%
Operating profit	**3,876**	**3,281**	**2,554**	**2,464**	**2,477**	**2,265**	**2,178**	**2,518**	**1,998**	**1,950**
- OP margin	6.9%	6.6%	4.3%	4.6%	4.5%	3.8%	3.8%	4.4%	3.5%	3.5%
Non-op profit	**257**	**352**	**85**	**83**	**156**	**90**	**82**	**156**	**90**	**56**
Pre-tax profit	**4,133**	**3,633**	**2,639**	**2,547**	**2,633**	**2,355**	**2,260**	**2,674**	**2,088**	**2,006**
Tax	**-717**	**-634**	**-528**	**531**	**-459**	**-471**	**462**	**-467**	**-418**	**437**
- Tax rate	-17.3%	-17.5%	-20.0%	20.8%	-17.5%	-20.0%	20.4%	-17.5%	-20.0%	21.8%
Net profit	**3,417**	**2,999**	**2,111**	**2,016**	**2,173**	**1,884**	**1,798**	**2,207**	**1,670**	**1,569**
EPS (NT$)	**4.04**	**3.55**	**2.50**	**2.39**	**2.57**	**2.23**	**2.13**	**2.61**	**1.98**	**1.86**

	2025	2026E			2027E			2028E		
(NT$m)	Actual	UBSe	UBSe prior	Consensus	UBSe	UBSe prior	Consensus	UBSe	UBSe prior	Consensus
Revenue	**230,196**	**217,865**	**233,331**	**222,177**	**242,224**	**250,274**	**241,991**	**266,350**	**273,435**	**261,740**
- QoQ / YoY	16.3%	-5.4%	1.4%	-3.5%	11.2%	7.3%	8.9%	10.0%	9.3%	8.2%
Gross profit	**25,213**	**30,266**	**29,266**	**28,663**	**30,084**	**29,284**	**29,446**	**33,120**	**32,035**	**31,530**
- Gross margin	11.0%	13.9%	12.5%	12.9%	12.4%	11.7%	12.2%	12.4%	11.7%	12.0%
Operating profit	**6,388**	**12,152**	**10,692**	**10,468**	**10,645**	**9,367**	**9,911**	**11,919**	**10,453**	**10,360**
- OP margin	2.8%	5.6%	4.6%	4.7%	4.4%	3.7%	4.1%	4.5%	3.8%	4.0%
Non-op profit	**636**	**921**	**522**	**479**	**390**	**390**	**370**	**390**	**390**	**380**
Pre-tax profit	**7,024**	**13,073**	**11,214**	**10,946**	**11,035**	**9,757**	**10,281**	**12,309**	**10,843**	**10,740**
Tax	**1,276**	**-2,277**	**-2,133**	**2,146**	**-1,926**	**-1,951**	**2,100**	**-2,148**	**-2,169**	**2,164**
- Tax rate	18.2%	-17.4%	-19.0%	19.6%	-17.5%	-20.0%	20.4%	-17.5%	-20.0%	20.1%
Net profit	**5,748**	**10,796**	**9,081**	**8,800**	**9,110**	**7,806**	**8,181**	**10,161**	**8,674**	**8,576**
EPS (NT$)	**6.80**	**12.78**	**10.75**	**10.42**	**10.78**	**9.24**	**9.68**	**12.03**	**10.27**	**10.15**

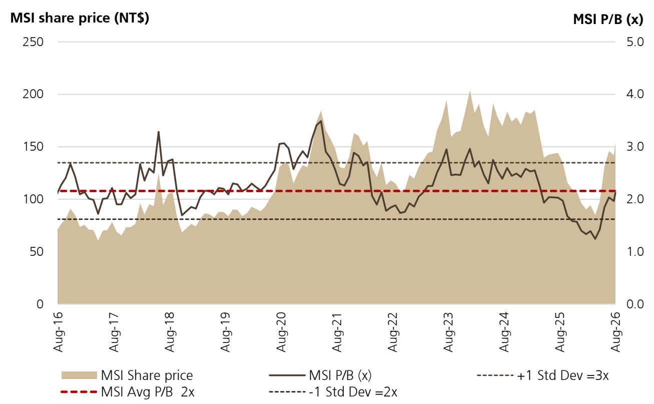
Source: UBS estimates, Visible Alpha; Note: Above EPS figure reflects reported EPS that might display different figures from the coverage page table that are adjusted earnings.

Figure 2: MSI's share price vs. forward PE



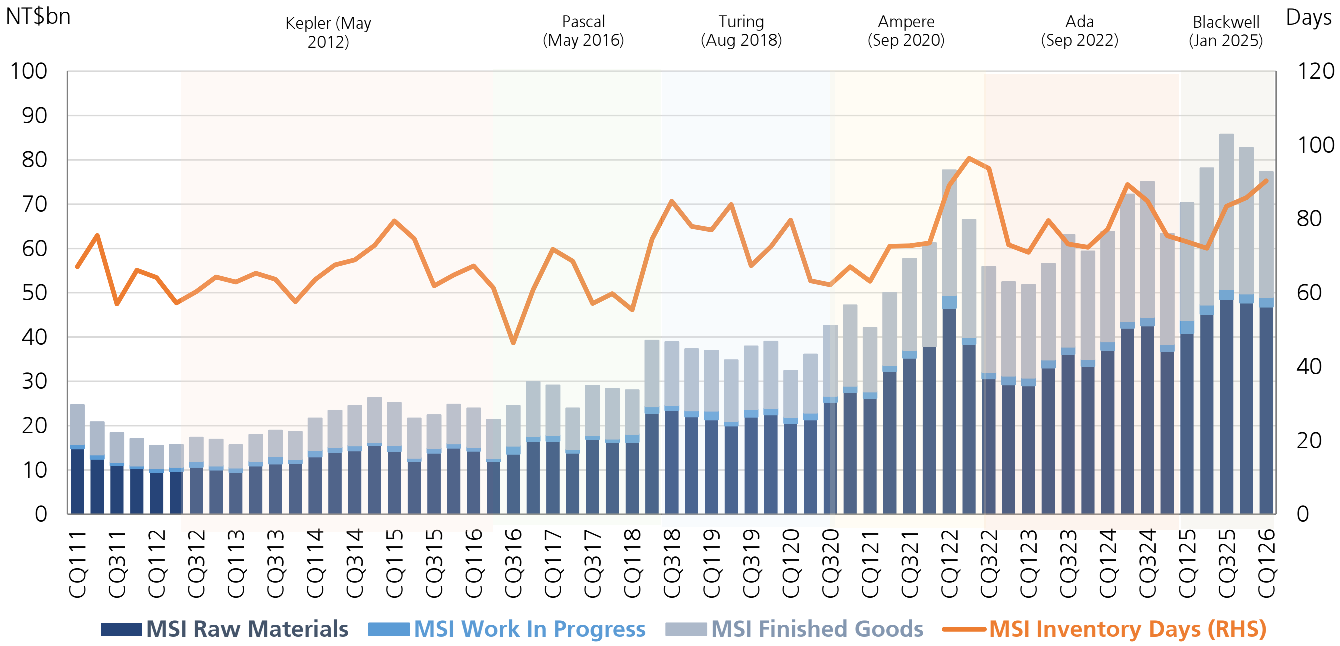
Source: Factset, Company data

Figure 3: MSI's share price vs. forward PB



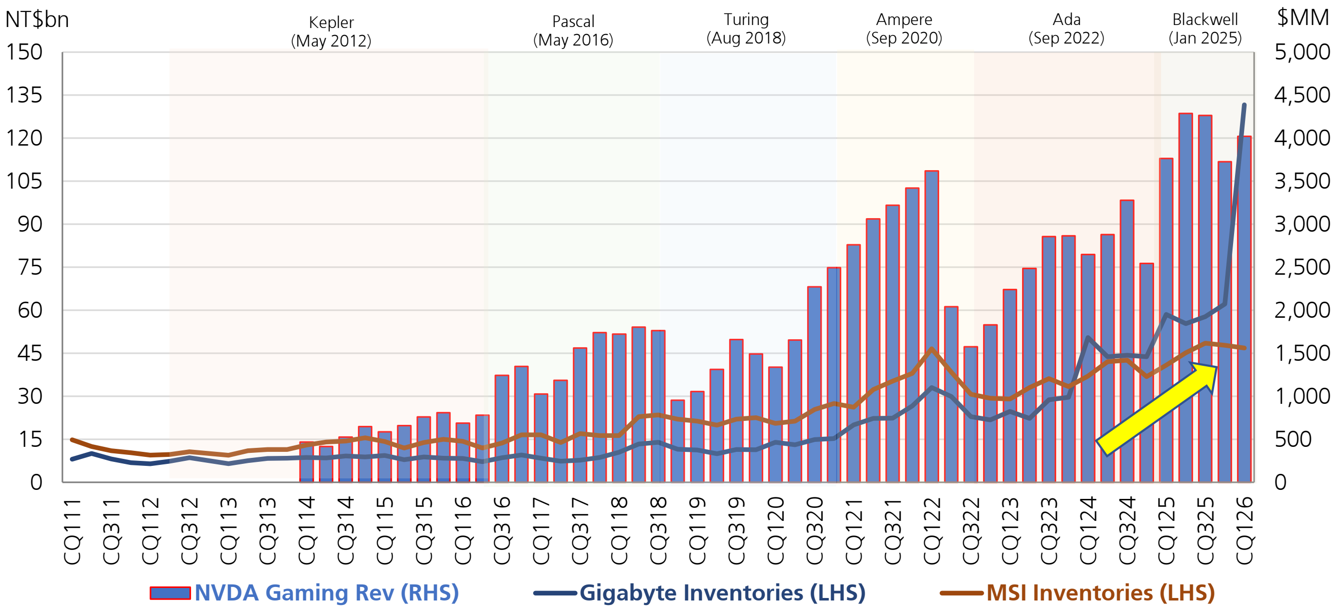
Source: Factset, Company data

Figure 4: MSI's inventory breakdown and inventory days



Source: Company data, TEJ

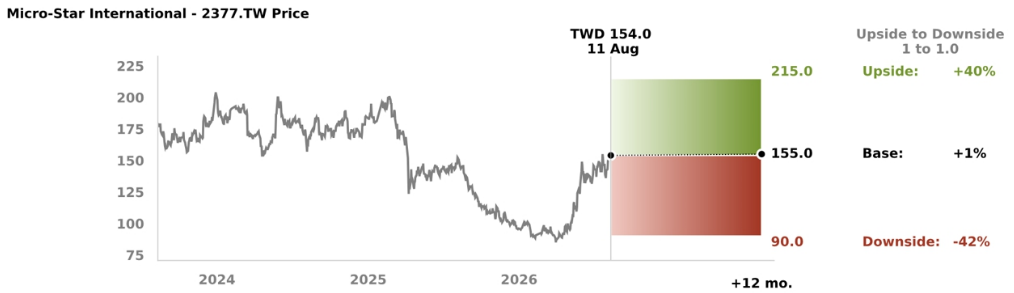
Figure 5: MSI and Gigabyte inventories vs. NVDA's gaming revenue



Source: Company data, TEJ

UPSIDE/DOWNSIDE SPECTRUM

Micro-Star International is trading at NT$154.00 (as of 11 Aug 2026)



Value drivers (2028E)	Component sales YoY (2028E)	System sales YoY (2028E)	Total sales YoY (2028E)	Net margin (2028E)	EPS (2028E)
NT$215.00 upside	+18%	+14%	+16%	4.1%	NT$14
NT$155.00 base	+10%	+10%	+10%	3.8%	NT$12
NT$90.00 downside	+2%	+5%	+4%	3.3%	NT$9

Source: UBS estimates

Risk to the current share price is balanced (1:1)

Micro-Star International is trading at **NT$154.00** (as of 11 Aug 2026)

UPSIDE (NT$215.00): In our upside scenario, we factor in 1) AI upcycle driving component shortages leading to price hikes for PC and consumer graphic cards; 2) stronger-than-expected PC and gaming demand; 3) development into new server business momentum exceeding expectations; and 4) stronger margins from a favourable product mix and better operating leverage. We assume 2028E total revenue of NT $293.0bn, with components and systems to grow at 18% and 14% YoY in 2028E, respectively, and we assume net margin of 4.1% to arrive at 2028E EPS of $14.10. We then apply ~15x multiple to 2028 EPS to arrive at $215 upside valuation.

BASE (NT$155.00): We assume 2028E total revenue of NT$266.3bn with components and systems to grow at 10% and 10% YoY in 2028E, respectively, and we assume net margin of 3.8% to arrive at 2028E EPS of $12.03. We then apply ~13x multiple to 2028E EPS to arrive at $155 price target.

DOWNSIDE (NT$90.00): In our downside scenario, we factor in worse-than-expected PC and gaming demand, a lack of new server business development and weaker margins from less operating leverage and intensified competition. We assume 2028E total revenue of NT$$233.4bn with components and systems to grow at 2% and 5% YoY in 2028E, respectively, and we assume net margin of 3.3% to arrive at 2028E EPS of $9.16. We then apply ~10x multiple to 2028E EPS to arrive at $90 downside valuation.

Micro-Star International (2377.TW)

Income Statement (NT$m)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Revenues	**182,966**	**197,872**	**230,196**	**217,865**	-5.4	**242,224**	11.2	**266,350**	**292,295**	**320,103**
Gross profit	22,846	24,195	25,213	30,266	20.0	30,084	-0.6	33,120	36,390	39,900
EBITDA (UBS)	**10,184**	**8,461**	**7,780**	**13,892**	78.6	**12,323**	-11.3	**13,562**	**14,908**	**16,478**
Depreciation & amortisation	(1,374)	(1,343)	(1,391)	(1,740)	-25.1	(1,677)	3.6	(1,643)	(1,594)	(1,641)
EBIT (UBS)	**8,810**	**7,117**	**6,388**	**12,152**	90.2	**10,645**	-12.4	**11,919**	**13,314**	**14,836**
Associates & investment income	(80)	75	43	33	-22.2	0	-	0	0	0
Other non-operating income	0	0	0	0	-	0	-	0	0	0
Net interest	429	424	390	545	39.7	390	-28.5	390	390	390
Exceptionals (incl goodwill)	17	892	203	343	68.5	0	-	0	0	0
Pre-tax profit	**9,177**	**8,508**	**7,024**	**13,073**	86.1	**11,035**	-15.6	**12,309**	**13,704**	**15,226**
Tax	(1,644)	(1,715)	(1,276)	(2,277)	-78.4	(1,926)	15.4	(2,148)	(2,392)	(2,657)
Profit after tax	**7,533**	**6,793**	**5,748**	**10,796**	87.8	**9,110**	-15.6	**10,161**	**11,312**	**12,569**
Preference dividends	0	0	0	0	-	0	-	0	0	0
Minorities	0	0	0	0	-	0	-	0	0	0
Extraordinary items	0	0	0	0	-	0	-	0	0	0
Net earnings (local GAAP)	**7,533**	**6,793**	**5,748**	**10,796**	87.8	**9,110**	-15.6	**10,161**	**11,312**	**12,569**
Net earnings (UBS)	**7,516**	**5,901**	**5,544**	**10,454**	88.5	**9,110**	-12.9	**10,161**	**11,312**	**12,569**
Tax rate (%)	17.9	20.2	18.2	17.4	-4.2	17.5	0.2	17.5	17.5	17.5

Per Share (NT$)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
EPS (UBS, diluted)	8.90	6.98	6.56	12.37	88.5	10.78	-12.9	12.03	13.39	14.88
EPS (local GAAP, diluted)	8.92	8.04	6.80	12.78	87.8	10.78	-15.6	12.03	13.39	14.88
EPS (UBS, basic)	8.90	6.98	6.56	12.37	88.5	10.78	-12.9	12.03	13.39	14.88
DPS (net) (NT$)	6.60	5.40	5.00	4.20	-16.0	6.39	52.1	5.39	6.01	6.69
Cash EPS (UBS, diluted) [1]	10.52	8.57	8.21	14.43	75.8	12.77	-11.5	13.97	15.28	16.82
Book value per share	59.39	62.58	64.63	73.21	13.3	77.60	6.0	84.24	91.61	99.79
Average shares (diluted)	845	845	845	845	0.0	845	0.0	845	845	845

Balance Sheet (NT$m)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Cash and equivalents	25,906	24,389	31,250	48,268	54.5	45,601	-5.5	44,084	41,898	39,003
Other current assets	56,268	62,813	77,351	65,508	-15.3	76,517	16.8	87,498	99,741	113,337
Total current assets	**82,174**	**87,202**	**108,601**	**113,775**	4.8	**122,119**	7.3	**131,581**	**141,639**	**152,340**
Net tangible fixed assets	5,239	6,532	8,975	8,704	-3.0	8,665	-0.4	8,781	9,216	9,988
Net intangible fixed assets	0	0	0	0	-	0	-	0	0	0
Investments / other assets	3,111	2,887	3,378	3,378	0.0	3,378	0.0	3,378	3,378	3,378
Total assets	**90,524**	**96,620**	**120,955**	**125,858**	4.1	**134,162**	6.6	**143,740**	**154,234**	**165,706**
Trade payables & other ST liabilities	39,427	42,652	54,375	52,030	-4.3	56,623	8.8	60,595	64,858	69,416
Short term debt	0	0	4,500	4,500	0.0	4,500	0.0	4,500	4,500	4,500
Total current liabilities	**39,427**	**42,652**	**58,875**	**56,530**	-4.0	**61,123**	8.1	**65,095**	**69,358**	**73,916**
Long term debt	0	0	6,292	6,292	0.0	6,292	0.0	6,292	6,292	6,292
Other long term liabilities	916	1,095	1,185	1,185	0.0	1,185	0.0	1,185	1,185	1,185
Preferred shares	0	0	0	0	-	0	-	0	0	0
Total liabilities (incl pref shares)	**40,344**	**43,746**	**66,352**	**64,007**	-3.5	**68,600**	7.2	**72,573**	**76,835**	**81,394**
Common s/h equity	**50,180**	**52,874**	**54,602**	**61,850**	13.3	**65,562**	6.0	**71,168**	**77,399**	**84,312**
Minority interests	0	0	0	0	-	0	-	0	0	0
Total liabilities & equity	**90,524**	**96,620**	**120,955**	**125,858**	4.1	**134,162**	6.6	**143,740**	**154,234**	**165,706**

Cash Flow (NT$m)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Net income (before pref divs)	7,533	6,793	5,748	10,796	87.8	9,110	-15.6	10,161	11,312	12,569
Depreciation & amortisation	1,374	1,343	1,391	1,740	25.1	1,677	-3.6	1,643	1,594	1,641
Net change in working capital	(3,656)	(3,321)	(2,815)	9,499	-	(6,417)	-	(7,008)	(7,981)	(9,037)
Other operating	(243)	186	(352)	0	-	0	-	0	0	0
Operating cash flow	**5,008**	**5,001**	**3,971**	**22,035**	NM	**4,370**	-80.2	**4,796**	**4,925**	**5,174**
Tangible capital expenditure	(623)	(2,233)	(3,448)	(1,469)	57.4	(1,638)	-11.5	(1,759)	(2,030)	(2,412)
Intangible capital expenditure	0	0	0	0	-	0	-	0	0	0
Net (acquisitions) & disposals	0	0	0	0	-	0	-	0	0	0
Other investing	(28)	(949)	1,037	0	-	0	-	0	0	0
Investing cash flow	**(651)**	**(3,182)**	**(2,411)**	**(1,469)**	39.1	**(1,638)**	-11.5	**(1,759)**	**(2,030)**	**(2,412)**
Equity dividends paid	(5,576)	(4,562)	(4,224)	(3,548)	16.0	(5,398)	-52.1	(4,555)	(5,080)	(5,656)
Share issues / (buybacks)	0	0	0	0	-	0	-	0	0	0
Other financing	(322)	(297)	(323)	0	-	0	-	0	0	0
Change in debt & pref shares	0	0	4,500	6,317	40.4	0	-	0	0	0
Financing cash flow	**(5,898)**	**(4,859)**	**(47)**	**2,768**	-	**(5,398)**	-	**(4,555)**	**(5,080)**	**(5,656)**
Cash flow inc/(dec) in cash	**(1,542)**	**(3,039)**	**1,513**	**23,334**	NM	**(2,666)**	-	**(1,518)**	**(2,185)**	**(2,895)**
FX / non cash items	(325)	1,523	5,348	(6,317)	-	0	100.0	0	0	0
Balance sheet inc/(dec) in cash	**(1,867)**	**(1,517)**	**6,861**	**17,018**	148.0	**(2,666)**	-	**(1,518)**	**(2,185)**	**(2,895)**

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.[1] Cash EPS (UBS, diluted) is calculated using UBS net income adding back depreciation and amortization.

Micro-Star International (2377.TW)

Valuation (x)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
P/E (local GAAP, diluted)	18.2	22.0	20.6	12.1	14.3	12.8	11.5	10.4
P/E (UBS, diluted)	18.2	25.3	21.3	12.4	14.3	12.8	11.5	10.4
P/CEPS	15.4	20.6	17.1	10.7	12.1	11.0	10.1	9.2
Equity FCF (UBS) yield %	3.2	1.9	0.4	15.8	2.1	2.3	2.2	2.1
Dividend yield (net) %	4.1	3.1	3.6	2.7	4.1	3.5	3.9	4.3
P/BV	2.7	2.8	2.2	2.1	2.0	1.8	1.7	1.5
EV/revenues (core)	0.6	0.6	0.4	0.5	0.4	0.4	0.3	0.3
EV/EBITDA (UBS core)	10.7	14.6	12.2	7.2	7.6	7.0	6.5	6.1
EV/EBIT (core)	12.4	17.4	14.9	8.3	8.8	8.0	7.3	6.7
EV/OpFCF (core)	10.6	14.3	11.9	7.2	7.5	6.9	6.4	5.9
EV/op. invested capital	5.0	4.8	3.1	3.5	3.5	2.8	2.3	2.0

Enterprise value (NT$m)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Market cap.	137,036	149,480	118,310	130,108	130,108	130,108	130,108	130,108
Net debt (cash)	(26,840)	(25,148)	(22,424)	(28,967)	(36,143)	(34,051)	(32,199)	(29,659)
Buy out of minorities	0	0	0	0	0	0	0	0
Pension provisions/other	0	0	0	0	0	0	0	0
Total enterprise value	**110,197**	**124,333**	**95,886**	**101,141**	**93,966**	**96,058**	**97,909**	**100,449**
Non core assets	(753)	(688)	(662)	(662)	(662)	(662)	(662)	(662)
Core enterprise value	**109,443**	**123,645**	**95,225**	**100,480**	**93,304**	**95,396**	**97,248**	**99,788**

Growth (%)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Revenue	1.4	8.1	16.3	(5.4)	11.2	10.0	9.7	9.5
EBITDA (UBS)	(15.8)	(16.9)	(8.1)	78.6	(11.3)	10.1	9.9	10.5
EBIT (UBS)	(17.6)	(19.2)	(10.2)	90.2	(12.4)	12.0	11.7	11.4
EPS (UBS, diluted)	(6.2)	(21.5)	(6.0)	88.5	(12.9)	11.5	11.3	11.1
Net DPS	(37.1)	(18.2)	(7.4)	(16.0)	52.1	(15.6)	11.5	11.3

Margins & Profitability (%)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Gross profit margin	12.5	12.2	11.0	13.9	12.4	12.4	12.4	12.5
EBITDA margin	5.6	4.3	3.4	6.4	5.1	5.1	5.1	5.1
EBIT (UBS) margin	4.8	3.6	2.8	5.6	4.4	4.5	4.6	4.6
Net earnings (UBS) margin	4.1	3.0	2.4	4.8	3.8	3.8	3.9	3.9
ROIC (EBIT)	40.6	27.7	20.8	42.5	39.6	35.4	32.1	29.4
ROIC post tax	33.4	21.4	16.9	34.9	32.7	29.2	26.5	24.2
ROE (UBS)	15.2	11.5	10.3	18.0	14.3	14.9	15.2	15.5

Capital structure & Coverage (x)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Net debt / EBITDA	(2.5)	(2.9)	(2.6)	(2.7)	(2.8)	(2.5)	(2.1)	(1.7)
Net debt / total equity %	(51.6)	(46.1)	(37.5)	(60.6)	(53.1)	(46.8)	(40.2)	(33.5)
Net debt / (net debt + total equity) %	NM	(85.6)	(59.9)	NM	NM	(87.9)	(67.2)	(50.3)
Net debt/EV %	(24.4)	(20.2)	(23.4)	(28.6)	(38.5)	(35.4)	(32.9)	(29.5)
Capex / depreciation %	45.4	166.2	NM	84.4	97.7	107.0	127.3	147.0
Capex / revenue %	0.3	1.1	1.5	0.7	0.7	0.7	0.7	0.8
EBIT / net interest	-	-	-	-	-	-	-	-
Dividend cover (UBS)	1.3	1.3	1.3	2.9	1.7	2.2	2.2	2.2
Div. payout ratio (UBS) %	74.2	77.3	76.2	33.9	59.3	44.8	44.9	45.0

Revenues by division (NT$m)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Others	182,966	197,872	230,196	217,865	242,224	266,350	292,295	320,103
Total	**182,966**	**197,872**	**230,196**	**217,865**	**242,224**	**266,350**	**292,295**	**320,103**

EBIT (UBS) by division (NT$m)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Others	8,810	7,117	6,388	12,152	10,645	11,919	13,314	14,836
Total	**8,810**	**7,117**	**6,388**	**12,152**	**10,645**	**11,919**	**13,314**	**14,836**

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.

Forecast returns

Forecast price appreciation	0.6%
Forecast dividend yield	2.7%
Forecast stock return	3.4%
Market return assumption	6.3%
Forecast excess return	-2.9%

Company Description

Established in 1986, Micro-Star International (MSI) leads in graphics card and motherboard manufacturing, as well as gaming PCs. In 2024, components (including graphics, motherboards and monitors) accounted for 48% of MSI's total revenue, followed by system products (including notebooks and desktops), at 45%, and other products (such as enterprise platform solutions, automotive and commercial solutions), at 7%.

Valuation Method and Risk Statement

Our price target for Micro-Star International (MSI) is based on P/E ratio.
Company-specific downside risks include: 1) weak demand for graphic processors (GPUs) and gaming PC leading to softer graphic card sales; 2) a weak PC market leading to a slow motherboard replacement cycle; and 3) intensified margin pressure on pricing competition or an inventory correction.
Upside risks include: 1) stronger-than-expected demand for GPUs and gaming PCs leading to substantial growth in graphic card sales; 2) a strong PC market leading to an accelerated motherboard replacement cycle; and 3) clearer evidence of a structurally sustainable AI server business supporting a valuation re-rating.
Sector risks: Investing in the technology sector involves a high degree of risk. Rapid technological changes, increasing competition and exposure to macroeconomic cycles are among the many risks faced by investors in technology stocks. Moreover, it is extremely difficult to project the financial results of tech companies, since their operating models are highly volatile and unpredictable. Finally, valuing technology stocks can prove challenging, as neither traditional nor non-traditional valuation measures provide much insight into how these stocks trade.

Quantitative Research Review

UBS Global Research publishes a quantitative assessment of its analysts' responses to certain questions about the likelihood of an occurrence of a number of short term factors in a product known as the 'Quantitative Research Review'. The views for this month can be found below. Views contained in this assessment on a particular stock reflect only the views on those short term factors which are a different timeframe to the 12-month timeframe reflected in any equity rating set out in this note. For previous responses please make reference to (i) previous UBS Global Research reports; and (ii) where no applicable research report was published that month, the Quantitative Research Review which can be found at https://neo.ubs.com/quantitative, or contact your UBS sales representative for access to the report or the Quantitative Research Team on ubs-quant-answers@ubs.com. A consolidated report which contains all responses is also available and again you should contact your UBS sales representative for details and pricing or the Quantitative Research Team on the email above.

Micro-Star International

Question	Response
1. Is the industry structure facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting worse, 3 = no change, 5 = getting better, N/A = no view)	2
2. Is the regulatory/government environment facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting tougher 3 = no change, 5 = getting better, N/A = no view)	2
3. Over the last 3-6 months in broad terms have things been improving/no change/getting worse for this stock? Rate on a scale of 1-5 (1 = getting a lot worse, 3 = not much change, 5 = getting a lot better, N/A = no view)	3
4. Relative to the current CONSENSUS EPS forecast, is the next company EPS update likely to lead to: (1 = negative surprise vs consensus, 3 = in-line with consensus, 5 = positive surprise vs consensus expectations, N/A = no view)	3
5. What's driving the difference?	
6. Relative to YOUR current earnings forecast, is there relatively greater risk at the next earnings result of:(1 = downside skew risk to earnings, 3 = equal upside or downside risk to earnings, 5 = upside skew risk to earnings, N/A = no view)	3
7. What's driving the difference?	
8. Is there an upcoming catalyst for the company over the next three months?	
9. Is there an actual or approximate date for the catalyst?	
10. Is the catalyst date an actual or approximate date?	
11. What is the catalyst?	

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12-Month Rating	Definition	Coverage[1]	IB Services[2]
Buy	FSR is > 6% above the MRA.	55%	24%
Neutral	FSR is between -6% and 6% of the MRA.	40%	21%
Sell	FSR is > 6% below the MRA.	6%	21%

Source: UBS. Rating allocations are as of 30 June 2026.
1:Percentage of companies under coverage globally within the 12-month rating category.
2:Percentage of companies within the 12-month rating category for which investment banking (IB) services were provided within the past 12 months.

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UBS Securities Pte. Ltd., Taipei Branch: Diana Chang, Randy Abrams.

Company Disclosures

Company Name	Reuters	12-month rating	Price	Price date
Micro-Star International	2377.TW	Neutral	NT$154.00	11 Aug 2026

Source: UBS Global Research; LSEG Eikon. All prices as of local market close. Ratings in this table are the most current published ratings prior to this report. They may be more recent than the stock pricing date.

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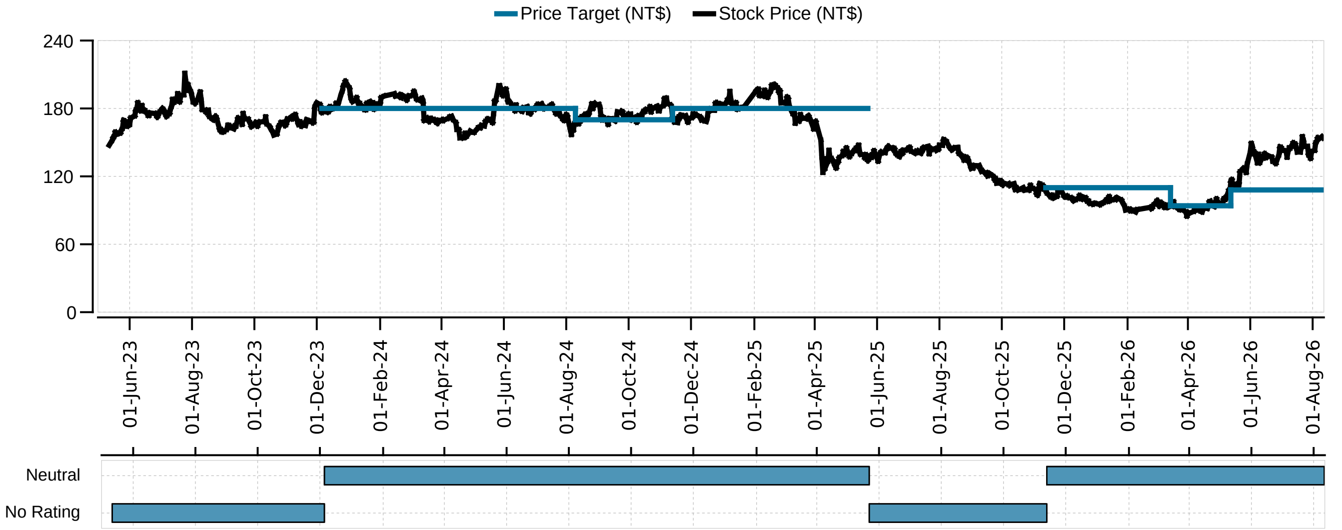
Micro-Star International (NT$)



Date	Stock Price (NT$)	Price Target (NT$)	Rating
2023-05-11	146.50	-	No Rating
2023-12-05	178.00	180.00	Neutral
2024-08-09	166.50	170.00	Neutral
2024-11-12	181.00	180.00	Neutral
2025-05-22	135.50	-	No Rating
2025-11-12	110.00	110.00	Neutral
2026-03-14	92.80	94.00	Neutral
2026-05-12	105.00	108.00	Neutral

Source: UBS Global Research; LSEG Eikon as of 11-Aug-2026. All prices as of local market close. Ratings as of date shown.

Additional Prices: Asustek Computer Inc., NT$839.00 (11 Aug 2026); Giga-Byte Technology, NT$350.50 (11 Aug 2026); Source: UBS. All prices as of local market close.

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中立(調降評等)

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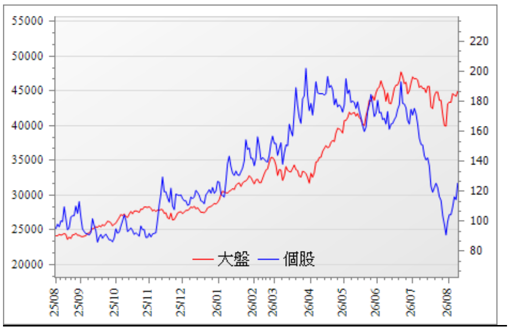
與前次比較：	上次	本次
評　等	買進	中立
目標價	235	130
EPS	15.11(2027)	6.47(2027)
收盤價	189.00	125.50
大盤指數	41933.78	44928.76

前次評等日期:2026/05/08

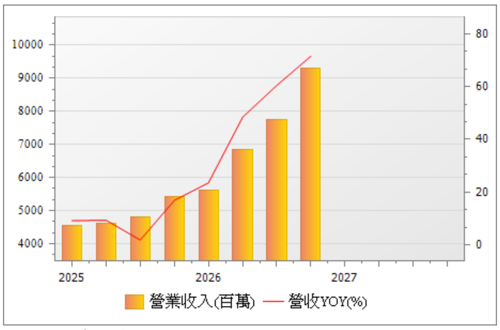
市值(億)	355.9
股本(億)	28.360000
三個月平均成交金額(億)	15.00
淨負債/股東權益	259.02
董監持股比率	4.29
外資持股比率	13.20
投信持股比率	0.00

個股與大盤走勢



	近一個月	近三個月	近半年	近一年
加權指數報酬率	-0.9	8.0	35.8	87.0
個股股價報酬率	-16.9	-30.0	-11.4	33.8

營收走勢圖



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研究部將定穎投控投資建議由「買進」調降至「中立」，主因：(1) 2Q26 毛利率降至 14.0%，加計匯兌損失後單季 EPS 為 -0.81 元，明顯低於原估 0.46 元；(2) 泰國廠 AI 高階產品因量產前最終版本需重新送樣驗證，量產放量時程由 3Q26 遞延至 4Q26，泰國廠滿載及單季損益兩平時點亦同步順延至 1Q27；(3) CCL 等原物料於 2H26 仍有續漲壓力，且成本轉嫁存在時間差，預期 2H26 毛利率回升幅度有限。綜上，研究部將 2026 年 EPS 預估由 5.42 元下修至 -0.40 元，2027 年 EPS 預估由 15.11 元下修至 6.47 元。不過研究部認為，AI PCB 高階產能仍屬稀缺，具備產能規模且製程能力跟上的板廠，終有機會重新切入供應鏈。評價方面，在 2026 年轉為虧損、獲利貢獻遞延至 2027 年，且擴產所帶來的折舊與利息負擔將先行反映的情況下，現階段評價已屬合理，潛在漲幅空間有限。研究部據此將評等調降至「中立」，並以 2027 年 EPS 6.47 元、20 倍本益比評價，下修目標價至 130 元。惟若認證進度提前、AI 出貨時程優於預期，帶動泰國廠稼動率與獲利提前回升，研究部將重新調升定穎投控之獲利預估、投資評等與目標價。

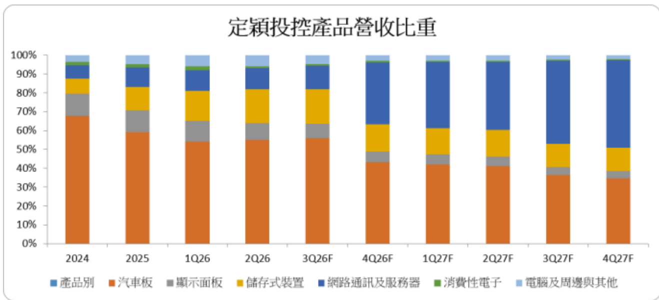
重點摘要：

1. 2Q26 營收創歷史新高，惟原物料與匯損侵蝕獲利

定穎投控 2Q26 營收 68.69 億元 (+22.0% QoQ、+48.4% YoY)，優於原估的 62.83 億元，成長動能來自汽車板受高階車用板與 ADAS 需求帶動營收季增 23%、儲存式裝置受 DDR5 需求強勁帶動季增 31%，網路通訊及伺服器亦季增 24%；產品組合為汽車板 55%、儲存式裝置 18%、網路通訊及伺服器 11%、顯示面板 9%、電腦及周邊與其他 6%。惟毛利率降至 14.0% (-2.1ppt QoQ、-7.5ppt YoY)，低於原估的 17.2%，主因 CCL 等原物料價格持續上漲。營業費用 8.95 億元，費用率降至 13.0% (-0.8ppt QoQ) 符合原估，惟毛利率承壓使營業淨利率降至 1.0% (-1.3ppt QoQ、-7.2ppt YoY)，低於原估的 4.2%。業外淨支出達 3.89 億元，其中認列匯兌損失 2.64 億元，主因美元與人民幣對泰銖持續走升。最終 2Q26 稅後淨損 2.30 億元，EPS 為 -0.81 元，低於原估的 0.46 元。

統一投顧
PRESIDENT CAPITAL MANAGEMENT CORP.

圖一、2024~4Q27F 定穎投控產品營收比重



資料來源：定穎投控，統一投顧整理

2. 3Q26 漲價效益逐步顯現，獲利回升至損益兩平之上

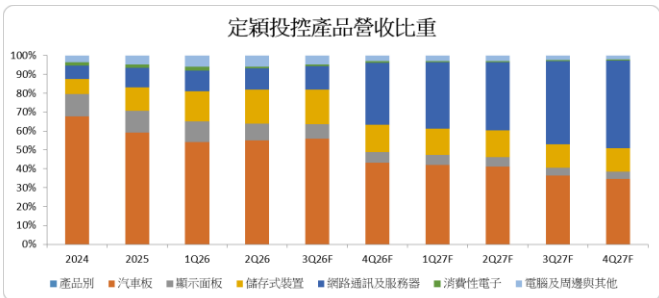
定穎投控 7 月營收 25.31 億元 (+10.5% MoM、+69.7% YoY)，創單月歷史新高，動能延續自 DDR5 帶動之儲存式裝置、ADAS 帶動之汽車板，以及網卡與加速卡帶動之網通伺服器，目前各廠區交期緊俏，在手訂單能見度已逾 3 個月。惟原訂於 3Q26 量產放量之泰國廠 AI 高階產品因重新送樣驗證而遞延至 4Q26，研究部因而下修 3Q26 營收預估至 77.65 億元 (+13.0% QoQ、+60.4% YoY)，原估 87.24 億元。毛利率方面，定穎已於 6 至 7 月完成第二波產品調漲以反映 2Q26 原物料成本，並表示若 3Q26 上游材料成本續揚，不排除於 8、9 月採取動態調價；惟 CCL 等原物料 2H26 預期仍將持續上漲，且成本轉嫁一般存在時間差，加計原先預期由高毛利 AI 產品帶動之產品組合改善亦一併遞延，研究部下修 3Q26 毛利率預估至 15.4% (+1.4ppt QoQ、-4.0ppt YoY)，原估 24.3%，單季 EPS 下修至 0.14 元，原估 2.24 元。

Taiwan Company Snapshot

3. 泰國廠 AI 出貨遞延，損益兩平順延至 1Q27

受到量產前最終版本樣品需重新送樣驗證影響，定穎投控泰國廠 AI 高階產品出貨時程遞延，量產放量自原訂之 3Q26 順延至 4Q26 起陸續出貨，泰國廠滿載與單季損益兩平時點亦由 4Q26 一併遞延至 1Q27，2026 年底泰國廠佔集團營收比重將降至 20% 以下。泰國廠目前稼動率僅約 60%，在 AI 出貨遞延、營收未能同步放大的情況下，泰國廠虧損收斂速度將明顯慢於原先預期，此亦為本次下修 2026 年與 2027 年獲利預估的主要原因。研究部認為，AI PCB 高階產能仍屬稀缺，具備產能規模且製程能力跟上的板廠，終有機會重新切入供應鏈。

圖二、2024~4Q27F 定穎投控產品營收比重



資料來源：定穎投控，統一投顧整理

4. 資本支出倍增至 383 億元，產能布局延伸至 2028 年

定穎投控於 7 月 6 日及 8 月 7 日兩度公告追加資本支出共計 199 億元，2026 年資本支出總額自原訂之 184 億元大幅上修至 383 億元，其中泰國廠區約 238 億元、中國廠區約 145 億元，並以自有及自籌資金支應。8 月 7 日新增之泰國廠 80.5 億元主要用於採購長交期設備，以因應 GPU 與 ASIC 客戶需求大幅增加，新產能預計自 4Q27 起陸續開出，滿載後可新增年產值 120 億元，帶動泰國廠產值目標自 2027 年的 300 億元進一步提升至 2028 年的 420 億元。黃石 P3 廠區則追加 99.2 億元，新產能自 3Q27 起陸續開出，全數開出後年產值可達 100 億元，定位為供應中系 AI 客戶；中國既有廠區目前則維持滿載，不含 P3 之最大月產值約 25 億元。

5. 下修 2026-2027 年獲利預估，2026 年轉為虧損

綜上所述，研究部下修定穎投控 2026 年營收預估至 306.16 億元 (+57.4% YoY)，較原估 309.50 億元小幅下修，主要反映泰國廠 AI 出貨遞延；2026 年毛利率預估 16.2% (-3.1ppt YoY)，較原估 22.1% 明顯下修，主因 CCL 等原物料持續上漲，且原先預期由高毛利 AI 產品帶動之產品組合改善一併遞延；在毛利率下修並加計 1H26 累計 7.24 億元匯兌損失下，2026 年稅後 EPS 由原估 5.42 元下修至 -0.40 元，轉為虧損。

展望 2027 年，隨泰國廠自 1Q27 起達滿載並進入完整貢獻年度、AI 營收佔集團比重提升至 40%，加上黃石 P3 新產能自 3Q27 起加入貢獻，研究部上修 2027 年營收預估至 483.75 億元 (+58.0% YoY)，原估 446.37 億元；惟考量量產初期良率仍處爬坡階段，且原物料成本續揚將壓抑毛利率表現，2027 年毛利率預估 20.0% (+3.8ppt YoY)，較原估 26.6% 下修，稅後 EPS 預估為 6.47 元 (原估 15.11 元)。

12 month Forward PE bands

PE

12 month Forward PB bands

PB

簡明損益表

百萬元	1Q26	2Q26	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	2025(E)	2026(E)	2027F
營業收入	5,632	6,869	7,765	10,352	10,862	11,193	12,833	13,486	19,453	30,616	48,375
營業毛利	908	962	1,195	1,904	2,043	2,179	2,605	2,843	3,762	4,968	9,669
營業費用	777	895	1,009	1,346	1,521	1,455	1,668	1,753	2,602	4,027	6,397
營業利益	130	67	185	558	522	724	937	1,090	1,160	940	3,272
業外收支	-546	-389	-90	-85	-85	-85	-85	-85	-99	-1,110	-340
稅前純益	-416	-322	95	473	437	639	852	1,005	1,060	-170	2,932
稅後純益	-209	-230	40	287	257	394	539	643	749	-113	1,834
EPS	-0.74	-0.81	0.14	1.01	0.91	1.39	1.90	2.27	2.69	-0.40	6.47
重要比率											
毛利率	16.1	14.0	15.4	18.4	18.8	19.5	20.3	21.1	19.3	16.2	20.0
費用率	13.8	13.0	13.0	13.0	14.0	13.0	13.0	13.0	13.4	13.2	13.2
營益率	2.3	1.0	2.4	5.4	4.8	6.5	7.3	8.1	6.0	3.1	6.8
淨利率	-3.7	-3.3	0.5	2.8	2.4	3.5	4.2	4.8	3.9	-0.4	3.8
QoQ											
營業收入	3.8	22.0	13.0	33.3	4.9	3.0	14.7	5.1			
營業毛利	-5.8	5.9	24.2	59.3	7.3	6.7	19.6	9.1			
營業利益	-29.8	-48.9	178.1	201.1	-6.4	38.7	29.4	16.4			
稅前純益	N.A.	N.A.	N.A.	396.2	-7.6	46.2	33.3	18.0			
稅後淨利	N.A.	N.A.	N.A.	620.0	-10.3	53.4	36.7	19.3			
YoY											
營業收入	23.6	48.4	60.4	90.7	92.9	63.0	65.3	30.3	9.4	57.4	58.0
營業毛利	4.9	-3.3	27.3	97.5	125.0	126.6	118.0	49.4	-8.5	32.1	94.6
營業利益	-50.8	-82.4	-43.9	200.4	300.3	986.1	405.5	95.4	-24.5	-18.9	248.0
稅前純益	N.A.	N.A.	-59.5	376.4	N.A.	N.A.	793.7	112.5	-32.4	N.A.	N.A.
稅後淨利	N.A.	N.A.	-71.9	244.2	N.A.	N.A.	1,254.6	124.5	-28.7	N.A.	N.A.

資料來源：公司資料及統一投顧預估

附錄一：評等之標準

評等	定義
強力買進	預估未來 6 個月內的絕對報酬超過 25%以上
買進	預估未來 6 個月內的絕對報酬 10%以上
中立	預估未來 6 個月內的絕對報酬介於 10～-10%
降低持股	預估未來 6 個月內的絕對報酬介於(-10%)以下
未評等	沒有足夠的基本資料判斷該公司評等

附錄二：免責宣言

服務據點

台北

統一綜合證券股份有限公司

電話：886-2-2747-8266

地址：台北市松山東興路 8 號 1 樓

台北

統一證券投資顧問股份有限公司

電話：886-2-2748-8399

地址：台北市松山東興路 8 號 3 樓

個股聚焦

2026/8/12

產業類別	PCB 製造
投資建議	買進
收盤價 NT$ 490.00	6 個月目標價 NT$ 658.00

本次報告：法說會

交易資料	
潛在報酬率 (%)	34.29
52 週還原收盤價區間 (NT$)	135.08-646.00
市值 (NT$百萬元)	547480
市值 (US$百萬美元)	16,961
流通在外股數 (百萬股)	1,117.00
董監持股 (%)	27.76
外資持股 (%)	55.75
投信持股 (%)	9.34
融資使用率 (%)	11.46

財務資料	2025
股東權益 (NT$百萬元)	123,982
ROA (%)	2.49
ROE (%)	5.83
淨負債比率 (%)	39.04

公司簡介

臻鼎-KY 為全球最大 FPC 製造廠商，前身為鴻勝科技，隸屬於鴻海集團。公司以軟板起家，1H26 主要產線為行動通訊(53.6%)、電腦消費(24.8%)、伺服器/光模塊/IC 載板及其他(21.6%)。

主要客戶：APPLE、Microsoft、Google、SONY、華為、OPPO、VIVO
主要競爭對手：Mektron、Fujikura、M-Flex、Sumitomo、Nitto Denko、Interflex

廖貫捷 kuanchieh.liao@sinopac.com

臻鼎-KY (4958 TT)

ABF 及 1.6T 光模組帶動，2Q26 毛利率優於預期

永豐觀點

臻鼎高值化產品需求帶動 2Q26 財報優於預期，在 ABF 及 1.6T 光模組帶動下產品組合轉佳，獲利可望重回高峰水準並延續至 2028 年。

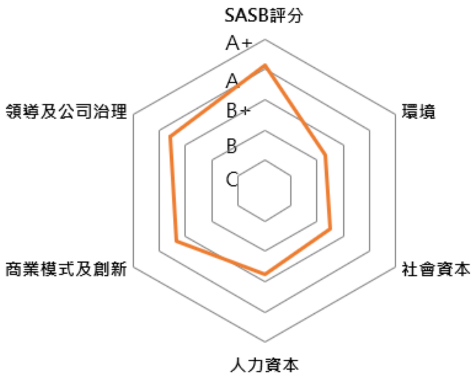
投資評價與建議

臻鼎 2Q26 毛利率 23.1%優於預期 3.5 個百分點，在 1.6T 光模組、ABF 以及 AI Server 產品占比由 2025 年的 11%提升至 2028 年的 40%下，營運結構由消費性電子轉向 AI 領域，上調 2026-2028 年稅後 EPS 至 16.18、23.92 以及 30.78 元，投資建議維持買進，考量股價先前因資本市場去槓桿修正至合理價位，改以 2027 年獲利評價，目標價調整至 658 元(29X2027 完全稀釋 EPS)。

ESG 評析

臻鼎-KY 企業永續評鑑整體為 A 等，於 SASB 產業永續議題與跨產業五大永續面向平均得分分別為 A+等與 B+等。

SinoPac+ ESG 評鑑系統評等



永續構面		評等
總分		A
SASB評分		A+
跨產業ESG評分		B+
跨產業ESG項目	環境	B+
	社會資本	B+
	人力資本	B+
	商業模式及創新	A
	領導及公司治理	A

資料來源：SinoPac+ ESG 評等 (依循 2025 SinoPac+企業永續評鑑方法學)
註 1：資誠永續發展服務股份有限公司僅於ＥＳＧ評鑑系統方法學建置過程中，就評分指標提供專業意見，對於評分結果及評估報告內容之完整性及真實性，不負擔保責任，亦不對閱讀或使用本評估報告之第三方負任何責任。
註 2：永豐投顧已獲 SASB 授權，於研究中使用 SASB 重大性地圖之一般議題分類及揭露主題。SinoPac Securities Investment Service licenses and applies the SASB Materiality Map® General Issue Categories and Disclosure Topics in our work.

營運現況與分析

臻鼎-KY 為全球最大 PCB 製造商：臻鼎-KY 為全球最大 FPC 製造廠商，前身為鴻勝科技，隸屬於鴻海集團。公司以軟板起家，1H26 主要產線為行動通訊(53.6%)、電腦消費(24.8%)、伺服器/光模塊/IC 載板及其他(21.6%)，主要客戶為 APPLE、Microsoft、Google、SONY、華為、OPPO、VIVO 等，競爭對手包含 Mektron、Fujikura、M-Flex、Sumitomo、Nitto Denko 以及 Interflex。

Server 及載板貢獻，2Q26 財報優於預期：臻鼎 2Q26 稅後 EPS 2.14 元，優於研究部預估的 1.43 元水準，其中毛利率達 23.1%優於預期 3.5 個百分點主要原因來自於 AI Server 需求拉動高階 HDI、HLC 以及 ABF 需求，帶動整體產品組合轉佳並抵銷上游 CCL 漲價壓力，整體而言臻鼎 2Q26 本業表現優於預期。

旺季加持及 1.6T 光模組出貨，3Q26 營收 QoQ+38.7%：展望 3Q26，除了進入美系客戶拉貨旺季外，臻鼎 1.6T 光模組板材亦可望同步出貨，由於採用 mSAP 製程，在供應鏈產能有限下，毛利率優於公司平均 30%以上，進一步拉升產品組合。研究部預估單季營收 671.51 億元(+38.7%QoQ，+41.8%YoY)，毛利率來到 25.1%，稅後淨利 58.12 億元(+143.0%QoQ，+143.0%YoY)，單季稅後 EPS 5.20 元(原估 5.04 元)。

表一：臻鼎-KY 2Q26 及 2026 年獲利差異

百萬元	2Q26(實際)	2Q26(原估)	差異(%)	2026(新估)	2026(原估)	差異(%)
營業收入	48,431	43,543	11.22	241,495	230,815	4.63
營業毛利	11,186	8,527	31.19	58,886	54,163	8.72
營業費用	7,425	5,520	34.51	33,083	29,128	13.58
營業利益	3,761	3,007	25.09	25,802	25,035	3.07
稅前淨利	4,931	3,177	55.22	27,809	26,042	6.79
稅後淨利	2,392	1,597	49.81	18,076	17,067	5.91
每股盈餘(元)	2.14	1.43		16.18	15.28	
Margin(%)						
營業毛利率	23.10	19.58	--	24.38	23.47	--
營業利益率	7.77	6.91	--	10.68	10.85	--
稅前淨利率	10.18	7.30	--	11.52	11.28	--
稅後淨利率	4.94	3.67	--	7.48	7.39	--

資料來源：永豐投顧研究部預估及整理，Aug. 2026

高值化產品帶動，2026 年稅後 EPS 上調至 16.18 元：展望 2026 年，隨著高值化產品陸續發酵，另一方面在 Agentic AI 帶動下 AI 晶片產品需求由 GPU 擴散至 CPU 亦可望帶動 ABF 需求向上，2H26 ABF 報價可望反應供給吃緊逐季上揚 5-10%，研究部考量臻鼎高階產品(Server+光模組+ABF)2026 年佔比可望由 21%再度上調至 23%，且毛利率達 25-35%下帶動產品組合轉佳，預估 2026 年營收 2414.95 億元(+32.3%YoY)，毛利率 24.4%，稅後淨利 180.76 億元(+166.2%YoY)，稅後 EPS 上調至 16.18 元(原估 15.84 元)。

Server+ABF+光模組 2030 年占比 45-50%，產品組合持續轉佳：臻鼎 1.6T 光模組可望於 2H26 出貨，在高速傳輸需求下訊號阻抗降低，PCB 傳統蝕刻法線路粗糙度將受到檢驗，另一方面在高溫環境中板材熱膨脹後鑽孔對位精度需求亦大幅提高，因此類載板 mSAP 製程將被大幅採用，由於過去 mSAP 產品僅於 iPhone 主板中使用，主要供應商為臻鼎-KY(4958 TT)、華通(2313 TT)、欣興(3037 TT)以及 TTM(TTMI US)，整體能穩定大量供應廠商有限，長線而言 1.6T 甚至 3.2T 光模組以及 Switch 主板對 mSAP 需求亦可望達 iPhone 的 30-35%，且毛利率高於 25%，

相關需求可望為供應鏈帶來獲利支撐。研究部預估臻鼎 2027 年營收 2831.33 億元(+17.2%YoY)，毛利率 25.0%，稅後淨利 267.25 億元(+47.9%YoY)，稅後 EPS 23.92 元(原估 19.94 元)。2028 年在 1.6T 光模組、ABF 以及 AI Server 產品貢獻下，稅後 EPS 上看 30.78 元(原估 26.55 元)。

表二：臻鼎-KY 2027 及 2028 年獲利差異

百萬元	2027(新估)	2027(原估)	差異(%)	2028(新估)	2028(原估)	差異(%)
營業收入	283,133	265,055	6.82	326,993	302,630	8.05
營業毛利	70,755	64,408	9.86	85,643	78,275	9.41
營業費用	33,800	31,901	5.95	38,650	36,600	5.60
營業利益	36,955	32,507	13.69	46,993	41,675	12.76
稅前淨利	38,835	34,387	12.94	48,873	43,555	12.21
稅後淨利	26,725	22,277	19.97	34,388	29,670	15.90
每股盈餘(元)	23.92	19.94		30.78	26.55	
Margin(%)						
營業毛利率	24.99	24.30	--	26.19	25.86	--
營業利益率	13.05	12.26	--	14.37	13.77	--
稅前淨利率	13.72	12.97	--	14.95	14.39	--
稅後淨利率	9.44	8.40	--	10.52	9.80	--

資料來源：永豐投顧研究部預估及整理，Aug. 2026

附表一：當年度損益表

單位：百萬元	26Q1	26Q2	26Q3F	26Q4F	2026F
營業收入	40,728	48,431	67,157	85,179	241,495
營業毛利	8,812	11,186	16,862	22,026	58,886
營業利益	2,503	3,761	8,012	11,526	25,802
稅前淨利	2,400	4,931	8,482	11,996	27,809
稅後純益	1,426	2,392	5,812	8,446	18,076
稅後 EPS (元)	1.28	2.14	5.20	7.56	16.18
營收 QoQ 成長率	-28.38	18.91	38.67	26.84	--
營收 YoY 成長率	1.61	26.77	41.78	49.78	32.31
毛利率	21.64	23.10	25.11	25.86	24.38
營益率	6.15	7.77	11.93	13.53	10.68
稅後純益率	5.03	7.70	8.65	9.92	7.49

資料來源：CMoney；永豐投顧研究部整理，Aug. 2026

附表二：五個年度損益表

單位：百萬元	2023	2024	2025	2026F	2027F
營業收入	151,398	171,664	182,522	241,495	283,133
%變動率	-11.65	13.39	6.33	32.31	17.24
營業毛利	27,459	32,461	36,136	58,886	70,755
毛利率 (%)	18.14	18.91	19.80	24.38	24.99
營業淨利	9,160	11,586	13,932	25,802	36,955
稅前淨利	10,048	15,045	14,063	27,809	38,835
%變動率	-57.19	49.73	-6.53	97.75	39.65
稅後純益	6,189	9,180	6,791	18,076	26,725
%變動率	-56.41	48.33	-26.03	166.18	47.85
稅後 EPS * (元)	6.55	9.67	6.91	16.18	23.92
市調 EPS * (元)	5.72	8	7.4	13.44	--
PER (×)	74.81	50.67	70.91	30.28	20.48
PBR (×)	4.85	4.31	4.23	4.06	3.83
每股淨值 * (元)	101.05	113.74	115.81	120.71	127.89
每股股利 (元)	3.28	4.80	3.42	--	--
殖利率 (%)	3.26	4.22	2.42	--	--

* 以目前股本計算

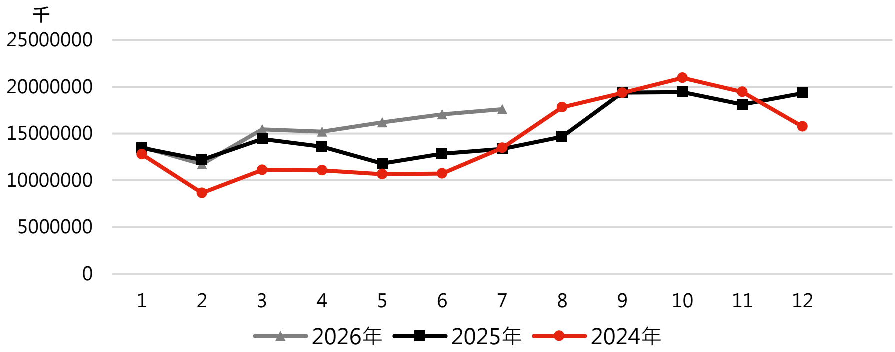
資料來源：CMoney；永豐投顧研究部整理，Aug. 2026

營運基本資料

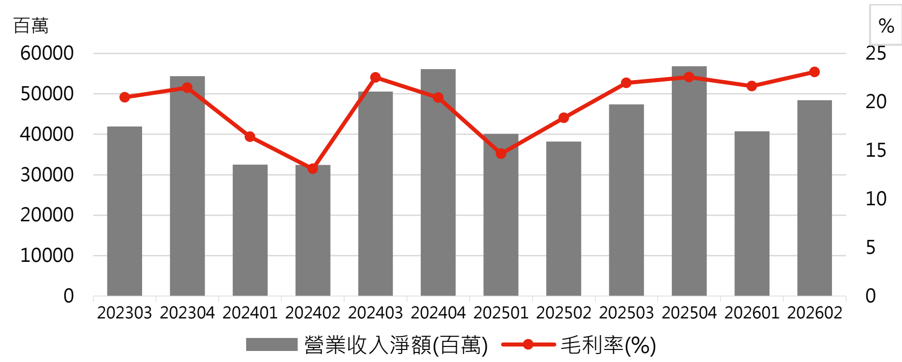
同業比較

代號	公司	投資建議	目前股價	市值(億)	稅後 EPS		PE		PB	
					2025	2026	2025	2026	2025	2026
6153	嘉聯益	N	16.80	106.9	-4.38	-2.00	-3.42	-8.40	1.05	1.26
6269	台郡	N	67.40	218.2	-6.95	-1.98	-8.49	-34.04	0.88	1.04

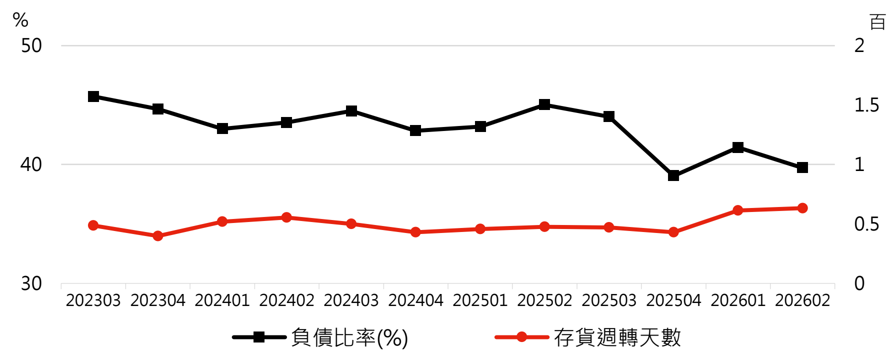
近三年單月營收狀況



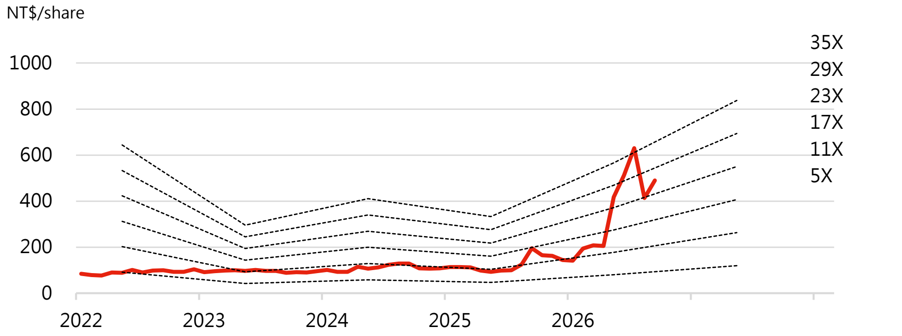
近三年單季營收 VS 毛利率趨勢圖



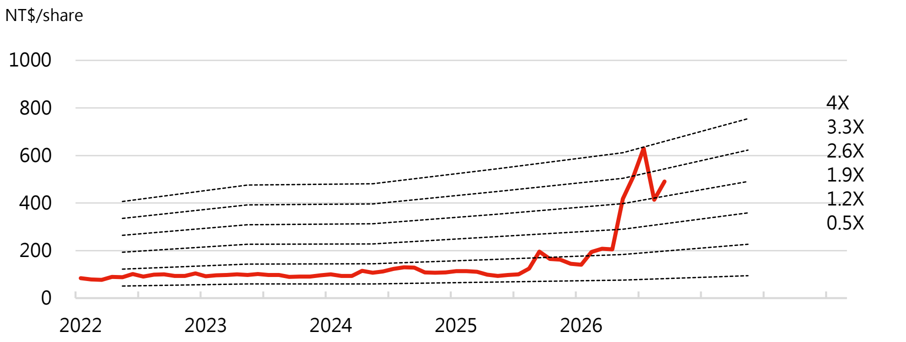
負債比率 VS 存貨周轉天數



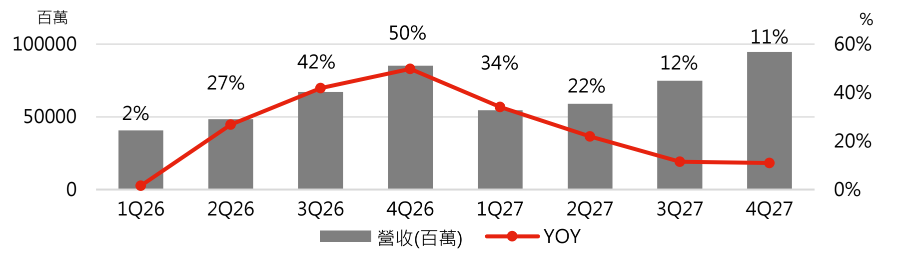
歷史 PE 圖



歷史 PB 圖

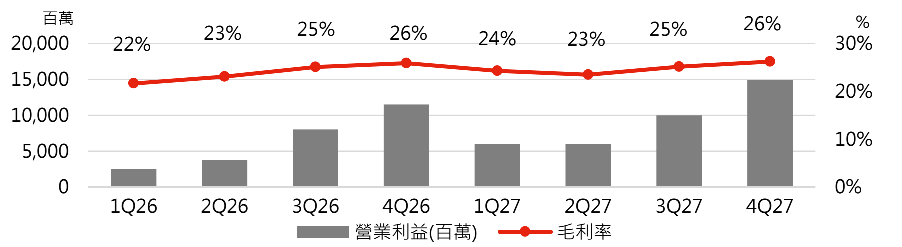


近八季營收及 YoY 趨勢圖



資料來源：CMoney；永豐投顧研究部整理，Aug. 2026

近八季營業利益及毛利率趨勢圖



資料來源：CMoney；永豐投顧研究部整理，Aug. 2026

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110 年金管投顧新字第 024 號

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N：Neutral 中立：未來 6 個月該股票表現將與大盤一致
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A+: The company falls in the top 20% of all Taiwan’s listed companies in managing and disclosing ESG performance)

A: The company falls in the 21-40% of all Taiwan’s listed companies in managing and disclosing ESG performance.

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個股聚焦

2026/8/12

產業類別	網通
投資建議	買進
收盤價 NT$ 91.10	6 個月目標價 NT$ 107.00

本次報告：法說會

交易資料	
潛在報酬率 (%)	17.45
52 週還原收盤價區間 (NT$)	72.70-103.24
市值 (NT$百萬元)	27720
市值 (US$百萬美元)	859
流通在外股數 (百萬股)	304.00
董監持股 (%)	4.59
外資持股 (%)	25.80
投信持股 (%)	0.24
融資使用率 (%)	6.9

財務資料	2025
股東權益 (NT$百萬元)	15,956
ROA (%)	2.66
ROE (%)	7.45
淨負債比率 (%)	67.01

公司簡介

中磊為電信網通設備專業製造廠：1H26 各產品營收占比分別為 Broadband CPE 60%，IoT & Infra 21%，Enterprise 19%。主要客戶為歐美龍頭電信運營商與有線頻道業者及系統整合商。中磊的主要競爭力在於軟韌體與硬體協同開發設計能力、客製化服務能力。

主要客戶：
主要競爭對手：啟碁、智易

費俊堯 jim.fei@sinopac.com

中磊 (5388 TT)

短期毛利率承壓

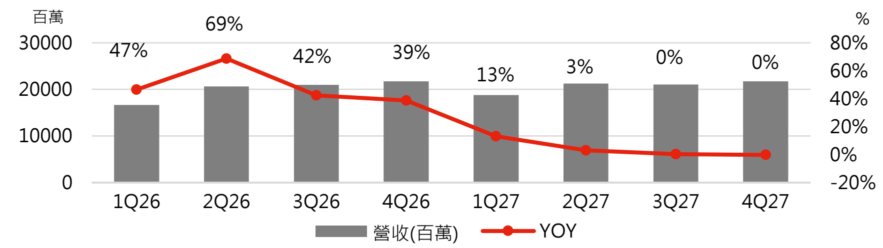
永豐觀點

營收創高但毛利率受記憶體漲價影響大。

投資評價與建議

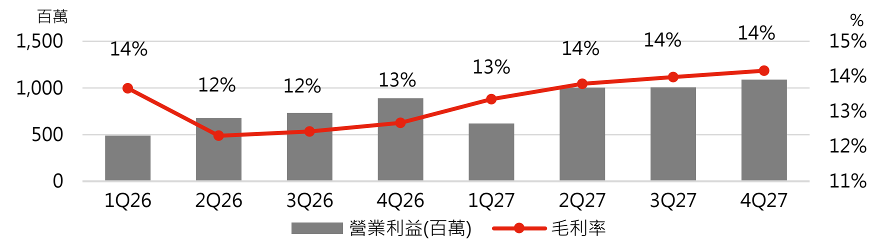
研究部維持中磊買進建議：中磊 2Q26 財報不如預期，毛利率受記憶體漲價影響，2H26 營收持續墊高但毛利率改善有限，研究部仍看好公司長線營運，預估 2026 年 EPS 6.45 元，2027 年 EPS 8.95 元，目標價 107 元(12X 2027 EPS)。

近八季營收及 YoY 趨勢圖



資料來源：CMoney；永豐投顧研究部整理，Aug. 2026

近八季營業利益及毛利率趨勢圖



資料來源：CMoney；永豐投顧研究部整理，Aug. 2026

營運現況與分析

中磊為電信網通設備專業製造廠：1H26 各產品營收占比分別為 Broadband CPE 60%，IoT & Infra 21%，Enterprise 19%。主要客戶為歐美龍頭電信運營商與有線頻道業者及系統整合商，中磊的主要競爭力在於軟韌體與硬體協同開發設計能力、客製化服務能力，主要競爭對手為國內網通業者啟碁(6285 TT)與智易(3596 TT)等。

2Q26 財報不如預期：中磊 1Q26 EPS 1.58 元，不如預期的 1.81 元，主因毛利率表現受記憶體成本漲價而不如預期，公司表示 2Q26 有先替客戶吸收一些成本，營收+69%YoY 裡面其中有+20-30%YoY 是來自於記憶體漲價，一些 eMMC、DDR 原本占成本 10%左右，現在在部分設備成本佔比來到 50%，也導致毛利率被稀釋。

表一：中磊 2Q26 財報

百萬元	2Q26(調整後)	2Q26(調整前)	差異
營業收入	20,614	18,695	10.3%
營業毛利	2,536	2,541	-0.2%
營業利益	678	676	0.2%
稅前淨利	607	676	-10.3%
稅後淨利	473	541	-12.6%
每股盈餘(元)	1.58	1.81	-12.6%
Margin(%)			
營業毛利率	12.3	13.6	-1.3ppts
營業利益率	3.3	3.6	-0.3ppts
稅後淨利率	2.3	2.9	-0.6ppts

資料來源：永豐投顧研究部預估及整理，Aug. 2026

3Q26 營收維持續增的看法：中磊先前展望已提到 3Q26 營收將繼續季增，但毛利率受成本增加影響預計增幅相對有限，研究部考量 2Q26 財報毛利率不如預期，短期記憶體缺料漲價也無解，故下調公司毛利率預估，整體預估 3Q26 營收為 210.00 億元(+1.9%QoQ，+42.4%YoY)，毛利率 12.4%，營業利益率 3.5%，稅後淨利 5.18 億元(+9.4%QoQ，+74.7%YoY)，稅後 EPS 1.73 元。

表二：中磊 3Q26 獲利預估調整

百萬元	3Q26(調整後)	3Q26(調整前)	差異
營業收入	21,000	19,560	7.4%
營業毛利	2,609	2,706	-3.6%
營業利益	734	798	-8.0%
稅前淨利	664	798	-16.8%
稅後淨利	518	638	-18.9%
每股盈餘(元)	1.73	2.13	-18.9%
Margin(%)			
營業毛利率	12.4	13.8	-1.4ppts
營業利益率	3.5	4.1	-0.6ppts
稅後淨利率	2.5	3.3	-0.8ppts

資料來源：永豐投顧研究部預估及整理，Aug. 2026

仍面臨記憶體缺料挑戰：公司表示記憶體缺料到 2027 年可能更嚴重，為了維持客戶長期關係也無法硬調漲產品價格，故研究部認為毛利率短期內仍會承壓，高毛利率產品 DAA 遞延到 2027 年才明顯放量，故 2027 年毛利率較有改善空間，整體

預估 2026 年營收為 800.19 億元(+48.2%YoY)，毛利率 12.7%，營業利益率 3.5%，稅後淨利 19.33 億元(+60.7%YoY)，稅後 EPS 6.45 元，2027 年營收為 828.49 億元(+3.5%YoY)，毛利率 13.8%，營業利益率 4.5%，稅後淨利 26.84 億元(+38.9%YoY)，稅後 EPS 8.95 元，公司明年獲利波動性仍較高，維持買進建議，目標價調整為 107 元(12X 2027 EPS)。

表三：中磊 2026 年獲利預估調整

百萬元	2026(調整後)	2026(調整前)	差異
營業收入	80,019	74,983	6.7%
營業毛利	10,176	10,350	-1.7%
營業利益	2,793	2,859	-2.3%
稅前淨利	2,475	2,751	-10.0%
稅後淨利	1,933	2,196	-12.0%
每股盈餘(元)	6.45	7.33	-12.0%
Margin(%)			
營業毛利率	12.7	13.8	-1.1ppts
營業利益率	3.5	3.8	-0.3ppts
稅後淨利率	2.4	2.9	-0.5ppts

資料來源：永豐投顧研究部預估及整理，Aug. 2026

附表一：當年度損益表

單位：百萬元	26Q1	26Q2	26Q3F	26Q4F	2026F
營業收入	16,646	20,616	21,000	21,760	80,019
營業毛利	2,275	2,536	2,609	2,757	10,176
營業利益	490	678	734	891	2,793
稅前淨利	383	607	664	821	2,475
稅後純益	302	473	518	641	1,933
稅後 EPS (元)	0.99	1.58	1.73	2.14	6.45
營收 QoQ 成長率	6.14	23.85	1.86	3.62	--
營收 YoY 成長率	46.61	68.78	42.40	38.76	48.19
毛利率	13.66	12.30	12.42	12.67	12.72
營益率	2.94	3.29	3.50	4.09	3.49
稅後純益率	1.82	2.30	2.47	2.95	2.42

資料來源：CMoney；永豐投顧研究部整理，Aug. 2026

附表二：五個年度損益表

單位：百萬元	2023	2024	2025	2026F	2027F
營業收入	62,584	56,789	53,999	80,019	82,849
%變動率	-3.08	-9.26	-4.91	48.19	3.54
營業毛利	10,262	10,076	8,475	10,176	11,463
毛利率 (%)	16.40	17.74	15.69	12.72	13.84
營業淨利	3,114	2,934	1,605	2,793	3,721
稅前淨利	2,988	2,823	1,506	2,475	3,441
%變動率	29.39	-5.52	-46.67	64.34	39.03
稅後純益	2,386	2,271	1,203	1,933	2,684
%變動率	24.32	-4.83	-47.04	60.68	38.85
稅後 EPS * (元)	9.17	7.74	4.04	6.45	8.95
市調 EPS * (元)	7.64	7.54	5.41	6.42	--
PER (×)	9.93	11.77	22.55	14.12	10.17
PBR (×)	1.92	1.67	1.74	1.58	1.36
每股淨值 * (元)	47.38	54.43	52.43	57.79	66.75
每股股利 (元)	5.00	4.60	2.50	--	--
殖利率 (%)	4.12	4.03	3.24	--	--

* 以目前股本計算

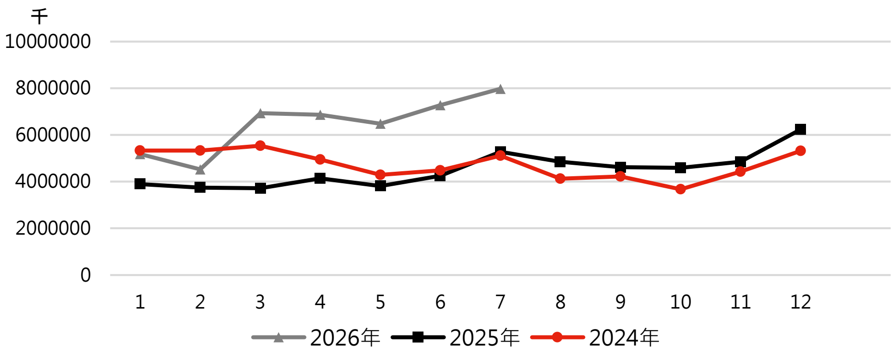
資料來源：CMoney；永豐投顧研究部整理，Aug. 2026

營運基本資料

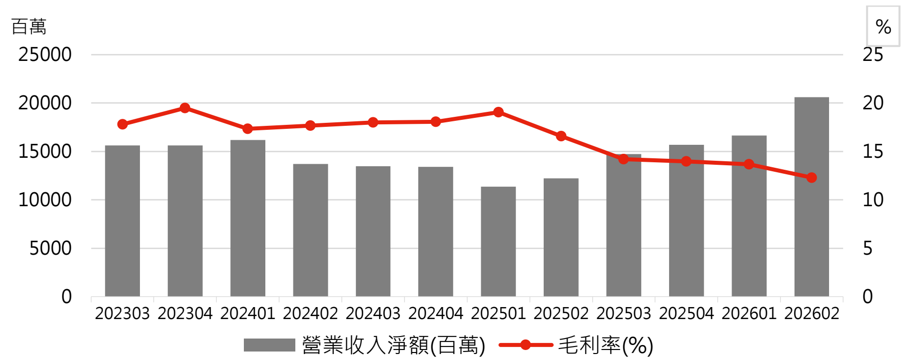
同業比較

代號	公司	投資建議	目前股價	市值(億)	稅後 EPS		PE		PB	
					2025	2026	2025	2026	2025	2026

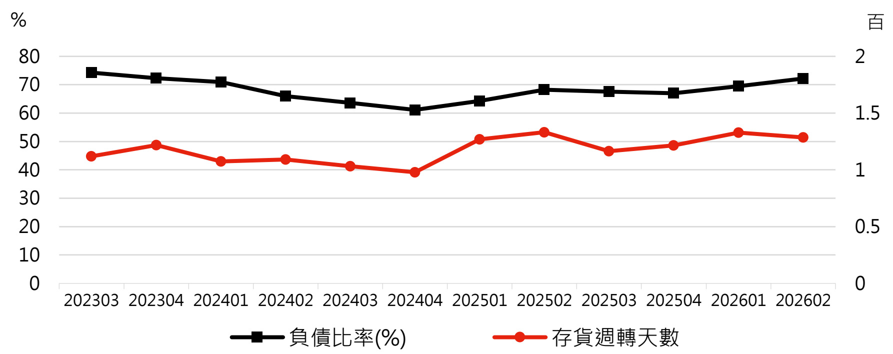
近三年單月營收狀況



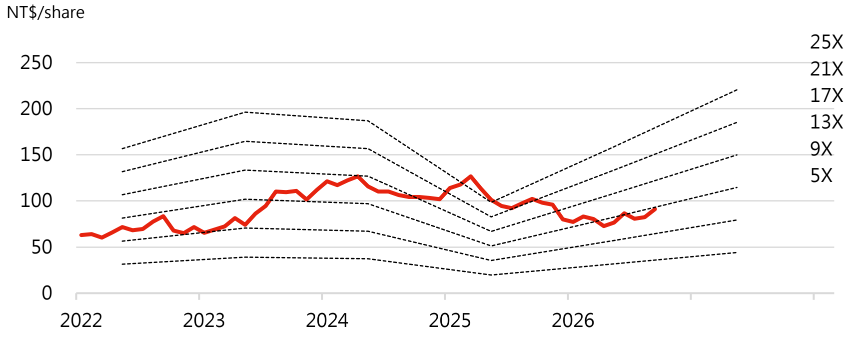
近三年單季營收 VS 毛利率趨勢圖



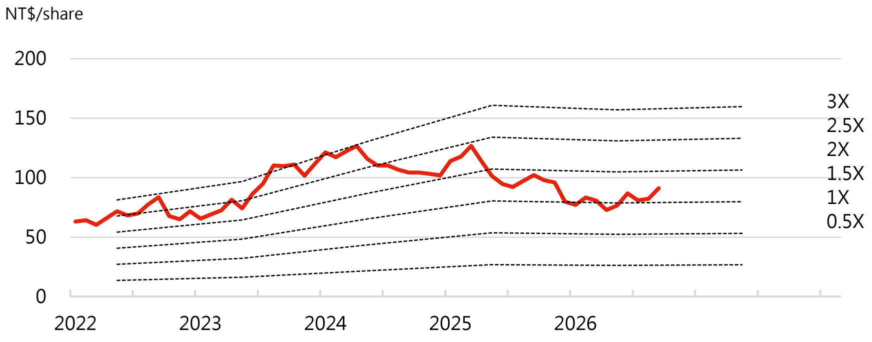
負債比率 VS 存貨周轉天數



歷史 PE 圖


NT$/share
250
200
150
100
50
0
2022
2023
2024
2025
2026
25X
21X
17X
13X
9X
5X

歷史 PB 圖


NT$/share
200
150
100
50
0
2022
2023
2024
2025
2026
3X
2.5X
2X
1.5X
1X
0.5X

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上海	永豐金證券(亞洲)有限公司上海代表處 中國上海市浦東新區世紀大道 1528 號陸家嘴基金大廈 1903A-2 室 電話：(86-21) 6228-8220	

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N：Neutral 中立：未來 6 個月該股票表現將與大盤一致

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國泰期貨 國泰證券子公司

產業更新-散熱產業

微通道升級，雙面水冷開啟新架構

What's New – 微通道走向精準解熱，水冷板性能持續升級

隨 AI GPU 與 ASIC 晶片功耗及熱流密度持續提升，水冷板內部流道設計亦由過去單純追求通道微縮，逐步轉向依據晶片實際熱源分布進行最佳化。由於多晶片、HBM 與異質整合架構使封裝內不同區域之功率密度差異擴大，若水冷板仍採相對均勻之流道配置，部分冷卻能力可能分布於低熱區域，限制局部熱點之解熱效率。新一代微通道因此進一步透過流道排列、密度與冷卻能力配置進行熱源匹配，使有限流量更有效集中於高熱通量區域。緯穎目前公開之高精度微通道可依晶片實際熱分布進行客製化設計，並對應超過 350W/cm²之高熱通量，顯示水冷板競爭重點正由傳統金屬加工與流道微縮，進一步延伸至精密流道設計與熱管理能力。

Trends/Outlook – 垂直供電帶動雙面水冷，液冷價值再提升

隨 AI 晶片功耗持續提升，核心電壓仍維持約 1V 等級後，使高功率下所需供電電流快速攀升，目前高階 AI 加速器電流已超過 1,000A，供電路徑之 I²R 導通損耗與散熱問題更加顯著。次世代供電架構因此進一步朝垂直供電(VPD)發展，透過將電源轉換元件配置於 AI 晶片下方，縮短最後一段低電壓、高電流之傳輸路徑；惟高功率供電元件集中於晶片下側後，亦形成新的散熱需求，使系統散熱由過去以晶片上方為主，進一步向上下兩側延伸。緯穎雙面液冷方案已由 2025 年逾 4kW 熱負載進一步提升至 2026 年可支援最高 6kW 功耗 AI ASIC 之散熱需求，研究部認為雙面水冷除增加單機水冷板使用量外，亦將同步提高產品設計複雜度與單機液冷價值。

Investment Summary

1. AI 晶片熱流密度提高與熱源分布複雜化，使微通道設計由單純追求流道微縮，進一步轉向依據晶片熱源進行客製化解熱。隨流道精度、熱模擬及高熱通量處理能力要求提升，高階水冷板之設計與製程門檻同步上升，有望推升產品單位價值。

2. 供垂直供電使 AI 晶片下方新增供電元件與散熱需求，帶動水冷架構由傳統單側配置進一步朝雙面液冷發展。相較單面水冷，雙面架構除增加單一 AI 加速器之水冷板使用量，上下兩側亦需分別對應運算晶片與供電元件之不同熱源，使產品規格與設計複雜度同步提升。若後續高功率 AI 平台逐步採用相關架構，相關受惠廠商包括具備水冷板設計、製造及系統液冷整合能力之奇鋐(3017 TT)、雙鴻(3324 TT)。

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		2025	2026E	2027E	2025	2026E	2027E	2025	2026E	2027E			
奇鋐	3017	48.92	93.98	138.1	135%	92%	47%	56.4	29.4	20.0	3,310	2,760	買進
雙鴻	3324	28.26	58.82	71.13	36%	110%	19%	37.0	17.8	14.7	1,280	1,045	買進
健策	3653	36.43	64.23	143.16	54%	76%	123%	111.6	63.3	28.4	5,160	4,065	買進
緯穎	6669	273.57	369.36	552.22	124%	35%	50%	21.7	16.1	10.7	7,500	5,930	買進
Nvidia	NVDA	4.9	9.0	12.9	67%	84%	43%	44.4	24.2	16.9	N/A	217.5	未評等

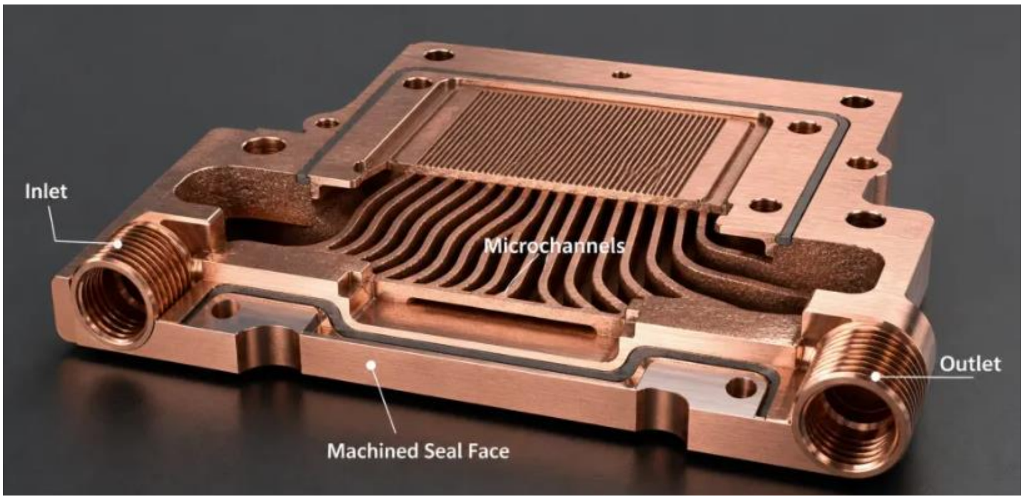
國泰期貨 國泰證券子公司

微通道設計升級，水冷走向精準解熱

隨 AI GPU 與 ASIC 晶片功耗持續提升，水冷板已成為高功率 AI 伺服器主要解熱元件之一，而內部流道設計亦持續朝更高熱交換效率發展。過去微通道(Microchannel)的技術升級主要著重於縮小流道尺寸，透過增加冷卻液與金屬之有效接觸面積，提高單位面積之熱交換能力，使水冷板能在有限體積下處理更高熱通量。相較傳統較大型流道，微通道具備較高之換熱表面積，因此成為高階水冷板持續提升散熱能力的重要發展方向。

然而，隨 AI 晶片進一步採用多晶片、HBM 與異質整合架構，封裝內部不同區域之功率密度差異逐漸擴大，使水冷板面對的散熱問題亦由過去整體熱量增加，進一步轉向局部熱點管理。若水冷板各區域仍採相同流道結構，冷卻能力將平均分配於整體表面，部分流量可能流經低熱區域，而高功耗運算區域仍可能形成較高溫升。因此，新一代微通道設計逐步由單純追求「流道微縮」，進一步朝依據晶片實際熱分布進行流道最佳化發展。

圖一：Breakdown of Microchannel Cold Plate



資料來源：Copper3DP，國泰證期研究部整理

在此設計下，水冷板可依不同區域之熱源分布調整流道幾何、密度與冷卻能力，使較高散熱能力集中於主要高熱區域，改善局部熱點並提高整體冷卻效率。緯穎目前公開之先進散熱技術即採此一方向，其高精度微通道可依晶片實際熱分布進行客製化優化，並可對應超過 350W/cm²之高熱通量。相較過去主要透過增加整體流量或單純縮小流道提升散熱，新一代微通道更強調水冷板與晶片熱源之匹配，顯示產品競爭重點正由傳統金屬加工與規格微縮，逐步延伸至流道設計與熱管理能力。此外，隨單片水冷板散熱能力持續提高，微通道所扮演的角色亦開始由單純追求流道微縮，逐步轉向與晶片熱源共同設計。除流道寬度外，流道排列、熱源位置與冷卻能力配置皆成為影響散熱效率的重要因素，使水冷板設計由過去相對標準化之金屬加工產品，逐步朝高精度與高度客製化方向發展。

整體而言，水冷板技術已由過去追求流道微縮，逐步轉向依照晶片熱源進行更精準之散熱設計。當單片水冷板持續透過微通道提高單位面積解熱能力後，下一階段液冷技術之發展重點亦將不再侷限於單片水冷板性能提升，而開始朝整體散熱架構改變發展。

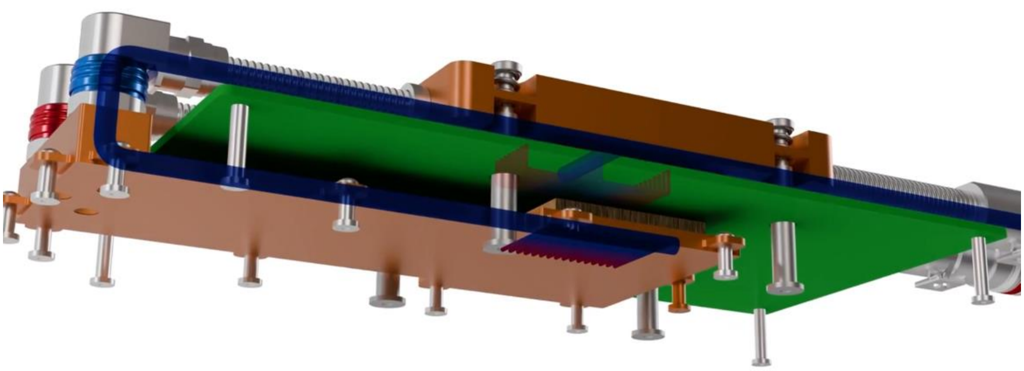
國泰期貨 國泰證券子公司

垂直供電帶動雙面水冷，液冷價值再提升

隨 AI 晶片功耗與供電需求持續提升，現行 48V 電源雖已透過多級轉換降至約 1V 等級之核心電壓，但在低電壓、高功率條件下，晶片所需供電電流快速攀升，目前高階 AI 加速器電流已超過 1,000A，使供電路徑之 I^2R 導通損耗與散熱問題更加顯著。次世代供電架構因此進一步朝垂直供電(VPD)發展，透過將電源轉換元件配置於 AI 晶片下方，縮短最後一段低電壓、高電流之傳輸路徑並降低電力損耗；然而，當高功率供電元件集中於晶片下側後，亦形成新的散熱需求，使系統散熱由過去以晶片上方為主，進一步向上下兩側延伸。

雙面水冷板(Double-Sided Cold Plate)即是因應此一熱源位置改變所發展之液冷架構。相較傳統單面水冷僅由上方水冷板處理 AI 晶片所產生之熱量，雙面液冷進一步增加下方水冷板，其中上方主要負責 AI 晶片之高熱通量，下方則對應背面垂直供電元件，使運算與供電所產生之熱量可分別由上下兩側帶離系統。換言之，雙面液冷的核心並非單純將既有水冷板增加一片，而是隨系統熱源由單側轉為雙側後，液冷配置亦同步由單一路徑延伸至上下兩條散熱路徑。緯穎目前亦將此技術定位為同步冷卻正面高功耗 AI 晶片與背面垂直供電組件之散熱方案。

圖二：Double-sided Cold Plate



資料來源：Wiwynn，國泰證期研究部整理

從產品演進觀察，緯穎於 2025 年 OCP Global Summit 展示之雙面液冷板已可同時處理 AI 加速器與垂直供電 IC，散熱能力最高達 4kW，並結合自有微通道設計與電化學 3D 列印技術，以提升高功率晶片之散熱效能。至 COMPUTEX 2026，緯穎進一步將雙面液冷方案提升至最高 6kW AI ASIC 等級，並整合空腔電路板、垂直供電與液態金屬導熱介面材料，在有限系統空間內縮短供電路徑，同時提升整體散熱效率，顯示雙面液冷正朝更高功率 AI 系統持續發展。

對散熱供應鏈而言，雙面液冷帶來之價值提升可由使用量增加與規格升級兩個方向觀察。首先，單一 AI 加速器由傳統單側水冷延伸至上下雙側，使水冷板使用量增加；其次，上方 AI 晶片與下方供電元件之熱量與熱分布並不相同，使兩組水冷板需分別針對不同熱源進行流道與結構設計，產品複雜度亦高於傳統單面架構。此外，從 4kW 方案已結合微通道，到 6kW 方案進一步加入液態金屬導熱材料，可看出雙面液冷並非僅增加水冷板數量，而是伴隨水冷板本體、導熱材料與散熱能力同步升級。

國泰期貨 國泰證券子公司

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投資評等定義

英文評等	中文評等	潛在報酬率
STRONG BUY	強力買進	> +30%
BUY	買進	介於+15% ~ +30%
NEUTRAL	中立	介於-15% ~ +15%
SELL	賣出	< -15%

註:潛在報酬率=(6 個月內目標價/本次報告評等最近一天收盤價 – 1)* 100

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國泰期貨 國泰證券子公司

緯穎 6669 TT (電子–電腦及週邊設備)

AI 雙引擎 27 年獲利創高

投資與評價

1. Trainium3 出貨放量下，估 3Q26 EPS 創高達 104.9 元，4Q26 除 AWS ASIC 季增外，預期一般伺服器缺料將緩解，2H26 營收、獲利將逐季創高，今年稅後獲利 YoY+35%，EPS 369.4 元。
2. 2H26 AI 營收比重將突破五成，2027 年在 AWS 水冷比重攀升下，估營收年增四成以上，GPU 佔比則拉升至三成以上。
3. 除 AI 持續成長外，27 年一般伺服器受惠 Agentic AI 帶動，維持兩到三成成長，稅後獲利估 YoY+50%，EPS 552 元，獲利續創高，維持買進評等，目標價 7,500 元。

重點更新

2Q26 毛利率優預期，3Q26 營收在 ASIC 完整貢獻下，估季增雙位數

2Q26 營收 2,781.53 億元，QoQ+1%、YoY+26%，除一般伺服器需求強勁外，加上 Trainium3 自 6 月開始貢獻；毛利率 9.26%，因一般伺服器占比達 65~70%，且部分專案改為 Consign 及 NRE 貢獻；營益率 7.27%，稅後獲利 149.69 億元，YoY+23.5%，EPS 80.1 元。展望第三季，Trainium3 逐步放量，然一般伺服器因缺料放緩，預期 3Q26 AI 比重攀升至 50~55%，毛利率估 8.53%，稅後獲利 YoY+27%，EPS 104.9 元，再創新高。

4Q26 營收在缺料緩解下估續創新高，且 GPU 貢獻擴增

4Q26 除 AWS ASIC 季增外，預期 META AMD Helios 及 Oracle Vera Rubin 同步啟動，一般伺服器缺料緩解下，估 4Q26 營收增至 4,308.7 億元，QoQ+16%、YoY+47%；毛利率下滑至 8.1%，主因 AI GPU 占比提升，獲利 YoY+47%，EPS 108 元。綜上，微幅上修今年營收至 1.36 兆元，YoY+8.4%，Consign 比重提升，估 AI 比重攀升至 55%，毛利率 8.4%，稅後獲利 YoY+42.6%，EPS 369.4 元。

27 年營運在 ASIC、GPU 共同帶動下，獲利再創高峰

董事會通過 150 億元台幣可轉債，為擴張未來於美、台、墨等地資本支出及備料資金，預計可轉債對於股權稀釋僅 1.6%以內，影響有限。展望 2027 年，研究部上修營收至 2.37 兆元，YoY+74.5%，主要在一般伺服器受惠 Agentic AI 帶動，維持兩到三成成長；AI 部分，AWS 在水冷比重攀升下，估營收年增四成以上；此外，AMD MI455 市占高檔，將供應數個客戶，使 GPU 佔比拉升至三成。綜上，估 27 年毛利率下滑至 7.1%，稅後獲利 YoY+49.5%，EPS 552.2 元。

買進 – 維持買進

目標價：7,500 元 +26.5%
收盤價：5,930 元

報告日期	評等	目標價
2026/08/12	買進	7,500 元
2026/03/02	買進	5,400 元
2025/12/26	買進	5,400 元

	國泰	市場	差異
目標價	7,500	--	--
2026 EPS	369.36	--	--
2027 EPS	552.22	--	--
現在 P/E	10.74	--	--

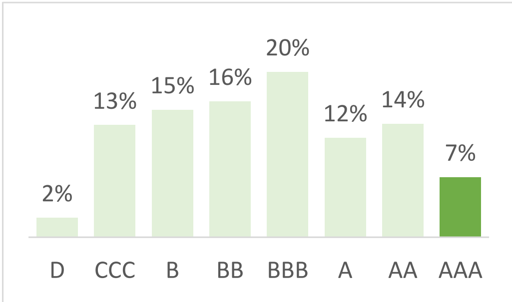
公司資訊

市值(百萬元)	1,101,790
自由流通股數比例(free float ; %)	43.3
20 日平均成交量(百萬元)	11,140
每股淨值(元,2027E)	1,399.91
股價淨值比(倍)	4.24
現金股利率(%)	3.30
股東權益報酬率(%,2027E)	39.45
外資持股比率(%)	27.91

緯穎 ESG 評等

ESG 評等	社會(S)	經濟(E)	環境(E)	揭露(D)
AAA	73%	76%	72%	66%

電子製造業 ESG 評等分配圖



資料來源：臺灣指數公司；國泰證期研究部整理

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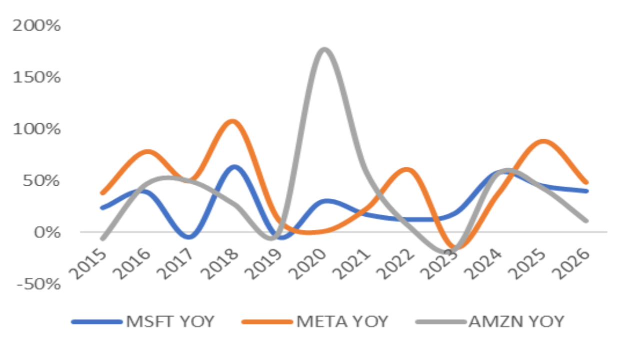
項目(百萬元)	1Q'26	2Q'26	3Q'26(E)	4Q'26(E)	2025	2026(E)	2027(E)
營業收入	276,508	278,153	370,157	430,867	950,663	1,355,685	2,366,245
稅前盈餘	17,934	18,974	25,134	26,401	66,052	88,443	130,615
稅後盈餘(母公司業主)	14,114	14,969	19,605	20,329	51,118	69,017	103,186
營收成長率(%)(QoQ/YoY)	-5.45	0.59	33.08	16.40	163.68	42.60	74.54
毛利率(%)	7.55	9.26	8.53	8.10	8.25	8.34	7.11
營益率(%)	6.31	7.27	7.00	6.49	6.72	6.75	5.95
稅後盈餘成長率(%)(QoQ/YoY)	2.34	6.06	30.97	3.7	124.44	35.01	49.51
每股盈餘 EPS(元)	75.54	80.11	104.92	108.79	273.57	369.36	552.22

EPS 以調整後股數 186.86 百萬股計算

公司簡介

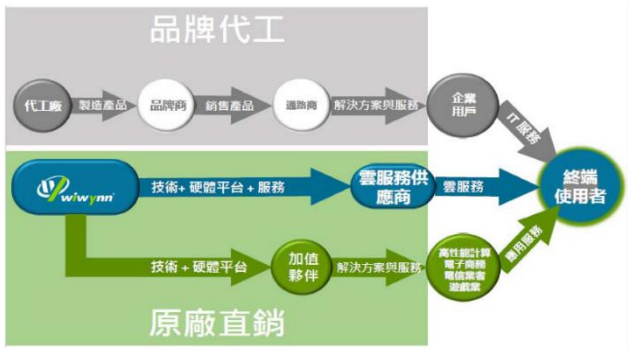
緯穎(6669 TT)為緯創(3231 TT)子公司，2019/3 上市，主要生產直銷方式提供大型雲端資料中心伺服器、企業和雲端運算解決方案，包括大規模運算和儲存能力、高速資料傳輸及軟硬體整合。前三大客戶 AWS、META 及 MSFT 營收占比分別 49%、30%、18%，其他佔比 3%。地區營收占比，美洲 79%、歐洲 12%、亞洲 8%、其他 1%。

圖 1：緯穎客戶資本支出 YoY



資料來源：Bloomberg、國泰證期研究部整理

圖 2：緯穎直接出貨 CSP 業者，在 ODM-direct 市佔率達三成



資料來源：緯穎、國泰證期研究部整理

ESG 政策

- 緯穎在國泰 ESG 評等為 AAA，較去年提升。
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- 員工溝通與福利方面，公司優點為揭露優於法規的員工休假福利；訂定具體之職業安全衛生政策且明確揭露實際成果；設有職業安全衛生委員會負責工安事項；針對工傷事件，揭露統計數據；設定減少工安事件的目標。公司可加強處為未舉辦勞資會議或未說明勞資會議召開頻率。
- 在工會爭議與職業災害方面，未有重大職業災害情事。
- 人力資本發展方面，公司優點為制定員工績效評估辦法且定期評比；使用資料分析之方法制定人力資源政策；教育訓練方面，針對高階主管提出相關計畫；提供員工能力發展培育計畫；揭露當年度員工訓練的投入時間或成本；透過相關指標衡量員工訓練成果。
- 人才留任方面，公司優點為員工福利包含員工認股權、持股信託等股權分享計畫；進行員工滿意度調查；揭露新進員工人數或其占總員工人數之比例，並依照不同指標(如性別、年齡等)區分；揭露員工離職人數、離職率或流動率，並依照不同指標(如性別、年齡等)區分；公司可加強處為有薪資費用與經營績效不相當之情事。
- 多元組成與包容性方面，公司優點為針對員工組成之多元性擬定策略與目標，並揭露員工組成結構；揭露各階級男女薪酬比；揭露女性各階主管人數及佔比；制訂少數族群雇用計劃並揭露實際雇用情形。
- 身心障礙員工雇用方面，當年度足額雇用身心障礙員工或針對未足額情形提出改善措施。

- 供應鏈社會面控管方面，公司優點為於遴選新供應商時考量供應鏈社會面表現；詳細說明人權政策包含項目；依循《RBA 責任商業聯盟準則》保障供應商或承攬商之人權；建置供應商負責任礦物採購管理流程或要求供應商簽屬相關衝突礦產聲明書。
- 客戶關係管理方面，公司優點為揭露客戶滿意度數據。
- 法規遵循方面，評估期間並未違反消費者權益相關爭議或法律訴訟，或已針對違反情形進行說明。
- 產品安全方面，公司優點為制定產品製程持續計畫，確保生產計劃不中斷；取得品質相關認證。公司可加強處為未揭露與產品品質/服務品質相關之教育訓練時數或費用。

  股東權益方面，董事長親自出席股東常會；股東會結束後公開揭露逐項議案之詳細表決資訊。

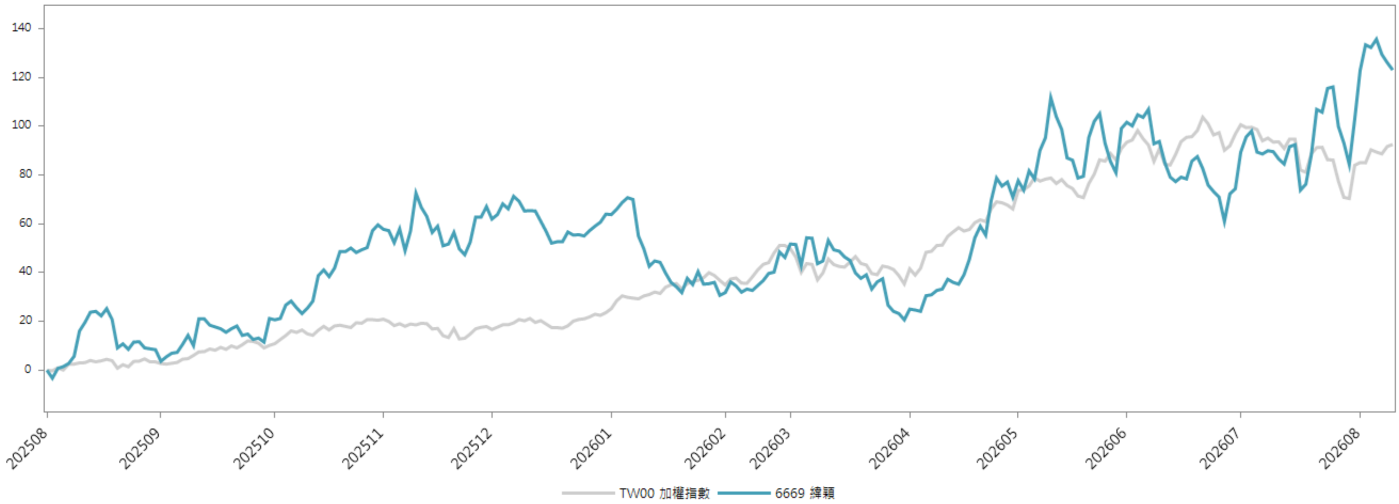
  法規遵循方面，公司於題項評估期間未有不合理或受主管機關處分之情事。(例如：訴訟、未分派股利、未說明受理小股東提案期間、持股質押比逾 50%、庫藏股買回或私募股票理由不合理之情形)。"

- 獨董比例及任期上限：公司設有 9 位董事，4 位為獨立董事，任期為三年一任。

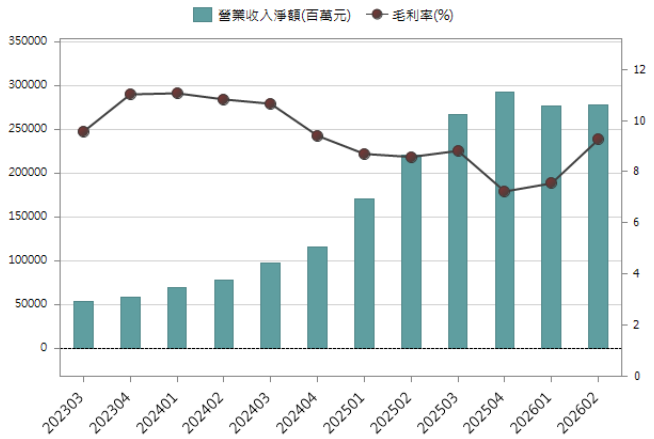
國泰期貨 國泰證券子公司

緯穎 6669 TT

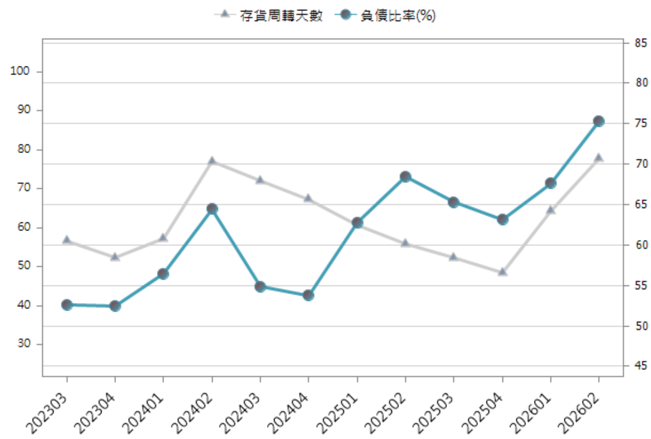
股價相對大盤走勢圖



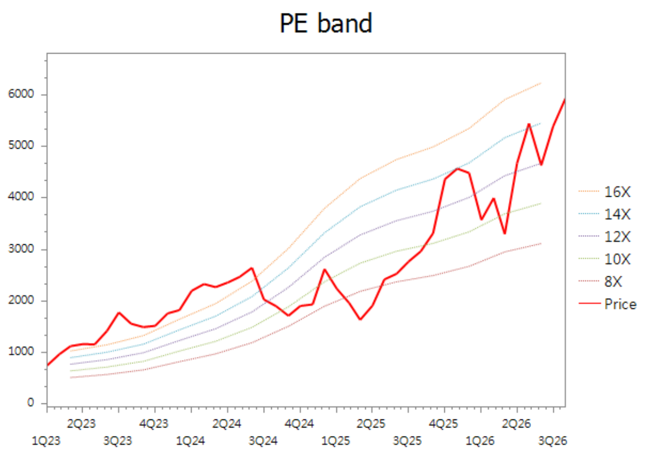
近三年單季營收與毛利率走勢圖



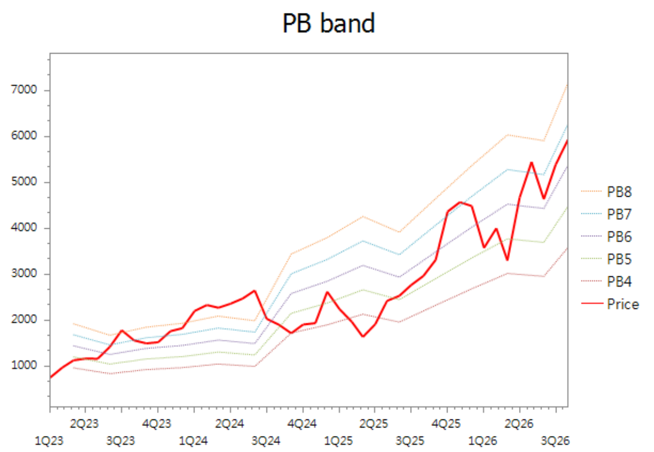
近三年負債比率與存貨週轉天數



未來 12 個月 P/E(本益比)區間圖



未來 12 個月 P/B(股價淨值比)區間圖



緯穎 6669 TT

損益表

至 12 月 31 日(百萬元)	2023	2024	2025	2026E	2027E
營業收入	241,901	360,541	950,663	1,355,685	2,366,245
營業成本	219,244	323,141	872,209	1,242,566	2,198,055
營業毛利	22,657	37,400	78,454	113,119	168,190
營業費用	6,787	9,301	14,537	21,578	27,401
營業利益	15,871	28,099	63,918	91,541	140,789
營業外收入與支出	-427	731	2,135	-3,097	-10,174
其他收入	0	0	0	107	226
其他利益與損失	135	822	4,300	3,462	1,200
財務成本	953	1,242	3,225	7,606	11,600
權益法認列之投資損益	-64	-68	-52	-172	0
其他項目	456	1,219	1,112	1,112	0
稅前純益	15,444	28,830	66,052	88,443	130,615
所得稅費用	3,400	6,054	14,934	19,426	27,429
稅後純益	12,044	22,776	51,118	69,017	103,186
母公司業主- 稅後純益	12,044	22,776	51,118	69,017	103,186
非控制權益- 稅後純益	0	0	0	0	0
稅前息前折舊攤銷前淨利	16,873	30,103	66,608	96,407	147,793
每股盈餘 (元)	64.45	121.89	273.57	369.36	552.22

資料來源:公司資料及國泰預估

資產負債表

12 月 31 日(百萬元)	2023	2024	2025	2026E	2027E
資產總額	88,845	190,679	338,189	499,414	729,915
流動資產	79,195	173,683	306,977	450,100	666,725
現金及約當現金	37,495	48,329	89,934	2,348	-64,456
短期投資	0	0	0	1	1
存貨	30,179	86,211	136,257	198,861	381,005
應收帳款及票據	10,363	37,649	76,888	113,284	214,569
其他流動資產	1,158	1,494	3,897	135,607	135,607
非流動資產	9,650	16,996	31,212	49,313	63,189
長期投資	159	709	1,377	3,715	6,076
固定資產	5,626	9,163	20,848	33,357	44,872
其他非流動資產	3,865	7,124	8,987	12,241	12,241
負債總額	46,611	102,476	213,537	332,017	468,332
流動負債	36,494	76,364	179,654	302,685	442,662
應付帳款及票據	24,284	58,776	89,698	130,911	250,816
短期借款	2,884	6,125	72,197	156,680	176,753
其他流動負債	9,326	11,464	17,758	15,093	15,093
長期負債	10,117	26,112	33,883	29,333	25,670
長期借款	8,443	22,004	27,985	23,083	19,420
其他非流動負債	1,674	4,108	5,898	6,250	6,250
股東權益總額	42,234	88,203	124,653	167,396	261,582
股本	1,748	1,858	1,858	1,869	1,869
資本公積	8,840	37,007	37,007	45,729	45,729
保留盈餘	30,336	45,746	83,091	111,644	205,830
非控制權益	0	0	0	0	0
其他權益	1,310	3,592	2,697	8,155	8,155

資料來源:公司資料及國泰預估

國泰期貨 國泰證券子公司

緯穎 6669 TT

現金流量表

至 12 月 31 日(百萬元)	2023	2024	2025	2026E	2027E
營業活動之現金流量	23,060	-19,993	-624	-144,839	-53,333
稅前純益	15,444	28,830	66,052	88,443	130,615
折舊及攤提	1,002	2,005	2,690	4,866	7,004
本期營運資金變動	14,611	-48,336	-73,336	-127,993	-163,523
其他營業活動現金流量	-7,996	-2,492	3,969	-110,155	-27,429
投資活動之現金流量	-4,696	-5,655	-13,766	-20,144	-20,880
資本支出淨額	-3,671	-3,642	-11,568	-15,432	-18,518
本期長期投資變動	40	-550	-668	-2,338	-2,361
其他投資活動現金流量	-1,064	-1,462	-1,530	-2,374	0
籌資活動之現金流量	-7,115	36,316	56,188	78,275	7,409
現金增資	0	27,068	0	0	0
本期借款變動	1,887	16,802	72,053	25,084	16,409
發放現金股利	-8,742	-7,343	-13,752	-26,834	-36,620
其他籌資活動現金流量	-260	-211	-2,113	49,239	0
匯率調整數	13	166	-192	-879	-1,209
自由現金流量	19,390	-23,636	-12,193	-160,271	-71,852
本期產生現金流量	11,263	10,834	41,605	-87,586	-68,012

資料來源:公司資料及國泰預估

資產負債表主要財務報表分析

至 12 月 31 日(百萬元)	2023	2024	2025	2026E	2027E
年成長率(%)					
營業收入	-17.4	49.0	163.7	42.6	74.5
營業利益	-11.01	77.05	127.47	43.22	53.8
稅前息前折舊攤銷前淨利	-9.27	78.42	121.26	44.74	53.3
稅後純益	-15.03	89.11	124.44	35.01	49.51
每股盈餘	-15.03	89.11	124.44	35.01	49.51
獲利能力分析(%)					
營業毛利率	9.4	10.4	8.3	8.3	7.1
營業利益率	6.6	7.8	6.7	6.8	5.9
稅前息前折舊攤銷前淨利率	7.0	8.3	7.0	7.1	6.2
稅後純益率	5.0	6.3	5.4	5.1	4.4
資產報酬率	13.6	16.3	19.3	16.5	14.1
股東權益報酬率	29.7	34.9	48.0	47.3	39.4
穩定 / 償債能力分析					
負債/資產（％）	52.5	53.7	63.1	66.5	64.2
淨負債比率（％）	-62.0	-22.9	8.2	106.0	99.6
利息保障倍數（Ｘ）	17.2	24.2	21.5	12.6	12.3
利息及短期債保障倍數	12.3	11.4	1.0	0.6	0.8
現金流量 / 利息保障倍數(X)	24.2	-16.1	-0.2	-19.0	-4.6
現金流量 / 利息,短債保障倍數(X)	17.2	-7.6	0.0	-0.9	-0.3
流動比率(%)	217.0	227.4	170.9	148.7	150.6
速動比率(%)	134.3	114.5	95.0	38.2	33.9
淨負債(百萬元)	-26,168	-20,200	10,248	177,415	260,628
每股資料分析(元)					
每股盈餘	64.5	121.9	273.6	369.4	552.2
每股營業現金流量	123.4	-107.0	-3.3	-775.1	-285.4
每股淨值	226.0	472.0	667.1	895.9	1,399.9
每股營收	1,294.6	1,929.5	5,087.7	7,255.2	12,663.4
每股稅前息前折舊攤銷前淨利	90.3	161.1	356.5	515.9	790.9
每股現金股利	42.0	74.0	144.4	196.0	298.2

資料來源:公司資料及國泰預估

緯穎 6669 TT

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國泰期貨 國泰證券子公司

緯穎 6669 TT

投資評等定義

英文評等	中文評等	潛在報酬率
STRONG BUY	強力買進	> +30%
BUY	買進	介於+15% ~ +30%
NEUTRAL	中立	介於-15% ~ +15%
SELL	賣出	< -15%

註:潛在報酬率=(6 個月內目標價/本次報告評等最近一天收盤價 – 1) * 100

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國泰金融控股公司所屬子公司暨關係企業(以下稱 “ 國泰金融集團”) 從事廣泛金融業務， 包括但不限於銀行、保險、證券經紀、自有資金投資與交易、資產管理及證券投資信託等。國泰金融集團對於本報告所涵蓋之標的公司可能有投資或其他的業務往來關係。國泰金融集團及其所屬員工， 可能會投資本報告所涵蓋之標的公司， 或以該等公司為標的的衍生性金融商品， 而其交易的方向與本報告中所提及的交易方向可能不一致。除此之外， 國泰金融集團於法令許可的範圍內，亦有可能以本報告所涵蓋之標的公司作為發行衍生性

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個股報告

中國信託證券投顧
CTBC SECURITIES INVESTMENT SERVICE

2026/08/12

維持評等

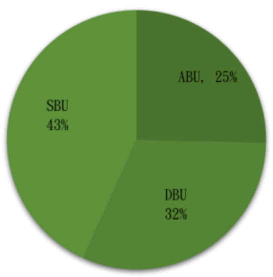
中砂 (1560 TT) 買進(Buy)

潛在漲幅	27.4%
前日收盤價	687.00 元
目標價	875.00 元
前次目標價	825.00 元
前次評等	買進

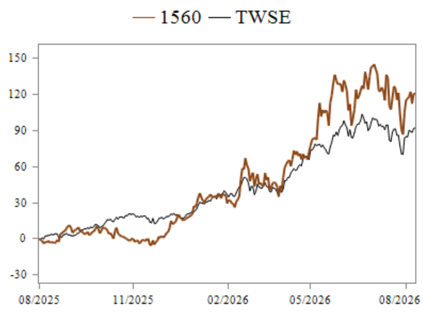
公司基本資訊

目前股本(百萬元)	1,503
市值(億元)	1,033
目前每股淨值(元)	60.60
外資持股比(%)	36.84
董監持股比(%)	14.16

營業比重(2Q26)



個股與大盤走勢(%)



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2027 年產能展望更加明確且優於預期

- **2Q26 毛利率優於預期，預估全年有望挑戰 40%**
- **預期 2027 年三大部門展望及毛利率皆持續轉佳**
- **鑽石碟產能仍遠未到潛在上限，維持買進建議**

2Q26 毛利率躍升至 40.1%：中砂 2Q26 營收 24.9 億元；毛利率雖原已預期上修，然實際開出 40.1%仍優於我們預期之 37.5%；營益率也顯著增至 24.2%，EPS 為 3.5 元，整體財報表現亮麗。各部門中，ABU 隨傳產/工具機需求谷底回升季增逾 16%；DBU 持續受益大客戶 2nm 擴產季增 9%；SBU 因 12 吋產能滿載、特殊晶圓出貨增加季增逾 4%。

三大部門毛利率預期持續走高：我們先前報告預期公司三大部門 ABU/DBU/SBU 毛利率分別為 25%/55%/35%，然考量 2Q26 高水準成績，我們現認為前述預期將可望再度上修，其中 ABU 及 SBU 由於產能維持滿載，故獲利提升來自產品組合持續轉佳，前者主要受惠鑽石加工相關(非傳產)業務占比續增；後者主要受益特殊晶圓/高階再生晶圓佔比增加。而 DBU 現亦將上修今年預期至 57%，並於 2027 年突破 60%，驅動 2026/2027 年整體毛利率達 39.7%/44.1%。

鑽石碟中長期展望明確且上限可期：公司本次給出明確鑽石碟產能指引，包含 2Q26 5.55 萬顆、3Q26 6.2 萬顆、4Q26 7 萬顆、4Q27 更達 9.5 萬顆，整體擴產幅度優於我們原先之 7.85 萬顆預期，並重申 2034 年預期擴產至 20 萬顆以上展望。我們訪查亦顯示，如考量中國 2Q27 可望開出 1 萬顆新增產能，則 4Q27 總產能將挑戰 11 萬顆，且若有必要，中國廠區亦可再規劃上限 10 萬顆產能支應，未來無論作為台灣產能 backup 或滿足其他新增客戶需求皆具助益。另在 SBU 方面，公司也將透過製程去瓶頸化，預期 2027 年再擴充產能至 43 萬片。

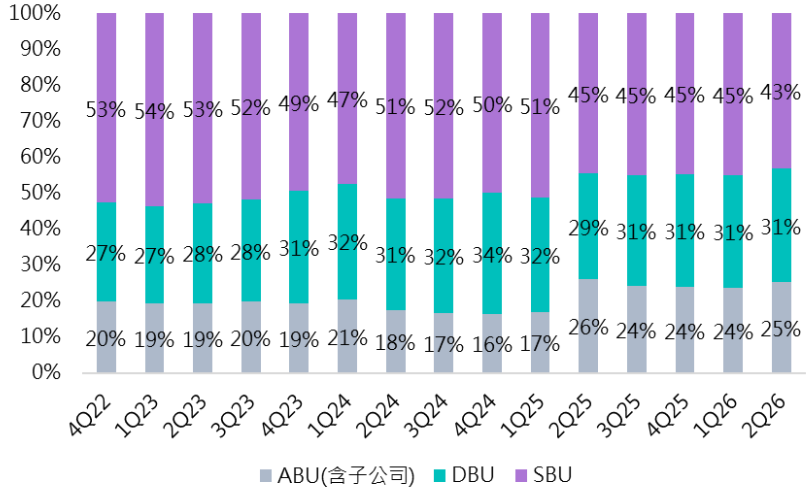
產能詳盡規劃長達 8 年，維持「買進」評等：我們上修公司 2026/2027 年 EPS 至 14.7/22.7 元反映更積極的毛利率指引、及更詳盡且優於預期的鑽石碟擴產展望。我們亦看好公司能在現今即給予投資者長達 8 年的擴產計畫，正意味客戶訂單需求綿延且強勁，故維持對其「買進」評等，並根據新 EPS 調升目標價至 875 元(2027 年 EPS*38.5 倍 PER)。

風險因子：鑽石碟產能擴充速度放緩。

(百萬元)	2022	2023	2024	2025	2026F	2027F
營業收入淨額	6,908	6,381	7,019	8,149	10,277	13,122
營業毛利淨額	2,528	1,942	2,188	2,647	4,078	5,782
營業利益	1,431	989	1,155	1,303	2,494	3,921
稅後純益	1,247	852	1,035	1,360	2,213	3,407
公告基本 EPS(元)	8.71	5.91	7.10	9.28	--	--
調整後 EPS(元)	8.68	5.88	7.09	9.23	14.73	22.67
營業收入 YoY(%)	14.60%	-7.63%	10.01%	16.10%	26.10%	27.69%
稅後純益 YoY(%)	84.37%	-31.69%	21.46%	31.42%	62.71%	53.92%
本益比	11.38	31.56	39.64	42.44	46.66	30.31
本淨比	2.47	4.38	5.76	7.12	11.28	9.65
股息(元)	4.00	4.00	3.99	4.94	8.10	12.50
殖利率(%)	3.26%	1.13%	1.10%	0.67%	1.18%	1.82%
ROE(%)	23.74%	14.29%	15.56%	17.81%	25.59%	34.33%

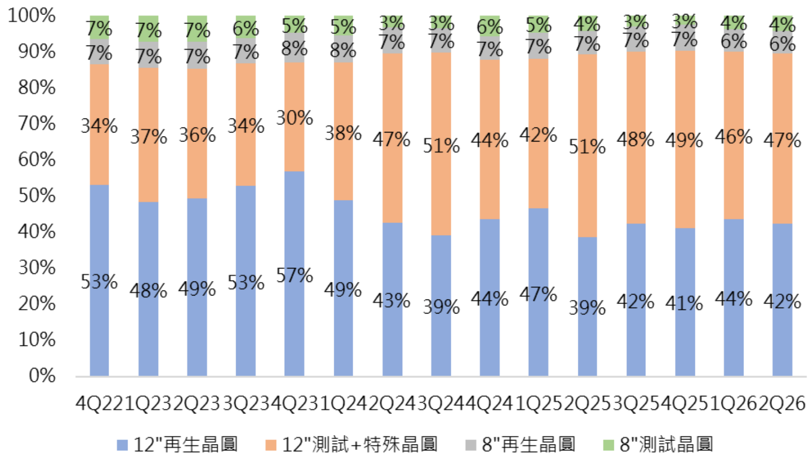
2026/08/12

圖表一：中砂各業務營收佔比



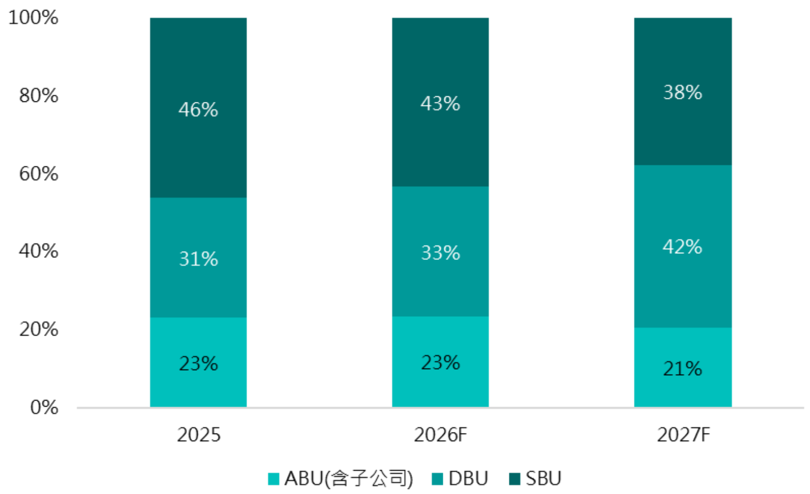
資料來源：中砂，中信投顧整理

圖表二：中砂 SBU 細項營收佔比



資料來源：中砂，中信投顧整理

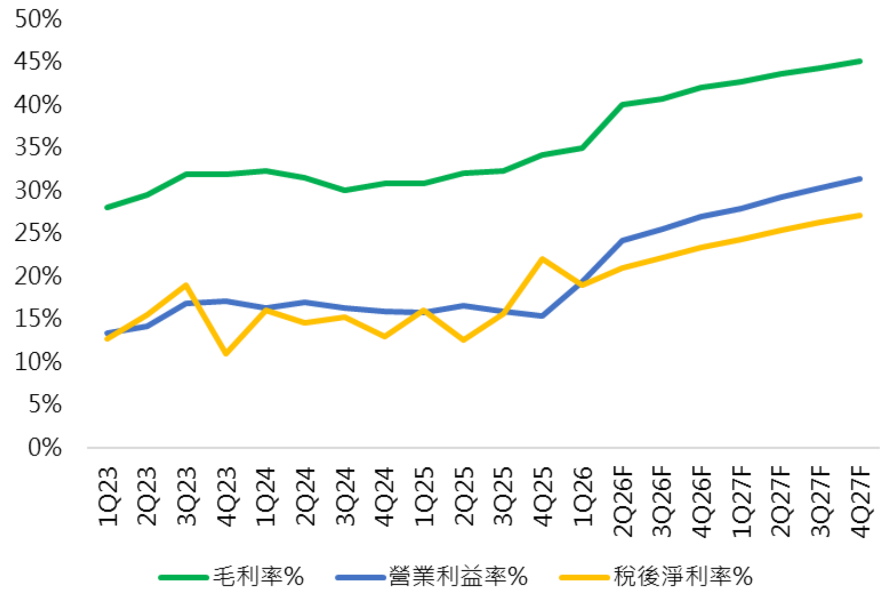
圖表三：中砂各事業部營收佔比預估



資料來源：中砂，中信投顧整理及預估

2026/08/12

圖表四：中砂三率季度表現及預估



資料來源：CMoney，中信投顧整理及預估

圖表五：季度財報與預估差異

損益表（單位：百萬元）	2Q26					3Q26(F)				
	實際數	中信預估	差異	市場共識	差異	調整後	調整前	差異	市場共識	差異
營業收入	2,493	2,493	0.0%	2,500	-0.3%	2,689	2,729	-1.5%	2,720	-1.1%
營業毛利	998	934	6.8%	933	7.0%	1,098	1,072	2.4%	1,041	5.4%
營業利益	604	558	8.2%	544	11.1%	688	695	-0.9%	631	9.0%
稅前純益	664	598	11.1%	580	14.5%	726	735	-1.2%	675	7.6%
稅後淨利	523	488	7.3%	483	8.3%	597	599	-0.4%	563	6.1%
EPS(元)	3.48	3.27	6.3%	3.23	7.8%	3.97	4.02	-1.3%	3.78	5.1%
財務比率(%/百分點)										
毛利率	40.0%	37.5%	2.6 ppts	37.3%	2.7 ppts	40.8%	39.3%	1.6 ppts	38.3%	2.5 ppts
營益率	24.2%	22.4%	1.8 ppts	21.7%	2.5 ppts	25.6%	25.5%	0.1 ppts	23.2%	2.4 ppts
稅後淨利率	21.0%	19.6%	1.4 ppts	19.3%	1.7 ppts	22.2%	22.0%	0.2 ppts	20.7%	1.5 ppts

資料來源：Bloomberg，中信投顧整理及預估

圖表六：年度財報與預估差異

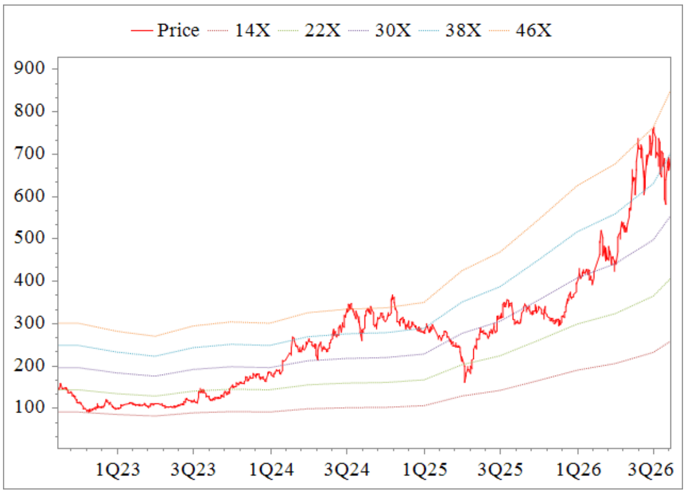
損益表（單位：百萬元）	2026(F)					2027(F)				
	調整後	調整前	差異	市場共識	差異	調整後	調整前	差異	市場共識	差異
營業收入	10,277	10,327	-0.5%	10,314	-0.4%	13,122	12,566	4.4%	12,456	5.3%
營業毛利	4,078	3,942	3.5%	3,882	5.1%	5,782	5,289	9.3%	5,026	15.0%
營業利益	2,494	2,451	1.8%	2,296	8.6%	3,921	3,681	6.5%	3,301	18.8%
稅前純益	2,722	2,658	2.4%	2,545	6.9%	4,158	3,901	6.6%	3,553	17.0%
稅後淨利	2,213	2,170	2.0%	2,069	7.0%	3,407	3,194	6.7%	2,895	17.7%
EPS(元)	14.73	14.57	1.1%	13.90	6.0%	22.67	21.45	5.7%	18.74	21.0%
財務比率(%/百分點)										
毛利率	39.7%	38.2%	1.5 ppts	37.6%	2.0 ppts	44.1%	42.1%	2.0 ppts	40.4%	3.7 ppts
營益率	24.3%	23.7%	0.5 ppts	22.3%	2.0 ppts	29.9%	29.3%	0.6 ppts	26.5%	3.4 ppts
稅後淨利率	21.5%	21.0%	0.5 ppts	20.1%	1.5 ppts	26.0%	25.4%	0.5 ppts	23.2%	2.7 ppts

資料來源：Bloomberg，中信投顧整理及預估

2026/08/12

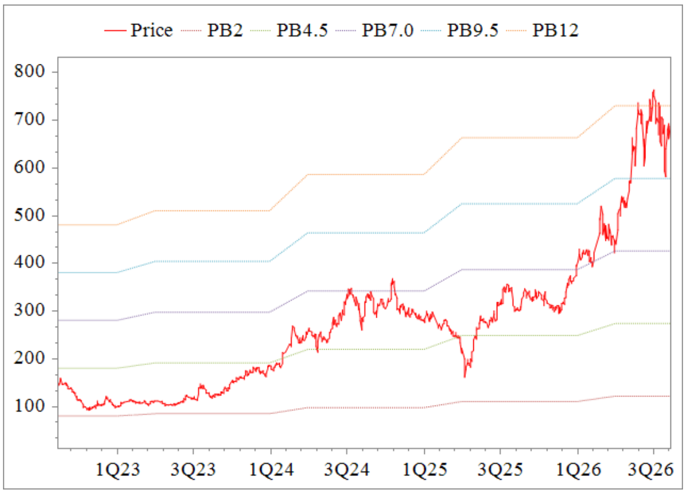
(百萬元)	1Q26	2Q26	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F
營業收入	2,293	2,493	2,689	2,801	2,934	3,183	3,431	3,574
營業成本	1,491	1,494	1,592	1,622	1,677	1,792	1,910	1,960
營業毛利	803	998	1,098	1,180	1,257	1,390	1,522	1,613
營業費用	358	395	409	423	435	457	479	491
營業利益	444	604	688	757	822	933	1,043	1,123
營業外收支淨額	88	61	38	42	55	58	61	64
稅前純益	532	664	726	799	876	991	1,104	1,187
所得稅	90	129	123	136	151	171	190	205
稅後純益	436	523	597	657	718	812	904	972
調整後 EPS(元)	2.90	3.48	3.97	4.37	4.78	5.40	6.02	6.47
毛利率(%)	35.00%	40.05%	40.82%	42.12%	42.84%	43.68%	44.34%	45.15%
營業利益率(%)	19.38%	24.22%	25.60%	27.02%	28.01%	29.32%	30.39%	31.42%
稅後純益率(%)	19.03%	21.00%	22.20%	23.44%	24.47%	25.51%	26.35%	27.21%
營業收入								
QoQ(%)	5.59%	8.70%	7.89%	4.17%	4.73%	8.48%	7.81%	4.15%
YoY(%)	29.44%	17.87%	28.60%	28.99%	27.94%	27.69%	27.60%	27.58%
營業利益								
QoQ(%)	32.07%	35.82%	14.05%	9.95%	8.57%	13.55%	11.75%	7.66%
YoY(%)	57.90%	71.44%	106.61%	124.94%	84.92%	54.60%	51.48%	48.33%
稅後純益								
QoQ(%)	-9.02%	19.94%	14.05%	9.98%	9.36%	13.08%	11.39%	7.54%
YoY(%)	52.67%	96.49%	81.75%	36.89%	64.53%	55.12%	51.50%	48.12%

PER Band



資料來源：中信、CMoney

PBR Band



資料來源：CMoney

2026/08/12

資產負債表

(百萬元)	2022	2023	2024	2025	2Q26
資產總計	9,545	9,863	11,051	13,258	14,895
流動資產	4,062	4,042	5,237	5,482	6,509
現金及約當現金	1,130	992	2,001	1,573	2,324
應收帳款與票據	1,090	1,078	1,149	1,420	1,658
存貨	1,808	1,922	2,049	2,431	2,427
採權益法之投資	50	43	19	0	- -
不動產、廠房設備	4,559	4,239	4,249	5,417	5,788
負債總計	3,454	3,391	3,625	4,769	5,458
流動負債	1,983	2,251	1,475	2,182	3,919
應付帳款及票據	284	404	417	490	514
非流動負債	1,471	1,140	2,150	2,587	1,539
權益總計	6,091	6,472	7,426	8,489	9,437
普通股股本	1,437	1,449	1,460	1,473	1,503
保留盈餘	3,049	3,334	4,053	5,017	5,427
母公司業主權益	5,762	6,168	7,134	8,145	9,108
負債及權益總計	9,545	9,863	11,051	13,258	14,895

損益表

(百萬元)	2023	2024	2025	2026F	2027F
營業收入淨額	6,381	7,019	8,149	10,277	13,122
營業成本	4,439	4,831	5,502	6,198	7,340
營業毛利淨額	1,942	2,188	2,647	4,078	5,782
營業費用	953	1,033	1,344	1,585	1,861
營業利益	989	1,155	1,303	2,494	3,921
EBITDA	1,649	1,849	2,307	3,486	4,979
業外收入及支出	71	134	356	228	238
稅前純益	1,060	1,289	1,659	2,722	4,158
所得稅	198	227	262	478	717
稅後純益	852	1,035	1,360	2,213	3,407
公告基本 EPS(元)	5.91	7.10	9.28	- -	- -
調整後 EPS(元)	5.88	7.09	9.23	14.73	22.67

註：稅後純益係指本期淨利歸屬於母公司業主。

現金流量表

(百萬元)	2022	2023	2024	2025	2Q26
營業活動現金	1,950	1,289	1,617	1,914	789
稅前純益	1,557	1,060	1,289	1,659	664
折舊及攤銷	618	607	578	652	185
營運資金變動	-314	18	-185	-580	-89
其他營運現金	88	-396	-65	183	29
投資活動現金	-485	-937	-462	-1,913	-332
資本支出淨額	-189	-529	-346	-1,050	-267
長期投資變動	-295	-394	-119	-858	-62
其他投資現金	-2	-14	3	-5	-3
籌資活動現金	-2,275	-489	-173	-462	99
長借/公司債變動	-1,300	-786	2,057	-14	-22
現金增資	0	0	0	0	0
發放現金股利	-400	-576	-580	-584	0
其他籌資現金	-575	873	-1,650	136	121
淨現金流量	-790	-138	1,009	-427	551
期初現金	1,920	1,130	992	2,001	1,773
期末現金	1,130	992	2,001	1,573	2,324

資料來源：中信、CMoney

比率分析

(百萬元)	2023	2024	2025	2026F	2027F
成長力分析(%)					
營業收入淨額	-7.63%	10.01%	16.10%	26.10%	27.69%
營業毛利淨額	-23.19%	12.66%	20.97%	54.07%	41.78%
營業利益	-30.86%	16.78%	12.82%	91.32%	57.24%
稅後純益	-32.35%	23.19%	31.53%	62.71%	53.92%
獲利能力分析(%)					
毛利率	30.44%	31.17%	32.48%	39.69%	44.06%
EBITDA(%)	25.84%	26.34%	28.31%	33.92%	37.94%
營益率	15.50%	16.46%	15.99%	24.26%	29.88%
稅後純益率	13.51%	15.13%	17.14%	21.54%	25.96%
ROE(%)	14.29%	15.56%	17.81%	25.59%	34.33%

2026/08/12

ESG 資訊-環境保護(Environmental)

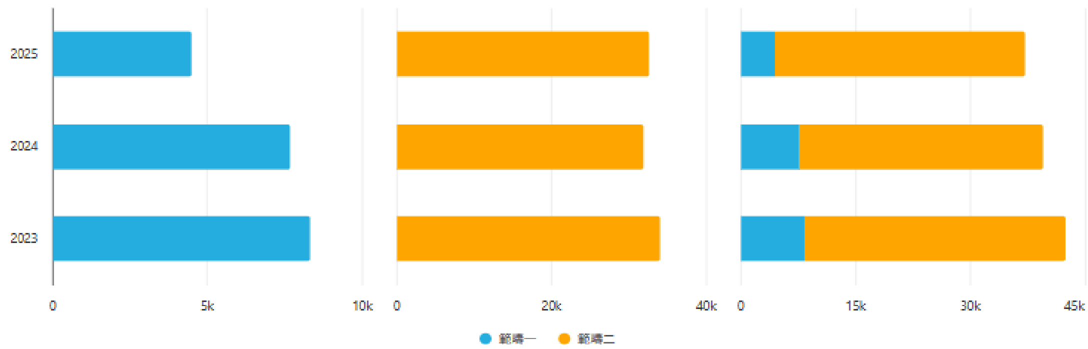
溫室氣體(範疇一/二)排放量

2025

總排放量
37.12K (YOY) -6%

範疇一
4.49K (YOY) -42%

範疇二
32.63K (YOY) 2%



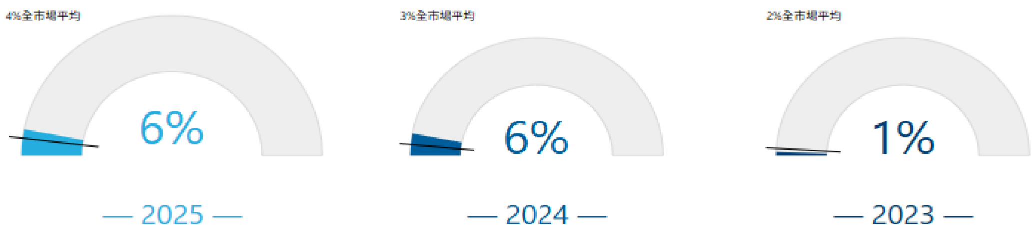
再生能源使用率

2025

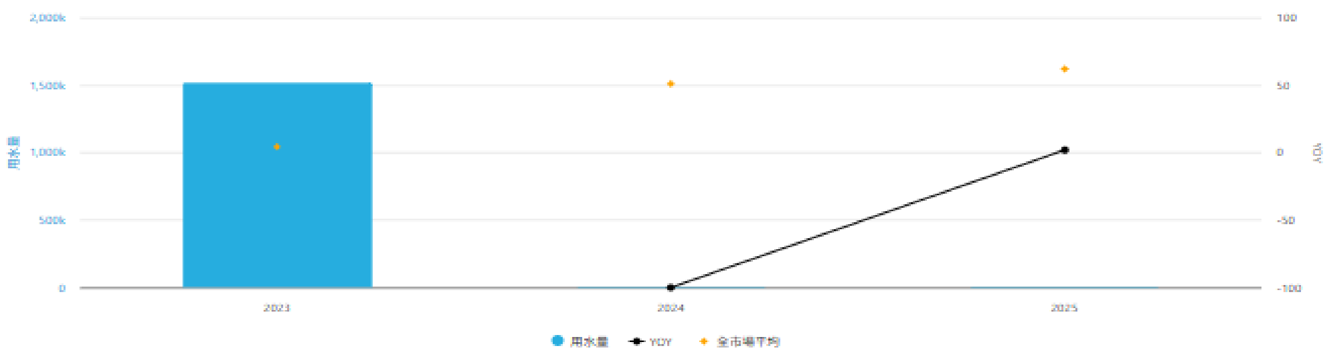
使用率
6% (YOY) 1%

全市場平均使用率
4% (VS.公司) 35%

產業平均使用率
3% (VS.公司) 10%



用水量

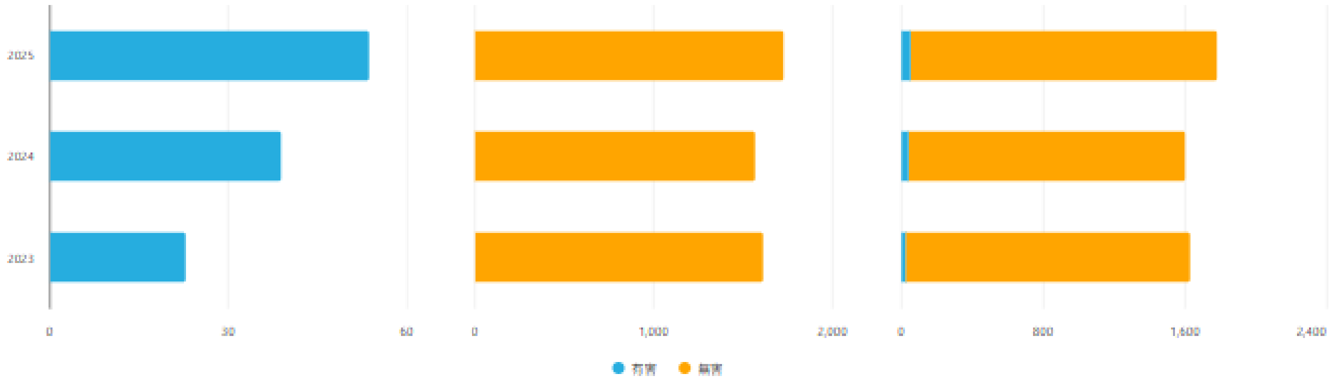


2025

用水量	全市場平均用水	產業平均用水
1.64K (YOY) 2%	1,622.2K (YOY) 7%	119.03K (YOY) 25%

2026/08/12

廢棄物量



2025

有害	無害	總量
0.05K (YOY) 38% ▲	1.73K (YOY) 10% ▲	1.78K (YOY) 10% ▲

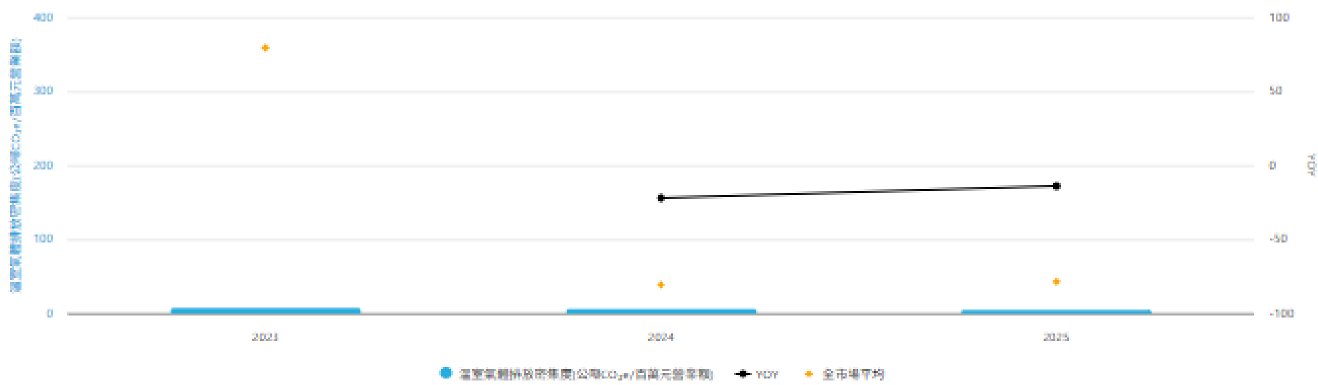


密集度

2025

溫室氣體排放密集度	用水密集度	廢棄物密集度
4.79	0.23	0.25

溫室氣體排放密集度(公噸CO_2e/百萬元營業額)



2025

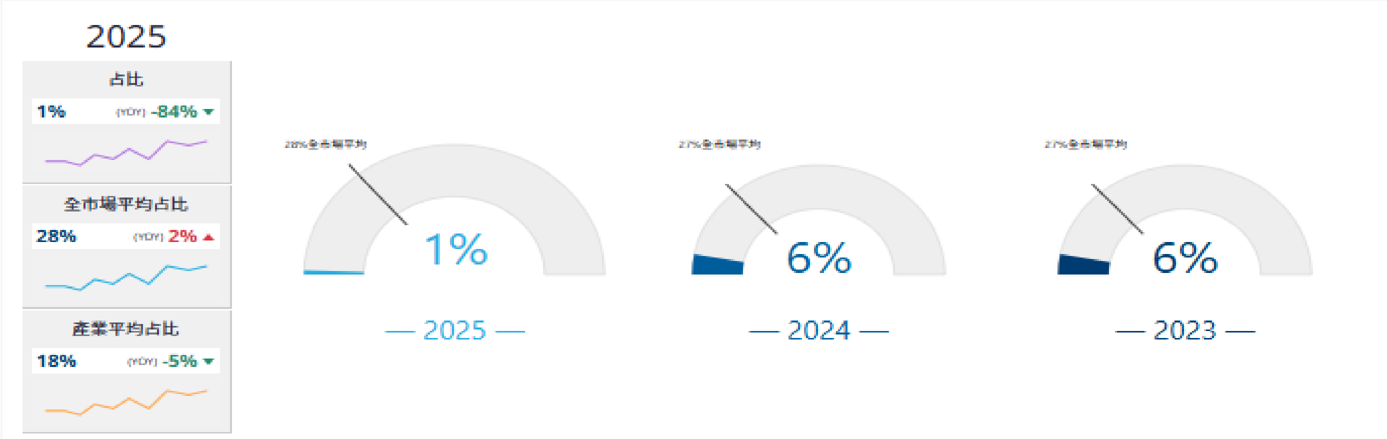
溫室氣體排放密集度(公噸CO_2e/百萬元營業額)	全市場平均溫室氣體排放密集度(公噸CO_2e/百萬元營業額)	產業平均溫室氣體排放密集度(公噸CO_2e/百萬元營業額)
0.01K (YOY) -14% ▼	0.04K (YOY) 11% ▲	0.01K (YOY) -90% ▼



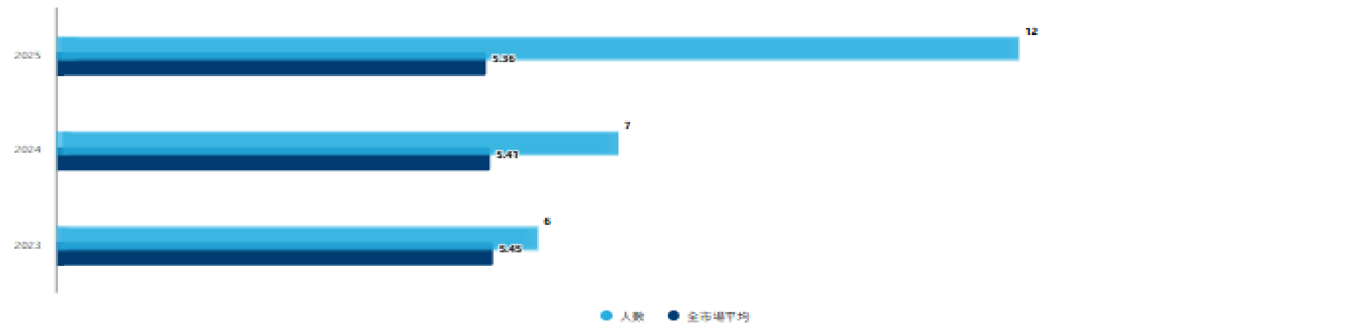
2026/08/12

ESG 資訊-社會責任(Social)

管理職女性主管占比



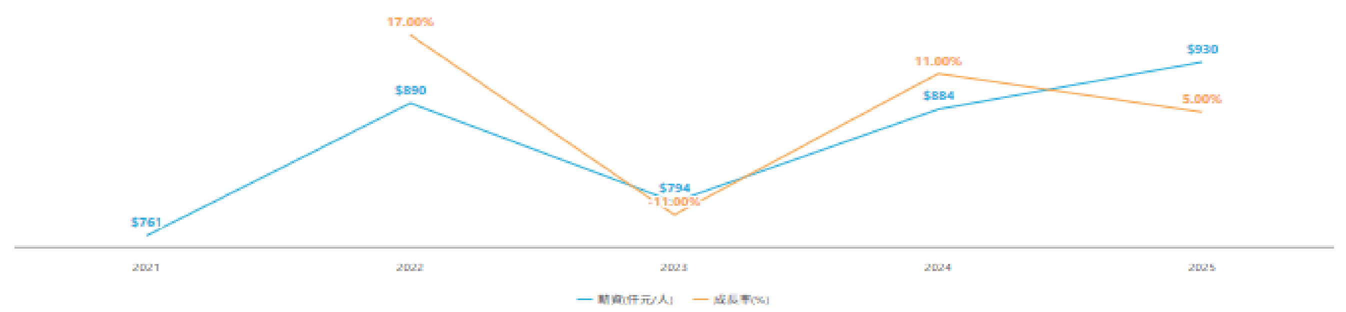
職業災害人數



2025

人數	全市場平均人數	產業平均人數
12 (YOY) 71% ▲	5 (VS.公司) -1% ▼	6 (VS.公司) 4% ▲

員工薪資年度趨勢

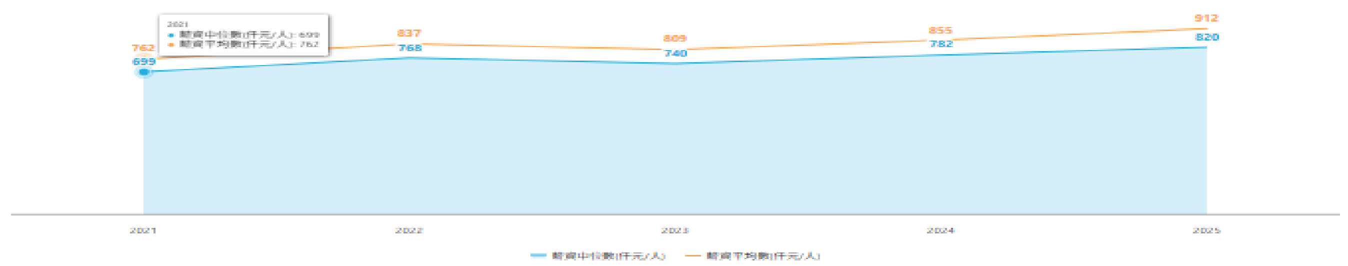


2025

員工薪資平均數	與去年同期比	與同產業薪資比
930	5% ▲	+2.48%

2026/08/12

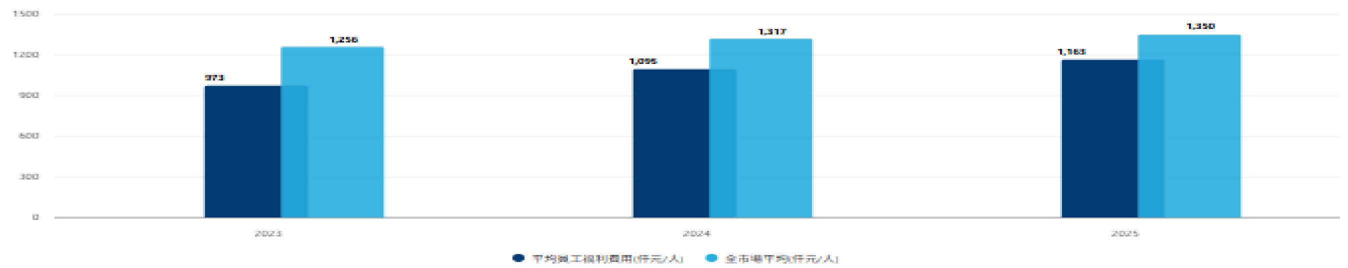
非擔任主管職務之全時員工薪資



2025

平均數	中位數	差異%
912 (YOY) 7% ▲	820 (YOY) 5% ▲	0% (YOY) 22% ▲

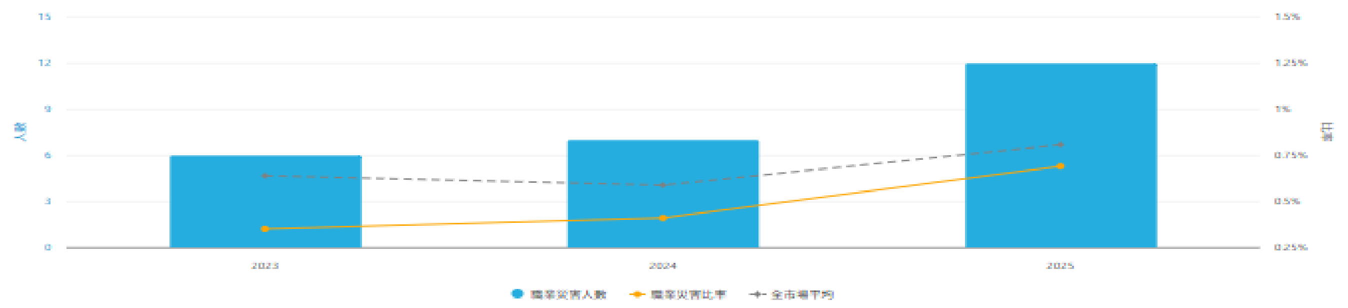
平均員工福利費用



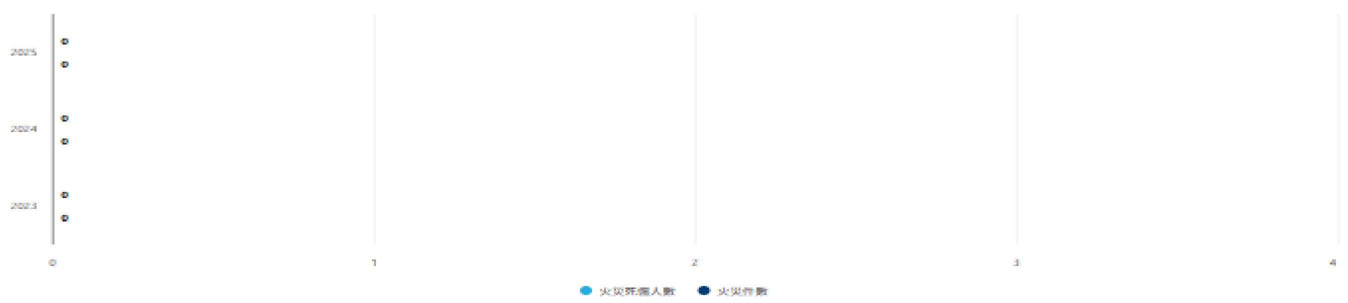
2025

平均福利	全市場平均福利	產業平均福利
1,163 (YOY) 6% ▲	1,350 (YOY) 3% ▲	1,069 (YOY) 6% ▲

職業災害人數與比率



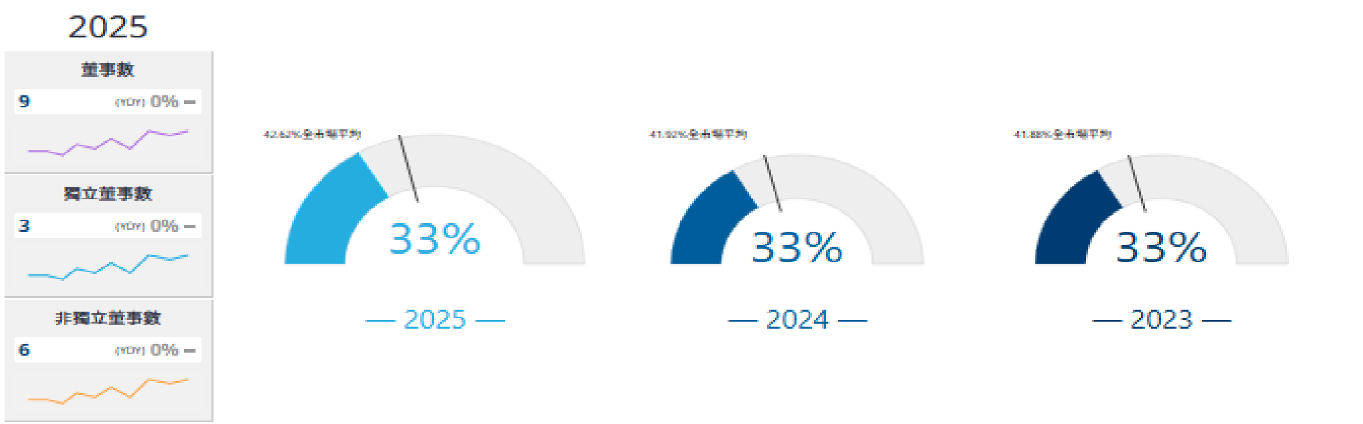
火災件數與死傷人數



2026/08/12

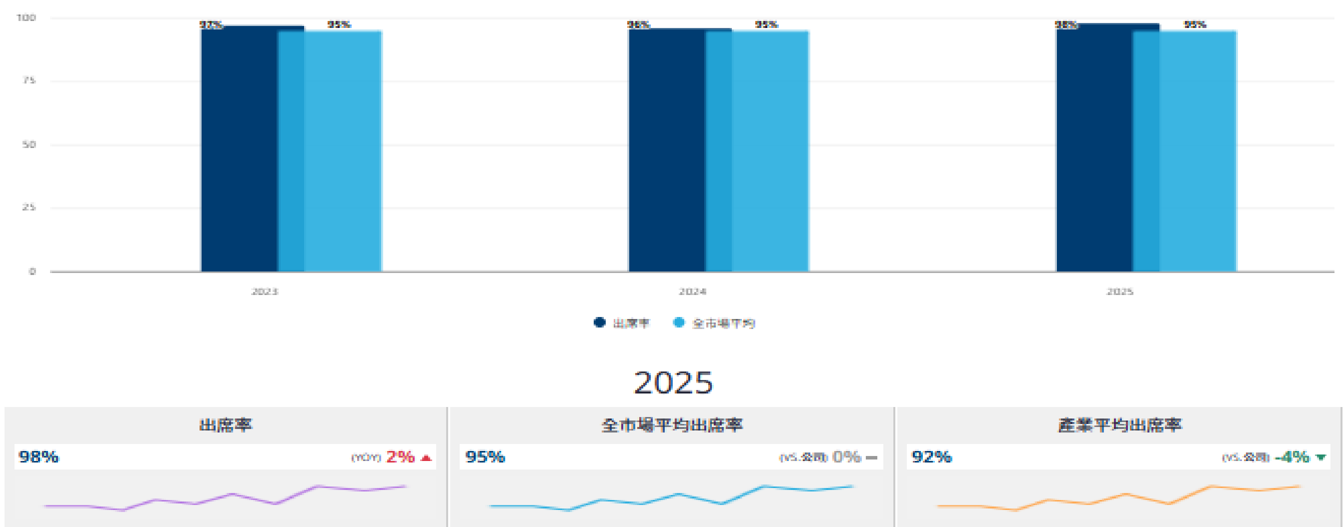
ESG 資訊-公司治理(Governance)

獨立董事vs.董事席次占比



女性董事席次

董事之董事會出席率



2026/08/12

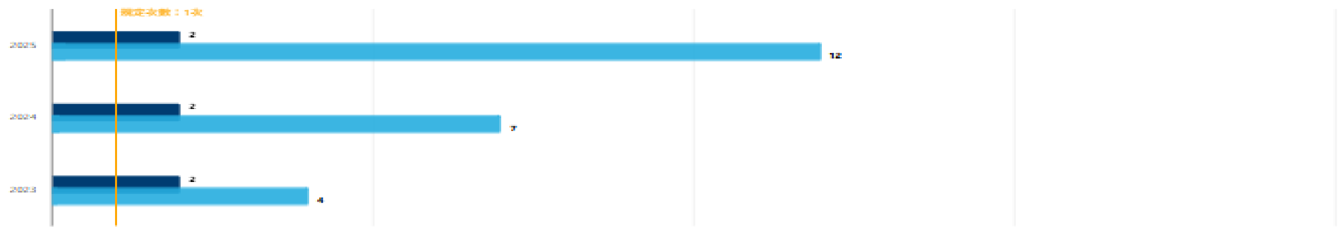
董事進修符合進修要點比率

內圈:個別公司　外圈:全市場平均

2025

進修率	全市場平均進修率	產業平均進修率
100% (YOY) 0% —	94% (VS.公司) 1% ▲	97% (VS.公司) -1% ▼

法說會次數



2025

次數	全市場平均次數	產業平均次數
12 (YOY) 71% ▲	2 (VS.公司) 0% —	3 (VS.公司) 0% —

薪酬委員會出席率

內圈:個別公司出席率　外圈:全市場平均出席率

2025

進修率	全市場平均進修率	產業平均進修率
98% (YOY) 0% ▼	97% (VS.公司) 1% —	97% (VS.公司) -1% ▼

薪酬委員會席次

資料來源:證交所

投資評等說明

個股評等	Rating	定義
買進	Buy (B)	相較於市場指數之回報潛力極具吸引力
增加持股	Overweight (OW)	相較於市場指數之回報潛力略有吸引力
中立	Neutral (N)	相較於市場指數之回報潛力相似
降低持股	Underweight (UW)	相較於市場指數之回報潛力稍低
賣出	Sell (S)	相較於市場指數之回報潛力較低
未評等	Not Rated (NR)	

免責聲明

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營業執照字號：114 金管投顧新字第 014 號